

Hitachi Energy (POWERINDIA)

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Call: Jul 2022

July 27, 2022
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National Stock Exchange of India Limited
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Dear Sirs,

Subject: Transcript of the conference call with Analysts/ Investors held on July 21, 2022
Pursuant to Regulation 30 and 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of the conference call that was organized with the Analysts/Investors on Thursday, July 21, 2022 and the same can be accessed at <https://www.hitachienergy.com/in/en/investor-relations/analyst-section>. Kindly take the same on your records.

Thanking you,
Yours faithfully,
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Hitachi Energy India Limited Q1 FY23 Earnings
Conference Call

MANAGEMENT M R. VENU NUGURI – MANAGING DIRECTOR AND CHIEF EXECUTIVE
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MR. AJAY SINGH – CHIEF FINANCIAL OFFICER, HITACHI ENERGY
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Moderator: Ladies and gentlemen, good day, and welcome to Hitachi Energy India Limited Q1 FY '23 Analyst Conference Call. As a reminder, all participant lines will be in the listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. N. Venu – MD and CEO, Hitachi Energy India Limited. Thank you, and over to you, sir.

Venu Nuguri : Thank You, Good evening everyone. Thank you for joining us for the call. I hope all is well at your end and you continue to take all necessary precautions to keep safe. While the pandemic seems to have eased recently, we reached the 200-crore milestone of cumulative doses administered in the country. However, there are dangers still looming just beyond the horizon. The economy is on the path of recovery to pre-pandemic levels. There is a healthy momentum with demand and economic activity picking up and business confidence had started to improve the last time we spoke.

However, multitude of factors continue to impact the growth numbers. We believe these are short-term challenges, which would flatten out in the longer term. We have uploaded the Presentation in BSE and NSE website which I am going to use for your ease of reference. We kickstarted the quarter on an optimistic note but were also cautioned by supply side constraints such as increasing commodities prices, freight and logistics cost, semi-conductor crunch, all of which were exacerbated by the turmoil.

This has impacted economies and industries, affecting the entire ecosystem, including our profitability as well as that of our customers and partners. In these challenging times, Hitachi Energy India scored some significant wins. In the quarter ending 30 June, we received orders worth INR 3,054.6

crore, up 309.7 percent YoY. As a pioneering technology leader, well entrenched in the market with a long-standing partnership with the customers. Our

value-driven engagement with customers

helped at driving some of the key order wins this quarter.

The order for a 1000 MW HVDC link between Kudus -Mumbai reiterates customer confidence in our technology expertise. The game-changing 1,000 MW HVDC link will increase the supply of power to the city by almost 50 percent, paving the way for utilities in the country to adapt to the grid of the future.

Our long-term fundamentals appear solid, India continues to be a fast-growth market with strong potential and as a market leader, we continue our engagement with the customers to collectively emerge out of this uncertain market situation.

Our work is underpinned by Safety, Integrity and Quality - our licenses to operate. And it continues to resonate with our customers through our high service ethics. We have continued organizing regular training sessions for our employees, contract staff and partners to arrest the spread Covid, reduce site hazards and avert any issue arising.

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We conducted special sessions to spread awareness regarding Risk Management and Life Saving Rules, summer readiness at sites, and so on, to ensure our people and adapt to new norm measures and bring Safety & well-being into routine practice as a way of life in all our premises.

Moving to the next slide, Slide #5. As an organization we take a holistic approach in growth of the organization, our employees, our ecosystem and the community we serve across the country. We

won milestone orders such as the Mumbai infeed HVDC, expanded our export footprint for high voltage of ferding and executed projects from various industrial and infrastructure segments. We contributed to policy shaping conversations at platforms like CII, IEEMA and industry thought leadership forums such as the Karnataka Energy Conference 2022, Sweden India Dialogue on Sustainability. To further share our technology expertise, we inaugurated the smart electric lab in NIT

Warangal, which is aimed at driving smart electric grid technology education, skills development and research activities. We

also re-initiated Hitachi Energy Technology Conference on-ground face-to-face event at Lucknow and another held in partnership with CEA. Marking environment day, we conducted a sustainability drive at our manufacturing facility in Gujarat. This was an employee-led initiative and they planted over ~1300 saplings at our Vadodara premises. Moving to the Slide #6. Last year, we announced our 2030 carbon neutral goals. We had set milestones defining our journey for operations in India, as well as around the world. We modeled our strategies to implement this both ground up and top down, to meet the urgency and pace of change required to reach a carbon-neutral future.

In the last three months, we conducted energy assessments across our manufacturing locations. We have nominated location leads who will undergo BEE Certified Energy Manager course. STECOs with location ownership and management buy-ins helped ensure cadence and continuity in our sustainability plans. Achieving the promise means integrating renewable energy by overcoming capacity issues and reducing waste. We continue to maintain 100% fossil free electricity consumption. Furthermore, the insights from the assessment also helped us identify the potential to reduce 62% CO2 emission by end of this fiscal year.

As a responsible organization, we keep proactively doing our bit towards a sustainable future with the first one being our Business Responsibility and Sustainability Report, a non-financial disclosure done for the FY21-22 period. And this is also first among the many companies to set ourselves in the leadership position we have come out of the report, which we have published as part of our annual report.

Moving to the next slide, Slide #7. In terms of the pandemic, we are not out of the woods yet. The Caseload has decreased from where we were a year ago,

but the concern remains. There has been a gradual improvement across indices such as the Index of Industrial Production (IIP), and core industries. Earlier this quarter, India's power demand touched an all-time high of 210 GW. According to analyst reports, electricity demand in just a few months of this year, is exceeding the demand anticipated for the year. Analysts estimate Indian GDP in this fiscal year to be in the range

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of 7-8%. While India is largely a consumption-driven economy, we are not isolated by the global headwinds.

Inflation remains high above 6% against the global double-digit inflation. It is projected at 6.7% for FY22-23. Our currency further depreciated against the dollar. Just earlier this week, we touched Rs 80 per dollar, the lowest in the history. The shortage of semiconductors continued to worry the industry.

Moving to the next slide, Slide #8, There are multiple factors at play leading to the present semiconductor crunch that we are facing. For one, there is spiraling growth in the demand for semiconductors with the increasing digitalization and consumption of electronics and automotive. This couple with lagging impact of Covid disruptions and geo-political tensions have reduced semiconductor supply to a trickle. But we are working through the problem by reassessing certain strategies that will help us steer through the turbulent time in the long term. One of the first strategies is reducing our dependency on the chips by redesigning products and increasing our focus on product lines that do not depend heavily on semi-conductors, such as COMBILFEX, RTU, enterprise software and network control.

We are collaborating with global teams in business unit operations and supply chain teams on stock-sharing and material allocation. We are proactively stocking some of the fast-moving electronic items to provide temporary hedging from the sky-rocketing product prices.

While the global semiconductor manufacturers and the global supply chain organizations are continuously working towards striking the balance of demand and supply, it will take some time to reach ideal scenarios. Analysts are predicting that we are yet to hit the upper limit of demand, and that the material costs especially for semiconductors might further rise by 10-15% in the near-term owing to ongoing inflationary pressures.

Moving to the next slide, that is Slide #9. If you look at the breakup of the orders, demand in this quarter was driven by orders from across the segment including industry, rail & metro, all led by T&D. While the HVDC order win accounted for the large jump in the utility order, we saw robust growth in the industry segment, growing 100% compared to the same quarter last year. This also explains the sharp rise in the number of orders handled through direct sales.

A considerable portion of our orders pertaining to renewable energy, align with the central and state priorities for capacitors and reactors. Some of the marquee orders are Railways, Datacenter,

and industries such as a couple of orders for traction transformers from Indian railways and Private rail equipment manufacturer. All in all, this quarter has been one of the biggest quarters in terms of the order inflows for our company and orders came from transmission sector, Industry and Railways, Metro and Infrastructure in that.

Moving to the next slide, Slide #10. If you recall one of our key enablers for the growth and bottom line has been service and exports, let me touch on the service and exports. Exports was roughly

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23% of total Hitachi Energy in India's orders in this quarter from markets such as Uganda, Saudi Arabia and Azerbaijan. We have a mid-term target to bring around 20-25% growth in order and revenue from exports market and we have comfortably stayed in this corridor for the last 3-4 quarters now. This is also important

for us as the on-going global supply chain constraints and the geo-political issues are compelling global customers to look at alternative supply chain routes and partners. In our view, India has the potential to make its mark as a resilient partner offering high-quality products to different markets globally.

Our service portfolio continued to deliver with 10% growth year-over-year. We see the scope to increase in certain markets. We are adding new customer names to our portfolio with service orders from PSTCL, Vardhman, ST Telemedia. And as small steps of leveraging synergies with Hitachi Group, we booked the first order for Modular Switchgear Monitoring from Hitachi Japan and for servicing the group company's GIS switchgear as well.

Moving to the next slide, Slide #11. Financial performance. Our long-term strategy, put in place to combat the global headwinds will take us through the uncertain market conditions. Even amidst the ongoing tribulations, we have delivered a sustained performance. The company booked orders worth INR 3,054.6 crore, up 309.7 percent YoY. Revenues rose 24.4 percent YoY reaching INR 991.3 crore for the quarter ended June 30, 2022. Supported by world-class project management, the company commissioned several substation and switchyard projects for utilities, industries and infrastructure sectors.

In the quarter, profit before tax was at INR 2.1 crore, profit after tax at INR 1.3 crore, while Operational EBITA stood at INR 15.3 crore. The quarter witnessed rising cost of commodities and supply chain bottlenecks, creating a drag on margins. Various measures are being adopted to reduce the impact, with a special focus on semi-conductors. On the order backlog, we have a healthy pipeline that provides around 20 months of revenue visibility. During the quarter, we received the large HVDC order that has further strengthened our order book which stands at INR 6777 cr. This helps us plan for the future and prepare accordingly.

Moving to my last slide, Slide #12, priorities for the financial year '22, '23. COVID still remains a matter of concern, and we are determined to ensure that we continue supporting the healthcare infrastructure for our employees and their family and the community. We continue to cover tried and tested 3-pronged strategy that is protecting our people, preserving business continuity and preparing for the new normal.

We will focus on high-growth segments. In addition to our traditional segment as we have been talking about high growth segments, where we have a very good value proposition to offer to our customers yielding a very good result. We continue to focus on that, building a sustainable operation to tide us through the short-term supply side challenges.

We tried to capture a large share of the market with our localized portfolio, developing business competencies and new business models, so we need partnerships. As you know, our strategy is

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to grow higher with the market as we are taking several leading initiatives, and that is helping us to grow higher than the market continuously for the last several quarters. We will strengthen our

leadership position to grow -- continue to grow fast in the market with a single focus on cash over revenue.

We believe this is possible with our emphasis on growing the high -growth segments, namely Rail, Transmission, Renewables, Data Center, HVDC, Power Quality and Automation. We will continue leveraging our growth. So, digital solution, traditional service offering and portfolio and exports leveraging our local presence. As you know, today, we are manufacturing more than 80% of our globally manufactured portfolio, we manufactured locally here.

We would like to leverage this local manufacturing not only for the domestic market but also the export markets. We have and will continue to invest in the planet, people, peace and partnerships with our commitment to

making our operations carbon neutral and sustainable. That's the reason we have announced our carbon neutral strategy 2030, and we have also announced all the teams. The teams and the locations are working towards ensuring that we will meet our targets of carbon neutral in our own operation by 2030.

We believe diversity and collaboration equals great innovation. And therefore, we promote peaceful and inclusive society for a sustainable development. In the whole of last year, we have added 30% more female employees in our company. And this is our commitment that Diversity 360 will definitely bring diversity and collaboration to leverage innovation with that. We will be working towards building a more sustainable and profitable company over a period of time.

Thank you, ladies and gentlemen. I would now like to open the channel for your questions. Thank you.

Moderator : Ladies and gentlemen, we will now begin with the question- and-answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Renjith Sivaram from Mahindra Mutual Fund. Please go ahead.

Renjith Sivaram : Congratulations on the order win. If you can just throw some more light like how much was the difference between us and the L2?

Venu Nuguri : So, thank you, Renjith. As you know, this is a tender where we have submitted, and unlike in PTCL, it is not a public tender. So, we do not have the information of L2. So, what we believe is that we are - when we submitted our tender, we are both technically and the commercially competitive.

Renjith Sivaram : So, it's more of a negotiated tender or what?

Venu Nuguri : No, it's not negotiated. It's like international competitive bid where we have submitted our bid and then they have announced that we are the successful bidder.

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Renjith Sivaram : Okay. And sir, how much is the value of this Adani order because I think you haven't mentioned that.

Venu Nuguri : As you know, as part of a request from our customers, so we don't share the exact value as the details were not shared publicly. But any of the HVDC projects are very large projects and runs into several years.

Renjith Sivaram : So, what's the timeline for this? When will it commence?

Venu Nuguri : Commencement has started and we have to complete in 38 months.

Renjith Sivaram : 28 months from this August 1 or this month?

Venu Nuguri : No. 38 months. We just booked during the last quarter, so 38 months from June 2022.

Renjith Sivaram : From June. Okay. Sure. And sir, just if I can ask, why the margins were a bit lower this quarter. Is it only to do with commodity prices? Or you feel the competitiveness has been higher? Or it's something to do with the product?

Venu Nuguri : Renjith, I think there are multiple reasons in this quarter, that is the quarter that has gone, which is basically I would put it in a 4, bucket. One is that the revenue of product mix. The second one, as I talked about semiconductor shortages. As you know, we use a lot of semiconductors in grid automation and also in the HVDC product lines. And the third one is supply chain disruptions leading to increasing freight and logistics costs and also sometimes non-availability, etc. And the fourth one is exchange and commodity price fluctuations in that. So, these are the primary 4 reasons due to which the margins got lower.

Moderator : The next question is from the line of Apoorva Bahadur from Investec. Please go ahead.

Apoorva Bahadur : Sir, I believe the next large order that the industry will have its eye on is Power Grid's Leh transmission. So, any update on that by when can we expect the ordering? What would be size? And also do we intend to participate in the storage element of that order as well?

Venu Nuguri : Yes. Thank you for your question, Apoorva. And yes, Leh-Kaithal is a very key project. And as you know, HVDC, Hitachi Energy i

s pioneering this technology. More than 50% of our installed base, including the new projects around the world, including India, runs through our technologies. So, we are very keen. We have been working with our customers on this. And we believe that the tender would come shortly. We will not be in a position to tell exactly when as we don't have any information, but you know that, that is the next HVDC project being awarded. As you recall, some time back, we were saying with so much of renewable coming in, so much of energy transition, our forecast has been that every year, one HVDC tender will come up for bidding in this country for at least next 3 to 4 years. So, we have been great there. We're doing a lot of

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localization of our equipment. For your information for HVDC Mumbai projects, almost 80% of that particular project will be manufactured in India locally.

Apoorva Bahadur : Sir, on the storage component for the Leh project as well, do we have the technology tie up for it?

Venu Nuguri : yes, we do have right now. We do the storage as a battery energy storage, we do that. However, our customers want for plan for the HVDC first and later they will look at the storage. But in any case, we have the technology.

Moderator : We'll move on to the next question that is from the line of Amit Mahawar from Edelweiss. Please go ahead.

Amit Mahawar : Congratulations for the large project win. Sir, the first question is basically on, in this quarter, how much is the Forex risk we have? And if you can comment on also the royalty and technology fees.

Generally, is it higher than the last year average as a percentage of sales? So, some color on that. And generally, on profitability metrics because Q1 was a very sharp impact, and this is despite your gross margins, which are relatively stable. It seems the overheads are basically on multiple points impacting the profitability. So, if you can comment on the profitability and the details.

Venu Nuguri : Thank you , Amit. I'll ask our CFO, Ajay, to answer part of it, then I'll come back and comment on the profitability.

Ajay Singh : Thank you. Thank you for the question. The first part, if I understand correctly was more on the profitability side and the royalty fee side. So, let me first answer the royalty part. So, royalty fees is we are hovering around the 4%. So, it is the same level. So, we do not see any increase compared to the earlier part. That is one. Coming to the Forex for this particular quarter, yes, we have been impacted by exchange and commodity price fluctuation and that is basically, if I talk about roughly, Rs. 13 crore is the total value that I can attribute for this particular impact for this particular quarter.

Venu Nuguri : So, just to add to our CFO, royalty fees is extremely important because we are a global company. The whole energy landscape is changing so much and all of our portfolio needs to be updated.

And on top of that, we need to bring a new portfolio in that. So, it's extremely important that this is like our investment for getting the new technology, new products, new offerings, et cetera, in this changing landscape of the energy transmission in that. That's super important.

As I commented, basically the whole ecosystem is impacted with the supply chain constraint. The supply chain constraint includes new semiconductor issues. If you take the semiconductor issues, and how it is impacting the world? Initially, the prices were higher. Then the delivery issues came out. Today, it is about the availability. So, from high prices, non-availability of not committing the deliveries to non-availability of semiconductors.

So, you've seen my slide also, how the global semiconductor industry is facing that. So, that is the reality. So far, we were able to manage from our safety stocks. But while the safety stocks were

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there, we have exhausted those safety stocks and

the inflows were actually reducing. So, we have several actions in place to mitigate this particular challenge being faced here.

So, while we are also engaged with CXO level of these companies. At the global level, we're also working with our other companies to have sharing of those things. And we are also redesigning some of our products where the availability of semiconductor is easier or better in there. So, all

these actions could not happen overnight for sure. It would take some time. And those are the actions, at least from a company standpoint, we are there.

Amit Mahawar: And second and last question is on basically, do you think high-speed rail ordering now that EPC is largely going to be over in the next couple of months, one can assume that high-speed rail equipment ordering for you will happen in the next 12 to 14 months? And also on the upcoming tenders for Vande Bharat and other railway tenders, generally, your assessment of the offerings, 2, 3 large equipment specs that Hitachi will benefit from?

Venu Nuguri : So, as we have been talking about, we talked about HVDC, we have booked HVDC in the last quarter. So, similarly, the high-speed rail, which is funded by the Japanese government is definitely in our radar, it's our targeted opportunity, and we have been working on that. And our estimate or at least our assessment is that the tendering will go last quarter of this financial year.

So, that is very, very clearly in our radar and we are working because we have a lot of our portfolio, which is locally manufactured can go into this particular segment in that. So, similarly, there are many other rail projects, for example, Train 18 is the one such megaproject, Vande Maatram trains. All these things, we are working very closely with train, the manufacturers, and we have a huge portfolio which go into that. As and when it comes to that, we will inform you, but this is the most targeted segment for us as a company.

Moderator : We'll move on to the next question that is from the line of Varun Basrur from Julius Baer Wealth Advisors. Please go ahead.

Varun Basrur: So, my question is just a continuation of what the previous participant asked. On the other expenses, was the ForEx impact Rs. 30 crore?

Venu Nuguri : It's Rs. 13 crore.

Varun Basrur: Rs. 13 crore. And if you can just sort of if you could -- are there any other unusual or one-off expenses, which you can quantify in the current quarter ?

Venu Nuguri : No. I think just to add here, we don't have any other one-off things. I talked about basically the 4 things, relevant to our product mix, semiconductor shortage and supply chain disruptions, which has also increased our feed and logistic costs. And finally, the exchange and commodity price fluctuation.

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Varun Basrur: And sir, regarding our order book, what percentage of our contracts allow us to pass through any cost escalations that we encounter?

Moderator : Ladies and gentlemen, thank you for patiently holding. We now have the lines of the management reconnected. Over to you, sir.

Venu Nuguri : Sorry, Mr. Varun, please go ahead and ask. The line got disconnected.

Varun : Yes, sure, sir. So, my question was what percentage of our contracts allow us to pass through cost escalations? And one more question, if I may is, how would our EBITDA margins look in this financial year?

Venu Nuguri : So, let me answer you the first one. See, over 65% of our portfolio has escalation clause . But you need to understand that there is a traditional escalation clause either through provisions or formulas or something else. But what we are facing right now is unprecedented. For example, we have a freight cost. Those kind of costs are not covered in that, which is unusually very high. For example, our overseas freight is huge. It's not a percentage of increase, but it is in terms of X. So, those kind of things are very, very difficult to q

uantify and do that.

So, that's the one and we will not be giving you any guidance on the EBITDA margin for the quarter.

What I can say is that I can give you a little bit of color to you that we have been consistently saying that now we have a clear strategy to grow in the market. That growth, as you have already seen, we have a huge order backlog, Rs. 6,770 crore with the fixed cost of our thing when the revenue comes, then naturally, you will have a margin accretion over a period of time. And then we also have a strategy on the exports. We have a strategy on our service offering, digital offering. All this would get us into a double-digit EBITDA margin by end of 2025 financial year. So, last year, you see they are very close to 9% of EBITDA margin.

Moderator : We'll move on to the next question that is from the line of Manish Dhariwal from Fiducia Capital Advisors Private Limited. Please go ahead.

Manish Dhariwal : very Good Afternoon, My compliments to the team for securing a very good traction on the order inflow. Now given the fact that we are living in turbulent times, higher orders also bring with them some risks as we have seen this quarter's profitability. So, I request the management to give us a

flavor of what kind of pro fitability matrix can be expected? And what kind of escalation clauses that have been put so that this continuing volatility in the exchange rates, in the supply disruptions, et cetera, do not cause further impact on the profitability.

Venu Nuguri : As you know, as our strategy not this quarter, but last several quarters, we have taken a strategy that we do not accept any projects which has no escalation clause, or any order which does not have an escalation clause, or any order which go into a long gestatio n period do not have an escalation clause. So, with that, all the orders whatever we are securing, we have a clearly the escalation process building and also there are several force- majeure clauses also we have kept

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as part of some of the orders, semicondu ctors non-availability also in some contracts we have brought in as part of the force majeure, which is a unique way to protect our margins and our contracts also in that. So, as a company, we have seen this coming in. It's not that it's supply. Only in the last quarter the impact is a surprise but otherwise, we know these challenges, and we were taking all the actions to face those challenges in there.

Manish Dhariwal : So, see, now some of the customers, they are like very highly leveraged. And what kind of debtor cycles that we have on these contracts, meaning the payment terms that we have a read on that, meaning are we taking any risk on that?

Venu Nuguri : No, sorry, you were not clear. Can you repeat once again Manish?

Manish Dhariwal : Sir, the payment ability of the customers it's also a risk. So, given the fact that the leverage, the position of some of the customers is like very high, so how are our payment terms covering those kinds of challenges that may happen?

Venu Nuguri : Right, as you know, this is always a risk here. And that's the reason we also have a clear strategy that, we also negotiate the payment terms, which is like, for example, we'll have a large contract, large orders do have a good level of advance payment and the rest of the thing is covered so that they confirm your credits with that. So, we have been doing this. And so far, we have been flexible. There could be some percentage of portfolio order book may have a direct credit, but by and large, most of our or ders come in with clear and committed payment terms and payment security.

Moderator : The next question is from the line of Viraj Mithani from Jupiter. Please go ahead.

Viraj Mithani: Sir, my question is with continuation of the previous participant. So, li stening to your comments, is it fair to say that we have fairly learned about in this quarter. So, a lot of things will b

e taken care

going forward from here, in terms of escalation clauses, commodity pricing, other things?

Venu Nuguri : What I was telling, Viraj, is that certain things, even though we have learned, for example, semi-conductors we have learned, it's not possible for us to overcome that challenge if the supplies are not coming in, right? So, while we are taking a lot of action to redesign the things, that will take time. That will not happen overnight in that. So, when it comes to the semiconductors, you have also probably seen this. The best estimate is that it will definitely improve, but to normalize it any-where, it'll go into the 2023 or so in that. It will improve from quarter -to-quarter, but really to nor-malize to the level where we used to see, and that is not going to be before the year 2023.

And still in the case, what we have done in escalation clause, traditional escalation clauses have been built in that, for example, the copper, the oil in the transformer, and steel seen in that. But the escalation when it comes to the freight cost, when it comes to our overseas because we do a lot of exports now, as a strategy, we have built in exports, right? So, those things will take more time to stabilize.

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Viraj Mithani: Sir, my like is the orders which you received are margin accretive or we have been sacrificing some margin to penetrate the market? Like, if you can give some sense on that.

Venu Nuguri : As you know, in the case of HVDC, we are a pioneer in that technology, right? We never take any order to sacrifice our margin to get an order. We don't want to book an order for the sake of booking

order.

So, for us, every project, we always look at risk-reward portfolio. What is the risk and what is the reward it will give? And once it fits into our strategy, then only we for in that. So, that is our clear strategy we have and we adopt for every project we look at, including this one.

Viraj Mithani : And sir, my last question is we supply to the government utilities. So, do we take into account the better cycle? Sometimes government, state unit in particular take long time you pay. So, do we take precautions when we provide to them, whatever service or products we provide to them?

Venu Nuguri : Viraj, can you please repeat if you don't mind because the line is not very good.

Viraj Mithani: We supply to a lot of utility companies, the power companies, which is probably the central government, state government. So, when we supply to them or offer services to them, do we take care of the things that the payment terms are very clear so that our payment don't get postponed, which is a case with the government?

Venu Nuguri : Absolutely. The moment we see any risk, we don't even go for that particular project at all. In some electricity boards, where we see a huge amount of delay, then we will always take a decision on that. But most of our contracts, which are with the central utilities like PGCIL or Indian Railways, like CLW, DLW, where we see our payments are fairly accurate as per the payment schedule.

Moderator : The next question is from the line of Vishal Biraia from Max Life Insurance. Please go ahead.

Vishal Biraia : So, my question was pertaining to Europe and to exports mainly. We had set a target of 25% exports of revenue in a few years. So, where are we on that? By when do you plan to achieve it? And the other is, are we seeing any near-term traction on exports because of the chaos that we are seeing in Europe because of the energy crisis and other aspects?

Venu Nuguri : Yes. I think when it comes to the exports, I think we ourselves set a midterm target of between 20% to 25%. And last year, we were in the range of 23% of our revenue and our orders came from exports last year. And this quarter also I was telling you that we reached exports 23%. So, we have a 3-pronged strategy on exports. One is the direct. Here, we export some of

of the products. We have

a global feeder factory, some of the factories we have a global factory like our circuit breaker and Combiflex, they go everywhere around the world. And then second strategy is that we also have a global fleet of factories where we will sell the components to some of our global factories. And the third one is we do the direct sales to customers like in Africa or in the Middle East and also in South America, etc. And we have a very clear strategy to bring it to 25%. And we believe that we already

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reached a mid-corridor of our thing, even though we kept 3-year target, but we have reached and continue to grow on this strategy.

Vishal Biraia : Have you seen any near-term delta in exports or inquiries from Europe or from the feeder factories because of the chaos in Europe where the production has been affected?

Venu Nuguri : Yes, there is. I don't want to say there is chaos, but we are going as per our strategy. We have a very clear strategy to bring some of the products to the local manufacturing. And that's the reason we have been expanding. We have been also telling that we have a clear Capex to support the exports. We have inaugurated one factory last quarter, and then we also have several factories lined up as part of that thing. In one of our conference calls, we have also told what are the factories we are investing and expanding in or coming up with the new greenfield projects as well.

Moderator : The next question is from the line of Kunal from B&K Securities. Please go ahead.

Kunal: Sir, when I look at some of your end markets like data centers, railways, renewables, they all are quite high growth markets. So, I just wanted to get your view on what can be the medium-term or long-term growth number that one should work with in each of the sectors like utilities, industries and transportation, as you classify it. Is it right to assume that all of these are mid-teens kind of a growth sector? Would like your views on this thing, sir?

Venu Nuguri : So, Kunal, thank you for your question. If you really look at the Indian power sector is really going for a huge transformation, right? The growth in the energy or power demand is phenomenal, right? We probably reached the 210 gigawatt. A lot of renewables is coming in, and it needs a lot of technology support to the grid and the rest of the industry associated with that. So, our growth spectrum is definitely the transmission and the renewable, right? So, this will be our higher growth.

And I say everything will grow, but these are the growth, they grow up higher than the normal market average in that.

So, transmission, for example, HVDC is one example in that. Previously we get, one HVDC project for 3 to 4 years. Now we expect at least every year one HVDC project or every 1.5 year, one HVDC

project. So, that is the kind of developments that are taking place, and that's the reason we are also localizing a lot of equipment which we used to bring it from our overseas companies. So, we are manufacturing everything here, in fact. So, that's one aspect of it. And the second thing is we see the industrial CapEx -- we have seen industrial CapEx, a lot of industrial CapEx we have already announced it. Maybe due to the current macro situation, there could be some delay in decision-making, but we are seeing our pipeline is very robust at this point. Our pipeline in terms of transmission, in terms of the renewable, in terms of industry CapEx, whether it is steel and cement and aluminum, they are really going for expansion and also the data centers. So, they are the high-growth segments, they are growing higher than the market average, and we have a clear strategy to grow above the market. And that's the reason we have seen our orders in the last quarters reflecting our strategy.

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Kunal: Just a quick follow-up on that one, sir. You mentioned about local

ization. So, currently, what would

be the level of localization across the company?

Venu Nuguri : I would call it as it depends again product to product, things like that. What I was saying is that whatever we are manufacturing, we are manufacturing 100% of our portfolio, 80% of that we are manufacturing locally. So, that means everything is available locally in line with Make in India, bringing the new technology. Last quarter, we announced opening of a new factory, which is a resin cast, resin integrated polymer bushing, which is the first time 400kv transformers that kind of machines what we manufacture here. This is a very high technology intensive products, we got it cleared and we are manufacturing it here itself. But this is just to give you a flavor of it.

Moderator : Thank you. Ladies and gentlemen, due to time constraint, that was our last question. I now hand the conference over to Mr. N. Venu for his closing comments.

Venu Nuguri : Thank you, ladies and gentlemen. Thank you for taking your time on attending to our call and appreciate very much. Due to lack of time, I think we could not answer any more questions, but please reach out to us any time, and we are happy to answer your questions, if any. So, meanwhile, please take care of yourself, your families and your colleagues and stay safe and stay strong. Thank you.

Moderator : Thank you. Ladies and gentlemen, on behalf of Hitachi Energy India Limited, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Nov 2022

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November 9, 2022

BSE Limited
P.J. Towers
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(Atten: DCS Listing)
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No. C/1, G Block
Bandra -Kurla Complex, Bandra (E)
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(Atten: Manager Listing Department)

Ref: BSE Scrip Code : 543187, NSE Scrip Symbol: POWERINDIA

Dear Sirs ,

Subject: Transcript of the conference call with Analysts/ Investors held on November 4, 2022

Pursuant to Regulation 30 and 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of the conference call that was organized with the Analysts/Investors on Friday, November 4, 2022 and the same can be accessed at <https://www.hitachienergy.com/in/en/investor-relations/analyst-section>

Kindly take the same on your record s.

Thanking you ,

Yours faithfully,
For Hitachi Energy India Limited
(formerly known as ABB Power Products and Systems India Limited)

Poovanna Ammatanda
General Counsel and Company Secretary

Encl: a s above
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Hitachi Energy India Limited Q2 FY 23 Analyst
Conference Call - November 04, 2022

Management : Mr. N. Venu – Managing Director & CEO, Hitachi
Energy India

Mr. Ajay Singh – Chief Financial Officer , Hitachi
Energy India

Mr. Poovanna Ammatanda – General Counsel &
Company Secretary, Hitachi Energy India
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Moderator: Ladies and gentlemen, good day and welcome to the Hitachi Energy India Limited Q2 FY23 Analyst Conference Call. As a reminder, all participant lines will be on listen only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. N. Venu – MD and CEO. Thank you and over to you, sir.

N. Venu: Thank you operator. Good evening, ladies and gentlemen. Thank you for joining us for the call. And I hope you're all doing well, taking care of yourselves and your families. Last year around this time, if you recall, we unveiled our new identity rebranding ourselves by the Hitachi Energy. This name reflects the breadth of opportunities where we can contribute our competency, expertise and solutions portfolio and support the acceleration towards sustainable energy future and societies. Through our first year, we invested in capabilities to cater to the evolving energy landscape; strengthening our foundation of talent, expanding our manufacturing footprint and building a brand that we all know today. As Hitachi Energy turns one, we will continue and deliver results with strategic expansion to drive high growth segments. We have uploaded this presentation which I'm going to refer, already in BSE and NSE. For your benefit, I'm going to refer the slide numbers, in the next 20 - 30 minutes I will take you through our performance during the quarter ended September.

So, let me move to the Slide # 3, Consistent performance and a stronger order pipeline. In this quarter ending 30th September, we received orders worth 1278 crores up 30.6 percent year-on-year the continued order growth momentum was driven by key wins and renewable industries and rail segments as you know that these are our high growth segments. We have been driving this continuously

, consistently for last several quarters. The revenue stood at Indian Rs. 1815 crore up from 31 percent year-on-year. While PAT was up 8.3 percent year-on-year consistent focus on execution, close customer connect and various mitigation efforts tempering the impact of tight supply chain on earnings. Some of the notable order win during the quarter were NTPC, renewable energy orders for the transformers and the rail segment from the BLW and BNC power, mining and data center and some of the industrial orders such as aluminum, smelter and the steel orders etc. I would like to take a moment to talk about the orders from NTPC Renewable Energy Limited to supply power transformers for their upcoming 4.75 gigawatt renewable energy park in Gujarat. And once it's completed, it's going to be one of the largest renewable power anywhere in the country. We would be providing transformer manufacturer at our factory in Vadodara and this will be the single largest rating of transformer used for solar power evacuation in the country so far. These orders validate how we continue to gain traction from customers in the high growth

segments such as renewable, railways, data center and substation, and industries. HITACHI

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As Hitachi Energy, we have followed the three pillars namely Safety, Integrity and Quality which are our licenses to operate. We have been continuously investing in our employees, including contract staff, to ensure they understand and inculcate the fundamentals and live by these principles.

We continued organizing regular training sessions for employees; while these have focused on physical health and safety aspects, we have been steadily increasing our focus on sustainability. This has been visible to customers who have acknowledged and appreciated our work with rewards and recognition.

While imbibing these in our operations and business process, we are also taking the message forward promoting importance of safety and quality with our outreach efforts.

During the quarter, we organized Road Safety programs in association with Hero MotoCorp. This included 23 Road Safety Program Sessions with more than 2000 participants across locations.

Moving to the Slide # 5. As a pioneering technology leader, we collaborate with customers, partners, and stakeholders to enable a sustainable energy future. We strive to be customer centric, and we work to build and maintain trust for long term

partnerships with our stakeholders across the sector s.

One of the orders bagged during the quarter included , the first order of 100 MVA Scott Transformer . This is the first for Hitachi Energy globally, and I am proud to share that from the product design to product engineering, our engineering team in Vadodara will be driving this project from design to manufacturing and commissioning. These projects are examples of how we are accelerating the evolution of world' s energy system by collaborating with customers and bringing a new age solution to the fore. And efforts to do so with transparency and integrity were recognized for excellence in Corporate Governance 2022 Award , a reaffirmation of our confidence.

We are also driving the conversation on energy transition and industry thought leadership forums, taking the message to our customers across India and also nearby countries like Nepal, Bhutan, Bangladesh, etc. With industry leaders we are also readying talent equipped to tackle this transition. We are committed to supporting all of our customers, addressing the needs of industries and societies , as a part of our

continued outreach to the communities around us , we supported the pediatric ICU, in Mysore district hospital under our CSR initiatives, providing infrastructure that will enable the hospital to provide care that was not possible until now.

Moving to Slide #

6. Hitachi Energy is making timely progress with it's portfolio that is strengthening, expanding and evolving power system. The business is focusing on continued localization, it's a global portfolio, building indigenous capabilities and products as well as creating new jobs. We are continuously evaluating the energy and HITACHI

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demand, landscape and necessary steps we must take to keep ourselves relevant to deliver cutting- edge solutions to our customers in India and around the world.

In August, our greenfield manufacturing facility for high voltage power quality products was inaugurated by the honorable Chief Minister of Karnataka, Shri . Bommali. This facility doubles the existing production capacity of advanced capacitors units, banks and other products which are very critical for the power quality. These products find application , power utilities, industries, renewable transportation, rail segments to improve efficiency and reduce energy waste.

Along with power quality products , we also initiated a manufacturing of next -generation switchgear operating mechanisms and expanded dry bushing for transformers. These factories have low environmental impact production principles, and iterating on technologies that improve reliability and flexibility of the grid. We are participating in the country 's growth story continuing to bring industry leading experience, deep domain knowledge and pioneering technologies that support our stakeholders with accelerating the global energy transition .

Moving to the next slide, Slide # 7, Hitachi Energy in India has placed sustainability at the heart of our purpose . Focused on advancing a sustainable energy future for all , the most significant impact that we are making is accelerating the energy transition in India. As you know , last year, we adopted an ambitious target under sustainability 2030 program to become carbon neutral in our own operations by 2030.

After reaching our first milestone in December 2021, that is switching to 100 percent fossil fuel in our operation. We looked at innovative ways to optimize energy generation and consumption. As stated last quarter, we are targeting 60 percent reduction in CO2 emissions within financial year 23 and have reduced operational carbon footprint in this quarter by 40 percent compared to the last year, same period.

We also implemented greenhouse gas standards and are in the process of adopting smart metering across our 18 factories and 19 sales touch points and other facilities.

From the top leadership to location heads and business leaders, everyone in the organization is committed to these goals and they have the target of monitoring on a month-on- month and quarter -on-quarter basis.

Moving to the next slide, Slide #8 and you will know these factors better than me. During this quarter , inflation climbed to 7.4 percent against the 7 percent inflation in the previous quarter and then the rupee depreciated at a record low of 82.3 for USD dollar , which is the lowest in the history . The threat of recession looms larger than US economy and its impact on other economies such as India is yet to be seen fully . The shortage of semiconductors chips , etc., continue to worry the industry even though supplies have improved slightly, the overall base is still challenging. There has been a gradual

improvement across the indices such as the index of industrial production and core HITACHI Inspire the Next
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industries, etc. The overall economic indicators are starting to look better, and India appears to be slowly getting back on track and the Indian economy remains one of the fastest growing economies in the world.

And moving to the next slide, Slide # 9. As you see we continue

to gain traction from

customers in our high growth segments and we have been driving this high growth segments since several quarters now and these are renewable industries, transport, data centers, HVDC, etc., some of the high growth segments and the total orders with the efforts of various activities, the total orders are up by 30.6 percent year-on-year and orders such as the one from NTPC, Renewable Energy Limited supply more transformers are resulting from the nation's target to have a 50 percent electricity generation from renewable resources by 2030. So, these are the commitments and offshoot of those commitments or some of these projects getting finalized in that. Orders were heavier on products from end-user and evenly split between utilities and transport followed by industries in the sector, sectors transport and infra was stronger this quarter with the push towards the data localization regulations and data center policies, we expect healthy growth. In railways, for example, we are looking at opportunities such as 2x25 kV electrification of High-Density Corridors and the upcoming 8-10 metro projects which are expected to be awarded in current fiscal year.

Moving to the next slide, Slide #10. With ~25 percent of the order book, exports remained healthy and do you recall our strategy from the last more than one year to bring the exports to the 25 percent corridor, which we are happy to share that we almost reached our targeted corridor and with 25 percent of order book, the orders from established export markets from our nearby countries such as Nepal, Bhutan, and the Middle East, and also the Americas understanding the market requirements. Hitachi Energy has been proactively augmenting its manufacturing facilities to meet changing demand. Today more than 80 percent of Hitachi Energy's portfolio is locally manufactured in India and the manufacturing base in India also caters to the global requirement for product. And you have seen successfully for last several quarters we

are opening up the new factories or expanding the new factories in this direction.

Service orders remained strong from a healthy mix of base orders for retrofit and space and utilities including some breakthrough orders for GIS bay extension and substation automation systems. As a partner across customers' plan-build-operate lifecycle.

Hitachi Energy in India continue to provide technical expertise, services such as renewable studies for utilities and engineering advisors, advisory for mining industries, etc. And the annual potential market for service averages around INR 2000 crores for Hitachi Energy in India. We are leveraging our install base to expand in exports and service. I will talk more about this in the upcoming slide.

Moving to the Slide #11. As you can see from the table, the company's efforts towards mitigating the impact of macroeconomic factors have been yielding benefits by HITACHI Inspire the Next

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softening the impact of external challenges. We continue to face semiconductor shortages, which is a very critical thing in our Grid Automation business, the commodity and freight prices increase, and foreign exchange volatility. This was reflected in Company's performance in the short term, the Company booked orders worth around 1,278 crores up by 30.6 percent in comparison to the same quarter last year, and the profit before tax stood at 50.2 crores and the profit after tax is 37.2 crores. I would like to bring your attention to the last column if you see the year-on-year comparison of the Company performance between the first half of a fiscal year 2022 and the first of the previous year, the growth has been more than 150 percent in the orders and indication of the consistent growth performance and a strong order pipeline. With a large orders

of HVDC in Mumbai, which has been booked, order backlog crossed Indian Rs. 7000 crore mark and provides as a revenue visibility of more than 20 months.

And moving to the next slide, Slide # 12. As you all probably seen the news that Hitachi announced acquisition of remaining shares from ABB ahead of schedule further supporting Hitachi Energy's 2030 plan. The joint venture company was launched and began operations as Hitachi ABB Power Grids on July 1, 2022 and that allows the change of company name and brand to Hitachi Energy on July 1, 2021. The progress in the Company has been possible by bringing together a passionate global team of 40,000 Hitachi Energy employees and 2500 employees in Hitachi Energy India Ltd. This acquisition will provide opportunities for accelerating the synergies between businesses and functions especially in R&D, IT transformation programs, common shared services and various synergy businesses such as rail, smart grids, etc. It has also helped us move forward and continue with trusted partnership and collaboration with customers, partners, which is essential to finding the solution a world needs.

Moving to the next slide, the Slide # 13 which is an important slide to give you a little more information on how we are seeing our high growth segment focus going forward. The growth momentum in market and economy is helping us stay cautiously optimistic about our high growth segments. We are making strong improvements in high growth segments such as solar, wind, data center and rail HVDC. The renewable market with present installed capacity of a solar at 60.8 gigawatt and wind energy at 41 gigawatt is priced for 5x and 3x growth respectively. To meet the commitments of the governments in a year 2030 scenario, we are offering for the renewable market such as Electrical Balance of System (EBOS) and grid connected substation, evacuation substation, energy and grid management automation and various transformers including Dry-type transformers, and so on so forth.

To efficiently transfer clean energy across the vast geography of the country, government is discussing projects to make the national grid more flexible and secure. Over the next 8 to 10 years, we anticipate HVDC connections for utility scale solar generator at Badla, Leh, Kargil, etc., HITACHI

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The data center market in India is expected to add 45 data centers panning about 13 million square feet and more than 1000 megawatt of IT capacity over the next three years. And this is our focus segments where we have a very high market share as of now. We provide substation, GIS automation, Dry-Type Transformer solutions, data center etc.,

Let me dive deeper into one of the growth driver for us. The Indian Railways, world's fourth largest railway network you all know that is undergoing a massive upgradation and expansion led by electrification of rail and adoption of energy efficient system. They have already announced the various sizeable tenders for high density corridor or Mission Raftaar and also the 12000 HP LOCO Project and also the 9000 HP LOCO Project. Hitachi Energy has been a longtime partner of Indian Railways and we see a huge opportunity here for our products and services directly as well as to the OEMs of this particular projects.

We have a large installed base in the country when it comes to the service. And we have been here more than six decades and this gives us a good market for leveraging service portfolio. Like I mentioned before, the annual potential market for service is in the range of 2000 crores for us and with our portfolio of digitalized Classic Services, advanced Services and more of Servitized Solutions. Those are the things where we're going to focus on that. We expect services to account for 10 percent to 15 percent of our

orders similarly for exports without manufacturing, expansion of our footprint. We have been clocking a quarter of our orders from exports, over the last few quarters and expect to build on this trend going forward. We believe that the Company is also well positioned to support the growing electrification and transportation industry and building segments with a purpose driven growth plan.

Moving to my last slide, Slide # 14. We are supporting customers across the value chain throughout the full lifecycle along the value chain, right from the planning stage of an asset through the building phase of an asset until operation and maintenance phase of it. Advancing a system energy future is not achieved purely by making best in class and pioneering technology products. It takes the relationship and collaboration delivered through committed experts and support

to ensure the right solutions , the best flexibility, efficiencies, reliability and availability through their entire lifecycle. We know this because today we are trusted partner with responsibility for existing assets commissioned over 100- plus years of technology leadership globally. And we strive to take an integrated view on the plan, build, operate and maintain phases to design and provide sustainable solutions to our customers , partners helping to advance the world 's energy transition. As we move forward with our Hitachi Energy 2030 purpose driven growth, we will continue to focus on strengthening our power grid core business. The core business is our transformer business, our switchgear business, our HVDC business, our grid automation business they are our core business as we are doing. HITACHI Inspire the Next
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Doubling up on digital and services as we talked about and expanding at the edge of the energy system. It could be battery energy storage , data centers , etc., and lastly exploring opportunity for innovation, synergies and partnerships to accelerate the growth.

On this note, I will close the presentation to open the house for questions but I want to share another positive announcement that , I'm happy to say we are planning to organize an in-person analyst meet in our state-of-the-art facilities in Baroda , where we have experience center , where we have Energy TEC, both digital and other technology centers out there in the beginning of the next year i.e, year beginning 2023 And we shall share those further details soon once we have completed our planning stage. This will enable you to understand how the digitalization is shaping up in a very big way in this industry and how our new products , new portfolio can enable even faster acceleration of customers in energy transitions in that. So, with that, ladies and gentlemen I really thank you for joining us today and I would now request the operator to open the channel for your questions. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. Any one who wishes to ask a question may press "*" & "1" on the touchtone phone. If you wish to remove yourself from the question queue you may press "*" & "2". Participants are requested to use their headphones while asking the questions. Ladies and gentlemen we will wait for a moment while the question queue assembles. Reminder to the participants, anyone who wishes to ask the question may press "*" & "1" at this time. The first question is from the line of Dinesh Mahajan an Individual Investor . Please go ahead.

Dinesh Mahajan: As per recent media reports, there have been reports of transformers shortages in the North American market like utilities are facing transformer shortages, because of increase in electric vehicle charging infrastructure. Do you see similar trends in world over or in the Indian market . And second question is pertaining to are we into h

igh-speed rail transformer business like the bullet train business . Is Hitachi Energy catering to that business. Thank you.

N. Venu: Yes. So, thank you for your question. If you really look at the North America market, you rightly said you're right in the media so same is the case . And there is a huge amount of demand arising out of energy transition there. One is that, and also strengthening the grids and resilience of the grids, all those things are creating a huge amount of demand for lots of products and in addition to that, as you rightly said the electrical vehicles is also another growth segments. So, some of the components which go into the multiple segments since the demand has come up in a same time. So, naturally there is always a challenge from the supply and demand standpoint in that and we expect the similar kind of trend to continue in our other countries including India, even though we have a very robust capacity for the transformers. So, the question is that the ability depending upon on how fast we plan early , the early our customers plan, HITACHI

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so we are in a better position to plan and then deliver in that. So, in this regard we are engaging with our customers to make them aware about the need to plan early on to

their requirements, so that they will not get into these challenges of supply and demand gaps in that.

And the second question on the high speed, our Hitachi Energy portfolio goes into high speed rail things, whether it is a traction transformer, whether it is track side transformer , whether it is Scott transformer as I talked about is a new transformer which we have actually designed and built for the railways in that. So, as you know that we are monitoring this high speed rail project, and then as and when it gets materialized we will be happy to share more information with you.

Moderator: Thank you. The next question is from the line of Amit Anwani from Prabhudas Lilladher. Please go ahead.

Amit Anwani : My first question sir is on the data center as we mentioned that there is a potential of 1000 megawatt data has built up how much is our addressable kind of product which we have been supplying, out of the total CAPEX ?

N. Venu: Thank you for the question. We have been telling that our portfolio goes into grid connection and then over evacuation and the strengthening of that particular things and automation and then high voltage and then dry tech transformers , etc., in that So, all these things put into depending upon the size of the data center whether hyperscale or not. So, it in the range of 15 percent to 20 percent is our addressable market.

Amit Anwani : Okay , thanks sir. With respect to exports, as you mentioned we are targeting the range of around 25 percent of orders in coming year also. So, could you elaborate more with geographies, what exports makes sense / kind of will look like in next let say one , two year and which kind of products we are targeting in exports ?

N. Venu: In the beginning of the 2021 we have set ourselves a target of reaching 25 percent of the total order by 2023. And we are happy to tell you that we have reached to target much ahead of our own ambition in that so, we have a three- pronged strategy when it comes to exports. The first one is , we have some global feeder factories such as our 66 KV circuit breaker and then COMBIFLEX, etc., where we will be supplying to globally because that is , those five products are going to manufactured only in India. That 's number one and the second one is , we have some allocated markets for most of our products and those allocated markets, where we are having a strategy go to market strategy, we are also deploying our sales resources, we are working with our country , sales organization, and then start selling those things directly to

our customers t hat's

the second strategy. And the third one is , we also have global feeder factory, where we will be supplying some other components to our factories around the world, whether it is in operating mechanism, whether it is coals , etc., like that. So, combination of these HITACHI Inspire the Next

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three strategies will get us into 25 percent which we already achieved, then we will once again we will review it and then see where we need to go upper band of that.

Amit Anwani : Thank you sir. My last question on the margins , so as you already explained in your initial remark, so now with respect to semiconductor shortage, when are we expecting this to some view on normalizing at least specific to Hitachi and what would be the normalized margin in the coming quarter if things normalize ?

N. Venu: So, the semiconductor is a global challenge a nd we have been continuously working with there and taking a lot of mitigation actions as you have seen compared to last quarter and this quarter , various mitigation actions have come in play and then we have softened the impact due to that. So, when it comes to normalizing the supply chain in our view it will take at least couple of more quarters and we have a lot of mitigation actions for example we are focusing on the product line which do not depend heavily

on the semiconductors like we have a COMBIFLEX, RTV , etc., in that and we also have a collaboration approach on stock sharing with some of our Hitachi Energy factories around the world. And so, I doubt so we are giving early forecast to our suppliers to secure this material , we are placing the early orders in anticipation of that. So, this is basically an industry -wide situation and in my view, all players fac ing the similar challenge when it comes to semiconductor impacting their supplies in that.

Moderator: Thank you. The next question is from the line of Mahesh Bendre from LIC Mutual Fund.

Please go ahead.

Mahesh Bendre: Sorry, I miss ed your opening remarks, but I just wanted to know what is a sustainable margin going forward over the next two -three years . What kind of synergies we will get

into because you are currently scaling up your business? So, what could be sustainable margin over the next two, three years we would like to achieve?

N. Venu: So, we have various levers, for example we have taken several initiatives upfront and then our go to market strategies are very solid, we have a focus on the various high growth segments, all those things are enabling us to grow higher than the market and in addition to that, we also have an exports, we have exports as well as service strategies to take us where we would like to do that. So, basis which we have also told

last time that our midterm strategy is to bring the EBITDA margin to a 10 percent level by 2025 is what have said that and we still committed to that, and we believe that, that's the sustainable margin going forward.

Mahesh Bendre: Sure, thank you. And sir export side, I think we all seem to be doing well so, what is the outlook for that and which are the countries we are exporting currently and what is the outlook for that over next two, three years?

N. Venu: We said, we have actually in the beginning of last year set ourselves a goal because that time it was a 15 percent to 17 percent of our exports, we said we will take these HITACHI

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exports to 25 percent of our total order value by 2023. We have achieved ahead of the curve at least by more than one year and right now, we would like to stabilize this and then we take a call on that, we also announced opening up the new factories all these factories would enable us to take further exposure into the exports, but we

want this to

stabilize but before we take a next jump on that.

Mahesh Bendre: Sure, and sir the last question, just a broader question compared to a thermal power plant for renewables, how much the investments in T & D goes up, higher T&D required for renewable plants solar and wind compared to thermal?

Management: When it comes to thermal you have only point to point connection of a T & D requirements. Like you bring a power from the point of generation to the load centers.

In fact, the renewable is highly interpretive and decentralized. It needs more of T & D required grids, you need to bring, you need to evacuate and also ensure that the grid resilience is extremely important because you don't know when the sun shines, you don't know when the wind blows. In this kind of situation how do we ensure that the grid resilience, there is also a lot of T&D equipment like a power quality, like automation, those equipment's will go into this one. In my view, it's thermal to renewable it's not about going down on the T & D expenditure, well rather it should increase more, make the grid more resilient, enable the grids to penetrate more and more renewables going forward in that. So, that's what the visible, in fact if you really look at previously I was also saying we used to have a one HVDC project for every five years or so. Today the outlook or requirement is one HVDC project per year or per one and a half to two years.

And more and more these technologies will enable we have received. In the last quarter, we announced the HVDC project for Mumbai from Adani, this is a one example for a different application to make city infeed more robust. So, this connection when it is ready to bring some more power to the city of Mumbai to make it more resilient and more secure when it comes to the energy standpoint.

Mahesh Bendre: No, sir I was asking from the angle is that if more T&D required for solar and wind.

Management: That's what I am saying, compared to the thermal it's more T&D required for solar and thermal.

Mahesh Bendre: So, there will be more growth opportunity for us?

Management: Absolutely.

Mahesh Bendre: Sure. And sir last question, from e-mobility side what kind of opportunity we see in terms of setting up charging stations and so on?

Management: So, in terms of the e-mobility we have a technology what we call it a Grid-eMotion™

Flash and Fleet charging, and this technology enables buses to get a boost of charge in less than 20 seconds. And we have been working on this. As you know that these HITACHI

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kind of technologies, if you really want to make it work in India, it needs to be affordable. That's the reason we are right now focusing on localizing these technologies. As we speak, we are running a pilot in IIT Madras with other reputed bus manufacturers on that. So, we are doing all that to make this technology localized and indigenized so that we are able to reach the required enterprise band and make this technology more affordable in this country. Thank you.

Moderator: Thank you. Mr. Bendre may we request that you return to the question queue for follow up questions. We will take the next question from the line of Mohan Krishnaswamy an Individual Investor. Please go ahead.

Mohan Krishnaswamy: I am referring to the Slide # 13 which we have just shared on the service income, where we have mentioned that annual potential market of 2000 crores. Now is this with the target annual revenue, which we are looking at for Hitachi Energy, because right now we are clocking about 10 percent to 15 percent of our revenues from services which could be to the order of INR 400 to INR 500 crores. So, is the understanding correct, that we're looking at a significant increase over time next three to five years?

N. Venu: Yes. So, thank you Mr. Mohan for your question. And so, what we are saying is that, with more and more digitalizing of our networks of the power system, so the service potential is going to grow based on our installed base calculation. Because of all the installed base we have in our system, we estimate that 2000 crores will be annual service potential in that. So, it won't happen overnight to reach that level is that so, definitely it will take couple of more years. So, but we are estimating that with so much of digitalization, so much of advance services like your asset management, asset performance, and also workforce management, enterprises, all those things and vegetation management, all those things will enable us to get you there. We are not giving any target as of now for when we reach there but right now our immediate target is to reach 10 percent to 12 percent. But right now we are saying that's the kind of potential based on our installed base can be achieved over a period of time.

Mohan Krishnaswamy: Sure. And sir, the next question is on the Lumada offering of Hitachi, which is for the digital side, how are we leveraging that in India because clearly, that holds potential as well and we are using Hitachi strength's here so can you just throw some color on that?

N. Venu: We will become globally 100 percent owned by Hitachi once the deal completes by this December. So, the very purpose of Hitachi as advanced this taking a balanced stake from the global organization is to bring the synergies between Hitachi and Hitachi Energy, Lumada is one of the well-known IoT platform and we would like to leverage that platform to offer Hitachi Energy's Enterprise Software, talked about asset performance, enterprise performance and the workforce management and the vegetation management and all those things. We will be in a position to offer in this Lumada platforms going forward. Basically, talking about IoT and the cloud. As we speak, we are running a lot of pilots with the various customers both private and HITACHI

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government customers. We are coming on this in a very big way and they are working what are the things we talked. A lot of the things they need to do that because with so much of renewable it is extremely important that the entire fleet, entire network need to be digitalized. They need to have a more real-time basis information to take care of the required actions based on the generation mix.

Moderator: Thank you. The next question is from the line of Alisha Mahawla from Envision Capital. Please go ahead.

Alisha Mahawla: Just a clarification, what is the current royalty and technology even making for the parent?

Management: Sorry, if you can repeat there was a bit echo.

Alisha Mahawla: I wanted to know what is the royalty and technology fee pay out that we are doing to the parent.

Management: Thank you for this question. As you are aware that we are a group company and we are very much dependent upon the technical knowhow of the group company so currently, the royalty that is going off payout is approx. around 3.5 percent that we're doing at the moment. But also, we need to understand that this is extremely important for us because the whole energy systems are undergoing a tremendous transformation. This needs a lot of investments from the R&D standpoint, to modernize our fleet, modernize your technology, providing the best-in-class technology for example,

everyone is talking about sustainability , net-zero scenarios and carbon-neutral strategies . In that scenario , whatever the product they buy, that also need to meet those kind of requirements for example, we use SF 6 gas in our GI substation, or our air insulated breakers , etc. And you all know that SF6 is 23,000 more potent

than CO 2

when it comes to the greenhouse emissions potential . So, this will not be sustainable, we need a lot of investment to come out of the alternative that and we are very happy to leverage our global technology , global scale, we already announced EconIQ™ portfolio which is more sustainable than CO 2 in that. So, these are all extremely important while the energy transition is undergoing a tremendous transition and these are the technologies absolutely essential for us.

Alisha Mahawla: Sir, understood just a clarification, is there any pay out that is going to ABB?

Management: No. There is no payout goes to ABB as part of the royalty or technology.

Alisha Mahawla: Any other kind of pay out going to ABB?

Ajay Singh: Yes, we are having a TSA that we call technical service agreement on the usage of the IS infrastructure. So, as you know that our operating now on a standalone basis and the highest separation required a lot of infrastructure and the resources and the capability and skill set . So that needed a bit of time so, we are having a Technical HITACHI

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Service Agreement with ABB for which we are using their services at the moment and that is all those payments are going to basically ABB at the moment, mostly on the IS related support.

Alisha Mahawla: And is it possible to quantify what percentage of revenue is going under this TSA agreement?

Ajay Singh: It is difficult to quantify because it depends upon the services that will take in, so gradually if you ask me we are trying to come out of your services. So, every month every quarter, we are coming down, we are adopting our technology, our infrastructure and gradually it is coming down. So, as a percentage it will be very difficult , we expect this to come in next six months or so, 2023 we are expecting it to come down.

Moderator: Thank you. The next question is from the line of Harshit Patel from Equirus Securities. Please go ahead.

Harshit Patel: Sir, we are localizing heavily in the country. On top of that we are also introducing new products from time-to-time. So, could you throw some light on what are our CAPEX plans for the rest of the year, which is the second half of FY23 and for the full year FY24?

N. Venu: So, we have been discussing this in the last two years. We have been investing here because we believe that we need to bring a lot of products and to meet the local requirements we need to locally manufacture not only for the local market, but also for the market outside of that, because we have a huge footprint here. We have a huge

opportunity to leverage the existing talent , existing engineering base, existing manufacturing base to do that . We have been continuously upgrading Greenfield power quality facility , for example, I talked about we have doubled our capacity of existing power quality factory from 10,000 M VR to 20,000 M VR in Bangalore, Doddaballapur . Then we also had a brownfield addition of next generation operating mechanism of high-voltage switchgear and we also inaugurated our state-of-the-art bushing, dry bushing factory , which is the first time we are bringing this technology for 768 kV to India in that so. Between facility upgrade and greenfield investments we anticipate an annualised CAPEX run rate of around 100 crores to ensure we continue to deliver to the needs of evolving energy landscape.

Harshit Patel: Understood sir. Secondly, on the HVDC project that we had won in the last quarter so, have we already commenced the execution and by when you plan to complete the execution?

N. Venu: Which HVDC is that?

Harshit Patel: The Adani HVDC , that we won in the last quarter. HITACHI

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N. Venu: Right. So, Adani HVDC we have a

already commenced execution as these kinds of projects when you say commence execution means first you will start the engineering and the load flow analysis. System study analysis will start and then we will slowly be getting into the site activities. And after that the manufacturing of the various equipment's start coming to the site. So we have around the close to 36 months to complete from the date of the booking of that, that is on track as on today.

Harshit Patel: Could you comment on what would be the quantum of revenues that we would have booked in this particular quarter from that project?

N. Venu: No, we will not be able to tell you about the project, but right now the project is a very initial phase and engineering. So, generally the revenues will pick up after three to four quarters of that, but we will not be able to give you project-wide revenues.

Harshit Patel: No, problem sir. Just a little follow up on this, so could you comment on the margin that we will make from this project, whether that will be higher than the present company level average or the lower than the present company level average?

N. Venu: I am afraid I will not be able to share the project level margins and that, what I told you our guidance for the margin for mid-term strategy after 20- 25 years is to reach the double-digit EBITDA level so all these things will add up to that.

Moderator: Thank you. Ladies and gentleman that was the last question for today. I would now like to hand the conference over to Mr. N. Venu for closing comments.

N. Venu: Thank you once again for your interest and active participation. I am really looking forward to host you physically in our state-of-the-art world-class Hitachi Energy Experience Center and our world-class factories in Baroda. I hope that we will work out a suitable date, all of you can join us. With that, once again thank you, please take care and if you need any more information do not hesitate to reach out to us and we are happy to provide whatever information you are looking forward. Please take care and stay safe. Thank you.

Moderator: Thank you. Ladies and gentlemen on behalf of Hitachi Energy India Limited that concludes this conference call. Thank you for joining us and you may now disconnect your line. HITACHI

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Call: Feb 2023

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February 10, 2023

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Dear Sirs ,

Subject: Transcript of the conference call with Analysts/ Investors held on February 6 , 2023
Pursuant to Regulation 30 and 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of the conference call that was organized with the Analysts/Investors on Monday, February 6, 2023 and the same can be accessed at <https://www.hitachienergy.com/in/en/investor-relations/analyst-section>
Kindly take the same on your record s.

Thanking you ,

Yours faithfully,
For Hitachi Energy India Limited
(formerly known as ABB Power Products and Systems India Limited)

Poovanna Ammatanda
General Counsel and Company Secretary

Encl: as above
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Hitachi Energy India Limited
Q3 FY 23 Analyst Conference Call

February 06, 2023

Management : Mr. N. Venu – Managing Director & CEO, Hitachi Energy India Limited

Mr. Ajay Singh – Chief Financial Officer , Hitachi Energy India Limited

Mr. Poovanna Ammatanda – General Counsel & Company Secretary, Hitachi Energy India Limited
Ms Manashwi Banerjee – Head, Communication,

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Moderator: Ladies and gentlemen, good day and welcome to the Hitachi Energy India Limited Q3 FY23 Analyst Conference Call. As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. N. Venu – MD and CEO. Thank you. And over to you, sir.

N. Venu: Thank you, Aman. Good evening, ladies and gentlemen, and thank you for joining us. I hope you're all keeping well.

We have published our Q3 Results on the stock exchanges and we have also uploaded the presentation which we are going to use for this call. In the next 20, 25 minutes together with our CFO, Ajay, we would like to take you through that, and thereafter we'd like to take your questions in that. With me in the room today, I have the CFO – Ajay Singh, and the General Counsel and Company Secretary Poovanna Ammatanda and Manashwi – Head of Communications.

I'm just referring to the slide numbers which I have uploaded in the stock exchanges as well as I'm also sharing with this presentation.

Slide #3, In the quarter ending December 31, we received orders worth INR 1,222.1 Cr, up 31.3 percent YoY. This was a second consecutive quarter of double-digit order growth led by some key wins. From transportation and infra, utilities and industries, customers are understanding the urgency of the pace of change needed to reach Net Zero and carbon neutrality. So, during the quarter, we bagged a large order for supplying 500MVA 765_400kV transformers and 110MVAR 765kV shunt reactors for establishing links for bulk power transmission in the inter-state green energy corridors that would support renewable energy evacuation. We also received multiple orders for

air-insulated S/S for wind &

solar energy projects across the country.

We continue to support the Indian railways with our traction transformers and other offerings. During the quarter, we supplied transformers for the Vande Bharat initiative, Vande Bharat trains, and I am glad to share that it included our first order for V Connected transformers.

We continue gaining momentum in the datacenter and energy-intensive industries with customers seeking reliable power management and energy solutions.

Commodities Price Increase (CPI) coupled with Semiconductor shortage, and rising interest expense had its bearing on our profitability during this quarter. We will talk more during that section. HITACHI

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Profit before tax was INR 13.4 crore. Profit after tax stood at INR 4.6 crore at the close of the quarter. In the following presentation, we will take you through our journey for achieving sustainable growth in a challenging market.

As you can see also, despite a high growth of orders on year-on-year of 31%, we still have almost remain Rs. 385 crores orders where we are L1 and got delayed, we could not complete the necessary paperwork for us to book in the last quarter.

Moving to the Slide #4, "Sustainability through Collaboration." By now, most of you'll be familiar with our 2030 sustainability ambition i.e., we want to be carbon-neutral in our own operations by 2030. In pursuit of our targets, we achieved 100 percent fossil-free electricity consumption in our factories and offices in December 2021. In the last few months, we extended roof-top solar electrification and off-grid solar power for our project site offices cutting down on polluting diesel consumption. We also switched over to environment-friendly Piped Natural Gas (PNG) as fuel replacing diesel for certain energy-intensive processes in our factories especially transformer factories. We believe that green infrastructure plays a key role in the development to support the growing urban population. To this end, we conducted renewable impact studies for over six industry players, along with national load dispatch centers, for regulating usage patterns across different geographies. Such initiatives provide further

encouragement for industries to use green energy for their power generation needs. Under our CSR initiatives, we provided electric vehicle infrastructure at NIT Warangal and conducted an urban afforestation drive in central parts of Gujarat. as part of our CSR initiatives. Moving to the next Slide #5, "Noteworthy Steps Across the Spectrum." Hitachi Energy collaborates with customers, partners and policymakers to enable a sustainable energy future and have been progressing towards the commitment. In the last three months, amongst several orders won, we also secured orders for integration of over 1 gigawatt of solar generation capacity into the grid, and some key orders for digitalization of asset management. We also commissioned seven substation projects encompassing AIS & GIS technologies, spanning utilities & industries and also involving in one project a remote commissioning. As the pace of industry and government events picked up, we returned to our traditional areas such as Innorail, and were active contributors to policy discussions at forums such as Invest Karnataka and India-Sweden Green Transition Partnership for creating a safer, green future. The policy -driven support for increasing the power generation capacity for renewable energy is expected to be further complemented by the transmission system enabling HITACHI Inspire the Next
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higher rates of renewable adoption by 2030, which is encouraging for our business in the long term.

The Indian economy, though not immune to t

he effects of global fluctuations and disruptions, has been resilient in the face of headwinds posed by the pandemic and other geo-political events. However, demand constraints are a major challenge amidst the current environment. Semiconductor chips shortages have further compounded these issues as supply logistics take a hit, especially during a time when industrial activity is still low.

If you see, the generally discussed lead time for chips and electronics has been between 6-12 months, however, we need to also be aware that deliveries are rarely guaranteed. But analysts anticipate some easing of shortage by the end of 2023 considering the workarounds for easing supply chain constraints would start moving. Retail inflation or CPI -based inflation in India witnessed a decline with various containment strategies implemented the Reserve Bank of India to dampen it down further. Despite central banks' & governments' efforts, the impact of inflation remains to affect the commodity price.

While India continues to be one of the fastest -growing economies supported by domestic consumption, the potential conflicts taking place beyond our borders are causing significant economic repercussions worldwide impacting how business operations proceed.

So, as you can see from the slide against this backdrop, among the sectors most relevant to our business, such as utilities, transport, infra, industries, metals, mining

hydrogen, there is a steady growth anticipated in the medium -to-long term.

Despite all these developments impacting in the short -term, the horizon looks, in our view, bright with a drive towards energy transition, creating various opportunities for our company portfolio, whether it's products, systems, services and software for us.

Moving to the next Slide #7, "Focus on Future Energy Networks." I'm sure you would have seen this particular information coming out of the Ministry of Power. So, here, energy projects are driving a new wave of growth across India. Amongst several capex focused initiatives, the government has prioritized the integration and transmission of 500GW+ renewable energy in order to bring clean energy to every household and it is enabling the 2030 goal of achieving net zero with a

comprehensive plan to strengthen the country's transmission system. This includes an estimate of Rs 2.4 lakh crore to expand its Inter State Transmission System (ISTS) across 26 states and Union Territories, with an additional Rs 2.16 lakh crore needed

to develop 268 GW on-shore renewable energy capacity, and Rs 28,100 crore for 10 GW offshore wind energy capacity. HITACHI

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Looking ahead towards 2030, when these projects are expected to come to full fruition, India is set to benefit from significant improvements in both its sustainability target and growing manufacturing muscle on the back of the policies such as the Inter-State Transmission System (ISTS) transmission plan and also the newly announced National Green Hydrogen policy - a commitment of close of Rs 20,000 crore to boost manufacturing of green hydrogen production capacity of at least 5 million tonnes (MT) per annum and the research and development in this area, which is also announced as part of the budget now.

Ultimately, transitioning in to a low -carbon economy through increased penetration of renewables is opening up huge, in our view of potential opportunities for the country, which is encouraging for our business as well.

Moving to the Slide #8, "Growth in Renewables and Associated Transmission Corridors.". During the quarter that ended December 31, the order growth was driven by renewables and transmission, datacenters and industries. As you can see here, it's a broad-based growth cutting across majority of the segments, as we are also talking about in several calls now high growth segments, which

is yielding a very good result for us.

Notably, we grabbed some remarkable orders in Datacenter space, which grew by more than 300% YoY during the quarter as we develop our relationship with some of the major players in the country, dealing with the data centers market. Steps towards ensuring data security and stability across all networks, with Data Localization Regulations are supporting the Datacenter operators to build and expand their footprint in the country.

Additionally, India launched 5G technology to further strengthen our digital infrastructure and capabilities. Energy efficiency and reliable power management for power -hungry data centers remain a concern and we are supporting our customer with industrial power and automation solutions.

Renewables and transmission continue to be very important for us. With an estimated demand of 500GW in renewable sources by 2030, India is quickly transforming into one of the world's leading clean energy producers. As I highlighted before, during the quarter, we received cumulative orders for over 1GW of solar integration into the grid

In order to achieve a carbon-neutral future, governments and industries are looking at decarbonizing through electrification across sectors. Along with these initiatives, Indian Railways has committed itself to target net zero emissions by 2030 and has also committed to modernizing its railway network with electrification projects such as 2 x 25kV electrification of High -Density Corridors. Apart from the Indian railways, looking ahead, 8-10 metro projects are planned to be awarded over the next 12 months for supporting economic growth with sustainable urban mobility solutions. HITACHI

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Given our positioning in these sectors, we are confident to bring home some orders from these upcoming projects.

With all these integrated efforts underway in various sectors towards digitalization, electrification, and the adoption of renewable energy as well as renewable integration, we are looking at some positive growth on the horizon supporting clean energy systems for India and the rest of the world. Moving to the Slide #9, "Growth Drivers Maintain Momentum.". We have been talking about the growth drivers of exports and service.

Given the global supply chain constraints, India holds the key to supporting this network with local manufacturing. We have been sprucing up our manufacturing for meeting local and global needs. Our global feeder factories have been gaining ground around the world helping us gradually expand our export markets.

Export is an essential part with our target to contribute around a quarter of the total orders. The 11% year -on-year order growth for our products is a testament to that.

Specifically, we have provided components of electric transformers for Chile's public utility, advanced Industrial Systems (AIS) for copper mines in Congo, s/s equipment for Bhutan, as well as other goods throughout the world including emerging markets

such as Africa and Asia.

Last quarter, we augmented our manufacturing and we continue to invest in people and technologies. Export has contributed to the growth of our engine with our product portfolio and customer service excellence.

On the service side, orders were steady year -on-year as our entire lifecycle service

partnerships continue to gain traction from providing first -factory repairs of traction transformers to making successful GCB's overhauling, etc., replacing third-party SCADA and controls to rendering lifecycle services orders for grid automation from heavy industry and utility customers. We have effectively provided comprehensive services in various segments. All this will help us contribute to the bottom line as well as build a strong market position for us in going forward in that . With this I handover to Ajay Singh, CFO Hitachi

Energy India Ltd. to walk us through

the financials. and I've changed also to Slide #10, Ajay. Over to you.

A Singh: Thank you, Venu, and good evening to all our participants. So, this is Slide #10. If you see, during the quarter, the company booked orders worth INR1,222.1 crore, up 31.3 percent in comparison to the same quarter last year. The revenues were Rs.1,041 crores; the profit before tax in the quarter stood at INR 13.4 crore, and the profit after

tax was INR 4.6 crore. Operational EBITA stood at INR 29.9 crore in the quarter. HITACHI

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We continued to face chips and electronic shortages, commodity and freight price increases, and foreign exchange volatility. However, with consistent order growth, the order backlog stood at INR 7,231.3 crore providing a visibility of roughly 20 -months of revenue.

This year, while we were emerging out of the pandemic after close to two years, we were confronted with a myriad of "interlinked" challenges, as I quote the U.N. chief from his speech at the World Economic Forum, where noted that 'the world is in a sorry state'.

Over the last few quarters, we have been talking about the persistent challenges on the macroeconomic situation but let me take some time to run you through this particular slide a little bit in detail. If you see the particular chart, the margins are fairly consistent, the material cost quarter -on-quarter is hovering around 62%, 63% revenue mark and the personal cost also I will say is more or less steady.

But if you see the chart, that is a YoY bridge on the right hand side, it narrates the story of credible performance in a very, I would say, highly volatile market. Chips and electronics were the leading factors impacting our profitability. As shared before, despite reported lead times 6- 12 months delivery of chips and electronics, deliveries remained uncertain and we took tough decisions on price vs faster delivery. Further to this, the commodity price, the FOREX and the interest expenses basically pulled u s in

this particular quarter as far as the bottom line is concerned.

With a strong cash focus, we are making strategic investments in high-growth segments, which we expect to help us strengthen our bottom line and cement our market positioning in the long run.

N. Venu: Thank you, Ajay. Moving to the Slide #12, "Priorities for Purpose Driven Growth in Financial Year '23.". The world economy is facing as Ajay was talking about a tumultuous time. Navigating through the current chips and electronics crunch and

lockdown disruptions poses a difficulty, however, exports and services can still provide growth opportunities. In addition to domestic market, we see a good opportunity on the horizon in our high-growth segments that remain central when it comes to sustainable recovery from the impact of market disruption. We have been working on a strategy to address the imminent commodity price increases by making

sure their supply chains are flexible and adaptable enough to handle changes quickly.

Additionally, we continue to remain cash focused with the aim of building our people and capacities for greater future success.

And we'd like to close this presentation and open for questions; however, before we start the Q&A, I would like to take a few minutes on the nex t Slide #13. If you remember, last quarter, we were talking about hosting a physical analyst meet in one of our largest world- class manufacturing facility at Vadodara on March 3, 2023 HITACHI

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between 10 a.m. to 3 p.m. And this location is home to our transformers and high voltage factories, as well as our world-class customer experience center energy, technology experience center and training center. So, along with our management team,

our global CTO also is joining this, and we will soon open for registration for you to plan your visit.

We look forward to hosting you and meeting you all in person. And I would now like to open the channel for questions. Thank you.

Moderator: Thank you very much. Ladies and gentlemen, we will now begin the question-and-answer session. Anyone who wishes to ask a question may press '*' and '1' on your touchtone telephone. If you wish to remove your cellphone request, you may press *

an 2. Other participants are requested to use the handset for asking a question. Ladies and gentlemen, we will wait for a moment while the question you assemble.

The first question is from the line of Renu Baid from IIFL Securities. Please go ahead.

Renu Baid : So, you have highlighted 500 basis points impact on the EBITDA margin coming in from commodities, semiconductor chips shortages and logistics costs impact. So, broadly, now if you look at the remaining backlog that we have of Rs.7,000 crores plus, what could be the share of those loss-making of low margin fixed price projects,

which may continue in the fourth quarter or in the first quarter of next year, which carry lower margin? And by when do you expect the impact of these chip shortages to recede in your operating performance?

Basically, when are we expecting operating margins to be back in 8% to 10% EBITDA levels?

N. Venu: Thank you, Renu. As a company policy, we don't give exactly our forward-looking statements, but all I can say is that, if you really look at our bridge in the Slide #11, the bulk of that of is almost Rs.30 crores is basically on the chips and electronics

shortage, right, because we have a policy of recognizing the revenue only when the revenue happens. While a lot of our manufacturing has completed in these panels, but because of some relays not there, so, we are unable to dispatch those things and able

to gain revenue. While the cost has come in already, we were not able to gain revenue in those kinds of things. This particular thing, is a global challenge for

semiconductors very focused to the energy sector, especially on that. Even though semiconductors for some other sectors has really improved, but in our things, we are taking a second phase, and we see improvement on those things, but it will be at least

in a couple of quarters before it will come back to the normal level what we used to see in that. And when it comes to the low margin, I won't call any low margin or high margin, it's always a mix. And once we have this revenue out, then I'm sure we should be in a position to come back to where we are planning to .

Amit Anwani : By when are we expecting the completion of execution of this unfavorable mix ? HITACHI

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N. Venu: We don't have any unfavorable mix in our portfolio as such. There are a couple of projects where have taken the orders on a fixed term basis and those execution happened and one or two projects remaining, I think the execution is ongoing on that.

But, if you really look at our order backlog, bulk of our order backlog has variable contracts, etc., as part of that .

Renu Baid : Secondly, you did highlight quite a bit in terms of railway transportation orders coming through... and I think that has been a high growth market for us. Now, there are large

Vande Bharat projects coming up for awarding in the coming quarter, so, from this segment of the market, how is Hitachi positioned to garner a reasonable share of their

pie? And do you think the capacity expansion which we had done for traction transformers, or a similar portfolio would be for this domestic market opportunity and

for exports as well or it's largely domestic -centric ?

N. Venu: So, on the railways, as we have been talking about is one of our growth segment , we have been continuously looking at opportunities, and als

o looking to expand our

factories, which we have been continuously expanding everything. Today, we have a major market share in loco transformer, EMU transformers or dedicated fleet corridor transformers, etc. The railways have announced a major tenders like a 9,000 hp

tender, a 12,000 hp and Vande Bharat trains, EMU trains and we have a quite a big offerings in that. So, each project has quite a large portion of our offerings go into that. So, this is one aspect of that. And in addition to that, we also work very closely for all

the metro projects, and in metro projects, we do the track side solutions like a grid integration, etc., on the way side transformers and as well as the SCADA systems. So, there are very, very big opportunities are there. As the railways have announced a

large number of loco trains, we are now also looking at further expanding our transformer capacity .

Moderator: The question is from the line of Mahesh Bendre from LIC Mutual Fund. Please go ahead .

Mahesh Bendre: What we have indicated is that there was a production loss because of the lack of

availability of the chips and other parts. So, what was actually a production loss that took place at the sales level, if these things had not come, then what would have been impact on the delivery side?

N. Venu: You can see that we have a revenue loss to the extent of Rs.100 crores .

A Singh: Thank you for the question. So, in this particular quarter, the impact basically on account of chips shortage is roughly approx. Rs.100 crores, that is we got impacted, and if you see in the bridge, roughly Rs.31 crores is the impact on the bottom line. So, if you would have not had this, probably there would be roughly in the range of 2% to 3% margin would be on the upside compared to what we are having. HITACHI

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N. Venu: At the PBT level .

Mahesh Bendre: Second thing is that, the logistic cost is also you have mentioned one of the reasons why profits have gone down. So, what we have observed typically now is that most of the companies that are declaring the results, they're actually benefiting, the logistic players have actually gone down on year -on-year basis. So, just trying to find.

N Venu : Here is what we are talking about is a logistics cost is, basically, we are talking about the export logistics cost, especially we have NCA as part of our strategy, we have increased our exports over a period of time, the export freight cost has really gone up substantially in many parts, and some of the things we are time-bound, we have to ship those things in a time-bound manner. So, that's where is our logistics cost is coming, while you're true that domestic transportation cost is in the same level or slightly lower than the last year level .

Mahesh Bendre: No, I mean, on exports side, we are hearing this from companies, they are benefiting and they're showing that the international cargo has become cheaper compared to last year. So, there is a drop of many companies reporting in the logistic costs, so, we are exactly opposite to that .

N. Venu: We can't comment about others, but many of these logistics is our global contract, so, we have very effective systems .

A Singh: One thing basically is what you're telling is correct. So, if you see on YoY basis, it is quite visible. But, you are right, if I go quarter -on-quarter, probably the impact has come down, but if you see from YoY basis... you are talking about the YoY, what railways is talking on those lines actually ?

N. Venu: So, this bridge what you see in Slide #11 is basically YoY .

Mahesh Bendre: Sir, when do you think the situation will normalize now, I mean, when chips will be available and the execution will pick up?

N. Venu: This was the same question that Renu also was asking about it. While all the actions are there to see that the situation improve

ves, so, we have taken several actions just to narrate, not only talking to the existing manufacturers, but also looking at an alternative supplier, at the same time, we're also looking at slightly modifying the design of our product so that the existing available chips can do that. It's not that all the chips are not available. To give an example, we need 1000s of components to make one a particular relay which is the very heart of the power system, right. In that it goes to hundreds of components chips to be required in that. So, we may be getting 80% 90% of that, but in the last 10% 15%, we are having problems. So, that's the reason all the actions are there. We see definitely signs of improvement from the lead time was six to 12 months and also not guaranteed, I would say . We are having a HITACHI

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direct contact with not only our suppliers, but also the end chip manufacturers as well in that. At the global level, we are taking all the actions to see that whatever we plan we could do. On top of that, we are placing advance orders at least one year ahead of the curve. So, all these things in our view should help us to normalize in a couple of quarters progressively .

Moderator: The next question is from the line of Varun Basrur from Julius Baer. Please go ahead.

Varun Basrur: First thing is, has there been any penalties that have been imposed for short delivery or for short execution? I don't see anything in that PPT bridge on the Slide #11 ?

N. Venu: If you are talking about the LDs ?

Varun Basrur: Yes. Any penalty or any liquidated damage, anything that has been imposed in the current quarter ?

N. Venu: As we have been very proactive with our customers, engaging with them, ensuring that they understand the situation, we are notifying them well in advance, and we are

very close to them to see that, we find a workaround solution wherever customers are commissioning something like that, so, taking the existing installations to do that. All those actions are enabling us to be close to the customers and not to levy any penalties at this point in time. Because this is a force majeure, it's not of a delay of any organization or something like that, and customers do recognize, we have notified all the customers, like that this is a force majeure, and they need to recognize that as per the conditions of the contract.

Varun Basrur: Second question is, if I see the interest position, it has also increased, whether it's year-on-year or quarter-on-quarter, I'm assuming that part of this is higher inventory. Has there been any other increase in working capital or debt, can you say what is the next debt positions?

A Singh: So, the increase in the interest rate is primarily on this bank loans that we have taken during the particular quarter. So, as the interest rates now has increased; it's already around 7% per se. So, that is one of the major reasons where we see there is an increase in interest rate. Other than that, I think it's more or less streamlined.

Currently, the debt level of our company has come down; so, last quarter we had closed Rs.315 crores, so, now we are at Rs.275 crores. But during the quarter because of the movement of the working capital requirement, that is what is basically, there's increase in the interest expense.

Varun Basrur: Sir, this Rs.315 crores is net debt or it is gross debt?

A Singh: Our debt is around Rs.275 crores, so, you can see the net is hovering around Rs.150 crores. HITACHI

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Moderator: The next question is from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal : My first question is on the railways segment. Besides, so, beyond this traditional railways segment, the new

segment which is coming up in 9,000 and 12,000 HP and

Vande Bharat, how big a market opens for us if you can quantify in terms of prospects there and what will be the products and services which you will be bringing in?

N. Venu: We are talking about around five projects which recently the Indian railways have announced of 8,000 hp, 12,000 hp, Vande Bharat, EMUs train sets. All put together, our accessible market is anywhere between 4,000 and Rs.4,500 crores. And what we

are supplying basically in this is we're talking about a loco transformer and that's our major claim in that.

Parikshit Kandpal : Out of one lakh crore of ordering, it is expected to be about Rs.4,000 to 5,000 crores will be our addressable market, right?

N. Venu: I'm not sure about one lakh crore. I'm talking about the five projects which basically includes 9,000 hp, 12,000 hp, EMU trains, etc., What I told you, does not include high speed rail, does not include metro stations, does not include cross-country, those kind of projects.

Parikshit Kandpal : And this will get finalized in the next one year, sir?

N. Venu: The OEMs are bidding for it and it will get finalized in the next one year or so.

Parikshit Kandpal : So, you will be providing the support bid to the OEMs or once they get the tender and then directly the OEMs will award it to you on a competitive basis?

N. Venu: As we speak, we are providing our offers to the OEMs because they need to take our offer as part of the design parameters.

Parikshit Kandpal : Are we part of the Siemens win as Siemens got this 9,000 HP... have we given any support bid to that?

N. Venu: We don't comment on a specific project, but you know for all the OEMs we have been actively in discussion.

Parikshit Kandpal : My second question on this Kudus Mumbai corridor project. So, any update on the execution, last time you were on the design stage, so, when do we see the revenue start kicking in, if we can get some sense on that?

N. Venu: As I told you, these are the large projects, normally the deliveries are in the range of 40 to 45-months and the first 15 months or so, it will be used for the design and doing the power system studies, etc., and then lot of approvals, engineering and HITACHI

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simulations, etc., will take place and then the construction will start now soon and thereafter we will see that by middle of next financial year is what we will start seeing the revenues kicking in.

Moderator : Next question is from the line of Venkatesh Subramanian from LogicTree Investment Advisers. Please go ahead.

V Subramanian : My question is in terms of the opportunities. If I run through the presentation and when we look at what you emphasize in terms of 2030 vision of India Renewable Energy, broadly if I take a five year view on Hitachi Energy, what is the kind of broad growth rate that we can look at, some sort of a guidance, and how much of that would be service revenues as a percentage??

N. Venu: I lost you in between, Venkatesh, you are breaking up.

V Subramanian : My question is I broadly understand the vision of where Hitachi Energy India is going over the next 10- years, it's a decadal long call. In which if I split it into five years and five years, over the next five years, what kind of growth in terms of top line can we expect approximately over the next five-year period, and what percentage of that would be service revenue ?

N. Venu: I think, Venkatesh, a very good question. So, let me just put it instead of top line, let me just decode your questions in a two-fold. One is that orders. So, if you really look at our orders, what we are talking about is the market is growing X -percentage , we said, we will grow higher than the market. So, this has been our strategy. And if you really look at our nine months cumulatively orders, and we have been at

least more

than 100% we are growing on the orders. And we are in a long cycle of converting orders into the revenue. So, revenues will follow after some time, right, in that. So, that's exactly is the thing. Our strategy on securing the order pipeline is, if want to grow cost in the market, if the market is growing x, we want to grow higher than x. And that has been consistently we are demonstrating for last several quarters in that. So,

that's number one. So, what are the growth areas? So, one, you talked about the service. We also said, exports. One quarter of our orders will come from the exports.

So, which is also orders, we are able to demonstrate that almost in the range of 20% to 25% orders for each quarter we are getting from the exports, and in a couple of quarters down, which also reflect in our revenue mix on that. The third one is service.

We also said in one of the calls that service order potential what we have is Rs.2,000 crores in that. So, right now we have a high single digit as part of our service. So, our plan is to take it to a double digit over a period of time. So, this is how the broad growth strategy, which is a broad based and taking care of both domestic market, international market and our huge install base of service which we would like to leverage in that . HITACHI

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V. Subramanian : I'm trying to figure out, if the market is growing at x -percentage, so if you believe that the market is growing in a double digit growth rate over the next five to 10-years, we want to exceed that, that would be the right assumption, right .

N. Venu: You're absolutely right.

Moderator: The next question is from the line of Mohit Kumar from DAM Capital. Please go ahead.

Mohit Kumar: My first question is You spoke about making strategic investments. What are the kind of investments you're making over the next three to four years to grow the businesses, in which products and in which segment, and the capital expenditure if you can put a number to that over the medium term?

N. Venu: Thank you for your question. I think we have been consistently saying that, Hitachi Energy India is one of the key markets, not only for the market, but also using our existing manufacturing base to not only cater to the domestic market, but also the export market and the rest of the other things like that. So, this has been our

consistent strategy and then we were also living up to the strategy. If you really look at in the last three years, including COVID year, we continue to expand, we built up a new factory for power quality in a Greenfield factory, power quality in Bangalore, and

we also set up a dry bushing factory in Vadodara, and we expanded our feeder factories, and we continue to expand those kinds of things today, more than 80% of our global portfolio we manufacture here locally. So, the reason for that is we want to

be competitive here, we want to localize the products here and we want to increase our skill sets, not only for the domestic market, but increase the market. So, over the

last three years, we spent around close to Rs.300 crores in the CAPEX, and we

believe that will continue to be there in the coming quarters, we are looking at expanding in our traction transformer facilities

to cater to the new demand coming out of that. So, those things will be as part of our strategy going forward. We continue to expand the new growth opportunities arising out of the transmission systems, etc.,
Mohit Kumar: Second question is on the Slide #6. You're talking of 40% increase in production. Is that pertaining to semiconductor supply?
N. Venu: Which slide you're talking about?
Mohit Kumar: Slide #6, 40% increase in production. What does this signify?
N. Venu: On Slide #6, 2023 sees more than 40% increase in the production of semiconductors, not our production, what we are

are talking about is the industry there. So, how we are going to come out of this is, we also got the feedback from the industry is that they're also increasing the production of that particular area. HITACHI
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Mohit Kumar: Last question, Of course, you spoke about intrastate transmission, CAPEX going up to 2.4 trillion. Do you see intrastate transmission picking up and what are the kinds of offerings we have in the segment, is that offering different from the interstate CAPEX?
N. Venu: Absolutely, this is very important and this is our core operating, interstate transmission things include HVDC, include FACTS, include start coms and includes 765 transformers and reactors, 765AC transmissions, all these things is part of our offerings over there.
Mohit Kumar: Within the state CAPEX, Intrastate CAPEX?
N. Venu: Within the state, as you know, some states are going up for the expansion of 400kV substation, 220kV substation, so that is also part of that, but then like HVDC projects, what you're talking about, that is primarily for IS TS.
Moderator: The next question is from the line of Priyank Chheda from Vallum Capital. Please go ahead.
Priyank Chheda: My question is regarding the transmission project of Leh Ladakh. Is this at what stage, and in case Hitachi goes for it, what can be the opportunity for the Hitachi?
N. Venu: A very interesting question. If you have gone through the recent budget announcement, so the budget has provided Rs.8,300 crores grant for this particular project. So, we believe that this will help us to accelerate this project for both HVDC and all of the things. It's big opportunities for us and right now we are working on this to look at various things, including, manufacturing, those kind of things, it's a quite a big project.
Priyank Chheda: So, the bids are out for this project?
N. Venu: Not yet, there's a consultancy bid they have been asked for it, which we have submitted, but the main bids in our view is that now that budget has given the grant and after that it'll accelerate.
Priyank Chheda: So, you mean that this project should be fructified in the current year?
N. Venu: Coming year.
Priyank Chheda: On overall HVDC order pipeline, if you can brief us on that, because we had envisaged of winning at least one HVDC project every year, how do you see this fairing up?
N. Venu: Absolutely, so, we have been talking about previously. If you really look at previously, India is to have one HVDC project for every five or six years, and we said that, we envisage one per year, which is in line with our vision, in line with our thought HITACHI
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process is coming out. Now, we see that one project has already aborted last year and now in addition to the Leh Ladakh project, we also see a project of Khavda is coming up, and then another project is also coming very clearly. So, three projects, as we speak, is in a very active stage about to come for a bidding.
Priyank Chheda: Last question, in the last call, you had alluded about the royalties fees coming down from the current levels of around 3.5%. If you can help us, where are we in that process and what can be the percentage royalty that we should be paying over the coming years?
N. Venu: I don't think we have said that will be coming down but let me just give you an overview and then Ajay will talk about the percentage. As you know, the whole ecosystem of energy transition is really shaping in a very big way. So, that's exactly the reason why we organized this analyst meet in our factory on 3rd of March. If you

could take time to attend it, then you will understand how this is transforming in a big way. This needs a lot of investments in the technology standpoint, this nee

ds a lot of

investment in R&D, innovation, etc., to bring this technology latest up to date in that, it needs investment. And we believe that by paying the royalty, we are accessible to this latest state -of-the-art technology to be able to support our custom ers in India. So, over to you, Ajay, on the percentage side?

Ajay Singh: On the percentage side, currently, if you see, our royalty expenses have been hovering between the range of 3.5% to 4%, but as we speak today currently, we are at that level of 3.5%.

Moderator: The next question is from the line of Anish Jobalia from Greek Capital. Please go ahead.

Anish Jobalia: You've mentioned about Rs.100 crores of revenue which we're not able to book in this order. But, if I were to add that Rs.100-odd crores, we have been flat versus the last quarter in FY'23 as well as FY'22. What I'm understanding is that –

N. Venu: We are not able to hear you properly.

Anish Jobalia: My question that is, you mentioned about Rs.100 crores of revenues being lost in this quarter. But, if I were to add that back to Q3 numbers, so, we are still flat versus the last quarter which is Q2 of FY'23 as well as Q3 FY'22, but my understanding is as I see from the numbers like typically in H2, our execution is better than H1. So, how should we think about, what would be the other factors which have led to the revenue being much more benign then as compared to the order inflow growth that we have already seen in this first time?

N. Venu: I think Ajay will also add to this. As you can see, we had Rs.100 crores, so, we would have been Rs.1,141 crores, is compared to the that we are in the range of 4%, 5% HITACHI

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growth. But that's only one, there are also other constraints, etc., we have also very robust revenue recognition policies especially on our imported items, all those things have contributed I think in that, so project -specific for example in those kind of things. So, if really take nine months -to-nine months, and then you can see our revenue, we have a growth of 13%. Yes, it is definitely not as the same level of order growth, but as I told you previously, so there is always a lag from our conversion in order to the revenue, so that is a couple of quarters over there in that.

Anish Jobalia: M y question is that, we have been continuously now seeing employee benefit expense of Rs.100-odd crores and then there's other expenses of Rs.230-odd crores. So, is it possible for you to define I mean to quantify how much of this say Rs.330 crores is fixed in nature and how much would be variable, like, I'm not talking of the

other charges which are subcontract and the cost of raw materials, because they are obviously variable, but within this it would be great if you could quantify between fixed and variable expenses?

Ajay Singh: Basically, as you rightly said, employees cost is mostly fixed in nature that we can say, but other than that, I'll say royalty and the group charges, that is more fixed in nature, only variable portion will be basically the freight, power and fuel, that is totally dependent upon basically the volume that we do, and to some extent now that we have increased in the traveling and services for the third-party is one that is basically there, and on top of it, the exchange rate fluctuati ons is variable. Other than that, more or less I think it is consistent.

Anish Jobalia: One last question, we pay some IT infrastructure fees to our ex -parent which is ABB India. So, I think we are developing our own technology and reduce our dependence on ABB India and not pay that particular IT fee. So, where are we in the journey for that particular expenses actually trickling down to our profitability level?

Ajay Singh: So, here on this IT part, yes, we are currently running a transformation project, and we are working on

upgradation of STP system. So, right now, we are in the mid of this journey. And for some of the IT services which are taking from ABB, we are having this, we are calling it as transactional services agreement, which we think that it will continue till this year. Our target was to close this as early as possible, maybe in this particular year only, 2023 should be the year where we should come out of this, as we are progressively building our own infrastructure, and we are quite ahead in that particular direction.

Moderator: The next question is from the line of Renu Baid from IIFL Securities. Please go ahead.

Renu Baid: Just wanted your perspective and developments on the penetration of the industrial automation solutions that we wer e doing through Lumada platform, so any

developments or numbers to share in terms of penetration with the existing installed base that we have in this segment of the business? HITACHI

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N. Venu: Renu, thank you for the question. As you know, ever since we become part of the Hitachi, so, we are looking at synergies between Hitachi Energy and Hitachi, and you know that Hitachi has invested quite a big amount of thing on the Lumada platforms, Lumada is one of the leading IoT platforms, so we started offering our enterprise software solutions on Lumada platforms in that. We are doing a lot of pilots in the major industrial customers as we speak, and we are getting, what we call, a couple of wins on every quarter as I talked about in my highlights, you can see some of them, we got it. But at this point of time, as we speak, our digital offerings are a high single digit. So, even though it's a low base, but it's a single digit offerings in that. But, we see a lot of opportunities, a lot of synergies with the various customers, several pilots, we are running with the, co-creating the various opportunities in that.

Moderator: Ladies and gentlemen, that would be our last question for today. I now hand the conference over to Mr. N. Venu for closing comments. Thank you. And over to you, sir.

N. Venu: Thank you, Aman, and ladies and gentlemen, thank you for your keen interest and taking your time on a busy schedule and attending this call and asking us questions.

And as I told you that, we're really looking forward to host you on 3rd of March in our state-of-the-art manufacturing facility. Primarily, this is to take you through how power systems and the various elements of the systems are evolving it and how Hitachi Energy is getting ready in this big transition phase especially on the technology standpoint in that. So, with that, thank you and take care and have a nice weekend.

Moderator: Thank you very much. Ladies and gentlemen, on behalf of Hitachi Energy India Limited, that concludes this conference. Thank you all for joining us and you HITACHI

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Call: May 2023

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Dear Sirs ,

Subject: Transcript of the conference call with Analysts/ Investors held on May 24 , 2023
Pursuant to Regulation 30 and 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of the conference call that was organized with the Analysts/Investors on Wednesday, May 24, 2023 and the same can be accessed at <https://www.hitachienergy.com/in/en/investor-relations/analyst-section>
Kindly take the same on your record s.

Thanking you ,

Yours faithfully,
For Hitachi Energy India Limited
(formerly known as ABB Power Products and Systems India Limited)

Poovanna Ammatanda
General Counsel and Company Secretary

Encl: as above
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May 24, 2023

HITACHI ENERGY INDIA LIMITED MANAGEMENT:

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CHIEF EXECUTIVE OFFICER

AJAY SINGH – CHIEF FINANCIAL OFFICER

POOVANNA AMMATANDA -

GENERAL COUNSEL & COMPANY SECRETARY
MANASHWI BANERJEE – HEAD OF
COMMUNICATIONS
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Moderator: Ladies and gentlemen, good day, and welcome to Hitachi Energy India Limited Q4 FY '23 Analyst Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.
Please note that this conference is being recorded.
I now hand the conference over to Mr. N. Venu, MD and CEO. Thank you, and over to you, sir.
Nuguri Venu: Yes, thank you, Faizan. Good evening, ladies and gentlemen, and thank you for joining the call for the analyst presentation. I hope you're all doing well. Today, we announced our results for the quarter 4 and for the fiscal year financial year '23.

So, in the next 20 or 25 minutes, I'll take you through our performance together with our CFO during the period ending March 31, 2023. And I will also take the reference of the slides just for ease of reference. So, I have our CFO, Ajay Singh; Poovanna Ammatanda, General Counsel & Company Secretary; and Manashwi Banerjee, who is Head of our Communications with me in the room today.

So, when we entered the fiscal year in April 2022, we did not have the visibility on the geopolitical tensions in some countries and the impact of COVID, their impact on the global economy parameters, like energy prices, supply chain constraint, nonavailability of some semiconductors, chips, etcetera.

However, as Hitachi Energy, we remained optimistic and focused towards increasing operational efficiencies while expanding our portfolio in high-growth markets and expanding our footprint, expanding our manufacturing footprint. As we navigate through the dynamic headwinds, basically, I wanted to talk tell that in about in Q4, especially, we have not only grown in terms of revenue, but also created value for our customers, stakeholders and society with the resilience in that.

So let me take to the slide number three.

As we review the quarter, I want to recognize and express gratitude to our most valuable asset, that's our employees because employees have always been the centre of our strategy and our commitment to their safety has been unwavering from offices to factories, to project sites, on-site locations and the return this with their ownership and safety matters.

As a first step to commencing survey and on-site planning, we inaugurated the safety park and commitment campaign at our Mumbai HVDC site, reinforcing our dedication to a secure working environment. As you know, Mumbai HVDC kind of HITACHI

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projects take quite a long time being at the site, it's important that taking care of the people are the most important in that.

We also instituted the electrical safety awareness program across locations. We organized two-day training sessions for employees across locations from Kolkata to Faridabad to Maneja, focusing on safe and healthy work environment, which is our basic licenses to operate. Our consistent efforts were acknowledged and recognized for excellence in health, safety and environment practices by customers and stakeholders in the market across verticals, including renewable mining, mines and ports.

Moving to the next slide. Sustainability remains another priority for us as we continue to take action in this quarter towards our sustainability 2030 goals. You recall our portfolio, be it product, system services and software enable carbon neutral operations of our customers. So that's the reason we are accelerating our own operation sustainability 2030 plan.

At Maneja, our largest manufacturing location that some of you have visited during

our last in- person analyst meeting. So, here we have initiated a 950 kilowatt, almost close to 1 megawatt , of planned solar power installation, furthering our pledge to adopt on 100% fossil -free electricity in our operations.

Transitioning from diesel to piped natural gas for heating in our small power , traction, and instrument transformer factories have been another step toward minimizing our environmental impact, with a projected reduction of 33% in CO2 emission in our processes going forward.

We have placed sustainability at the heart of our purpose, advancing a sustainable energy future for our partners, customers , and stakeholders and also our suppliers.

With all these initiatives since embarking on our journey towards Net Zero back in 2021, we have achieved 45% reduction in our carbon footprint to enable a sustainable energy future, but not only for this generation but those to come in there. So, 45% is a quite substantial across all our 19 manufacturing factories and several project sites, etcetera.

Moving to the next slide where we talk about performance. Performance in this quarter has demonstrated our focused strategy to diversify portfolio and relentless

pursuit for improving the bottom line. We have seen a consistent order growth and progressive margin recovery. We remained optimistic and focused towards increasing operational efficiency while expanding our portfolio in the high- growth markets. HITACHI

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During the quarter, we received orders worth around INR1,262 crores, which is on a quarter -on-quarter basis is a 3.3% higher, on a year -on-year basis 20% to almost 21% higher. So mainly driven by utilities, transportation, and industries, while revenue improved to 28% quarter -on-quarter reaching INR1,336 crores for the quarter ended March 31, 2023. And as you can see from the year, the order backlog stood at INR7,071 crores, providing a revenue visibility for the coming quarters.

During the quarter, we continued to face headwinds due to the global chips and electronic shortage, coupled with increase

in commodity prices that posed significant challenges impacting our profit before tax. The profit before tax quadrupled to INR65 crores, and profit after tax was up more than tenfold I NR50.8 crores over a weak previous quarter.

For the full year ending March 31, 2023, orders were at INR6,817 crores, up 84% from the corresponding last 12 months, while revenue stood at INR4,483 crores, up 14% during the same period. Despite our short -time challenges, we remained optimistic, the high- growth markets remained robust, driven by accelerated energy transition towards renewable and electrification drive.

This shift presents medium - to long- term opportunities in the power technologies, particularl y in our high- growth sectors, including renewable, high- voltage DC current, data centres, transportation, industrial applications , and rail transportation segments, etcetera, in that.

Moving to the next slide. We have been talking also during our in -person analyst meet, the energy transition represents one of the most significant opportunities over time. And we are, as Hitachi Energy, championing the urgency and the pace of change needed to reach Net Zero, with our pioneering technology and solutions, whether it is the product, systems, services , and software, we are helping to accelerate the carbon neutral future, improving quality of living for today's generation and those that come. By applying the intelligence of digitalization, we are enabling customers to plan ahead, make better informed decisions and create more value in a rapidly evolving landscape.

During the quarter, we expanded our installed base of digital solutions in the steel industry, demonstrating our commitment to make energy intens ive heavy industries more sustainable and efficient. Our core quality solutions have been successfully commissioned across sectors right from cement to mines and ports.

We are taking lead in advancing a sustainable future for all by shaping strategies for the energy transition in our collaboration with customers, partners and policymakers and fostering inclusivity in the industries. We are showcasing our HITACHI

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technological progress at various events, industry-leading events such as ELECRAMA, India Smart Utility Week and gaining industry-wide recognition. Our initiatives for promoting participation for women in STEM program kicked off its second chapter with another batch of over 100 students. We are seeking ways to replicate and expand this program to further reach and inspire more women to join core engineering fields. Our continued efforts have further cemented our reputation as a reliable partner and helped us in the recognition of Most Trusted Brands of India by Marksmen Group and the Golden Peacock Award for Corporate Governance by Indian Institute of Directors.

Moving to the next slide. This quarter marked a major milestone for us with inauguration of our high-voltage direct current and power quality factory in Chennai.

This state-of-the-art facility underscores our commitment to manufacturing advanced power electronics, including HVDC Light, HVDC Classic and STATCOM with our MACH control and protection system.

This factory will serve both the fast-growing Indian market as well as the large global demand for clean energy solutions to integrate renewable at a scale at a speed that is needed. It is the latest HVDC factory built and the world's second testing lab of power quality control solutions.

It will cater to the rising number of high-voltage transmission projects in India and export to some support global HVDC installations. These technologies represent the future of energy transmission, playing an instrumental role in the integration of renewable energy sources, the bulk transmission of clean energy over long distances while also maintaining electrical grids

stability. Hitachi Energy India is committed to providing business excellence in energy and power industry. As pioneers in the industry, the company has established a reputation for delivering high-quality products and services that meet the evolving needs of our customers across the segments.

Moving to the next slide. I think this slide you all know better than me, in fact. The Indian economy continues to demonstrate resilience in this fiscal year despite the challenges posed by the COVID-19 pandemic with a gradual spike in cases in several states for a certain time period, but IMF predicts the economy to perform well with several economic indicators looking stronger and healthier. The projected GDP growth for FY '23-'24 stands at 5.9%, and retail inflation has dropped to 15-month low of 5.6% in March 2023, which is a good news.

And the RBI have been maintaining interest rates and working on monetary policy to support the country's growth. Manufacturing Services PMI have remained in the expansion phase in February '23, as you can see from the chart, indicating a HITACHI Inspire the Next

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favourable business environment. The cement production has improved for the second consecutive month in December '22, remaining steady there. And power consumption has been an upward trajectory since November 2022, showcasing an uptick in industrial and residential demand.

So, several measures with the support of government have seen the power sector recovering with the financial deficit that helped to 8% during FY 2022. But the rupee depreciation by nearly 7% against USD in the last 12 months has had an impact on import and export. So major factors remained robust. In the face of these macroeconomic factors, our quarter performance demonstrated adaptability as well as the resilience in that. So, moving to the next slide, where other significant macroeconomic factors that have influenced our growth trajectory have been our high-growth segments. Firstly, renewable, various projects that are installing solar power plants under the 500-gigawatt renewable generation capacity by 2030 are generating demand for grid integration technologies.

This is complemented by a comprehensive plan to strengthen the nation's transmission system with the green energy corridor to bring clean energy to households and industries have been driving robust growth opportunities for the company during the quarter.

We are already contributing to various projects and have made significant strides

in this direction, securing cumulative orders for the integration of over 1 gigawatt of solar power during this quarter. And you have seen that we are almost in the same range every quarter we are contributing over several years. While data centre remains a high- growth segment in our strategy, hereon growth declined in this quarter, with the sheer potential of the market, we do not view this as a persistent trend, and there has been some decision delays, and we expect data centre market to pick up in the coming quarters.

Moving to rail and metro, Indian Railways commitment to achieve Net Zero by 2030, aligned with the electrification of high-density corridors have been another significant area of growth for us during the year and automation and product orders for enhancing metro rail systems performance too have helped strengthen order book considerably in that. So similarly, our segment focus and products, project services mix is going in line with our plan. And same is the case with serving the various sectors in that.

Moving to the next slide, our order mix reflects our diversified portfolio across our installed base and our focus on leveraging our key growth markets and capitalizing on market opportunity. So, we successfully secured key market wins, providing us HITACHI

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with a solid and steady momentum, especially in services and exports. You recall our export strategy as well as the service strategy. We are consistently performing in line with that strategy.

Service orders have continued to hold a positive trajectory with a certain key wins from a national utility for life cycle service support and remote operations for HVDC stations. We have also won bushing orders for both the national and private utilities demonstrating our strong position in these sectors, notably our digital offerings, RelCare orders from data centre customers and the transformer digitalization adds digital key wins.

Overcoming logistical and other challenges, we successfully commissioned remote operations and implemented projects such as the commissioning of 132 kV transformer bay at Udaipur Cement Works and successful replacement of 24 numbers of disconnector at Shannon Power site, this project helped continue with the growth momentum.

We also achieved our highest ever export orders, a milestone, and a testimony of our investments in augmenting our manufacturing footprint in the country. During the quarter, exports contributed 19% of our orders, were basically from the Middle East, Africa and Japan. Some of the key wins during the quarter was 72.5 kV with Circuit Breaker from Sweden for Saudi Arabia and order from 420 kV instrument transformer for Ministry of Energy by Iraq, and 72.5 kV, this Circuit Breaker for multiple projects in Switzerland and Sweden, etcetera.

We have been boosting our manufacturing capacity, understanding the evolving market dynamics, and proactively identifying the emerging demand. Today, 80% of Hitachi Energy's portfolio is locally manufactured in India, and to better serve our customers across locations and broaden our market reach, both the domestic and global markets, we have been enhancing our production capacity with our global feeder factories in that.

With this, now let me hand over to our CFO, Ajay Singh, to walk us through the financial slides, starting from the next slide. Over to you, Ajay.

Ajay Singh: Thank you, Venu, and good evening all and hope you all are doing well at your end.

Well, we have been navigating the unstable market conditions using our long- term plan, which was set in place to counteract the global macroeconomic challenges. So, what we see during the quarter, the company booked orders worth INR1,260 crores, a modest increase of 3% in comparison with the same quarter last year.

Revenues basically grew by 28% to INR1,336 crores, and the profit before tax HITACHI

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however showed a positive impact at INR65.1 crores, and profit after tax was INR50.8 crores over a week previous quarter.

Operational EBITDA stood at INR76.5 crores in the quarter mainly because of some of the factors that impacted last quarter got a bit loosened up. Even in the face of persistent difficulties, we have performed well, and we are optimistic of stronger growth in the long term. And with the consistent order growth, the order backlog at this stage stood at INR7,070.9 crores to be precise providing us a visibility of 20 months of revenue.

Moving to the next slide, Slide 12. If you see here, we have been discussing the ongoing macroeconomic issues over the past several quarters. And as highlighted in the previous quarter, I would like to share and update on how the numbers were during the last 3 months. Let me take a moment to walk with to the specific slides in further detail. The table gives you a clear picture of our relentless pursuit of improving the bottom line and a progressive margin recovery.

If you see the overall structure is compared to the last quarter, our structured material cost based on the product mix that we delivered in this particular quarter was 65%, s

lightly higher compared to the previous quarter. But if you see the expenses, we are quite there where you see there's a decline in the personnel expenses, overall expenses on a percentage terms, it has come down from the last quarter.

The chart below, if you see the table that features the bridge breaking down the chain, the PBT year on year. The main element that's affecting right now profitability are the chips and electronic shortage and which is followed by some additional commodity prices and other expenses, if I compare Y-on-Y. With this, I'll hand back to Venu for the closing slide.

Nuguri Venu: Thank you, Ajay. Appreciate very much taking us through the financials, and we talk more during the question and answer. So let me talk about the last slide before we open the line for the Q&A.

As we look ahead for a new financial year, '23 -'24', our growth levers remain consistent, and we will continue to focus on our high-growth segment strategies that align with our core competencies and evolving needs of the sector. We are developing and deploying technologies that are needed to help make the world's energy systems, more sustainable, flexible, and secure by building capabilities of skilling our people and investing in capacity building to support our growth trajectory. HITACHI

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We are well positioned to capitalize with bringing operational ability and productivity by continuously optimizing our operations. We delivered significant customer outcomes of value creation and real impact while as a strong organization. We will continue to drive cash over revenue, ensuring stability and resilience in our business. With the eventual easing semiconductor crunch, as a supply of these critical component normalizes, we expect to see a positive impact on our productivity and bottom line.

Above all, as the partner of choice, together with our customers and partners, we collaborate to deliver innovative solutions combining world-class digital and energy platforms. Our purpose is driven by advancing a sustainable energy future for all, and we look forward to a productive and successful financial year '23- '24.

Reflecting our performance this quarter, I would like to repeat the words of Peter Drucker, the best way to predict the future is to create it. And that's precisely what we are doing here, shaping a sustainable energy future, not only for today's generation, but those to come.

As I conclude my presentation, I would like to share that Nishi Vasudeva has resigned as a Non-Executive Independent Director with effect from May 24, 2023.

Meena Ganesh was appointed as an additional director in the capacity as a Non-Executive Director term of 5 years with effect from today.

And she is the Chairperson and Co-Founder at Portea Medical and Services, serves on the Board of Pfizer, P&G Health, Axis Bank and many other boards. The appointment is subject to approval of shareholders of the company. With her wide experience from education, retail and also as an entrepreneur, adviser and investor to several recognized start-ups, we are confident that Meena Ganesh will bring invaluable insights to the Board and guide us on our journey towards a sustainable energy future while creating value for our

stakeholders.

So, with this, I would like to close my presentation, and open the channel for the questions. operator, please...

Moderator: Thank you very much. We will now begin the question- and-answer session.

Anyone who wishes to ask a question may press star & one on their touchtone phone if you wish to remove yourself from the question queue you may press star & two. Participants are requested to use handsets while asking the questions. Ladies and gentleman, we will wait for a few moment while the question queue assembles. Ladies and gentlemen In order to ensure that t

he management is able to address the questions from all participants in the conference please limit your questions to 2 per participant. Should you have a follow up question we would request you to rejoin the question queue. The first question is from the line of Parikshit Kandpal from HDFC Securities. Please go ahead. HITACHI

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Parikshit Kandpal: Congratulations on a decent quarter, sir. , My first question is on the Services segment. We had a plan of increasing it to INR2,000 crores, and are still somewhere around like a 6% mark this quarter is about INR78 crores or INR80 crores. So how has been the journey progressing on this front?

Nuguri Venu: What we have told you that there was a plan where we have installed our installed base. And since we are present here for more than six decades. So, we have been present here and creating a lot of installed base s, and we have that potential of INR2,000 crores, what you said. We also said that that has got a longer horizon.

And whereas while the plan to create that eventually, that is getting there.

You won't see the traction now and also next year, but we're creating a lot of productization of our service offerings, digitalizing of our service installed base. So, a couple of examples which I talked earlier is exactly in that direction . So more and more the service offering we are productizing we are digitalizing so that our customers are able to quickly get into those kind of things in that.

If you ask me, the plan is a work in progress. It's going in the right direction, and we see a lot of traction even though at the low level, we see a lot of traction with

the various industries across wherever we have installed base.

Parikshit Kandpal: And my second question is on orders. We have been averaging in the base orders at about INR1,000 crores to INR1,200 crores per quarter. Now we have been highlighting various drivers, decarbonization, sustainability renewables. When do you think on these 3 segments like utilities, industries and transport infra, getting ready where we'll see a marked shift or reset in these inflows. So how far are we in the future given the outlook we have been talking about in terms of demand drivers.

Nuguri Venu: You will have seen my slide where we started last year, we have grown the overall order at 84%, right? You know that the market is not growing at that level. If you really look at our strategy, since we have been focusing on these high- growth segments, the demand drivers. And we're taking a lot of upfront actions. We are also investing upfront. So that's the reason we said our aim is to grow higher in the market, and that's exactly what we have been growing it much higher in the market. So, if you really look at our quarter -on-quarter, while we will be focusing on the base orders, but the large orders have a timing issue, larger also has various other elements to come in that, right? In my view, I think we are trending as per our strategic direction that grow higher in the market. We continue to leverage all those things and grow that. And you will see like last time, what you have seen, you will also see that growth coming in exactly how it came in the last year, right? We drive

on a monthly basis, weekly basis, quarterly basis on the base orders, we drive that, HITACHI

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and that's extremely important for us to bring stability in our revenue growth. And at the same time, the large orders , or mega orders where we are focusing on that, which will come as for the timing of it.

Parikshit Kandpal: Okay. And then sir last question, sir, on this Vande Bharat opportunity, which you highlighted last time about INR5,000 crores. Just wanted to understand, is there

any progress there? A

nd whether this will be totally a new opportunity in terms of electrification in the lines we totally separate. So how will this opportunity arise for us?

Nuguri Venu: Again, Parikshit Thank you for the question. As I told you last time, we have 5 large railway tenders. One is a 9,000 horsepower, another 12,000- horsepower and then train sets, all those things, some of them have already finalized to some OEMs. And we are in discussion with them to supply our technology, our traction transformers with them. Those discussions are going on the same. We believe that those things and opportunities are intact for us. We are deeply engaged with the various stakeholders in that particular space.

Parikshit Kandpal: So, in next year, in FY '24, something will materialize or it's more like FY '25?

Nuguri Venu: Some, I think, some might materialize in the last part of this financial year.

Moderator: Thank you. The next question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: Good evening sir and thanks for the opportunity My question is, sir, of course, we had a very good order inflow, but margins have been subdued for the last 4 quarters. Of course, in Q4, we have done better. But what is your aspiration of EBITDA margin? And are you more confident of achieving that EBITDA margin based on the current order book?

Nuguri Venu: No. Sorry, come again, your line was cut.

Mohit Kumar: FY'23 was a good year for the order inflow, but margins have been subdued. Of course, Q4 you have done better. But what is our aspiration of EBITDA margin going forward? And are we more confident of achieving that EBITDA margin based on the current order book?

Nuguri Venu: Thank you, Mohit, for your question. We have been very consistent saying the last whole of last year, the main challenges we faced is a huge challenge of the supply chain constraint, especially in the nonavailability of chip signed electronics, which is required for grid automation products. HITACHI

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We have been also very vocal in telling you that this problem is not going to go away shortly, there is a long- term effect. And that's what we have seen in the whole of this quarter. And in addition to the supply chain constraints , last year also was one of the most challenging commodity super cycle as we call. So that effect also has kicked impact. So having said that, the challenge of the chips and electronics, we have not overcome.

We are seeing some visibility but still not overcome yet, okay? In our estimate, it may take another quarter or 2 quarters in that range before it becomes normalized because there are huge backlogs, so that's what is the thing in there. But barring that, I think we are very confident of our strategic margin accretion progressively going forward.

Mohit Kumar: Understood, sir. Second question is on the high- speed rail ordering now that EPC is largely over. Are you expecting the high- speed rail equipment ordering to happen over the next couple of quarters? I think last year, you guided that it should happen in next 12 to 14 months.

Nuguri Venu: Yes. High- speed rail, as you know, the electrical part of the high- speed rail, I think the tender is now likely to come at any given point of time. We are working with EPC and the OEMs. And in my view, I think the tender should at least come in the next 2 quarters or so. That would be quite a large tender, so that should come at least in the next 2 quarters.

Mohit Kumar: And what could be our opportunity size, any rough ballpark, if you can just lay out the details.

Nuguri Venu: No, I think it's still a work in progress from the high- speed authority standpoint. It's quite a large tender, such a large tender comprising of several stations, right? In what form the tender comes, we will not be able to quantify at this point in time that.

Moderator: The next question is from the line of Subhadip Mitra from Nuvama. Please go ahead.

Subhadip Mitra: Good evening sir and thank you for the opportunity . My first question is with regard to the larger orders that you were indicating. And clearly, HVDC is one of those.

Now what we understand from some of our other interactions with Power Grid, etcetera, is probably one of those lines Khavda is being rethought and that might

fall out of the HVDC bucket. Do you see that in any way impacting the overall TAM for us? Or even if it falls in the HVAC

bucket, it doesn't really move the needle?

Nuguri Venu: Yes. I think so these kind of discussions keep going up and down, in my view. I think the HVDC bucket at this point in time, I believe, is very, very strong. And HITACHI

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you've never seen these kind of opportunities on these lines in India. So there will be always some pulls and pressures to look at from the authority standpoint, whether it is CEA or the regulators, look at all the combinations, what makes most business sense for them.

So they would always do that, but our information is that both Khavda and other projects are going in the HVDC direction.

Either way, we have opportunities when

it goes for a 765 kV AC, we also have huge opportunities over there. So that's

where the opportunity value might come down from HVDC to 765 AC transmission.

But in our view, at least our assessment that they need a strong HVDC for this Khavda line for strengthening the renewable penetration of that particular line.

Subhadip Mitra: Understood. And is it possible or has a guess in terms of what would be the addressable TAM for the market size for us in this particular bucket?

Nuguri Venu: No. The HVDC projects are quite large. Each project is quite large. It's very large of each of at least in the range of anywhere between INR 8,000 crores to INR

10,000 crores of each project size. So, depending upon what shape and what size seems like that comes. That's what is the size of the HVDC.

Subhadip Mitra: Understood. So typically, can one assume that roughly 50% of this can be the product supply component?

Nuguri Venu: Yes. It's more than that.

Subhadip Mitra: Understood. Understood. Sir, secondly, in terms of margins, I know you have

answered the question on this earlier, but I couldn't hear that properly. So I just wanted to understand that are we looking at the current, let's say, level of gross

margins and EBITDA margins for fourth quarter being the sustainable number going ahead? Or can things get better from here?

Nuguri Venu: No, what we are saying is that there's still uncertainty on the supply chain, especially on the chips and electronics, okay? The supply chains are not still

stabilized, okay? So, on a quarter -to-quarter basis, we may have some challenges,

but when we are looking at a whole on a yearly basis, we will definitely have better margins compared to.

Subhadip Mitra: Understood. Understood. And lastly, with regards to.

Nuguri Venu: I also said, not sure if you have heard or not, I also said that it will take a minimum

1 to 2 quarters before it gets the stabilization of these chips and supply chain. HITACHI

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Moderator: Thank you. Mr. Mitra, may we request that you return to the question queue for follow-up questions. We'll take the next question from the line of Rajesh Kothari from AlfAccurate Advisors. Please go ahead.

Rajesh Kothari: Good Evening, Sir Congratulations for a reasonably good set of numbers, and I

hope that FY '24 will be better. Sir, I have a first question on the profitability front

that over the next, say, 2 to 3 years, assuming that we continue to do well, and

such kind of growth continue

s in terms of the revenue, what kind of margins the

company is looking at in the longer term at EBITDA level?

Nuguri Venu: Thankyou Rajesh, for your question. I think we have been consistently saying that

we have strategies and strategies basically grow on our base orders and at service and digital offerings and exports is

another area. And on top of that, leverage our

high- growth segments like HVDC, etcetera. All these things will take us in a

sustainable manner to a 10% operational EBITDA level by end of 2025. And we also said, but then we had a lot of challenges in between, right? We had the

challenges of a geopolitical situation, we have Ukraine war, supply chain

constraints. And those are the things are headwinds where we are beyond our

control to do that. But assuming that those things are beginning in control and in a

contained manner, then I think this is a direction we would like to go over there on

the margin standpoint.

Rajesh Kothari: And from 10% to, say, 12% to 15% margin because for example, other multinationals, they are reporting 15% gross margin. Of course, the product profile mix might be different from one company to other company. But at the end of the

day, for such a business where a good part of your business is a high technology - driven business, where you enjoy the significant moat within the limited players. The competition is between the restricted players. How to make sure that what is the potential that can we make it, say, 12%, 15% longer -term margin? I'm not saying 2025, but say, over 2-4 years, what is required to be done to make it a 15% plus EBITDA margins?

Nuguri Venu: Rajesh, Thank you for your question I think competition is very intensive here. It's not that competition is very restricted. We're having a lot of competition in our portfolio. the whole portfolio, if you look at our transformer or high- voltage substations, for example, as well as HVDC, maybe you may be right saying that we have limited players, but then the issue is that, again, our levers for sustainable growth are well defined, the levers are to increase more exports, increase more services and also the business models to have more projects with system integration scope, etcetera. So those things are well defined, and we have been driving that net consistently in that. I think that's where you are seeing, step by step manner. I don't like to HITACHI

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comment on the 15%. I don't like to comment on other competitors what they've been doing it. What all I can say is that at this point in time, we have a midterm strategy to reach to 10% operational EBITDA, and that's where we are working and focusing on that.

Rajesh Kothari: And royalty, what we pay, that basically agreement is for how many years?

Nuguri Venu: Yes. So again, royalty, we continue to pay because the whole energy transition, Rajesh, to give you a perspective, it requires a huge amount of changes in our portfolio. huge amount of portfolio changes needs to be adapted to that. So, it's not possible to get with a lot of digitalization happening and a lot of renewables coming into it. It needs the strengthening of the grid resilience, or the grid infrastructure needs, our portfolio needs to be robust, our technology needs to be updated and that needs a huge amount of investment and that's exactly our royalty we are paying there to get our product, the moment any product is released anywhere on the same day, same time, we are offering to our customers here. So that is an extra benefit for us.

Rajesh Kothari: Okay. And last question from my side. It's the current order book what we have, typically, what is the fixed order book versus, say, where you have the short cycle and where is variable order book where have to basically pass through the both lower or higher commodity prices.

Nuguri Venu: Yes. If we'r

e talking about how much of our order backlog has a price variation plus, if I understand, that's what is your question. So I could say that more than 65% of our order backlog does have this price variation clauses so any price impact will pass through that.

Moderator: Thanks, Mr. Kothari, may we request that you return to the question queue for follow -up questions. We'll take the next question from the line of Priyank Chheda from Vallum Capital. Please go ahead.

Priyank Chheda: My question is regarding the HVDC order pipeline. You have been guiding that we would be targeting at least 1 order per year. Where are we on that? There were three projects, which were in the active stage last time you did mention about that.

If you can help us with the update on that? And the second part of the question is, have we started booking revenues from the Palghar Mumbai project? Given the capacity, how many of the HVDC orders can be serviced at the same time?

Nuguri Venu: Thank you for your question. So, what I was telling you previously is that HVDC is a market which is fast changing, fast maturing, we used to have a one HVDC project for every 5 years previously in India. Today, the situation is changing. We HITACHI

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may be having a requirement of 1 HVDC project coming into the market for every year. So that's what exactly I told. So we are focusing, for example, we came last year, we booked HVDC project for starters, and we are also working towards another project and when it comes to

the market this year, we expect either Bhadla or Khavda whichever is coming, and then we will be focusing on that in that. A gain, coming back to how much we will do. We will not be able to tell you because it's our internal thing in that. When we look at our capacities.

As you know, we have built our factory last year. We have opened our factory to take care of this kind of demand that we are expanding our factories in the last 1 year, we have inaugurated three new factories. So those things will help us to do that and we will take our due share of these projects.

And the second question on the HVDC, whether the revenues have come in. I think we have just started, as you know, when we start the project sales and other things you have seen in the picture that we just inaugurated working on the site to the construction, which we will disclose or if it will happen by end of this year onwards, the revenues will kick in.

Priyank Chheda: Okay. And sir, I mean, how are we looking at the opportunity of Leh- Ladakh project, which is supposed to be one of the largest projects in the HVDC pipeline that we have seen, how are we looking at that project if you can...

Nuguri Venu: We are looking with equal interest, I think, as you know, we have already come in at Leh- Ladakh, PGCIL has come out with because it's a very challenging project. Thus, from both technology standpoint as well as a logistical standpoint. So, they came out with the consulting study to do a thing.

And then we have won one of the consulting study orders. We are looking at it from the technical feasibility standpoint. We have received an order from PGCIL on that. And so that study will be going on that and basis of the study, PGCIL will come out with the tender. And this study will take at least 6 to 9 months to complete.

Priyank Chheda: Okay. And last question, sir, you did mention that semiconductor shortage would ease out in the next 1 or 2 quarters. We had a shortfall of INR 100 crores revenue because of the chip shortages last quarter, did we recover that? And any loss of

sales that we had in Q4 also?

Nuguri Venu: Sorry, Ajay, can you answer this question?

Ajay Singh: Thank you for the question. Last quarter, we did mention that there was an impact of INR 100 crores of revenue out of semiconductor shortage. In this qua

ter, as you HITACHI

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know, if you see in the slides in specific bridge, we have mentioned that compared to the last quarter, the impact has come down. And basically, in this quarter, we see there is roughly around INR 50 crores basically the impact that we see on the revenues.

Moderator: Mr. Chheda may we request you to return to the question queue for follow-up.

Nuguri Venu: Just one comment on that. The semicon market is very dynamic, the supply chains have not still stabilized, and we are doing everything from our side to do that. Last quarter was an example how we came out of that. So, our estimate is a rough

estimate is that it will take at least 2 quarters, but then depending upon, again, a lot of other headwinds.

Moderator: The next question is from the line of Harshil Shethia from AUM Fund Advisors.

Please go ahead.

Harshil Shethia: Sir, going ahead, do you see any slowdown in large orders in the Indian markets?

Nuguri Venu: Harshil, I think if you really look at our pipeline, pipeline is very robust. So maybe there could be some decisions postponing it. But barring that, I think the pipeline is very, very robust on that.

Moderator: The next question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: Thank you for the opportunity once again sir. My first question is how much is export order in the current order book?

Nuguri Venu: We are in the range of around 20% - 22% to 23%.

Mohit Kumar: Right. My second question is around the Scott transformer and reconnected transformers. I believe this is a

Nuguri Venu: Come again, Mohit.

Mohit Kumar: Yes. My question is, sir, I heard that Scott and reconnected transformers, which support Indian Railways vision to achieve 100%. This seems to be a large opportunity. Is it correct over the next 2 to 3 years?

Nuguri Venu: It is correct.

Moderator: Next question is from the line of Kunal Sheth from Batlivala & Karani Securities India Private Limited. Please go ahead. HITACHI

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Kunal Sheth: Hi sir, thank you for the opportunity. I just wanted to check on, we did mention about our margin aspiration of 10% operational margin.

Nuguri Venu: EBITDA.

Kunal Sheth: Yes, sir. Any timeline by which we want to do this? Do we have in mind?

Nuguri Venu: Yes. I think, Kunal, we have been talking about, right, we have been developing our strategy our levers are getting into a very sustainable and profitable growth, that is focusing on high- growth segments and focusing on exports and bringing the exports to a level of 25% and then service potential, improve the service potential. And all those things will get us and also operational excellence initiatives. All those things will get us with double- digit operational EBITDA margin. As you see, last year was rather challenging year, but year before, we reached 8.9% operational EBITDA. So we are looking at FY '25 is where we think that hopefully, all these commodity challenges, everything will stabilize and then we are in a better position to reach that level. So that's all plan.

Kunal Sheth: Okay. Great, sir. And sir, I'm sorry if this is a repetition, but the supply chain challenges that we talk about, are these behind? And what exactly are the supply chain challenges? Are they in very specific parts or.

Nuguri Venu: There are some specific to maybe our industry. Initially, if you have seen, you have heard about the semiconductor shortage, which was across the industry, right, for our industry as well as auto industry. So, after that, there has been some stabilization of that. The demand and supply gaps have been building that. But there are also like our thing where the chips and electronics are specific to our p

articular design and those kind of things where we are facing the challenges. But we see the improvement in that, but still we have not overcome yet.

Kunal Sheth: Okay, sir. Sure, sir. And best of luck for the future.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. N. Venu for closing comments. Thank you, and over to you, sir.

Nuguri Venu: Thank you, Faizan, once again. Thank you, everybody, for taking time from your busy schedule on attending to our analyst call. And as we have hosted, some of you have attended, as I see from the participant names today. We're very transparently, very open in communicating our quarterly results and also showcasing our technologies, etcetera in that. So, thank you once again, and please look forward to meet you, some of you. Take care and stay safe. Thank you. HITACHI

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Moderator: Thank you. Ladies and gentlemen, on behalf of Hitachi Energy India Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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Call: Jul 2023

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July 28, 2023

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Exchange Plaza, 5th Floor
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(Atten: Manager Listing Department)

Ref: BSE Scrip Code : 543187, NSE Scrip Symbol: POWERINDIA

Dear Sirs ,

Subject: Transcript of the conference call with Analysts/ Investors held on July 25, 2023
Pursuant to Regulation 30 and 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of the conference call that was organized with the Analysts/Investors on Tuesday, July 25, 2023 and the same can be accessed at <https://www.hitachienergy.com/in/en/investor-relations/analyst-section>

Kindly take the same on your records.
Thanking you ,

Yours faithfully,
For Hitachi Energy India Limited
(formerly known as ABB Power Products and Systems India Limited)

Poovanna Ammatanda
General Counsel and Company Secretary

Encl: as above
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Hitachi Energy India Limited Q1 FY24 Analyst Conference Call - July 25, 2023

Management: Mr. N. Venu - Managing Director & CEO, Hitachi Energy India Limited
Mr. Ajay Singh - Chief Financial Officer, Hitachi Energy India Limited
Mr. Poovanna Ammatanda - General Counsel & Company Secretary, Hitachi Energy India Limited
Ms. Manashwi Banerjee - Head of communication, Hitachi Energy India Limited
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Moderator: Ladies and gentlemen, good day, and welcome to Hitachi Energy India's Q1 FY '24 Conference Call. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. N. Venu, MD and CEO, Hitachi Energy India Limited. Thank you, and over to you, sir.

Nuguri Venu: Yes. Thank you, Zico. Good evening, ladies and gentlemen, and thank you for joining us for today's Analyst Presentation Call. And I hope you are all doing well. Today, we announced our results for first quarter of the financial year 2023-24. And in the next 20 or 25 minutes, together with our CFO, I will take you through our performance during the period ending June 30, 2023. I will also read out the slide numbers for ease of reference. I hope all of you are doing fine. We have already uploaded this presentation on our website, and I'm also sharing with you.

And with me today, I have our CFO, Ajay Singh, General Counsel & Company Secretary, Poovanna Ammatanda, and Manashwi Banerjee, Head of Communication.

As we entered the first quarter of financial year 2023-24 our focus remained on balancing the operational complexity and the supply chain issues, efficiency to preserve Hitachi Energy India's growth momentum. And whilst persistent delays in chips and electronics led to lower revenues in the quarter, sustained operational excellence efforts provide visibility in the near term. We continue to convert opportunities germinating from energy transitions across India and also rest of the world.

And if I move to the next slide, slide three. As we review the quarter, I want to recognize and express our gratitude to our most valuable assets, that is our employees. Our commitment to their safety has been unwavering from offices to factories and on-site locations, and they returned this with their ownership on safety matters, from subcontractors to trainees, continued immersive training cascaded for the teams by specialists to continually reiterating our license to HITACHI

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operate. When it comes to safety, you all know that they are basic license to operate, and we never look the other way.

Our consistent efforts were acknowledged and recognized for excellence in health, safety and environment practices by our discerning customers across verticals. We have received a certificate of appreciation for our contribution towards improving virtuous culture in one of our project sites, MP Power Transmission Package and also received a letter of appreciation for our good HSE practices during warranty period of HVDC station, Raigarh. So, these are just samples, and we have several of these to show how we drive safety in letter and spirit in all of our workplaces, be it factories or project sites or our offices, etcetera.

Moving to the next slide. The journey to Net Zero 2030 requires consistent efforts and it's encouraging to see various teams initiate considerate programs. In addition to company-wide actions at our largest manufacturing location, Maneja, some of you have visited during our physical analyst meet. We conducted sustainability master class for developing a larger pool of specialist who can advance Net Zero in our operations.

At our HVDC project site in Mumbai, which we recently started the site, as you can see from the picture on the right side of the PPT, we have installed 15-kilowatt rooftop solar, which will help us avoiding close to 500 tons of CO₂ per year. We have also installed solar-based mobile charging facilities in rest sheds of the workforce colony at the site that can power multiple devices at a time. Along with this, we are transitioning to the services of EV cab provider starting from our Delhi NCR region. As we have placed sustainability at the heart of our partners,

advancing sustainable energy future for our partners and customers.

With all these initiatives, some of these examples, since embarking on our journey towards Net Zero in 2021, we have achieved a 45 % reduction in our

carbon footprint to enable a sustainable energy future, not only for today's generation, but those to come.

Moving to the next slide. During the quarter, we received orders worth INR 1,147.5 crores, which is up 6% year -on-year without considering the HVDC order, which we have booked last year , corresponding last year's same quarter.

And some key order wins in this quarter include over 200 traction transformer by BLW, CLW utilities and new industries led orders for various ratings of GIS, dry type transformers in India and also in the region. HITACHI

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Power transformer orders from data center and other EPCs and traditional power and renewable integration utilities continue to drive orders for AIS substations and the GIS orders for some of our export orders. While a focus on portfolio led to a diversified order growth, revenue was INR 1,043 crores for the quarter ended June 30, 2023.

Performance in this quarter is primarily affected due to continuous delays in chips and electronics, a lower revenue base and operating fixed costs impacted profitability. Profit before tax stood at INR 3.4 crores and profit after tax is INR 2.4 crores. Despite the short -term challenges, we remain optimistic with the continued order momentum and stay focused on increasing operational efficiencies, while expanding our portfolio in high- growth segments.

The accelerated energy transition presents a medium to long- term opportunities for power technologies, particularly in our high- growth segments, including renewable data center, HVDC transport, etcetera. At the clos

e of quarter, order backlog stood at INR 7,024 crores, providing a revenue visibility for the coming quarters.

Moving to the next slide. The energy transition represents one of the most significant opportunities of our time, and we are championing the urgency and the pace of change needed to reach Net Zero. With our pioneering technologies and solutions, we are helping to accelerate the carbon- neutral future, improving quality of living for today's generation and those that to come.

By applying the intelligence of digitalization, we are enabling customers to plan ahead, make better informed decisions and create more value in a rapidly evolving landscape. During the quarter, we saw a significant rise in demand for our digital services, also staying ahead of the curve, we successfully type tested our prototype unit of 765 kV 500- MVA transformer to meet new specification criteria by Central Electricity Authority.

Collaboration is central to making the energy transition possible. Through the quarter, we continue to partner with various industry stakeholders, from technology interactions with customers and stakeholders to them visiting our factories to understand our capabilities, leading industry discussion not only on technology but also highlighting the importance of diversity to tangibly contribute to Indian energy industry. We also conducted training and learning programs

for over 50 students from Industrial Training Institute (ITI) at our Maneja facility, ensuring that all stakeholders are working in tandem towards the same goal. HITACHI

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Our continued efforts are further cemented our reputation as a reliable partner and a pioneer in power technologies, which was recognized by ET Energy Award this quarter.

Moving to the next slide, s lide number seven. India remains - you all know better on the left -hand side but let me also dwell a little bit more on the right hand.

India remains one of the fastest -growing major economies in financial year 2023- 24. RBI predicts that country's GDP is expected to grow at 6.5% for financial year 2023- 24. The inflation was also dropped 2 years low in May 2023. Furthermore, GST collections for June rises 12% year -on-year to INR 1.6 lakh crores .

So, there is a decline in IIP's Electricity Index for the period of April to June

2023, but the growth drivers for the industry remain intact and tracking upwards. For example, the planned investment of INR 1.5 lakh crores as incentives to 12 states for sectoral reforms.

As we have discussed before, the long-term growth drivers are intact. On the renewable front, 30- gigawatts has to be added annually to reach 290-gigawatts solar target by 2030. Whereas in the transmission segment, 1 HVDC project expected every year. Similarly for industry, their revival of private capex is likely driven by government policy and various schemes, PLIs, etcetera. Metro, high-speed rail, rail electrification, cross country electrification, rolling stock upgrade, tuning the growth of Transport segment and tremendous opportunities in data center segment as the industry is expected to doubling its capacity by 2025. And discount upgradation and modernization and RDSS teams will lead to distribution growth over a period of time.

Moving to the next slide, slide number eight. I just want to provide some color on the orders received in this quarter. Various solar power plant projects under the 500- gigawatts renewable generation capacity by 2030 are generating

demand for grid integration technologies. This is complemented by a comprehensive plan to strengthen the nation's transmission system with green

energy corridor to bring clean energy to households and industries have been driving robust growth opportunities for the company during the quarter.

We are already contributing to various projects and have made significant strides in this direction, securing

cumulative orders for the integration of 1

gigawatt of solar power during the quarter and 130% rise in the orders from the previous quarter. HITACHI

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With data centers remain a high-growth segment in our strategy, year-on-year growth has shot up to over 200%. That's to push for 5G in India, data localization, regulation, data center policies to drive the growth. With the sheer potential of the market, we see the trend continue for a couple of more quarters and years.

Moving to rail and metro. Indian Railways commitment to achieve Net Zero by 2030, aligned with the electrification of high-density corridor and also the rolling stock modernization have been another significant area of growth for us with a 7% to 9% year-on-year growth in that. Reflecting the nature of customers' order this quarter, we saw an uptick in direct to customers and also the spread is equal between utilities, industries and transport infrastructure.

Moving to the next slide. As we are talking about service and exports, our two growth levers in addition to the domestic various high-growth segments. Our order mix reflects our diverse portfolio across our installed base and our focus on leveraging our key growth markets and capitalizing on market opportunities. We successfully secured in our key market wins, providing us with a solid and steady momentum, especially in services and exports.

Service orders have continued to hold a positive trajectory as we posted a 40% year-on-year growth. One of the key wins or FEED study order for our upcoming Leh-Kaithal HVDC project. We won the HVDC spare orders from the state utilities and GCB spare order from a mining giant. We also secured our first order with a digital search counter and leakage current mounting system from a steel major. And when it comes to the exports in this quarter, our exports contribution grew to over 30% of total orders. Orders from renewables and rail segments in Africa and demand of our quality products from U.S. and Chile to Iraq illustrated a world in energy transition.

Some of the key wins during the quarter were for GIS orders are 400kV on power utilities in Singapore and agro-tech industry in Greece. We also received our 245 kV AIS switchgear order for Tanzania Rail and transformer order for wind farm in Morocco. Also, our newly established factory in Doddaballapura for HV Power Quality and Chennai for HVDC are expanding their export order contribution.

So, with that, now I hand over to Ajay Singh, our CFO, to walk us through the next slides on the financials. Over to you, Ajay.

Ajay Singh: Thank you, Venu, and good evening all and hope you all are doing well at your end. Well, we have been navigating the unstable market conditions using our HITACHI

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long-term strategy in place to manage the impact of the global macroeconomic challenges. So, during the quarter, the company booked orders worth INR 1,147.54 crores, which is a modest increase of about 6% Y-on-Y without HVDC order in the corresponding quarter.

Revenues for the quarter was INR 1,043 crores, which is again 5% growth Y-o-Y. However, the profit before tax basically stood at INR 3.4 crores and profit after tax, basically INR 2.4 crores, which also demonstrates a double-digit Y-o-Y growth on the lower base.

Operational EBITDA, if you see, it is INR 9.4 crores for the quarter. Compared to the last quarter, revenues have come down, which has impacted the bottom line. Even in the face of the persistent difficulties with consistent order growth, the order backlog stood at INR 7,070.9 crores, providing us a visibility of 20 months of revenue, and we are optimistic of the stronger growth basically in the long term.

If you go to the next slide, basically, we see that we have been discussing the ongoing macroeconomic issues over the past several

quarters. I will share an update on how the numbers fared during the last 3 months. Let me take a moment to walk through the specific slides in further detail.

If you see the table, it gives a clear picture of our relentless pursuit for improving the bottom line and a progressive margin recovery. If you see the material cost, it is around 16.9%. The personnel expenses are INR 111 crores, which is lower than the last quarter. Other expenses have increased INR 260 crores. Our depreciation, there is a slight increase in depreciation and interest cost basically is more or less at the same level.

So, the chart on the right side of the table serves as a bridge, breaking down the change in the PBT quarter-on-quarter and the main elements affecting our profitability if you see were continued delays of chip and electronics and along with the fixed cost on the lower revenue base.

So, if you see the range, where we see roughly, we have been impacted in this particular quarter, across INR 20 crores on account of the shortage of chips. And we have a further delta on account of the lower base where we got impacted with the base volume mix and the material cost impact is around INR 29 crores. So, this is how we have reached to INR 3.4 crores in this particular quarter.

So, with this, I'm handing back to Venu for the closing slide. HITACHI

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Nuguri Venu: Thank you. Thank you, Ajay. And going to the next slide. As we move ahead -- it is my last slide before we open the floor for the questions. So, as we move

ahead, our growth levers remain consistent, and we will continue to focus on high-growth segments, which we have been talking about high growth segments

is renewable transmission, data center, HVDC, industrial, etcetera, that align with our core competencies and the evolving needs of the sector. We continue

our investments in talent and capacity for the high-growth segments, leverage our newly established factories to strengthen footprint and grow market for service, digital through pilot and adoption, POC adoption and familiarity, etcetera.

In our operations, we continue to reinforce the culture of health, safety and environment sustainability in all of our spheres of our businesses. These remain what we call our license to operate through which we deliver significant technology progress and value creation for customers bringing strong societal, economic, and environmental impact. In our view, we are all well positioned to capitalize with bringing operational agility and productivity by continuously optimizing our operational efficiencies, focusing on cash over revenue and building business resilience.

As we enter the final phase of the ongoing shortage of chips and electronics, we are well positioned to capitalize on the pent-up demand, sequentially improving our performance on the revenue and on the bottom line.

Our purpose remains to advance a sustainable energy future for all and we look forward to delivering this with a profitable and sustainable growth.

With this, I close my presentation and open the channel for the questions. Thank you very much, ladies and gentlemen, listening to me. Operator, please open the floor for the questions.

Moderator: Thank you very much. We will now begin the question-and-answer session.

Anyone who wishes to ask a question may press * & 1 on their touchtone telephone. If you wish to remove yourself from the question queue you may press

* & 2. Participants are requested to use their handsets while asking questions.

Ladies and gentlemen, we will wait for a moment while the question que ue assembles. Our first question is from the line of Parikshit Kandpal from HDFC Securities.

Parikshit Kandpal : Venu, so my first question is on chip shortages. I just wanted to understand, contractually with a customer, how is this issue taken care of since -- in case of HITACHI

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a chip shortage, is the cost taken on us? Or does the customer invoke any liquidity damages or LDs and you have to bear the losses?

Nuguri Venu: Thank you, Parikshit. I think if I understand you correctly, how our customers are treating on these delays, right? So yes, as you know, this issue is, in our view, is across the industry. Some people may be -- some companies may be slightly better or lower. So that's what is the thing. But otherwise, this is an industry-related issue in that.

And we have been very open and transparent with our customers, and we have been always notifying to them with the latest update. And fortunately, most of the customers do understand and we are also trying to prioritize it wherever customers are really requiring this commissioning purpose, etcetera. So that way, we are able to manage in a much more orderly manner, I would say, in that.

So far, we are not seeing any major LD on account of this, by imposing the customers. We are very open, upfront with our customers, transparently telling them. And wherever the customers are requiring, so then we are able to divert some of those chips, make those panels ready and ship those substation automation systems, etcetera.

Parikshit Kandpal : This INR 20 crores negative impact on profitability and chips what is the more of an accounting treatment, or purely a cash treatment?

Nuguri Venu: Maybe I think Ajay, why don't you answer that?

Ajay Singh: Yes. Thank you. This INR 20 crores impact on profitability is mainly because of this chip shortage, we have lost roughly revenue of around INR 68 crores, which has impacted the bottom line. And as Venu was mentioning, the chips in the -- basically in the industry market, we still see that on the supply side, there is a

strain basically on the analog and MCU part where we see the chip shortage still continues, and that is where we have got impacted. And that is how this impact has come in this particular quarter also.

Nuguri Venu: We could not revenue that, and that's the reason it is coming.

Parikshit Kandpal : But it is not a cash loss, right? I mean it's not actually a cash loss. So we will recover that as and when the supply gets --

Nuguri Venu: It's not a cash loss. It's timing basically. HITACHI

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Parikshit Kandpal : Okay. And my second question is on demand side. So, you said on a slide, you have given various segments where the demand continues to remain very strong. So, on the supply side, if you can help us understand how is the industry capturing capacity utilization right now? And given such a strong pipeline across all these segments which you operate in, so when do you think you run out of the capacity and maybe some pricing power will then come, so this can help us

meet our maybe 15% kind of a long-term EBITDA margin?

Nuguri Venu: So again, we've been -- if you're talking about the capacity utilization of our factories, Parikshit, if I understand you correctly?

Parikshit Kandpal : Industry as well as your factories for giving the context of how the industry capacity, your capacity when given the demand scenario, which seems to be

very robust. So how will the pricing power and the margins play out from near to midterm?

Nuguri Venu: Right. So, I don't give you any forward-looking guidance for our company. But

let me give a little bit of industry back data, so that you understand it correctly in that. So, you probably all of you would have read the recent Central Electricity Authority revised targets, where it has set 777 gigawatts of installed capacity by 2030, and they're very clearly quantified out of the 290 gigawatts of solar presently 68 gigawatts. So, we basically want to do at least more than 4 times to do that, okay?

And so, on a wind standpoint, from 43 gigawatts to 100 gigawatts and the 40

gigawatt s of

battery energy storage and 500 gigawatt s of our interstate transmission things. So, these are all quite a big to reach that. You've got to do depending upon what whether it is the wind or solar or other transmission anywhere between 2 to 4 times what we have been doing it now. So that's a bigger picture of that.

So, taking from that, some of our factories, for example, some of our lines for large power transformer, we are full in more than 18, 20 months in that. So, we are also looking at expanding it organically to remove some bottlenecks in our production processes, etcetera, and doing some quick investments in improving our capacities. That's the one part. But as you know, we have seen this picture at least much ahead of the curve, and that's why we have inaugurated 3 new greenfield factories in the last financial year.

And those things will come handy in handling the requirements in that, right?

And we have been -- if I talk about ourselves, we have been in India and investing in India, and we remained committed to that for a long run. And we HITACHI

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have been continuously looking at both setting up greenfield factories versus also expansion of the brownfield factories.

Moderator: Sorry to interrupt Mr. Parikshit. May we request that you rejoin the question queue for follow-up questions as there are several participants waiting for their turn. Participants connected on the webcast please click on the audio question button below the media player to ask a question. Ladies and gentlemen in order to ensure that the management is able to address question from all participants in the conference, please limit your questions to 1 or 2 per participant. Should you have a follow up question we would request you to rejoin the queue. Our next question is from the line of Renu Baid from IIFL Securities.

Renu Baid: Hi, good evening team and thanks for the opportunity. My first question is, clearly highlighted a very strong jump in services and probably that is reflecting in high gross margin this quarter. Can you also throw some light in terms of how is the status in some of those projects which were on a higher cost basis and carrying lower margins? Are all those old orders behind in terms of execution and can we incrementally expect on annualized basis gross margin improvement to sustain?

Nuguri Venu: No. I think -- can you repeat, Renu? It's not very clear. Can you please repeat, if you don't mind?

Renu Baid: Sure. Sir, my question is, first, if you look at this quarter, services, as you mentioned, have seen a very sharp growth, which probably is also reflecting a higher gross margin profile of almost 39%. So, was wanting to ask, are the old low margin orders completed in terms of execution? Or are they still continuing in the backlog? And on an annualized basis, can we expect the gross margin mix to start improving from last year's move?

Nuguri Venu: So let me answer in 2 parts. So, what we have shown on the services and exports is basically those are the orders we have secured in this quarter. So, revenue of that will come over a period of time. So that's what we are seeing. As you recall, our focus on exports that in the beginning of our company, we started it was 15%, and we set ourselves a target of 25% of exports.

And then you recall, we already reached last financial year, and we continue to maintain that even though this quarter is slightly higher, but we believe that we will be in the -- if we take the overall year, we will be in the 25%. And same is

the case on the services point, we said services, we were having a high single digit as part of the thing. HITACHI

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So, we are moving towards a double-digit, close to 15% over a period of time. That was our strategy, and we are working towards that strategy, and you can see the results of

that. And the revenue of that will follow through over a period of time in that.

Renu Baid: Sure. Secondly, in terms of -- can we share some status of the HVDC order

execution. You mentioned that have started mobilization at this time. But by when do we expect the timeline for the hardware supplies and the EPC construction at site in the subsequent 2 years? Any clarity on that will be helpful.

Nuguri Venu: Right. As you know, HVDC project, which has -- it will take more number of years to complete. So, we have started after completing our engineering and, of course, engineering is going on. And the project, as we speak, the project site is a lot of civil works, etcetera, is happening in that. So, we will see end of this -- the last quarter of this financial year is where we see a lot of our equipment like a transformer, GIS start coming in in that. So, we do a lot of services now completing the civil, etcetera, auxiliaries and other things, but then the equipment will start coming end of this financial year onwards.

Renu Baid: Got it. And lastly, if Ajay can also share some inputs and throw some light on how has the net working capital at the end of the quarter been and update us on the debt and the cash position in the books?

Ajay Singh: Thank you Renu for the question. Net working capital at the end of the quarter, roughly were bidding around 21% to 21.3%. That is a number that we are bearing. And if you talk about the cash, so cash basically, we are sitting around INR150 crores roughly is the cash that we see on our balance sheet. So that is where we are placed on overall -- and since you talked about the net working capital, yes, we continue our drive on our receivables, we are focusing.

And as a management, we are taking all the actions that we need to drive the receivables, and that is on the clear focus on the management. That is how basically -- I'm also -- we are collecting advances from our projects. So, all these elements are supporting us in driving the net working capital on the overall basis.

Nuguri Venu: But also, just to add to Ajay, but we also consciously, we are also starting up something like, for example, we created a feeder factory. So, the feeder factory model is that we should be in a position to complete and sell the revenues at a quickest possible time, which we need inventories slightly higher than the normal level of inventories. HITACHI

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So that's the one. And then now we also have started ordering all the chips which is required for us on a yearly basis, which will also add up to all those things. So, it's a combination of that, while we continue to drive on the rest of the things, but we're consciously keeping the demand in mind. So, we are also increasing our inventory.

Moderator: Thank you. Sorry to interrupt. Ms. Renu, may we request that you return to the question queue for follow-up questions as there are several participants waiting for their turn. May I request all the participants to use handsets for optimum audio quality while asking your questions. Thank you. Our next question is from the line of Mr. Mohit Kumar from ICICI Securities.

Mohit Kumar: Good Evening sir, thanks for the opportunity. My first question is on the order inflow. I saw the inflow for Q1 was little subdued, especially Q-o-Q and Y-o-Y, if you do the HVDC -- if you include the HVDC. So, while you believe that outlook of investment in underlying industries improving materially or has improved, my question is, are you seeing the inquiry pipeline, especially in the transmission, especially for the upcoming tenders? I believe the tender pipeline has moved to INR500 billion as you speak today.

Nuguri Venu: Thank you, Mohit, for your question. We are talking about orders. You would have seen -- you say subdued if you consider HVDC project, but you know that we can't get HVDC projec

t every quarter because these are the large projects. So that's the reason we always track our order inflows without these kinds of

mega orders. These are not large orders; these are mega orders.

So, if you -- without that, we have a 6% growth on a year-on-year, yes. We could have done better, but I understand that. But then if you really look at our pipeline, our order pipeline is very robust. Order pipeline, one is on the renewables.

That's where we do a lot of grid reconstructions of solar and the wind, solar especially is a very solid pipeline.

And the second one is the transmission. The transmission is not only the traditional transmission, like 765 kV AC, our 400kV, GIS etcetera, but we see a lot of tariff-based biddings are coming with our STATCOM tenders, and that's

where we have a huge play there.

The third one is we also see a very good pipeline on the rail and infrastructure standpoint, where the rail is not only like a high-speed rail, also the cross country regional rail electrification, metro electrification and then rolling stock modernization like Vande Bharat trains, etcetera, are also seeing a very good growth of opportunities. HITACHI

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Mohit Kumar: Okay. So, my second question is about the signaling invested opportunity, railway signaling. My question is, are you qualified for electronic interlocking and automated block signaling? If you are not, are we trying to build that capability over the next 12 to 18 months?

Nuguri Venu: No, we are not into the railway signalling at all. So, we don't have a railway signaling portfolio as part of that, nor we want to enter into the railway signal portfolio.

Mohit Kumar: When you say you're participating high-speed rail tender, it is for electrification.

Am I right in saying that?

Nuguri Venu: Yes. High speed rail tenders are basically electrification, our transformer of GIS, our substation automation etcetera.

Mohit Kumar: And if I'm not wrong, the electrification tender is out, right, if the bidding is happening. Am I right in saying that?

Nuguri Venu : Right.

Moderator: Our next question is from the line of Mr. Vinod from BOB Caps.

Vinod: So, I had one question regarding the high-speed rail. What we understand is JICA has specified that the high-speed rail contract should go to Japanese companies. And I guess, Hitachi is one of the names which has been talked about. So, will there be any rub off impact for us? Any benefit coming from Hitachi winning some of those high-speed rail orders, which can accrue to Hitachi Energy, the local entity here?

Nuguri Venu: Thank you, Vinod. I go based on the qualification requirements put in the high-speed rail tenders. And based on that, we have seen -- we do qualify for a major portion of the power technology, which goes as part of the electrical tender in there. So, we have submitted our bids to the EPCs and other people, and we

will wait for that. Since it is -- the tender is on, so we don't want to discuss more on that.

Vinod: Okay. So, the other thing we learn is that train sheds necessarily have to be sourced from some of the Japanese players. So, 3 names came out, Mitsubishi, Kawasaki and Hitachi. So, I was just thinking if the parent wins this high-speed rail contract, would there be anything percolating down to the Indian entity, the listed entity here? HITACHI

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Nuguri Venu: What we are saying in that particular tender is that Hitachi Energy products do qualify for that, certain products, not all of them for sure, certain products, and basis which we have given offers to whoever is participating on a turnkey basis.

Moderator: Our next question is from the line of Bhalchandra Vasant Shinde from Kotak Life.

Bhalchandra V. Shinde: Sir, regarding this chip shortages, if we see peers wise, we have not been -- that has not been

reflecting into their execution. Where exactly we are getting constrained on the supply. And based on this, your earlier target of reaching to double-digit margins by FY '24 end or FY '25, will it be get shifted by 1 or 2 quarters? How do you see it? Because we have been seeing the slippages in execution for last 2, 3 quarters continuously.

Nuguri Venu: Yes, you are right. Actually, the chips and electronic shortages which are primarily our industry relevant topic, so we are also facing. Most of them, we also import. And we are Tier 2 or Tier 3. We don't directly import from the chip manufacturers, right? So, they will give it to someone else, they will add value addition. And so that's the things. The focus in the beginning, it was across the -- there was a shortage across all the things.

But there has been improvement, for example, in auto industries, etcetera . But whereas the chips pertaining to other industry, especially the substation automation and IEDs, relays, etcetera, have impacted, because the volume -- globally, if you have somebody is manufacturing, the bulk of that is going to the, let's say, auto sector or some other sectors. But our industry sector is below. So, we have taken several actions. For example, we had guidance with the CEOs of those companies. We have started ordering advance. We also looked at alternative manufacturers. We also looked at what we call redesigning of our things. So, we looked at both in the short term, maximizing our forte; in the midterm, securing the supply, launching, ordering, etcetera . And then long term also, we are looking at the derisking of that. So that's the reason I said we're now -- we are seeing the visibility. We are still not, say, 100%, we're going to out of that. But I think it's now becoming better, I would say. So that's where we come back. So, if I come back to our long term, as I told you, we have several initiatives on the demand and also exports and the surveys and also operational exercise. And based on that, we said we will reach 10% EBITDA by end of financial year '25. And this is what we said, and we are sticking to that. We will sequentially improve from now to reach that level, whatever we have been committed. HITACHI Inspire the Next @Hitachi Energy

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Bhalchandra V. Shinde : Got it. And in this -- as per earlier interactions, like as we said that every year, 1 HVDC order is likely to happen. Based on that growth trajectory wise, how you see -- will we be able to continue with a healthy growth or execution wise, it will be like spikes and then flattish then spikes, something like that? Nuguri Venu: Sorry, execution- wise, you said something? Bhalchandra V. Shinde : It's like execution will be normalized growth or it will be like an intermittent growth happening over a period of time? Nuguri Venu: No. As I said, we have a very robust portfolio of INR 7,000 crores for all of our industry segments where we talked about. And then we also said that the market is opening up with energy transition- related demand, including HVDC, like, for example, one HVDC project has already come into the market for bidding. So, we are also acting on that. On the execution side, barring these chips, I think more or less, our portfolio is very stable, and we don't see any issues on that. And that's the reason we said, our growth story going forward will be profitable and sustainable. And we want to grow higher than the market. So, these are the 3 things we have been consistently saying, and we have been also following on that. Moderator: Our next question is from the line of Apoorva Bahadur from Goldman Sachs. Apoorva Bahadur: Hi sir, Thank you for the opportunity . Sir, two questions . Firstly, on the export side, if you can share how -- what was our export sales for this quarter and last quarter? And also how are the export markets tracking? And secondly, sir, on the benefit of the commodity down cycle now, by when should we expect that to start kicking in into our margins? Nuguri Venu: Apoorva, thanks for the question . So, on the first one, if you recall, when we started our company after carving out, our exports were in the range of 15% of our total portfolio or total orders. So, we set ourselves as a strategy. As part of that we said, we will take some 15% to 25% by 2023. And then we have reached this target at least 1 year ahead of the curve. And we are continuing with that thing. So, our export strategy is a 3-pronged strategy. The first one is we have certain products within Hitachi Energy, where we have global feeder factory. That means those products, we only manufacture in India for rest of the world. That's number one. The number two strategy is that we have allocated market and that markets are growing up. HITACHI Inspire the Next @Hitachi Energy

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And then those markets, we will nurture, we will take care and we will develop those markets. We have a go- to-market strategy together with those countries, etcetera, and then we sell our products. And the third one is we also have the feeder factories, some of the components we

manufacture here. Those components are meant for our factories around the world, and that is what it is. This three- pronged strategy will take -- is already we are in 25%, and then we will continue to remain in that level even though this quarter, that means the quarter which we are discussing last quarter, we have slightly higher export orders. So -- but overall basis, if you take a 1- year basis, we are saying we will be in the range of 25%.

Apoorva Bahadur: Sir, can we share a percentage of the absolute revenue amount in terms of exports, please?

Nuguri Venu: So, I think that we have not been giving that as part of our thing. But generally, you can say this will follow the same trend going forward.

Apoorva Bahadur: Understood Sir, and how are the export markets tracking given the slowdown that we are seeing in certain economies?

Nuguri Venu: Yes. I think on energy transition opportunities, Apoorva, I can say that every market we are talking about is -- they're all committed in the investments. At least we are not seeing a slowdown of our exports. While I understand where your question is coming from, there's a slowdown of exports in the country as an overall basis. But when I see our pipeline of exports projects, our pipeline of things, we have not seen yet.

Apoorva Bahadur: Right. Sir, that's very useful. And lastly, on the commodity benefit, sir. When do we expect that to start coming in our margins?

Nuguri Venu: Maybe Ajay, why don't you answer this?

Ajay Singh: If you see in this quarter, we do not have any impact, as far as commodity is concerned. If you see in last quarter and previous quarters, we were discussing on the commodity impact, but we are -- our projects are basically hedged and that is how, at least in this quarter, we don't see any commodity impact that we have faced.

Moderator: Sorry to interrupt Mr. Apoorva. May we request you to rejoin the queue for follow -up questions as there are several participants waiting for their turn. Our next question is from the line of Mr. Akash from Dalal & Broacha Stock Broking, HITACHI Inspire the Next
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please go ahead. Mr. Akash your line has been unmuted request you to please go ahead.

Akash : So, sir, my question based on the point of view. So how is the industry outlook currently? Sir, I mean how do we sort of seize the orders, order flow coming in in the coming, let's say, next 4 to 5 quarters for Hitachi Energy?

Nuguri Venu: So, Akash, thank you for the question. As you know that we don't give a guidance on the forward- looking information. But what I can definitely tell you about the industry thing. I just talked about a couple of point ers for you to understand how the market

is going up in Indi a. So, energy transition demand is quite robust in India and also in some of the export markets where we operate in that.

And as you know, recently, the Central Electricity Authority has announced that 777 gigawatts of installed capacity by 2030. And out o f that, 290 gigawatts from solar and 100 gigawatt s of wind and another 40 gigawatt s of battery energy storage. So, all those things to reach that, one needs to do at least 2 to 4 times depending upon what happens. For example, wind went from 43 gigawatt s to 100 gigawatts, which is more than 2 times . Solar, 68 gigawatts to 290 gigawatt s, which is more than 4 times what we are to do that.

Yes, there are certain constraints, supply chain constraints, for example, on the solar standpoint, modules availability, etcetera. We'll have some limiting thing in that. But by and large, we see that. Same is the case on the transmission standpoint. For example, TBCB, you take a year before, there are 11 projects have been awarded. Last year, there are 22 projects have been awarded, and we see the pipeline is very robust now. Already a huge amount of tender pipeline has already come for bidding or in the process of bidding. So, all those things would def initely -- in addition to the traditional infrastructure, rail projects what I talked about, so those things should get us a good order inflows.

Akash : Got it, sir. And also, on the -- one more question on the -- from the execution point of view. So, you said there's a 3- pronged strategy that you are basically focusing on for, focusing on the exports, taking -- now that we have the feeder factories and all the expansions that we needed to do and the greenfield capex and all is also done. And thirdly, we already have the demand and order book in our hand. So, going forward, our execution should only be better and upwards, right? I mean do we see any further execution challenges or blips

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Nuguri Venu: Yes, our endeavor, all our management and our endeavor is to see that we execute what we have it. And whatever the constraint we have within our reach, we will do it. But some of the constraint beyond our control, for example, in this case, the chips, which is beyond our control, so those things we also have some challenges to that. But we will definitely -- if you are able to look at the outlook of the chips, we see a good visibility on that. Same is the case we expect to improve our performance.

Moderator: Our next question is from the line of Venkatesh Subramanian from LogicTree Investment Advisors Private Limited.

Venkatesh Subramanian: Good evening, sir. Thank you for the opportunity. I have two questions. Sir, one is I have been reading a little bit on Hitachi India and its strategic plans. And so, what kind of synergies is that between Hitachi India and Hitachi Energy?

And that is there -- I mean, if you could just highlight a little bit on that. And number two, in terms of the opportunities globally, if you see Hitachi Energy globally, they would have a growth plan. What does it -- where do you think we could be as a share of the global revenue, let's say, in 5 to 7 years' time?

Nuguri Venu: So, first of all, ever since we become part of Hitachi ownership, so we continue to look at the synergies between the Hitachi various entities with Hitachi Energy. So, for example, Hitachi is the old T&D install base. For example, they used to have the GIS transformer, so we started serving them wherever it is there. So, these kind of things we started.

And then we are also looking at Hitachi Rail, working together with them wherever it is possible. And the third one is where we are really working together with Hitachi, is that Hitachi has a digital portfolio as part of the global logic. So, we are looking at offering some of our solutions together with the Hitachi's

digital platform.

Hitachi has a very well-known IoT platform called Lumada, where -- so they have invested lots. So those things, we are working and doing some of the pilots with some customers to see that how we can scale it up, etcetera. So those are the synergies we are looking at it.

Venkatesh Subramanian: And a question on globally, where do you think Hitachi Energy can be, let's say, 5, 7 years down the line, so say 2030, if that's a big number that you're looking at?

Nuguri Venu: Right. So globally, from a global Hitachi Energy standpoint, India is the center of the strategy, right? It's not only from the demand standpoint but also the HITACHI

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supply standpoint. So, we have, as I told you, we have a lot of feeder factories which are feeding to the global organization, global factories like that's the one way of doing it. Lot of engineering happens here.

And the second is from the market standpoint, India is around at least a top fifth or top sixth globally for Hitachi Energy in that. So, it's both from the demand and supply and availability of the skills, resources, etcetera, is quite an important market, important entity from a global energy standpoint.

Venkatesh Subramanian: Fine, sir. A quick one, sir, if I can squeeze in again on chips and electronics. Considering that India is building an eco-ecosystem of fabs, semiconductors, quite a lot of attention is being given. While I'm sure you're looking at a lot of alternatives and all that, do you think at some point of time, we will broadly be self-sufficient in this area where this does not continue to be some sort of a weakness for us?

Nuguri Venu: Yes, I think -- I'm not sure what kind of chips they're going to manufacture. At least that's a long story, in my view, manufacturing, those things which are required for our kind of portfolio. But it's quite possible also.

Venkatesh Subramanian: Okay. But as a company, we are looking at self-sufficiency?

Nuguri Venu: Yes. Some of the very important semiconductors, for example, HVDC, lot of semiconductors. So that we have our own in-house factory in Switzerland. So

that we have a full control. Whereas in some of the grid automation, the electronics, those things are very small components, electronics. So that will depend on things. So there, we are not looking at manufacturing our own chips and electronics over there because the volume, all those things will not make business cases.

Moderator: Thank you Mr. Venkatesh. We move to our next question. Our next question is from the line of Ms. Renu Baid from IIFL Securities.

Renu Baid: My questions have been answered. Thank you.

Nuguri Venu: Operator, we can close now.

Moderator: Thank you, sir. That was the last question of our question-and-answer session due to paucity of time. I would now like to hand the conference over to Mr. N. Venu for closing comments.

Nuguri Venu: So, thank you very much, operator, for moderating in a nice way. And ladies and gentlemen, thank you once again for attending to our conference call. HITACHI

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Appreciate very much. If you need anything more or anything you want to talk to us, please write to us. We are happy to engage with you. And please take care and stay safe. Thank you.

Ajay Singh: Thank you.

Moderator: Thank you. On behalf of Hitachi Energy India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. HITACHI

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Call: Nov 2023

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November 10, 2023

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Dear Sirs ,

Subject: Transcript of the conference call with Analysts/ Investors held on November 6, 2023

Pursuant to Regulation 30 and 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of the conference call that was organized with the Analysts/Investors on Monday, November 6, 2023 and the same can be accessed at <https://www.hitachienergy.com/in/en/investor-relations/analyst-section>

Kindly take the same on your record s.

Thanking you ,
Yours faithfully,
For Hitachi Energy India Limited
(formerly known as ABB Power Products and Systems India Limited)

Poovanna Ammatanda
General Counsel and Company Secretary
Encl: as above
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Hitachi Energy India Limited Q2 FY24 Analyst
Conference Call - November 6, 2023

Management:
Mr. N. Venu - Managing Director & CEO, Hitachi Energy India Limited
Mr. Ajay Singh - Chief Financial Officer, Hitachi Energy India Limited
Mr. Poovanna Ammatanda - General Counsel & Company Secretary,
Hitachi Energy India Limited
Manashwi Banerjee - Head of Communications, Hitachi Energy India
Limited
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Moderator: Ladies and gentlemen, good day, and welcome to Hitachi Energy India Limited Q2 FY '24 Analyst Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. N. Venu, MD and CEO, Hitachi Energy India Limited. Thank you, and over to you, sir.

Nuguri Venu Thank you very much. Good evening, everybody, ladies and gentlemen. Thank you for joining us for the analyst conference call today. I hope you are all doing well. And as probably have you seen, we have announced our results for the second quarter of the financial year, '23- '24. So in the next couple of minutes, I'll take you through our performance during the period ending September 30, 2023.

For ease of reference, I will mention the slide numbers. With me in the room today, I have our CFO, Ajay Singh; General Counsel and Company Secretary, Poovanna Ammatanda; and Manashwi Banerjee, Head of Communications. So, energy transition and climate action plans drove order growth in Q2 FY '24. This quarter, we witnessed some ease in the semiconductor crunch, but certain inventory backlog needs attention. Despite the constraints, there is an overall improvement in our margin and PAT in the second quarter, even though -- compared to the last quarter, we came with a low base. With this, we remain committed to exploring new opportunities stemming from energy transition across geographies and creating a robust and sustainable clean energy ecosystem.

I'm now referring to slide number 3. As we review the quarter, I want to recognize our most valuable assets are our employees. Our commitment to their safety has been unwavering right from the offices to the factories, on-site

location and return this with their ownership on safety matters, right from subcontractors to trainees, continued immersive training is cascaded

throughout the organization through the teams by specialist to persistently reiterate our license to operate.

Our efforts were acknowledged and recognized for excellence in health, safety and environment practices by our discerning customers across verticals. We HITACHI

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have received certificates of appreciation from customers in a variety of segments for our contribution towards improving health and safety and environment culture and customer service through project life cycle across plan, build and operate cases. We received appreciation letters, awards, recognition from clients for maintaining superlative and sustainable safety practices at their project sites.

Moving to the next slide, that is slide number 4, which is also very important. As you can see, we have kept sustainability soon after safety, that clearly shows that how much importance we are giving in driving the sustainability within our own organization. The journey to net zero by 2030 requires all teams to be involved, contribute through innovative ideas and take the initiatives. It pleases me to say that we have witnessed several such initiatives mushroom across the company and country, and many of the initiatives are driven within the employee community staff.

Just to give you an example of Doddaballapur, which is our greenfield factory, which we have inaugurated last year, for this discussion. Here, we have initiated our first Op Ex model solar rooftop project spreading over 5,000 square feet.

And with an estimated generation capacity over 900,000 units per annum, the project will cater to 40% of the energy requirements of this factory. It will help reduce 29 tons of CO

2 equivalent of greenhouse gases annually.

The project will be fully functional by March 2024. Furthermore, the location has stopped single -- many of such cases, just to give you one example, single-use plastic and paper cups, and we'll soon be actioning a more stringent water saving project. Learning from the team's experience at Maneja on recycle, reuse and reduce, there will likely be an addition of 4% reduction in freshwater consumption. These are just examples to show you how we are driving sustainability in letter and spirit throughout our organization.

Moving to the slide number 5. During the quarter, we received orders worth INR

1,747 crores, up 52% quarter -on-quarter and up 37% year -on-year. Some key order wins this quarter include renewables -- in the renewable sector, like 600 MVR Fatehgarh- 3 STATCOM; 300- megawatt electrical balancing system; 400 kV AIS substation for Bikaner and 400 kV general transformer for Ratle hydroelectric project, just to give you examples of renewables.

And rail and metro, such as traction transformer for DMRC, CMRL and automation 132 kV GIS for CMRL. Automation such as Bhutan Power, where we will not only execute a 66 kV GIS substation but also SCADA EMS (Energy Management System), at their National Load Dispatch Center. Solid order HITACHI

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execution resulted quarter -on-quarter revenue improvement of 18% to INR 1,228 crores in the quarter ended September 30. Easing of our supply chain constraints and chip shortages also strengthened our earnings and EBITDA margins and recovers quarter -on-quarter to 5.3%.

The same agent major recovery in profit from the low base last quarter PBT recovered to INR 32.4 crores and PAT recovered to INR 24.7 crores, while

businesses continue improving efficiency through new business models. And product standardization, enhancing our strategic approach and go- to-market

mechanism, impact of inventory backlogs will likely to take some time to taper off. At the close of the quarter, we recorded the highest ever qu

arter backlog of

INR 7,579 crores, providing revenue visibility for the several quarters.

Moving to the next slide, slide number 6. And most of this particular slide, you know better than me. So, India, you know, remains one of the fastest -growing major economies in the financial year '23- '24. The country's GDP has grown 7.8% year -on-year, April to June '23. And RBI predicts country's GDP is expected to grow in the range of 6.5% for the same period. And keeping the interest rate at 6.5% helped to control the inflation. It was dropped to 5.02% in the September 2023. And the power demand in India touched a 5- year high in

September '23, and industry growth IIP shows India's factory output rose to 14-month high of 10.3% in August.

On the policy front, government incentives to the energy sector continued with the approval of INR 3,760 crores viability gap funding for battery energy storage system. This will open up a new avenue of investment for the entire energy project and also technology adoption by our customers. As you can see in the bottom of the slide, the growth drivers for Hitachi Energy remain intact and tracking upwards, whether we're talking about the transmission, data centers, renewable and rail, etcetera.

As you would be aware, we need to add 30- gigawatt of capacity annually to reach the 290- gigawatt solar target by 2030. The first wind offshore tenders announced 7- gigawatt to be actioned by financial year '24, whereas in the transmission segment, 1 HVDC project is expected every year. And you also know that those things come up for bidding now. Similarly, for industries, the renewal of private capex is likely driven by government product -linked schemes and various other schemes announced by the government. On the rail side, metro, high- speed, cross -country rail electrification, rolling stock upgrade filling the growth of transport segment and so on and so forth. HITACHI

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Moving to the slide number 7. Energy transition represents one of the most significant opportunities of our time, and we are championing the urgency and the pace of change needed to reach net zero. With our pioneering technologies and solutions, we are helping our customers to accelerate the carbon- neutral future, improving quality of life for not only for today's generation but those that are to come.

Collaboration is central to making the energy transition possible. During this quarter, we continue to lead industry discussion, not only on technology, but also highlighting the importance of our diversity to tangibly contribute to Indian energy industry at various relevant forums and platforms.

We take every opportunity to drive this because the challenge of this is bigger than one organization, one individual, we need a lot of collaboration, co- creation

working together on this. During the quarter, we have taken up a grid connection project for the upcoming 300- megawatt

solar PV plant in Bikaner, Rajasthan.

We continued engaging with partners. So training, for example, our engineering and configuration of RTU500 series products, etcetera. Our continued efforts have further cemented our reputation as a reliable partner and pioneering in power technologies and driving the energy transition initiatives across the country.

Moving to the slide number eight. We successfully commissioned -- just give a couple of examples. We've successfully commissioned several projects and noteworthy projects across the geographies, not only in India, but also Indian subcontinent and other places where we have been working in that. Just to give you a couple of examples. We commissioned 220/33 kV GIS substation in Gedu, Bhutan, and another similarly rated substation for one of the world's largest web service providers.

Within the quarter, we also concluded a successful test trial run of Indore Metro with a 750 -volt DC third rail. So, these are the

examples to showcase across the segments how we are not only getting the orders but also executing successfully to our customers.

Moving to the slide number nine. This is a very important slide just to recall our discussion a couple of quarters back, where we announced our factory in Chennai, that is Power System HVDC and Power System factory. And this is one example, we have seen this demand coming up much ahead of the time and then we have invested. And now you can see our orders are -- with our new order acquisition, we are able to fill the factories. HITACHI

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As India adds RE capacity at the world leading space, this increased renewable energy generation and increased non- linear loads impact the power quality in the grid. Large- scale renewable energy converters, inject the power systems with the harmonic reactive power that is adding pressure on the grid without delivering usable value. This is where the STATCOM plays a crucial role.

Static Synchronous Compensator system is a complex multi- component system for reactive power compensation and power quality improvement. One of our notable orders for this quarter, that is Q2, is a large contract for high- powered STATCOM for integration of 4- gigawatt of renewable energy into the National Grid for an upcoming project in Fatehgarh, Rajasthan.

The order package also comprises of 2 400 kV AIS extension base. The High Power STATCOM and all major components for the project will be manufactured as multiple local factories in India, including the recently inaugurated HVDC and Power Quality factory in Chennai.

Moving to the next slide, Slide number 10. To provide some more color on the orders received this quarter, transmission projects from multiple utilities, especially towards the buildup of our green energy corridors, led to the momentum in Q2 FY '24, including the STATCOM order we just discussed. We are already contributing to various transmission projects and have made a significant stride in this direction and have seen a growth of 139% in HY FY '24 vis-à-vis H1 last year.

The data center remains a high- growth segment, thanks to push for 5G and data localization regulations and data center policies. In our strategy, data center always been an important element, which helped us to achieve 28% growth in this segment in the first half of FY '24 in comparison with the same period last year. With the sheer potential of the market, we see this trend to continue in the future as well.

Moving to rail and metro. Indian Railways committed to achieve net zero by 2030, aligned with the electrification of high- density corridors have been another significant area of growth for us with a constant growth in the segment. Reflecting the nature of customer orders. This quarter, we saw an uptick in orders from various functions. In the segment, power project takes the lead, while sector -wise utility saw a major rise and in the channel side, direct -to-end users is the lead in terms of orders.

Moving to the next slide, Slide number 11, is also a very important slide we have been talking about our growth levers, that is service and exports. Our order mix HITACHI

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reflects our diversified portfolio across our installed base and our focus on leveraging our key growth markets and capitalizing on market opportunities. We

successfully secured key market wins in services and exports, in line with our vision.

Service orders have continued to hold a positive trajectory as we posted 40% year-on-year growth. Some of the key wins are order for SCADA replacement in National Transmission Asset; network SCADA order from Bhutan; grid interconnection studies as per Saudi Arabian Grid code for PV solar projects, to name a few. We also won HVDC life cycle spares order from a National Utility, multiple single pole circuit -breaker retrofit order from Del

hi Metro Rail and MSM

order from a Goa Electricity Department.

On the export front, we saw a growth of 45% year -on-year. Orders were received from across the continents. Transmission orders in Asia, power quality in Europe and US markets and automation packages in Africa n market. The

company also received the largest ever single order for supply of disconnector for a project in Guyana.

Some of the key wins during the quarter were 66 kV, 33 kV/11 kV GIS substation from Bhutan Power and Indonesia AIS switchgear for PLN, 130 kV harmonic

filter order from UAE Transco, automation package for the Sweden and SCADA

EMS Systems, NLDC Bhutan Power System Operator. Our strategy of Making in India, for India and the world has had good results as our factories continue to receive steady orders from various factories worldwide.

So, with that, now I would ask our CFO, Ajay Singh, to walk us through the next slide, that is slide number 12 and slide number 13 on the financials. Over to you, Ajay.

Ajay Singh: Thank you, Venu, and good evening, and hope you all are doing well at your end. So, if you see our concerted efforts continues to overcome the persistent

industry and operational challenges to keep the growth momentum on track. The focus and the proactive approach have helped us to achieve better

revenues and orders vis -a-vis quarter -on-quarter and year -on-year.

So, in this current quarter, the company has booked orders worth INR 1,747 crores, which is up by 52% quarter -on-quarter. The revenues also we booked INR1,228 crores, and that is a growth of roughly 18% compared to the previous quarter. PBT recovered 857% to INR, basically INR 32.4 crores, and PAT recovered sequentially basically INR 24.7 crores compared to the low base last quarter. Operational EBITDA stood at INR 65 crores for the quarter. HITACHI

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So, with the consistent order growth and excellent execution, we had achieved the highest ever order backlog, and we are currently INR 7,579 crores order backlog, which provides us a visibility of more than 22 months of the revenue. Now if you move to the next slide, where you see that we have been already discussing the ongoing macroeconomic issues for the past several quarters. And here, I would like to share an update on how the numbers we are doing in

this particular quarter, the last three months. Let me take a moment to walk through the specific slide, and that will give you more details on how we have done the progression.

The table gives a clear picture of our relentless pursuit for improving the bottom line and cohesive margin recovery. So as you see, in the current quarter in the revenues of INR 1,228 crores and the gross margin is roughly around 35% and if you compare with the Y- on-Y scenario, there is roughly a dip of 2%. And this is mainly coming due to the product mix.

As explained earlier, the chip shortage has improved, the shortage scenario has improved compared to the previous quarter.

And now basically, we are still working out on the backlogs and how to come out of this overall scenario. If you see the personnel ex penses, it is hovering around 9.5% and more or less at the same level Y -on-Y. Other expenses are also hovering in the same 20% compared to 19.7% Y- on-Y. And depreciation is also 1.8% compared to 1.7% Y-on-Y. Interest also, there is a slight increase, but still we'd say that more or less we are consistent.

So, with all this, we are able to see that our PBT, we have reached to 2.6% basically and then our PAT is 2%. So, we are basically working on the bottom line, and we expect that we'll be able to work on the margins sequentially in the coming quarters.

With this, I hand over to Venu.

Nuguri Venu : Thank you, Ajay. And moving to my last slide, so I will move ahead, our growth levers remain intact. You have seen from the previous slides. We work to maintain leadership in our

core segments, while also focusing on high- growth segments that cater to the evolving needs of the sector, harnessing new segments and markets. We will further strengthen our capabilities in service, export, and digital verticals, in addition to our maintaining leadership in our core segments. HITACHI
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In our operations, we continue to reinforce the culture of health, safety and environment across all employees and our customers. The focus remains on transforming our highest ever order backlog and de-c logging of our inventory to quality revenue. This execution when coupled with operational excellence across manufacturing and functional process will result in margin accretion going forward. We will reinforce our efforts through the last leg of transition in the coming quarter as we enter the implementation of Phase 4 of our multi -year project to upgrade our core ERP system to SAP S/4HANA, standardizing a variety application, landscape and digital -- digitizing our business processes to meet the needs of our expanding businesses. This integration of core business function the processes in a single platform will help enhance operational agility, quality and productivity. Our purpose remains to advance the sustainability future for all, and we look forward to delivering this with profitable and sustainable growth.

With this, I now close my presentation and open the channel for your questions.

Thank you.

Moderator: Thank you very much. We will now begin the question- and-answer session.

Anyone who wishes to ask a question may press * & 1 on their touchtone telephone. If you wish to remove yourself from que you may press * & 2. Participants are requested to use handsets while asking questions. Ladies & gentleman in order to ensure that the management is able to answer all questions from participants in the conference, please limit your question to 1 or 2 per participant. Should you have a follow up question we would request you to rejoin the que. We will wait for a moment while the question que assembles.

The first question is from the line of Renu Baid from IIFL Securities. Please go ahead.

Renu Baid: Sir, my first question is, if you see this quarter order inflows from utilities and projects, both have picked- up. Is this a signaling effect that domestic T&D or transmission spend is finally seen an uptick after quite a bit of time? If you can share some of your inputs in terms of order pipeline from the domestic market, including the status on the high- speed rail? That's the first question.

Nuguri Venu : Thank you, Renu. Yes, I think after a long time, I think there is a clear uptick in the domestic T&D pipeline, both in terms of the tariff -based competitive bidding getting finalized and also the other infrastructure- related rail, etcetera, is getting finalized. So, we are also seeing a lot of bidding is going on the tariff -based bidding. And you also know that the HVDC, the Badla has come up for a bidding. HITACHI
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And so those things are really driving this order growth and then our, at least see that this, momentum will continue.

Renu Baid: And on the high- speed rail electrical package, any updates?

Nuguri Venu : On the high- speed rail, electrical package, so we are working with potential bidder s. And this - since this is at bidding stage, I cannot talk more on that. All I can say is that, we have submitted our bid, and then we will wait for further evaluation.

Renu Baid: Sure. The second question is -- congratulations for finally breaking into the STATCOM market. Can you share what could be the localization content in the initial order, given the scale of the project? And in your view, how could be -- how large could be this market for these power quality solutions now that renewable green corridors have started to see s

ome activity? Otherwise, STATCOM was a fairly dull segment for the last few years.

Nuguri Venu : Yes. So , as I said, with the 30- gigawatt of annually added to reach 290- gigawatt of renewable, the STATCOM market is really, really big, okay? So just to give the kind of projects we have got, we see at least another 10 projects, 15 projects are in the pipeline. So it might take a couple of more years, but that 's the kind of scale what we are looking at.

And on the second question about the localization, as I said, I have already covered. Most of this project to the extent of 75%,

80%, we do everything locally here. Different factories and engineering centers, but most of them, we do it here in India.

Renu Baid: That's impressive. And just last one question. Given that in the recent few weeks, we have seen one of your global peers are being under major financial crisis. Do you think this will probably may have any impact on the competitive intensity that you face in the domestic market or from global projects in the high-voltage – extra high- voltage segment of the market?

Nuguri Venu : No. I didn 't get you – sorry, can you just repeat your question, if you don 't mind, Renu?

Renu Baid: Yes. Sir, my question is one of your global peers, the parent has been struggling on the financial crisis in the last few weeks with presence in domestic market as well. Do you think with this issue or they may be less competitive or in terms of intensity when we look at large projects, including HVDC, in the domestic market? So , do you perceive any difference in the competitive intensity in the HITACHI

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market in the near term because of the financial crisis that they're facing at the group level?

Nuguri Venu : No, I don't -- Renu, I don't think I can comment about that company. So we -- normally, our strategy is always in a very long term, very robust. And we don't look at one company having a challenge and then we take our strategy. We have a very -- as you hav e seen since last several quarters, we have continued to build a robust manufacturing year. In the last one year, we have opened the three new Greenfield factories. So that really shows that we want to do more locally here and for India and also rest of the world. So that has been the strategy, and we are going ahead in line with that.

Renu Baid: Thank you very much and best wishes, sir. Thank you.

Nuguri Venu : Thank you.

Moderator: Thank you. Our next question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: Yes. Thanks for the opportunity, sir. My first question is on the HVDC. If I remember correctly, we had asked for extension of the pipeline in the sense we are looking to execute the HVDC, you're asking for more than 60 months for the Pole 1 and Pole 2 maybe more another six months. Do you sti ll maintain that constant execute? Or do you think that things have improved the margin and we can and the Power Grid and the bidding agency can continue at the original pace? Or do you think that we need some extension?

Nuguri Venu : First of all, we have not asked for any extension. So we are talking about an industry -wide challenge you may be talking about it. So it depends upon. This is - the whole HVDC market is, Mohit, if I can give you a little bit of picture on that. Whole HVDC market globally is really exploding in that. So here, we need a different set of way to do that. There are many utilities in the Europe, they are ordering now for the project which is required in 2030, 2031 because you need to do a lot of work like engineering, etcetera, in that. All we are telling is that you also -- we also need to plant in a different way. You start and then having an engineering and you do complete engineering on one project and execute two, three projects. If you really want to meet up the schedule, we have to do the different way co

mpared to what we have been doing it. HITACHI
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If we continue to do what we have been doing, then we will not do in a traditional your 48 months or 44 months, you need a little bit more than that. So that is what we are articulating with our stakeholders with that.

We have HVDC market is exploding, which is also going to go in India because this is exactly what we have been saying that in a country like India used to have a one HVDC project for every four years, five years, now you need to have at least one HVDC project per year. So that can happen only if we are having a different way of doing it. You engineer it once time you do, and you will do the repetitive way of doing two, three projects in that. So that...

Mohit Kumar: Have you extended the timelines? Or is it the format on that? Or is the timelines?

Nuguri Venu : I think they are working in between. I don't think it will be done. But there is in between position, they're taking.

Mohit Kumar: Understood, sir. Secondly, sir, do we still maintain the target of achieving or aspiring for EBITDA margin of 10% in next by FY '25? Is that a fair assumption?

Nuguri Venu : Yes. We said at the end of FY '25, we said. End of FY '25 is what we enter double- digit EBITDA margin.

Mohit Kumar: Understood. And we should see a gradual improvement as we -- as you

progress, right?

Nuguri Venu : Yes.

Mohit Kumar: My last question is, sir, you can substitute for STATCOM given that renewables are happening at a larger pace. Is it right to say that there's absolutely no

substitute for a STATCOM and the STATCOM requirement will only explode not only in India and export and really one of the preferred factory to supply for all for the global requirement?

Nuguri Venu : So Mohit, what we were saying is that, we are looking in India in a very strategic standpoint, while -- the first and foremost we are creating the factories that we want to be successful in this market. So that's the number one. So we are creating this -- all these factories and our engineering centers, etcetera, to cater the things. But at the same time, we are also looking at exporting some of these to other countries.

Mohit Kumar: The pipeline is looking like at this point of time, do you think this market is only going to explode?

Nuguri Venu : Sorry? HITACHI

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Mohit Kumar: Do you think this market is only going to -- in the sense, there's increasing STATCOM requirement every year as we go forward?

Nuguri Venu : Yes, absolutely. STATCOMs are very crucial in managing the renewable integration, okay? So as the renewables are going up, getting added into the grid, so the requirement of the STATCOMs are going to go up. So it's absolutely that.

Mohit Kumar: Thank you/ All the best.

Moderator: Thank you. Our next question is from the line of Priyank from Vallum Capital. Please go ahead.

Priyank : Yes. Hi, thanks for the opportunity. Sir, my question is on the order inflow. Well, you have seen a strong order inflow in this quarter. Do you want to mention if there is any large single order inflow that you have availed in this quarter? Or is it a combination of multiple smaller order inflows, as you have explained in one of your slides?

Nuguri Venu : Yes. So as I said, we have received a one large HP STATCOM order, but it is not as big as what we used to have like HVDC kind of projects in that. It's a large project, but it is not a mega project. We also received a lot of other medium- sized projects in that. Like we said, in 300-megawatt renewable for

balance of system, and we also received for -- hydro projects, the generated transformers. So it's a combination of various orders.

Priyank : And sir, does this -- just to clarify, does this STATCOM order gets classified into your project order because that makes us seen a significant increase? A

nd does this have a good potential margins in the current order book?

Nuguri Venu : So margins, we were not able to comment on our existing thinking that yes, the STATCOM order is a project order. So that's why if you have seen our slide, which has also reflected in a higher project compared to the previous quarter.

Priyank : Perfect. That's clarified. My second question is on, again, HVDC. Considering the project pipeline what you have been alluding for many quarters now, how has been the competitive intensity while you have been placing your bids for

Bhadla as well as if you can help us update on the feasibility study that you will be doing in for Leh- Ladakh project, that would be helpful?

Nuguri Venu : Yes. On HVDC, as we have been telling, we have been working primarily to have more local content, localizing and including the competency, etcetera. So HITACHI

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that has been going very well, and that will enable being more competitive. And so that's our plan and then things are going in line with our plan.

And when it comes to the Leh project where we are doing the feasibility study, so we have to submit our results by first quarter of the next calendar year or before March 2024. I think we are on track, and we will be submitting on or before our due date.

Priyank : And sir, on the Mumbai HVDC project is moving as per schedule, right? You shall be booking revenues from Q4 of this financial year. Am I right?

Nuguri Venu : Right. That's going well with that. And the bulk of the revenues, as already said, will start flowing in from Q4

and the Q1 of next financial year.

Priyank : Sure. Just last question from my side. On the other emerging segments, Hitachi was known for working on the many emerging projects like kind of a flash charging for EVs. If you can help us to know the developments on that side? And on the bookkeeping questions, what would be the service and exports revenue contribution in this current revenue as well as the Lumada platform contribution in this quarter?

Nuguri Venu : Thank you, Priyank. You asked too many questions. So let me try to answer as many as I can. So, on questions about Hitachi, your first question was about the

charging -- flash charging. That's not about Hitachi. That's, again Hitachi

Energy. The technology, we owned it, and we have also implemented that in many countries.

So, we have -- that we announced also pilot here some time back. And it's got slightly getting delayed, but now I think we are getting there. The whole idea for the technology is to localize the technology.

So, we are now focusing on

localizing the technology.

While localizing the technology, we are in touch with the various stakeholders, such as the bus manufacturers to have the partners and also various other component manufacturers to have kind of a partnership so that we are able to bring that technology at the cost which is required by this market. So that's the number one.

On the Lumada side, we have -- as you know, Hitachi has invested heavily on IoT platform called Lumada. So, once we become part of the Hitachi ownership,

we are also looking at how we can offer some of our offerings on the Lumada platforms. For example, we have recently announced Lumada Insights. Lumada

-- for example, we have a product called Vegetation Management. And many of HITACHI

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these transmission lines will get tripped due to the vegetation -- growth of vegetation and touching the line.

So we come out with a product with drone technology -- using the drone

technology and also using a satellite technology, and we can offer that in the

Lumada platform where we can offer to our customers if they give the profile of their transmission line, so where we can say that which area of that particular

thing they're going to have the problem with the growth of the vegetation and

we can

also offer them the cutting -- schedule of those growth. So, these are just to give you a couple of examples that how we are now bringing those portfolio technology with the Lumada platforms. Thank you.

Moderator: Mr. Priyank maybe request that you return to the question queue for follow -up questions as there are several participants waiting for their turn. Thank you, sir. Our next question is from the line of Sunaina Chhabria from Chola Securities. Please go ahead.

Sunaina Chhabria: Yes. Good evening, sir. So, my first question is regarding the transmission and distribution business. So, for, let's say, a company to set up a renewable energy plant, it would cost maybe INR 6,000 crores to INR 7,000 crores. What is the wallet share of Hitachi Energy and the transformers and the other equipment that they provide within that kind of a setup?

Nuguri Venu : You're talking about general or I didn't get your question correctly Sunaina?

Sunaina Chhabria: Yes. So I will just repeat. What I meant is, is that if a renewable energy generation power plant is set up, and it would cost maybe INR 5,000 crores to INR 6,000 crores depending on the source of energy, what is Hitachi Energy's wallet share within this? What is the kind of revenue that they would get from a setting up, let's say, a 1- gigawatt plant within the transmission and distribution?

Nuguri Venu : So, what we -- again, it depends upon the configuration, etcetera. Suppose a pure play, a vanilla solar plant or something like that, our portfolio is in the range of 20% plus/minus this 1% to this way or that way. Suppose if there's either large- scale solar plant with combined with energy storage, etcetera, then it will be much higher in that. Suppose if this includes like a STATCOMs, etcetera, then it will go even up to 40% kind of thing. So, it depends upon what's the configuration and what kind of business models. So those are the one deciding factors in that.

Sunaina Chhabria: Okay. And just a follow -up question to that. With the HVDC projects like you had mentioned, the frequency of these projects in India has increased to around HITACHI

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1 a year. So, with this setting up an HVDC project, what is the company's wallet share over there?

Nuguri Venu : As you know, probably Sunaina, this HVDC technology, we have actually invented way back in 50 years back. So, our wallet share suppose if we take the existing projects, we have at least 7 out of the 13 projects runs with our technology. And this is also the case globally in there. So, we have quite a high market share, almost close to 50%, and we continuously invent on this technology. That's basically great about it. We are bringing the technology, which is - we are bringing the footprint of the technology. We are bringing the losses of this further.

So those are the things and not only that, we have the execution center, which is a very high intense technology thing where we have opened a competency center in India. This competency center, not only serve the projects outside of India, but also serve projects within India. This technology and innovation center has a key enabler in bringing the competitiveness of these projects going forward.

Sunaina Chhabria: Okay. Just my final question. So, like it was mentioned that there is a guidance for reaching an operating margin of 10% by the end of FY '25. We can see that this quarter, the company has done about 5.3%. So, within this particular industry, the competitors have a margin from 8% to 12%. Can you elaborate a little on why the company has a lower operating margin within the industry?

Nuguri Venu : Yes. So, I think the reason we have already told is that because we are part of the previous ownership, and then we are coming out and carving out. While carved out, there we have -- there is a lot of cost happened in between.

Overlapping of those costs, etc

etera, is another reason. And then we have also used a lot of cash for capex -related things for future growth. And in addition to that, we have very clear -- I don't want to compare and all for which company you're talking about, at least in our areas where we are not seeing those kinds of margins at least that. But notwithstanding that, we want to be like - on the growth side, we are a very leading player. We are the market -leading growth company, and we would also like to come a market -leading margin company over a period of time. So we are making steps. So , as I said, we are sequentially improving. We set ourselves target and we will move on that. So , our growth levers are continued to drive our domestic market, improve on the exports and the service. HITACHI

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So, we set ourselves exports to be 25% by 2023. We have reached at least 1 year ahead of the curve of our own target in that. So that is how we are building up the company in a more profitable and sustainable while investing in the growth.

Sunaina Chhabria : Thankyou so much sir, best wishes for the future.

Moderator: Our next question is from the line of Bhavin Vithlani from SBI Mutual Funds.

Bhavin Vithlani: Good Evening Venu and congratulations for the orders, if you could help me the INR 1,700 crores orders, what would be the size of the STATCOM? You mentioned there are several others of a similar size just to get the size of the addressable pie?

Nuguri Venu : So Bhavin, thank you for your question. Unfortunately, I cannot give you that -- the order value exactly because, as I told you that, we have several projects lined up, so don't want to do that. But you can guess the size by yourselves. It's a couple of hundred crores.

Bhavin Vithlani: Fair. The second question is because when we look through the results of your parent company where order backlog has more than doubled to greater than \$20 billion. And when it comes to some of these HVDC projects and some of the other projects where there is an import dependence from your parent entities.

So, if you could just help us understand about supply chain? And given that we are also seeing an upswing in India and you expect this to last for a few years. How are you dealing with the supply chain? And what is the kind of

augmentation that you are doing in terms of developing the local vendors so that the 4- 5year opportunity that you are talking about, you should be able to capitalize the maximum out of it?

Nuguri Venu : Yes. So , thank you for the very, very interesting question. As you rightly said, our global organization has used -- built up a huge order backlog, one of the highest order backlog I would say. And same is the case, which is also reflected in our company, right, w hich is INR 7,500

crores out of backlog, which is also highest thing. And so these are definitely a huge challenge on the supply chain, and that's exactly -- we started building up this new factory -- a new facility right from the day when we carved out.

We have not stopped investing even during the COVID time. So, from last 4 years -- last 1 year, we have inaugurated three greenfield factories. And in the last 3-4 years, we have added at least capacity expansion, other things in the HITACHI

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range of 7 to 8 greenfield and brownfield factories in that. So, we have seen this coming in. It's not a surprise for us. We have seen this coming in. So, we have been working, first, internally invest in ourselves, expanding the capacity and bringing in a new technology and making it in locally here, that's number one. And number two, while doing so, we are also working and developing our supply chains here. For example, casting, we use a lot of castings in GIS. So, we started working in developing the casting manufacturers locally here. So whole idea is to make this

entire supply chain available in India going forward. In the localization projects -- several localization projects, do not call it localization, we

call it value engineering project right from the end- to-end, we want to do that.

So those projects are progressing. I would say they are making very good progress in some of those lines.

Bhavin Vithlani: Great. And just lastly, on the gross margin, which is your raw material margins, we have seen a slight dip in this quarter. But as we are seeing very sharp

increase in the order booking for you and for the entire sector. In the bids that

you have seen at least in the last 3- 6 months, have we seen an upward

trajectory in the bidding margins? And correspondingly, if you could also talk about the competitive landscape, have you seen a better discipline amongst the competition?

Nuguri Venu : Yes. So maybe I think the first question, I'll ask our CFO, Ajay to talk about it, then I'll come back and answer on the second one.

Ajay Singh: Okay. Thank you for the question. So basically, if you see the margin which I explained earlier in this particular quarter is mainly coming from the product mix. And if you see our earlier quarters also, our margins, basically, we see it hovers. There's a gap of roughly 1% or 2% that we see. So only the product mix, that has pulled us down. But going forward, with the kind of backlog that we're having, we are very much now confident that we'll again pull back. So that is how I would say on the margin side. Maybe Venu, you can comment on the...

Nuguri Venu : Yes. I think I would say there is an uptick -- in a slight uptick and the price levels in India is always competitive. We don't see that price levels in India is moving up so drastically compared to the market. But having said that, there is a slight uptick in our pricing. So, we are also driving the pricing excellence as part of our strategy and go- to-market strategy in that.

Bhavin Vithlani: Sir, just a follow -up. So leaving the quarterly variabilities aside, where do you see the gross margins sustain for us? HITACHI

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Nuguri Venu : We said very clearly, right? Our plan is to enter double EBITDA margin by end of FY '25, and that is how we are looking at it.

Moderator: Our next question is from the line of Harshit Patel from Equirus Securities.

Harshit Patel: Sir, you spoke about the Badhla – Fatehpur project HVDC project coming for the bidding. Could you indicate what is the size of this project? I mean, what would be the HVDC component in that?

Nuguri Venu : No. The size of the project, both including transmission line and the converter station, is very huge. But our addressable market is anywhere between INR6,000 to INR8,000 crores depending upon the business model, how they award, etcetera, like that.

Harshit Patel: Understood. Sir, just a follow -up to that. Do you think this would be tendered on a single vendor basis or there would be multiple parties involved in the HVDC converter station itself?

Nuguri Venu : No. I don't think it will be tendered in a single bid basis. It will be always a multiple. And it will come for a competitive bidding, and I'm sure whoever wins, they will get that right.

Harshit Patel: Understood. The second question is on the Mumbai HVDC project that we have. I believe the original timelines to execute is 38 months. So, does that stand as it is?

Nuguri Venu : Yes. As of now, we are on track, plus/minus 1- 2 months here and there.

Otherwise, we are very much on track.

Moderator: Our next question is from the line of Renu Baid from IIFL Securities.

Renu Baid: Two bookkeeping questions. A, what is the share of exports and revenues and orders for us? Presentation mentioned Y -o-Y growth.

Nuguri Venu : Yes. Share of exports?

Renu Baid: Yes, in revenues and orders.

Nuguri Venu : No, we are, again -- we set ourselves as a target to reach 25

%, both in terms of

our orders as well as on the revenue. I think we are trending in the similar direction as of now.

Renu Baid: Okay. And the targeted capex for fiscal '24 and broad escalations for fiscal '25? HITACHI

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Nuguri Venu : On the capex, if you really look at it in the last 4 years, our capex is in the range of INR 100 crores per year. So that is not only we will sustain that, but we are looking at further augmenting that.

Renu Baid: Sure. And lastly, Venu, just to understand a bit more, while in your opening comments, you did mention about energy storage picking up in the country. What kind of addressable market opportunity can this open for Hitachi in terms of cost and value?

Nuguri Venu : Yes. I said, energy storage, the government has approved the viability gap funding of INR 3,000, plus INR 3,700 crores something like that. So that will enable these projects to become a business case, right? Because the battery prices are very high. Things -- our addressable market in this, Renu, is except the battery, let's all we can do that. And last question may be.

Moderator: Next question is from the line of Amit Mahawar from UBS.

Amit Mahawar: Just two quick questions. First is, so we've seen the best case industry size for you, maybe a decade ago was more than INR 20,000 crores. Today, it seems to be around INR 15,000 crores, INR 16,000 crores, if I am not wrong.

Nuguri Venu : What you said?

Amit Mahawar: INR 15,000 crores, INR 16,000 crores equipment market -- in transmission equipment market.

Nuguri Venu : Okay.

Amit Mahawar: So how do you see your addressable market panning out in the next 2- 3 years, assuming we have 1 HVDC every year and we have a significant portion in renewable portfolio, which is maybe one third of transmission market annually in India being in technology space where you are having strong global leadership. How are you placed vis -a-vis maybe 10 years ago vis -a-vis 2 of your global competition in India? And you can maybe specify on the extent of localization you do vis -a-vis both of them? That's my first question.

Nuguri Venu : So I do not know your calculation, but we have our own modelling, etcetera. Just to tell you, Amit, we operate not only on the utilities, T&D is for sure is the

thing, but we also work on industries and the rail. Rail is another big market for us. Rail, not only the metro projects, but rail electrification and the new modernization of the rail coaches, etcetera, like that. So that's the thing. And then high- speed rails -- in addition to that, high- speed rails. So that is how we HITACHI

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look at our market as a total utilities, industries and infrastructure, which includes rail.

So, the market is definitely growing, okay, growing with a high single -- mid- single- digit and might go high- single -digit going forward. But what we are also looking at it, if you really look at in the last couple of years -- a couple of quarters, we have been growing very high double digit. So how we are growing is primarily because we brought a lot of optimizations , localization of our technology.

We have opened our new factories, greenfield projects. We'll start producing it a very state- of-the-art equipment, such as HVDCs, STATCOMs in locally here. And that is how we have been able to compete and then win projects locally in that. So that is how our strategy, and we continue going forward.

Amit Mahawar: Sure. And maybe second question on -- following up on Bhavin's question of supply chain. Is my understanding correct, Venu, that we've been consolidating

the supply chain, and we will be working with less, but very strong suppliers, whether it's stampings, castings, etcetera, and hence, will move towards more efficient procurement?

Nuguri Venu : No. I won't say that it is less strong for s

ure. The whole idea of building the robust supply chain is to bring the efficient -- of course, quality is given because then we are looking at sending the parts from here to the rest of the world, the quality has to be superlative, exceptionally high. So that is how we are working with our suppliers, a long- term program. It's not onetime. Okay, you have this project and you go, get on there. That is not the way. For example, when we give an example of our casting, we have the example of heat farms, which are very crucial components in our products. So, the supply chain, we are building the robust supply chain in India to taking care of these kind of things in that.

Amit Mahawar: Okay. And maybe one last question before to go. Vis -a-vis we passed HVDC contracts in India and your company has been at the forefront of educating the power grids in India on the HVDC in the last couple of decades. How competitive you are vis -a-vis the la st few expertise's that India has seen, and Hitachi has done for at this time around?

Nuguri Venu : No, I think when it above, we have been taking a lot of actions. We don't -- even though this technology we have invented, we are primary. Today, we have not only in India, globally, more than 50% or close to 50% installed base runs in our

-- through our t echnology. So, when we have that kind of thing, we don't take HITACHI

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any chances. We continue to reinvent, reinvest into our processes, optimization, localization, and those are the things we continue to do that.

And we believe with that, we should be in a better position to compete in these projects. And if you really look at our past experience, it shows that we won HVDC Mumbai project last year, and we are looking forward to others.

Moderator: Ladies and gentlemen, due to time constraint, that was the last question of our question- and-answer session. I would now like to hand the conference over to Mr. N. Venu for closing comments.

Nuguri Venu : Yes. Thank you very much once again for taking time from your busy schedule and attending to that. And I hope we could answer most of your questions. But should you need anything more, please do not hesitate to reach out to us, happy to engage with you guy s. And, also I want to take this opportunity to wish you and your family, your loved one's festive greetings, happy Diwali and take care and be safe. Thank you.

Moderator: Thank you. On behalf of Hitachi Energy India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Call: Jan 2024

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January 31, 2024

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai 400 001
(Attn: DCS Listing) National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C/1,
G Block, Bandra -Kurla Complex, Bandra (E)
Mumbai 400 051
(Attn: Manager Listing Department)

Ref: BSE Scrip Code: 543187, NSE Scrip Symbol: POWERINDIA

Dear Sirs ,

Subject: Transcript of the conference call with Analysts/ Investors held on January 24 , 2024

Pursuant to Regulation 30 and 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of the conference call that was organized with the Analysts/Investors on Wednesday, January 24, 2024 and the same can be accessed at <https://www.hitachienergy.com/in/en/investor-relations/analyst-section>

Kindly take the same on your records.

Thanking you ,

Yours faithfully,

For Hitachi Energy India Limited

Poovanna Ammatanda
General Counsel and Company Secretary
Encl: as above
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Hitachi Energy India Limited Q 3 FY24 Analyst
Conference Call - January 24, 2024

MANAGEMENT:

Mr. N. Venu - Managing Director & CEO, Hitachi Energy India Limited
Mr. Ajay Singh - Chief Financial Officer, Hitachi Energy India Limited
Mr. Poovanna Ammatanda - General Counsel & Company Secretary,
Hitachi Energy India Limited
Ms. Manashwi Banerjee - Head of Communications, Hitachi Energy
India Limited

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Moderator: Ladies and gentlemen, good day and welcome to the Hitachi Energy India Limited Q3 FY24 Earnings Conference call. As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal the operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. N. Venu, MD and CEO of Hitachi Energy India Limited. Thank you and over to you, sir.
N Venu:

Thank you, Darwin. Good afternoon, everyone. Thank you for joining us for the analyst conference call. I hope you all are doing well. We have uploaded the presentation for the Analyst call on the Stock Exchanges, I am sure you must have seen that. Yesterday, we announced our results for the third quarter of the financial year 2023-24. In the next 20-25 minutes, I together with my colleague Ajay Singh CFO, Company Secretary Poovanna Ammatanda & Manashwi Banerjee – Investor Relations will take you through the Quarter numbers and our performance during the period ending December 31, 2023. For your ease of reference, I will read out the slide numbers in case you are following via phone.

This quarter, easing supply chains and better order execution helped continue the growth momentum. The prevailing positive economic environment in the country has spurred India's energy transition pace, which will open up more opportunities in the coming quarters. With this, we remain committed to exploring new opportunities stemming from energy transition across geographies and creating a robust and sustainable clean energy ecosystem.

Starting with Slide 3 - which is our license to operate. As we review the quarter, I want to recognize our most valuable asset - our employees. Our commitment to their safety has been unwavering, from offices to factories and on-site locations, and they return this with their ownership on safety matters. This quarter, we had several employee engagement programs across locations,

factories & offices focusing on employee well-being - shopfloor demonstrations, donation drives, and life support training for all employee groups.

At Hitachi Energy safety is our license to operate, we never looked other way. We reiterated this tenet as we observed HSE week in November 2023, themed "Do the Right Thing". All teams were reached using multiple platforms and formats - both virtual and physical workshops. The focus was on celebrating best practices, and promoting HSE behaviors that drive us to world-class performance.

We continue to receive recognition and appreciation letters from our discerning customers for driving HSE culture across the energy value chain. Sustainable safety

practices and quality are always paramount to us. We thank our clients & customers for their constant encouragement & continued support in enhancing the safety across all the locations. HITACHI

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Moving to the next slide #4. The journey to Net Zero by 2030 requires all teams within Hitachi Energy to be involved, contribute through innovative ideas and take the initiative. In the period under review, the Company focus was on improving waste flow management across five locations, to reduce water and air pollution, which directly affect many ecosystems and species. All the projects follow a very standard approach of DMAIC (Define, Measure, Analyze, Improve, and Control) in creating the framework which can be scalable and repeatable at many of our locations to address waste flow management.

Along with this, the focus remained on the timely implementation of various ongoing sustainability projects across locations, like water conservation project at Maneja, rainwater harvesting and recharge pits at Halol, installation of Roof top solar (609 KW p) at Doddaballapur to mention a few.

Furthermore, several sustainability projects are in the pipeline for the coming quarters like setting up of EV charging points, Battery Energy Storage System, electrification of

equipment such as fork -lifts, etc. The whole idea is that we have been working towards decarbonizing all of our operations, factories, project sites and offices etc.

Moving to next slide #5. The Indian economy continues its growth momentum, as per the government reports, the Country's GDP is expected to grow by 7.3% for FY2023-24.

The RBI has kept the rate of interest unchanged at 6.5% (post RBI Monetary Policy Committee meeting in December). But there is a slight rise in inflation, as it touches 5.6% in November 2023, because of rise in food prices.

On the power demand front electricity demand in India is expected to touch 277 GW and 366 GW by 2027 and 2032 respectively, up from 239.9 GW in September 2023. Whereas Industry growth (IIP) shows rise in India's factory output to a 16-month high in October .

Also study by India's largest nationalized bank suggests that individual's average (weighted mean) income has risen 3.7X during FY14-FY21 from ₹3.1 lakh to ₹11.6 lakh.

All this means the growth drivers for Hitachi Energy remain intact and tracking upwards.

As you would be aware, we need to add 30 GW of capacity annually to reach the 290

GW solar target by 2030. In wind - the first offshore tenders have been announced –

7GW to be auctioned by FY24. In the transmission segment already 35 TBCB tariff based

competitive bidding projects were declared in current financial year and two HVDC projects are expected to be awarded in next 12 months. Similarly for industry the revival

of private CAPEX is likely driven by government Product Linked Scheme. On the electrification standpoint Metro, High-Speed Rail, Rail Electrification, rolling stock

upgrade are fueling the growth of transport segment, and so on.

Moving to the next slide #6. In our pursuit of advancing the sustainable future for all, we continue to lead industry discussion across the entire value chain of the energy

industry in India and region at multiple forums and platforms. HITACHI

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We are happy to inform you that production for the Mumbai HVDC link has commenced

in the HVDC and Power Quality factory in Chennai and the work we do continues to be

recognized by customers and industry peers. Hitachi Energy TEC Training & Experience center in Maneja was recognized by Central Electricity Authority (CEA) as category - I

(Grade B) for imparting training in operation and maintenance of the transmission and

distribution segment of power sector. Customers recognized us as valuable partners,

and we continued to translate excellence along the value chain with channel partner

meets that focused on the role of technology in the energy transition.

India has been championing the transition – through people, innovation and policy. It is what makes the country a key market in the Hitachi Energy and Hitachi Group universe, reflected in the recent leadership meetings held in the country with key stakeholders of both Hitachi Energy & Global

Moving to the next slide #7. During the quarter, we have commissioned grid connection

projects for the 300MW hybrid renewable in Pavagada, Karnataka, transmission project

for energy intensive steel industry in Kobra, Chhattisgarh. We also successfully commissioned a major datacenter project of 230KV/11kV GIS 2X75MVA Trafo

Substation in Chennai. As a broad spectrum of society recognizes the urgency of energy

transition, our continued efforts have further cemented our reputation as a reliable

partner and a pioneer in power technologies.

Moving to the slide #8. In the quarter ending December 31, 2023, we received orders

worth INR 1,235 crore , flat year on year. Solid order execution coupled with easing in

supply chains resulted in YoY revenue growth of 23% to INR 1,276.4. Normalizing of

supply chains also spurred YoY profit recovery in Q3FY24. Profit before tax stood at INR

33.8 crore , up 152 % YoY. Profit after tax was at INR 23 crore , clocking a recovery of

400 % YoY on a low base.

As of December 31, 2023, the order backlog stood at INR 7,552 crore , providing revenue

visibility for almost ~22 months. Some of the key order wins for the quarter are 220kV&

400kV AIS S/S for renewables, dry and power transformers for Chennai Metro Rail

(CMRL), 2X 220kV GIS for data centers Substations, multiple export orders for

renewables and utilities from Africa, Middle East & Europe.

Moving to slide #9. To provide more color on the orders received this quarter - Demand

for solar and wind energy, especially from utilities, continued its momentum in Q3FY24. We are actively partnering on various

renewable projects and have made significant

additions this quarter as renewables witnessed a 54% growth in Q3FY24 vis-a-vis

Q3FY23.

Datacenters remain a high-growth segment, thanks to the push for 5G, data localization

regulation and data center policies. Data centers are a high growth segment in the Hitachi Energy strategy, and while the segment is nascent, we reported a 92% YoY growth in orders in Q3FY24. With the sheer potential of the market, we see this trend HITACHI Inspire the Next
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continuing in the future as well. While the orders for transmission remained stable, there was a slight decline in the order rail segment in Q3FY24 vis-à-vis Q3FY23.

Reflecting the nature of customer orders this quarter, projects and services took the lead, while sector-wise, utilities saw a rise, and EPC was the primary channel for orders.

Moving to slide #10. These are our long term growth levers i.e service and exports. Our order mix reflects our diversified portfolio across our installed base and our focus on leveraging our key growth markets and capitalizing on market opportunities. We successfully secured key market wins in services and exports, in line with our 2030

v

ision.

Export orders were up 61 percent YoY during the quarter, driven by transformers and high-voltage products and feeder factories – reaffirming our strategy of make in India for India and the world. Orders for transformers came from Europe and African markets, while demand for power quality solutions were from South and Central America, Africa, US and Europe.

Some of the key orders includes order from Azerbaijan for high voltage equipment like 330kV/145kV LTB/DS/IT, 3 X 80 MVA 220kV and 3 X 80 MVA 110kV, transformers order from France and GIS orders from Spain and Portugal.

Service orders saw a growth of 71 percent YoY during the quarter, driven by utilities and industries. Some of the key orders for the quarter, 400 kV RIP Bushings Replacement

Order, 11kV Busbar Retrofit Order, repair of 63 MVA Transformer. We have also received orders from across the border which include training order from Maldives and Commissioning 8 units of CSD from Qatar.

So, these are just few examples to talk about how our long-term growth levers both service and exports are playing their role.

So, with this, I hand over to our CFO, Ajay Singh, to walk us through the next slides on the financial performance. Over to you, Ajay.

Ajay Singh: Thank you, Venu and good afternoon, and hope you all are doing well at your end. Let me give you a quick insight on the Company's financial performance in this Quarter.

Excellent order execution and streamlining supply chain challenges have helped us improve our revenue and bottom line in this quarter. The focused and proactive approach has helped us achieve better revenue vis-à-vis QoQ and YoY.

During the quarter, the company booked orders worth INR 1,235 crore, stable year on year, while declining QoQ mainly due to an exceptional order which we booked in the previous quarter. Whereas solid order execution resulted in YoY and QoQ revenue growth of 23% and 3.9%, respectively, revenue stood at INR 1,276.4 crore in the quarter that ended December 31, 2023. Easing of supply chain constraints has further strengthened the quarter earnings and improved the bottom line. HITACHI

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The same easing spurred YoY profit recovery in Q3FY24. Profit before tax stood at INR 33.8 crore, up 152% YoY on a low base. Profit after tax was at INR 23 crore, clocking a recovery of 400% YoY on a low base.

Operational EBITDA stood at INR 81 crore in the quarter with YoY and QoQ growth of 62.2% and 24.6% respectively. Margin has been improving sequentially over the past three quarters – from 3.0% in Q1, to 5.3% in the last Q to 6.3% in Q3 operational EBITDA. Our order backlog stood at INR 7,552.3 crore, providing revenue visibility for the next 22 months.

If I go on the next slide, let me speak more in details about the ongoing macroeconomic issues that we have been discussing in the past several quarters. I would like to share

an update on how the numbers fared during these last three months. If you see the table, it gives you a clearer picture of our relentless pursuit in improving the bottom line and progressive margin recovery.

You see that the margin recovery and 23% yoy revenue improvement to 1,276 crores in

the Quarter was mainly due to the good order execution. If you see the gross margins, they have fairly been consistent. The expenses have also been consistent in the current quarter as compared to the previous quarter and that is how at an overall level, we could reach PBT at 2.6% in the quarter.

With this, I hand over to Venu.

N Venu : Thank you, Ajay. Moving to the next slide i.e. slide #13. As you know India is becoming a leader in clean tech and our investments have made us a node for exports. Exports are a growth lever for the company, including through its related party entities and the company procures and sells products, component s, systems , renders and receives services

from related party entities. In this light , we anticipate a few transactions with Hitachi Energy Sweden AB, a related party entity, wherein the transaction amount is likely to exceed the materiality threshold of INR 448 crore as it applie s to our Company as prescribed under Section 188 of the Companies Act, 2013 and Regulation 23 of SEBI LODR.

Based on recommendation of the Audit Committee, the Board of Directors have considered and approved issuance of postal ballot notice for approval of material related party transactions with Hitachi Energy Sweden AB, entered or to be entered for an aggregat e value of up to INR 700 crore in FY23- 24. Transaction with this entity has not exceeded the materiality threshold as of now and it is likely to exceed marginally .

Shareholders' approval will be sought to remain in compliance with statutory requirement.

The nature of transactions includes sale or purchase of product, component, system, rendering and receiving of services to and / or from Hitachi Energy Sweden AB, Västerås, Sweden. HITACHI

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All transactions are in the ordinary course of business of the Company and at arms' length basis. The Company will be commencing a postal ballot exercise to secure the approval of shareholders.

Moving to slide #15. As we move ahead and enter into the last quarter of 2023-24 our growth levers remain intact. While maintaining leadership in our core segments we will nurture high-growth segments that cater to the evolving needs of the sector, harnessing new segments and markets and expanding the energy of the grids.

We are seeing the fruits of focusing on our capabilities in services, export s, and digital verticals, and will continue to strengthen the same.

In our operations, we will continue to seek to maximize the efficiencies in converting our significant order backlog to revenue and revenue accretion , while in the short -term staying agile regarding the evolving situation on trade routes , logistics etc. Nevertheless, such execution when coupled with operational excellence across manufacturing and functional processes will result in margin accretion going forward.

Our teams will reinforce their efforts through the last leg of transition in the coming quarter, as we enter the implementation phase of Reiwa - a multi -year project to upgrade our core ERP systems thereby integrating core business functions and processes in a single platform – thus helping enhance operational agility, quality and productivity.

Our purpose remains to advance a sustainable energy future for all, and we can sustainably deliver this if our teams are consistently safe, healthy, strong and agile.

People remain at the heart of our operations, and we will continue to build and sustain stakeholders' value.

With this I close my presentation and open the channel for questions. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. Anyone who wishes to ask a question may press * & 1 on your touchtone telephone. If you wish to withdraw yourself from the question que you may press * & 2. Participants are requested

to use handsets while asking a question. We also request that you restrict your questions to 2 per participant. We will now wait for a moment while the question que assembles.

The first question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: Yes. Good evening, sir. My first question is about order inflow. Order inflow is yet to see a healthy momentum.

We were expecting that given the strong bidding activity for

transmission projects in the last nine months, especially in the domestic market, my question is how has been the inquiry from bidders for the transmission equipment and can we expect a slightly higher order inflow as we enter calendar year 24 ?

N Venu :

Thank you, Mohit. As I talked about it in my op

ening comments, I think we have a very strong, robust pipeline across the sectors, across the segments where we are operating. For example, the transmission is the one segment where you talked about. As I said, HITACHI Inspire the Next
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there are a lot of tariff -based bidding projects out there, including some of the STATCOM projects. And there are H VDC projects that are under pipeline.

There are also large 765kV projects. that are also coming up for bidding . I would say that there is a very robust pipeline in the coming quarters.

Mohit Kumar: My second question is sir; have you completed the study and submitted the reports for Leh-Ladakh for technical feasibility to Power Grid? And can we expect this project to progress in the next fiscal or this calendar year?

N Venu : So, a gain, this is a very interesting question. So, we have, as part of our agreement with our customers, to complete by 31st of March. So, we are on track. So, progressively, we have to submit various reports. We are already submitting a couple of reports in that. We are on track. We would be submitting our study report in line with that.

Mohit Kumar: How has been your experience, sir? If you can give some color .

N Venu : Which one?

Mohit Kumar: How has been the experience? Do you think this is technically feasible and this can be done at a reasonable cost?

N Venu :

I think our customers will talk more on that. But from our standpoint , we do have technical solutions for that. And we have not completed all the studies yet. There are a couple of studies that we have done, but there are many more studies to be completed. And we still have a couple of weeks before we complete and conclude our study report in that. But we do believe that technical solutions are available.

Mohit Kumar: Understood, sir. Thank you for the opportunity. Best of luck, sir. Thank you.

Moderator: Thank you. The next question is from the line of Renu Baid from IIFL Securities. Please go ahead.

Renu Baid: Good evening, sir. My first question is on the bullet train or the high-speed project. We were expecting finalization of few packages this last year end. L&T was announced bidder for more than INR 10,000 Crore of orders. So, what is now the opportunity size for us? Are we still in discussion with EPC contractors, partners? And what could be the timeline of receipt of such orders?

N Venu :

Thank you, Renu. I think the question, you all know that the electrical package has been finalized on the EPC. So, we have also submitted our bids to the EPCs, including the winning bidder. We are in touch with them, and we normally do not mention the size of the projects until we know we can quote it. It depends upon the customer approach, what's the business model or how we are packaging. Those things will differ the size of the project. As we speak, we have made our submission .

Renu Baid: What are the timelines of award of these electrical equipment projects. HITACHI

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N Venu : Maybe one to two quarters is what we expect. One to two quarters.

Renu Baid: Sir, secondly, if you look on the broad basis, given the way domestic market has bounced back with respect to high -voltage transmission equipment, clearly supplies are in short and it seems that prices in general have improved. So, by when do we expect those better margin orders will start reflecting in our execution and our numbers? So how far are we? Is it just a couple of quarters away or probably our timelines and lead cycle of orders are different from the ones which are getting finalized. Because while we have been consistent in the last couple of quarters on gross margins and cost structures, it still seems to be suboptimal when we compare it with the rest of the key large domestic players. So how far are we in terms of getting these better margin orders i

n our backlog? And also, any view in terms of -- because we also had a target to improve the operating margins to near double- digit level by next year. So, are we broadly on track or there could be some additional hiccups on the way?

N Venu :

Again, it's a very interesting question, Renu. And we have been very consistent with what we have been saying on this. And we do have -- I think our portfolio -- our order backlog

is very robust. It's, again, broad-based and our exports and service - which is also part of our portfolio - will definitely add to the bottom line in that. So, while we talk, there are also a lot of challenges, geopolitical and also the transport logistics. As we are improving on our exports, it's also important that our logistics on the exports is also robust. And any kind of external factors do have a challenge over a period of time. And it's important that we need to navigate them. But having said that, if you really look at what we have been talking about, we said we have been sequentially improved and we continue to perform a sequential improvement.

In the last three quarters, so operational EBITDA, you take from a 3% in quarter one and 5.8% and now we came to 6.3%. So sequentially, we are improving it, and we also have a clear strategy to bring the double-digit operational EBITDA by end of the financial year is what we said. So, again, look at our strategy. We said that in exports, when we start about -- we are looking at in the 20%- 25% range and then we have stabilized 25%. And if you really look at the nine-month exports, we are already 30-plus percentage. So, the strategy has to fall in place and become a little more stable, and that's how we are doing it. And on the margins, will definitely flow in once we execute the order backlog, which includes the export, which includes the service, which includes other things.

Renu Baid: Sure. And lastly, if I can, what could be the status of the Mumbai HVDC? You did mention valves getting manufactured at Chennai plant. So, in terms of execution timelines of this backlog, how should we look at end of this fiscal and next fiscal specifically?

N Venu : Yes. So as part of our contract with our customers, we should complete anywhere between March 25 to June 25. I think we are on track both on the execution on the ground and as well as on the manufacturing of those various components, not only in India, but

also in other places. So, we are very much on track on that. HITACHI

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Renu Baid: Got it. Sure. Thanks much and all the best.

N Venu : Thank you.

Moderator: Thank you. We have the next question from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal: Hi, Venu. Congratulations on a decent quarter. So, my question is again on margins. So, we had done 6.3% of operating EBITDA margins this quarter. So, we have a journey of 10%, I think towards the end of FY'25. So, every quarter, do we expect some improvement to bridge that gap of almost 400 basis points, at least to start with at least 10% by FY '25 end?

N Venu : Yes, as we just now spoke, Parikshit, so that is our endeavor. Our endeavor is to make sequential improvement while navigating the various challenges at the same time.

Parikshit Kandpal:

Okay. Second question is on other expenses. So, when I compare with your other peer, I mean, who is almost half your size, and I see your other expenses, gross margins largely in line, but your other expenses are substantially higher. So, is there any component there? I mean, earlier we had this IT support from A BB India, so where we were incurring expenses. So, has that come down? Are we now on our own IT network? So, what could be the component that can be used to help improve our margins?

N Venu : Maybe Ajay, our CFO, would add to this, Parikshit.

Ajay Singh: Thank you, Parikshit, for this question. If y

ou see our other expenses, you can see the current year results. We are consistent compared to the earlier quarter.

So, if you see Y oY, our other expenses were 21.7%, now we are hovering around 19.4%.

Having said that, on the IT cost, yes, the IT cost, currently we are not yet totally out of the A BB support. We are still running at T SA, and we are expecting that we will be out of this support mostly by the mid-next year. But even if you are out of this support, we will have our own infrastructure where the cost will come.

But overall, if I see the mix, I don't see any additional cost other than this that is popping up in the quarter. So definitely going forward, as the external impacts come down, we will be improving on the margins as such.

Parikshit Kandpal: Okay, so just the last question, if I may sir. So, this margin improvement, will it come from better pricing? Do we still have some under-absorptions of inflation on the pricing side?

Because on one side, we are talking about very, very strong opportunity on the demand side. Other players are talking about under-investment in capacity. So, it definitely builds a scenario for increasing prices. HITACHI

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So, have you already taken some price hikes over the last six months? If you can give some color on the improvement in margin tax streams, which will be the factors which will be driving this?

N Venu : Our margin improvement , Parikshit , is basically a factor of our improving our revenue accretion, and because we have a strong backlog and that will get into the revenue accretion over a period of time. And then we also said our two levers which are service and exports, will contribute. A s export revenue kick s in, and also service revenue kick s in, then that also will do that. And in addition to that, as you know that we have invested heavily in the last 2-3 years and set up new green factor ies, and those factories are also filling up now.

One example is this, the Chennai power system and HVDC factory, where we started now producing valves on that. We also now filled with orders from other projects . So those things, we are able to leverage o n those assets, and that also will add both revenue accretion as well as the margin accretion.

Parikshit Kandpal: What about the price hike, sir? Any color on the price hikes have you taken in the last six months?

N Venu :

You should understand that India is a very competitive market, and we are getting a price increase, but also you should understand that the commodity prices also are equally increasing. So we are, whatever the increase is coming, basically for that. Then, yes, we are also looking at quality order s. So, we have initiated pricing excellence as a strategy to look at, you know, bring the more quality orders as part of the portfolio, and that should also help us to realize those things.

Moderator: Thank you. The next question is from the line of Mahesh Bendre from LIC Mutual Fund.

Please go ahead.

Mahesh Bendre: Hi, sir. Thank you so much for the opportunity. Sir, previous two quarters, we were mentioning about the chip shortages that was actually limiting your production and delivery. So, has that problem been solved or is there still some issue on that?

N Venu : Thank you, Mahesh. I think there, I would say that it has become better now. W e are able to predict and upfront order those components. So, we are partly, I would say that we have mitigated and then, but with a better forecasting things and upfront ordering, so we are able to manage at this point in time.

Mahesh Bendre: And sir, if I look at last five to six quarters, apart from the HVDC orders, our order inflow has been almost constant for every quarter. I mean, when we look at the peers or other players in the industry, there is a growth, significant growth we are witnessing on order ing inflow side, but our side is remain

ing almost stagnant. So, what could be the reason for this, sir?

N Venu :

I don't think our orders are stagnant. If you really look at our orders on a quarter -on-quarter, we are having a very good growth. And on top of that, if you really look at, nine HITACHI

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months put together and if you take the last HVDC project out and then you look at the nine months cumulative.

So, we have a very strong growth. So, look at our numbers on a cumulative basis. And then I think we have a, we have a strong growth, even if we remove the HVDC project, because the HVDC project is there in the last year, which is not comparable for the same reason.

Mahesh Bendre: No, I was mentioning about the export orders that we are getting very high traction. So, if you strip them aside, so domestic side, we are still given the position we are into and capex that is coming up. So that seems to be low on that side?

N Venu : Yes, I'm not sure from where, what the number you're looking at it, even if we remove the exports also on the domestic demand, we still have a growth removing HVDC project.

Mahesh.

Mahesh Bendre: Sure. Thank you, sir.

N Venu :

And in the base orders, there's a 16% growth, Y oY.

Mahesh Bendre: Sure. Thank you, sir. Thank you.

Moderator: Thank you. The next question is from the line of Umesh Raut from Nomura, India. Please go ahead.

Umesh Raut: Thank you, sir, for the opportunity.

Umesh Raut: Yes, sure. So, the first question is more of on the export side. So, when you are seeing strong demand on the export from various markets, I just wanted to know how much of these orders are coming in from parent entities and how much beyond parent entities?

N Venu : You're talking about the exports?

Umesh Raut: Yes, exports with Hitachi Group and exports with non-Hitachi Group?

N Venu : Yes, it's a ballpark in the range of, anywhere between 50% to 60% coming from our internal companies and the rest are coming from, direct exports.

Umesh Raut: Okay. And, sir, now this new proposal, which is under consideration.

N Venu : Again, just as a comment, here we've got to understand, for example, internal means we supply a GIS in a Europe, for example, okay, we supply GIS. So, since we do not have any, sales offices there, the GIS will be booked by the local Hitachi Energy office, for example, the one which we booked, and that will be, given as an order there. So that's also we consider as an internal order, even though we stand as a full-fledged thing.

Umesh Raut: And just wanted to hop up on the profitability side as well. So how is profitability different between these two segments? HITACHI

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N Venu : When you say these two segments means all the export orders, whether it is internal or external, it's arm's length only.

Umesh Raut: Got it, sir. And, sir, regarding this proposal, which is under consideration, regarding RPT transactions, now going up to about INR700 crore for full year '24. So how much of that has been booked in first nine months FY24?

N Venu : Yes, maybe Poovanna, you'd like to add to that, Poovanna?

Poovanna Ammatanda: Yes, sure, Umesh. Thanks for that. As of December, we've had invoice-level transactions of 68%.

N Venu : Yes, that is close to 68% has been booked.

Umesh Raut: Sir, second question is more of on your comment from the presentation, where you are referring that private capex or demand from industry side is also kind of looking up. But if I look at order inflow for third quarter, this is more of down, especially from the industry side. So where exactly you are seeing uptake in terms of industries and where exactly there is still downturn, which is kind of visible in the market?

N Venu : When I talked about industrial capex is reviving, is basically I'm talking about the broad base. In one quarter, we may have a large order

booked in that, so which is not comparable. But we see a lot of traction on the industrial segment, coming from expansions, service standpoint, digital, and more. They are also decarbonizing of the industries.

So, these are the ones what I'm talking about in our thing, whether you talk about the steel, cement, industries, and data center. Anyway, we have a huge growth in that. So those are the things I'm talking about, Umesh.

Umesh Raut: Sir, last bit is more of clarification. So again, referring to slide number nine, where contribution from EPC channel has significantly gone up. So, was it fair to assume that this will add further pressure on profitability side, assuming that EPC channel would have relatively lower margins than the direct end user?

N Venu :

When we talk about the EPC, we have a strategy that we will not be able to sell everything to direct end users. So, we need these channels. And that's how we have been doing it. Whether EPCs, OEMs, distributors are part and parcel of our go-to-market strategy. And having said that, just because our EPCs have gone up, not that we compromise our quality of the order. We have a clear strategy on those things, and then we are maintaining it. And as I said previously, we started the pricing excellence. The whole idea of the pricing excellence is to look at what is the value add. We look at it, whether we are selling to EPCs, we are selling to direct end customers.

We do not see any of those compromise taking place or any kind of dilution of our margins, just because we sell it to different channels. HITACHI

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Umesh Raut: Got it, sir. Thank you so much. And all the best.

N Venu : Thank you.

Moderator: Thank you. The next question is from the line of Priyank Chheda from Vallum Capital. Please go ahead.

Priyank Chheda: Thanks for the opportunity. Sir I would request you to give us more insights on the levers to the margin expansion which you spoke. First lever is service and exports. If you can help us with the data on how much is the service and exports revenue as on date. The second lever was revenue recognition picking up. So, if you can help us with what would be the revenue recognition that you are looking towards FY25.

Would Mumbai HVDC project revenue recognition itself lead to a strong operating leverage? And the third lever that you clearly mentioned was utilizations. So, what is the current utilization level and what is the kind of a level that you are looking towards in the coming years? Thank you.

N Venu : Thank you, Priyank. I think we did not give any details on a project level and also, we did not give any forward-looking information on that. What will be the revenue coming in this quarter? So, all I say that we have a strong order backlog. And that order backlog is getting converted into the revenue and that's where the revenue acquisition is coming in. So, on the levers about margin acquisition I have already talked about. I think I have nothing more to add to what I have already talked about in that. So, revenue accretion is the revenue growth is the function of what backlog we have and what is our existing book to bill orders. So that's what is what we are going to do that.

And having said that, let me also give you a couple of data points for you to understand that in export we are talking about in the range of 25%, right? So, we see export revenue depending on the quarter ranging from 20% to 23% or 24% in that. And the service is high single digit, which is moving towards the double digit slowly entering the double digit. So, that's how the thing what we are looking at in the margin accretion standpoint.

Priyank Chheda: In terms of your current utilization levels?

N Venu : Yes. Current utilization level is depending upon which factory it's varying anywhere between 75% and upwards close to 90%, 85%- 90%. And some new factories, as

you

know, which have been inaugurated definitely has a low utilization ratio, but they are also filling up faster.

Priyank Chheda: Perfect. And just a data keeping question that I have on the operating -- operational EBITDA, which Hitachi reports is at around INR 81 crore , while the actual reported EBITDA is at around INR 65 crore . So, what's the -- INR 68 crore . So, what's the INR 13 crore difference with respect to it? It may be related to FX or some other expenses, which you can -- if you would like to call out. HITACHI

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N Venu : Maybe our CFO, Ajay Singh, will add more.

Ajay Singh: Thank you for the question. And you're right. It is mainly on the FX part that delta is there.

Priyank Chheda: So, we have reported a FX loss on the tune of INR 13 crore ?

Ajay Singh: If you see our results, you can see that in this current quarter, we have reported a FX loss of INR 9.8 crore that is there.

Priyank Chheda: Okay. So, if you can help us, what is the nature of this? Why do we -- why are we able to report the losses? Would it -- it's just an accounting entry which would get reversed in the coming quarters?

Ajay Singh: Yes, it is basically a restatement of this accounting entry. Yes, it's an accounting entry.

Priyank Chheda: Got it. And just to, again, clarify, Mumbai HVDC project was not recognized in the current quarter, right? We would be starting it from Q4, which is in the coming quarter. And also, if you can help us, the STATCOM order that we had received in the last quarter, by when would -- what's the timeline for execution of that, the starting period and the end period?

N Venu : Yes. Mumbai HVDC, the project has started. As the project gets started, the revenue also starts getting recognition based on the milestones being done, right, both at the project site and also some other things in that. But it is a slow start now. In the coming quarters, we see a lot of material, big items will be coming in. So that will have a much better, higher revenue from the HVDC Mumbai project.

STATCOM, we are supposed to complete in 24 months, and we have already started.

And the first two quarters will be a lot of engineering approvals, etcetera, design and engineering approvals. And thereafter, we see the project is starting is starting with a revenue.

Priyank Chheda: All right. Thanks a lot for answering all the questions.

N Venu : Thank you.

Moderator: Thank you. The next question is from the line of Dhavan Shah from Alfaccurate Advisors. Please go ahead.

Dhavan Shah: Thanks for the opportunity, sir. So, my question is on the order book breakup. So right now, the order backlog is roughly INR 7,500-odd -crore . And if we exclude this INR 2,000 crore HVDC. So, what would be the order book breakup between service, exports and then the other industries like the data center and the other emerging one? Can you share the breakup of that? And what would be the execution timing?

N Venu : Roughly, you can take 25% of that is exports and close to 9% to 10% is service orders.

And that's what is our ballpark figures.

Dhavan Shah: And the other industries, data center and the other emerging ones? HITACHI

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N Venu : We don't split that industry -wise utilities, industries, and data centers at this point in time. But we have not been giving that -- it's not that we don't split, we have not been giving figures so far.

Dhavan Shah: Okay. And as you said that the value-added segment, like the exports and the service revenue would go up in the coming quarters, which would help you to improve the overall EBITDA margin. So, what kind of gross margins do we do? And right now, it is roughly 40% odd. So, what would be your endeavor by FY'25? And what can be the gross margin? Because in the earlier years, we did roughly

45%, 50% also. So, is this achievable? Like 45-odd -percent gross margins?

N Venu : So, again, we will not talk about what's the gross margin. What we are talking about is what we are sticking to . We are sequentially improving on the bottom line, which includes our better order gross margins and also on the cost side and also various other measures. So, it's a combination of all that, we'll get into the 10% operational EBITDA by end of FY'25, assuming that all the headwinds normalize. So that's where -- that's what we are saying.

Dhavan Shah: Sure, sir.

Moderator: Ladies and gentlemen, we request you to please restrict your questions to two questions per participant. We have the next question from the line of Nikhil Abhyankar from ICICI Securities. Please go ahead.

Nikhil Abhyankar: Good afternoon, sir. Thanks for the opportunity. Sir, there are multiple projects already announced under the RDSS scheme. So, what kind of pipeline do we have remaining going forward? And are we selling it directly to the discoms or are we going through the EPC players?

N Venu : Again, these particular projects are a combination of various things, which includes the engineering, procurement and also SCADA and many other aspects of the digital infrastructure. And we would like to play in line with our strategy. We will focus on SCADA automation, DMS, EMS and more .

We are working with the partners. We are working with some of the EPCs and some of the projects we have received orders from PGC IL and also other places, in some places wherever it is meeting our strategy. So, we are also bidding directly on that. It's a combination of various things. But we are very actively pursuing all these projects to position our portfolio there.

Nikhil Abhyankar: So, what can be the pipeline, say, in next 12 months?

N Venu : Again, we don't quantify the pipeline for any of these segments, but the pipeline is very robust, Nikhil.

Nikhil Abhyankar: Okay, sir. That's it from my side. Thank you. HITACHI

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Moderator: Thank you. The next question is from the line of Bhalchandra Vasant Shinde from Kotak Life. Please go ahead.

Bhalchandra Shinde: Good evening, sir. I would like to know on the longer -term perspective, like since we have started with the facility in HVDC, how the localization content versus our peers and cost advantage wise, how we have placed things like there are lined up HVDC orders.

And do we see that competitive edge for us as compared to peers?

N Venu : This is a very interesting question, as you know, HVDC. So, we are pioneering this technology, and we will be completing 70 years of this technology globally as an inventor of the pioneering technology by Hitachi Energy and our predecessors. Right, so as we

speak, we have globally as well as in India, almost 50% of our existing installation HVDC links run through Hitachi Energy technology.

So, we do have quite a robust end-to-end offering in India for example, we manufacture the converter transformer. We do the valves. We have the switchgear and we do also end-to-end engineering. That's also quite a big cost element in HVDC kind of projects.

With that, I think we should be in a better position to offer our competitive solutions to our customers.

Bhalchandra Shinde: And ordering wise, as we mentioned that every year one HVDC order is expected. But this year we have not seen that kind of a, though tendering has happened, but still any end result we have not seen. Are we expecting anything in next six months or in this calendar year? Which orders we should expect to come in?

N Venu : You probably know the B hadla is already tendered, and which is due now on the 1st of February. And if there is no extension, the tender will be submitted as per the due date, right, which is already there in the REC website. So, you can also look at the schedule of ordering, etcetera. The

y have already published in their website.

Bhalchandra Shinde: Okay. Thanks, very much.

N Venu : Thank you.

Moderator: Sure, sir. Yes, the next question is from the line of Teena Virmani from Motilal Oswal Financial Services. Please go ahead.

Teena Virmani: Hi, sir. Thanks for taking my question. I just have one question regarding this INR 700 crore cost with the related parties. Just wanted to understand, is it possible to localize these products which you are right now thinking of procuring from the parent entity over a period of time? Or just wanted to understand whether this cost will remain in future too for the company or over a period of time we can think of manufacturing these?

N Venu : Maybe I think we may have to clarify. This is not a cost. This is a related party transaction.

Both the products we sell it to our thing and also some of them we buy there. So, it is not entirely we are not buying that it is both purchase and sale. HITACHI

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Teena Virmani: Total put together is around INR 700 crore.

N Venu : Yes, yes, exactly.

Teena Virmani: And whatever you are procuring from the entity, is it possible to localize those products or those products will continue to be procured from them only?

N Venu : Some of the products we continue to procure. It's not that the localization we have been doing to the extent possible today. For example, almost 85% of what we produce globally, we do it locally here. So, we already reached a very, very substantial level of localization and local manufacturing in that. The bulk of this, what we are talking about is the sale, what we do there.

Teena Virmani: Okay, so this will not come in your path to achieve that double digit margin trajectory, which you have highlighted by end of FY25?

N Venu : This is not a cost, as I said. This is basically we are selling our products from here to our Sweden factory and the bulk of that is our products we are selling to them. And some we are also receiving it because, for example, some of our HVDC, we have to get some components from there. So that is how it goes like that. So, it is for both sale and purchase. So, yes, sure. Ajay go ahead.

Ajay Singh: Let me give a clarification. So, this is just a regulatory requirement that we have to comply with. But this is a related party transactions with our entity Sweden, where the overall transition is going to hit the threshold. And threshold is 10% of our last year's revenue.

And since it is crossing the threshold as a good governance, it is required that we have to take a prior approval from the minority shareholders.

And that is why we are going ahead with this ballot paper, where we seek approval from the minority shareholders in order to be compliant with the related party regulations.

Moderator: Thank you.

Ajay Singh: I hope I have clarified. Yes.

Moderator: I would now like to hand the conference over to Mr. N. Venu for closing comments. Over to you, sir.

N Venu : So, thank you very much, ladies and gentlemen, for attending to this conference call and asking very interesting questions. And as we navigate all the challenges and then continue to grow our strong pipeline, both the orders and also converting them into margin. And then finally, we are able to reach our goal on the margin.

And we are advancing sustainable energy future for all of our customers. And this is a journey, and we would like to continue this journey together. And thank you very much once again, taking time from your busy schedule and attending the call . Please take care

and stay safe. Thank you. HITACHI
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Moderator: Thank you. On behalf of Hitachi Energy India Limited, that concludes this conference.
Thank you all for joining us. You may now disconnect your lines.
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Call: May 2024

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May 28, 2024

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Dear Sir / Madam,

Subject: Transcript of the conference call with Analysts/ Investors held on May 22, 2024

Pursuant to Regulation 30 and 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of the conference call that was organized with the Analysts/Investors on Wednesday, May 22, 2024 and the same can be accessed at <https://www.hitachienergy.com/in/en/investor-relations/analyst-section>.

Kindly take the same on your records.

Thank you,

Yours faithfully,
For Hitachi Energy India Limited

Poovanna Ammatanda
General Counsel and Company Secretary

Encl.: as above

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Hitachi Energy India Limited Q4 FY24 Analyst
Conference Call - May 22, 2024

MANAGEMENT:

Mr. N. Venu - Managing Director & CEO, Hitachi Energy India Limited
Mr. Ajay Singh - Chief Financial Officer, Hitachi Energy India Limited
Ms. Manashwi Banerjee - Head of Communications, Hitachi Energy India Limited

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Moderator: Ladies and gentlemen, good day and welcome to Hitachi Energy India Limited's Q4 FY24 Analyst Conference Call.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. N. Venu – Managing Director and CEO, Hitachi Energy India Limited. Thank you, and over to you, sir.

N. Venu: Thank you very much. Good afternoon, everybody, and thank you for joining us for the Analyst Conference Call today, and I hope you are all well and doing extremely well.

Yesterday, we announced our results for the 4th Quarter and also full FY 2023-24, and over the next 20-25 minutes, I will take you through our performance during the period ending March 31st, 2024, and for ease of your convenience, I will also read out the slide numbers. We have also uploaded the investor presentation on the website of the stock exchanges i.e. BSE Limited and National Stock Exchange of India Limited.

And today, with me in the room, I have our CFO – Ajay Singh, and Manashwi Banerjee – Head of Investor Relations.

So, when we entered the fiscal year in April 2023, our core objective was to remain focused on balancing operational complexity and efficiency amid prevailing market uncertainties. In doing so, we have not only navigated the complexities of the evolving energy landscape, but in my view, also successfully preserved Hitachi Energy India's growth momentum across the quarters. In Q4, we have grown in terms of orders and revenues and created a value for customers, stakeholders, and also society.

I am moving to the Slide #3. As we review the quarter, I want to begin with safety: As you all know, for safety, we call it as our license to operate. Our commitment to safety has been unwavering from offices to factories and onsite locations. Maintaining the momentum of our efforts, we had

varied training programs for employees across locations like emergency preparedness, critical onsite job training, maneuvering on mobile platforms, excavations, defense, driving, etc., in this quarter.

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At Hitachi Energy, safety entrenched in our DNA, which we implement in all spheres of our work. We call this, as I said in the beginning, the license to operate, and we never looked the other way. The same has got us multiple recognition and appreciation from our discerning customers for ensuring sustainable safety practices and quality at our project sites. We thank our clients for their constant encouragement.

I move to the next slide, Slide #4, sustainability performance:

Throughout the year, we expedited our journey to net zero by 2030, so various sustainable projects across our factories and offices. I am quite happy to inform you that we have reduced more than 80% carbon emission under Sustainability 2030 program.

The sustainability projects in FY23-24 primarily focused on energy and emissions, conservation of water, and robust waste management. These projects helped us keep a track on our greenhouse gas emissions, energy consumption, usage of fresh water, and waste management. Through our suitable resources and measures, we have been able to bring down our water consumption by 25% and recycling 96% of waste in our factories. It is noteworthy to mention about 600-kilowatt solar rooftop project at our Doddaballapur facility. Through this ongoing project, we will be able to reduce almost close to 30 tons of CO2 equivalent of greenhouse gas. Furthermore, through this project, we aim to power 40% of our factory's energy needs through this solar plant. This project is scheduled to be completed in this month. As you all know, Doddaballapur is a newly inaugurated factory where we produce our power quality equipment's.

If I move to the next slide, Slide #5. And this slide, I am sure all of you are more familiar than me, but still, I would like to take you through that:

Growth momentum continues in the Indian economy. According to government reports, India's GDP is expected to be in the range of 7.3% for FY 23-24, whereas GDP grew 8.4% year-on-year for the third quarter. The Indian Central Bank- Reserve Bank has kept the rate of interest unchanged at 6.5% for the seventh consecutive time. In March 2024, country's retail inflation eased to 4.85% from 5.6%, that's in November 2023. Also, the India Industrial Growth (IIP) clocked value of 153.5, highest for the FY 23-24 in January 2024. So, India's installed power capacity is expected to reach 616 gigawatts by 2027 and 900 gigawatts by 2032, up from 442 gigawatts in March 2024. Growth drivers for Hitachi Energy remain intact and tracking upwards, as you can see on the left-hand side of my slide. In FY 23-24, the renewable power grew at 11%, including large hydro grew from 173 gigawatt to 191 gigawatts.

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As per National Energy Policy, an ambitious plan is set for the growth of renewables in the country at 24% CAGR to scale it from 191 gigawatts to 648 gigawatts between FY 25-32 at about 3.5x speed. So, this is what we have been saying to reach that kind of levels. So, we need to do more than three to four times what we have been doing it, as a country as a whole or industry as a whole. In the transmission segment, National Committee on Transmission issues green signal for four new ISDS projects. And similarly, for industry, the revival of private CAPEX is likely to augur opportunities of over Rs. 4,000 crores in the market for FY 24- 25.

And on the transportation side, metro, high-speed rail, rail electrification, rolling stock upgrade fueling the growth of transport segment, so on and s

o forth, which is clearly

showing that all these segments, as we have been calling within Hitachi Energy as a high-growth segment, they're all trending in the right direction.

So, moving to Slide #6. Again, I am sure you all know very well, so this is picked up from the National Energy Policy '23-'24:

And as NEP '23- '24 has laid out a robust expansion plan for transmission circuit and network. Additionally, according to the industry estimate, an investment of close to Rs. 2.4 lakh crore at a rate of Rs. 1.07 crore per megawatt is expected for renewable-related transmission by March 2027. Some of the key takeaways of the plan are inter-regional transmission capacity is expected to reach almost 143,000 plus megawatt by '27 from a current capacity of 116,000 plus megawatt.

And HVDC circuit planned to increase by 4,300 circuit kilometer during March '22-'27 and grow to almost 23,000 circuit kilometer with a carrying capacity of 12,000 megawatt by 2027. More than 30 STATCOM projects lined up for bidding along with the

transmission network with a total outlay of more than Rs. 1.1 lakh crore for reactive circuits by 2027. So, these are just a couple of more examples to talk about, concrete plans as part of government's NEP policy, which can create a lot of tailwinds for our portfolio at Hitachi Energy.

So, moving to the next slide #7, multiple stakeholders in the road to energy transmission: At Hitachi Energy, our constant endeavor is toward accelerating the pace of energy transition to achieve the bigger goal of net zero. We propagate this urgency for advancing a sustainable energy future through thought leadership across platforms. Our leaders highlighted and spoke on topics ranging from solar, grid integration to Make in India. As an organization, we are invested in making in India for India and the rest of the world. An HITACHI Inspire the Next
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offshoot of such effort is the recognition of our employees at the Festival of Manufacturing for their contribution towards manufacturing development.

Also, noteworthy to mention is that our HVDC team has successfully completed HVDC-Dielectric for Adani Mumbai HVDC project, which is completely manufactured at our newly inaugurated factory at Chennai. Our employees are our biggest brand ambassadors and real agents of change taking forward brand's ethos and values. It is their commitment and passion which has helped achieve many milestones over the last 75 years. To mark this mega milestone, in March, we kick-started our year-long celebrations for completing 75 years in India across offices and facilities. Diversity being central to our existence. So, in March, we conducted several community outreach initiatives including reaching out to over 1,000 plus students from government schools with focus on girl students at multiple locations.

Moving to Slide #8, which is Customer Connect:

As a leading technology innovator, Hitachi Energy works closely with customers and partners to co-create a sustainable energy future for present and future generations. We had organized a technical session for our customers in Jammu and Kashmir region on next generation sustainable products like hybrid switchgear, disconnectors, digital portfolio, EconiQ™ brand of switchgear. We went to customer sites across utilities and industries to share technology perspectives on core technologies and digitalization. Furthermore, we also flagged off our multi-city customer event series, Energy and Digital World 2024 in Hyderabad. The Energy and Digital World touches upon the latest advancement in grid modernization, renewable energy integration, and digital transformation.

On top of that, this is also a forum where IT and OT integration related topics can also be discuss

ed. It also includes a focus session on tailored industry solutions for core quality data centers, rail, offshore wind, in addition to many other things.

Moving to Slide #9. During this quarter, the quarter ended 31st March, we have commissioned several projects across segments, renewables, EPC, and industries. This includes installing a 420 kV GIS bays at Sembcorp, Nellore, and GRP for 4 x 100 megawatt at Hydro Jaypee for thermal and hydro project, respectively. Furthermore, we undertook an end-to-end solar project at Jaisalmer, Rajasthan, starting from designing, engineering, manufacturing, and execution of the substation grid connections. Also undertook testing and commissioning of 220 kV GIS, 33 kV GIS substation for an Oil & HITACHI Inspire the Next
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Gas major in Barauni. Partnering with customers for the plan, build, and operating phases helps shape the energy transition for industries and utilities in a sustainable manner.

Moving to the next slide, Slide #10. Performance in this quarter has demonstrated our focused strategy to diversify portfolio and relentless pursuit for improving the bottom line. We have seen consistent order growth and progressive margin recovery, resulting in

10.2% operational EBITDA in quarter 4, financial year '24. In the quarter ending March 31, 2023, we received orders worth Rs. 1,406 crores, which is up by 13.9% quarter-on-quarter and 11.5% year-on-year. This quarter, the company delivered a strong revenue performance of Rs. 1,699.2 crores, up 33.1% quarter-on-quarter and 27.2% year-on-year. Better review mix and mitigation of external supply chains challenges, product mix supported margin and profit recovery in Q4 FY24. Profit before tax stood at Rs. 152.2 crores, up 350.5% quarter-on-quarter and 133.8% year-on-year, and profit after tax was at Rs. 113.7 crores, up by 394.8% quarter-on-quarter, 123.7% year-on-year. Some key order wins for the quarter are from tariff-based competitive biddings for 765 kV ICT and reactors, Karera; 765 MVA reactor Rajasthan; and 10 x 50 MVA, 130 kV transformer Madhya Pradesh. We also booked orders for dry-type transformer for a marquee project, semiconductor manufacturing plant, and three-phase technology locomotive transformers for the rail manufacturers, and 12 units of 33 kV CVD and 10 units of 33 kV UT for Jamnagar to mention a few. We remained focused towards increasing operational efficiency while expanding our portfolio in the high growth markets.

Moving to the next slide, Slide #11. To provide some more color on the orders received this quarter, the data center remained a high growth segment, thanks to the push for 5G data localization regulation and data center policies. Data centers are also an integral part of Hitachi Energy's strategy. This quarter, we reported a year-on-year over 700% growth in orders for the data center. With the sheer potential of the market, we see this trend to continue in the future as well. Industries backed PLS scheme, electrification, digitalization, energy networks, semiconductors across sectors from steel to silicon have led to a year-on-year growth of 42% in this quarter. While the orders for transmission and railways have declined to 32% and 29% respectively are basically due to the timing effect of some of the orders. Reflecting the nature of customer orders this quarter, in the segment part, products took the lead, while sector-wide utilities remain in the front and on the channel side, it's the direct end users. HITACHI

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Moving to the Slide #12, long-term growth levers, service, and export. For Q4 FY24, both service and export orders are up by 43% year-on-year each, maintaining their strong contribution to the overall order book. Our ord

er mix reflects our diversified portfolio across our install base and our focus on leveraging our key growth markets and capitalizing on market opportunities. We successfully secured key market wins in services and exports in line with our 2030 strategy. Export orders were driven by transformers for quality technologies and other key products. The bulk of the orders came from the markets of Middle East, Southeast Asia, and neighboring countries in South Asia. Some of the key orders include relays orders from Sweden, transmission project orders from Switzerland and Mexico, and 400 kV GIS module and 420 kV GIS for CFE, respectively. Service orders during the quarter driven by annual maintenance contracts, upgrades, and innovative solutions like RelCare and RelScan for remote condition monitoring and maintenance.

Some of the key orders for the quarter are supply, installation, testing and commissioning of 6 x 130 kV GIS for restoration of Dikchu Hydro Electric Power Station, Ultratech cement, setting up of 765 kV reactors and transformer at SEUPPTCL, just to name a few of them.

So, with that, while I move to the next slide, I will also hand over to Ajay Singh – our CFO of Hitachi Energy India Limited to walk us through the next few slides. Over to you, Ajay. Ajay Singh : Thank you, Venu, and good afternoon, everyone. Hope everyone is doing well, and you are fine at your end.

A strong cyclic revenue performance along with a favorable external environment helped us to improve our revenue and bottom line. This focused and the proactive approach has helped us to achieve better revenue results quarter-on-quarter and year-on-year. As you see during the quarter, the company booked orders worth Rs. 1406.7 crore, which is basically up by 13.9% quarter-on-quarter, and 11.5% year-on-year. The solid order execution resulted in quarter-on-quarter and year-on-year revenue growth of 33.1% and 27.2% respectively, and the revenue stood for the quarter Rs. 1,699.2 crore in this quarter at the end of March 31st, 2024. The focused and proactive approach has further

strengthened the quarter earnings and improved the bottom line. Mitigation of the external supply chain challenges helped the profit recovery in this quarter. As the profit before tax is Rs. 152.2 crore, which is up by 350.5% quarter-on-quarter and 133.8% year-on-year, and the profit after tax is Rs. 113.7 crore, which is up by 395% approximately and 124% approximately quarter-on-quarter and year-on-year, HITACHI Inspire the Next
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respectively. If you see our operational EBITDA, we have reached Rs. 172.6 crore, which is 10.2% for quarter in the double digits as a result of the favorable revenue mix, operational excellence, which has given this bottom-line improvement. If you see the overall rise in operational EBITDA compared to the last quarter, it is 113% and compared to year-on-year, it is 77%. Our order backlog is very robust at the moment, it is Rs. 7,229 crore and we have revenue visibility for approximately, let's say, 20 months.

If I go to the next slide, we have been focusing a little bit more detail on the numbers. So, we have been discussing the ongoing macroeconomic issues over the past several quarters. As highlighted in the previous quarter, I would like to share an update on how the numbers were during these last three months.

Let me take a moment to walk through the specific slide with further detail. If you see the table, it gives a clear picture of our relentless pursuit for improving the bottom line and the progressive margin recovery. You can see the revenue improvement compared to year-on-year 27.2% in this quarter, Rs. 1,699.2 crore and this is due to the solid order execution. Further, if you see the overall details, the material cost is 67.4%, personnel expenses 8.3%, the o

ther expenses are more or less consistent, depreciation is consistent, interest compared to the last quarter, it has come down and in this particular quarter, we have an exchange gain of Rs. 9.8 crore. With this, we are able to reach profit before tax of Rs. 152.2 crore and profit after tax of Rs. 113.7 crore.

So, these are the overall updates from the quarterly performance point of view. With this, I hand it back to Venu for the closing slide.

N. Venu: Thank you, Ajay. and if I move to the last slide before we open it up for Q&A. So, our priorities for the coming quarter and the year are the same as before, our three major buckets, market, business, and functions.

As we enter the new fiscal year, our focus and growth objectives for the year remain intact. Our efforts will continue towards maintaining leadership in the core segment with additional emphasis to augment our service and digital portfolio along with scaling up of export. Furthermore, it will nurture high growth segments. As you have seen, high growth in our view is renewables, transmission, HVDCs, data center, is Rail, etc., that cater to the evolving needs of the sector, harnessing new segments and markets. On the businesses side, the focus will be on accentuating our operational excellence to improve productivity and quality. We will continue to push for optimal efficiency to convert our order backlog to revenue, increase profit and more cash in hand which will result in margin accretion. This week, we have migrated to a new ERP system as SAP/4HANA, HITACHI Inspire the Next
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which is what we call in our internal REIWA. It is a single SAP installed for Entire Hitachi Energy Group. Post-stabilization it will help improve operational processes, provide improved visibility across our system, help with line items like inventories, networking capitals, etc. With our constant endeavor of advancing sustainable energy future for all, safety remains the core pillar of all our processes. Focused efforts will continue to strengthen our human capital capabilities through upscale and cross-scale talent for agile energy transition and for future growth.

With this, I would like to close my presentation and request the operator to open the channel for questions. Thank you.

Moderator :

Thank you very much, sir. We will now begin the question-and-answer session. Anyone who wishes to ask questions may press * & 1 on their touchtone phone. If you wish to remove yourself from the question queue you may press * & 2. Participants are requested to use only handsets while asking a question. Also, ladies and gentlemen in order to ensure that the management will be able to address questions from all the participants in the conference, kindly limit your questions to two per participants. Should you have a follow up question please rejoin the queue. We will wait for a moment while the question queue assembles. The first question is from the line of Renu Baid from IIFL Securities. Please go ahead.

Renu Baid : Hi, good afternoon, team, and congratulations for the strong performance. My first question is on profitability. If we see on an annualized basis, gross margins now have consolidated at about 35% after declining for the last two-three years. So, in your view, Venu, we think now given that the mix of orders are improving including pricing in the domestic market, do you perceive the gross margins have bottomed out and should start improving from here on or there could be other elements at play including changes in the revenue mix between products, projects, etc.?

Ajay Singh : Allow me, Venu, to take this question. Thank you, Renu, for this question. So, the gross margin, if you see, is largely what we see right now, it's mostly dependent on the product mix that we are going through. So, in the last few quarters, we have been going through

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some headwinds. Now that we have stabilized and we see an ease out on the headwinds, mostly depending upon the product mix, the gross margin should be fairly consistent.

Renu Baid : Ok and aligned with this, have we started booking revenues for the Adani HVDC? If so, YTD in fiscal '24, what percentage of the contract has been executed? HITACHI

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N. Venu: Yes, as you know, this contract is under execution. On the revenue side, I would say a very low percentage of revenues have come in.

Renu Baid : Got it. Secondly, in terms of the broad mix, while you have mentioned exports services growing at about 43% for the quarter, how is the broad mix on an annualized basis as a percentage of revenues? And given that global supply chains are stretched, can we expect expansion in the export portfolio, fresh mandate for new markets far often?

N. Venu: Yes. So, if you take the last year, the entire year, FY23, our export orders, for example, orders have touched close to 30%, slightly below 30%. So, we expect that exports as a percentage of our total orders or total revenues going forward will be in the range bound between 25% to 50%.

Renu Baid : And any scope with respect to expansion of export portfolio in terms of product offerings as well as the market?

N. Venu: So, we are looking at it actually, because we also see a very strong demand in the domestic market. So, our main purpose is also to serve the domestic market, right? While serving the domestic market, we're also very open to looking at opportunities outside of it.

Renu Baid : Sure, I will get back in case there are more questions Venu. Thank you so much and all the best.

Moderator : Thank you. The next question is from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal : Hi, Venu. Congratulations on a great quarter, sir. And I think you have achieved your double-digit margin guidance in this quarter, one year ahead. I remember you mentioning that FY25 and you'll be touching that. So, my first question is again on the EBITDA margins. So, in this quarter, we have seen the volume going up, the revenues have improved significantly and large part of the savings in other operating expenses passing on to the margins. So, just wanted to understand the nature of savings and other expenses, they have not grown in line with the business volumes. So, is it the sustainable level, the current levels of other expenses and now the worst is behind us, and we'll be able to maintain these double-digit margins? HITACHI

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N. Venu: So, let me just give you an overview of that, then maybe ask Ajay to talk about it a little bit more on the expense standpoint. Well, yes, we have entered the double-digit margin in this quarter even though our guidance is far away from this particular quarter. But if you really look at an annualized basis because our business is what we call as a late and long cycle business, right? Even though we like to compare a quarter-on-quarter but depending upon our lumpy revenues, the whole thing can be started in that. So, we always look at it in a medium term to long term view which is fairly one-year comparison. So, if you really look at the whole of last year, our EBITDA margin came to 6.7%. So, basically, we have improved 100 basis points on a year-to-year basis on that. So, this is where we are telling that directionally, we are looking at improving where we are, where we were rather. So, same, our endeavor from now onwards also looks at the same way to improve directionally to move the EBITDA margin at a higher level and a fairly mid-term basis in that. So, that's what in our endeavor and we are looking at all to ensure that we do that. Maybe Ajay, j

ust talk about a little bit on the expenses side.

Ajay Singh : So, on the expenses side just to give you a broader perspective, if you see our cost structure generally, so we have a personnel expense hovering around between 9% to 10% and other expenses including depreciation and interest, it will be hovering around, let's say, 22%. So, this is the structure. We feel that we'll be moving in this direction as we progress in the coming quarters. So, I see these are the areas where we see the expenses will be there. Overall, we'll be remaining within this basket.

Parikshit Kandpal : Ok sure sir. Sir, my second question is on the long cycle orders now. So, we have won high speed rail package, I think last time we had mentioned that. We are talking with the EPC player who has won the entire Rs.10,000 crore project. So, that was one thing. And the secondly on the HVDC orders. So, if you can give some more sense on how's the order pipeline looking at on both these segments over the next one year. So, how do you see the ordering panning out?

N. Venu: The order pipeline is very robust. I would say, right now as you all know, that HVDC tenders have come for bidding and the STATCOM tenders have come for bidding. So, we are submitting our bids to the probable customers, and we are working on that. So, on that, I think we have seen a very strong and on top of that, we also see a very strong pipeline of our export projects as well. So, export projects, as we are saying, we are also looking at some of our other products that we use to export. Also, we are seeing a traction of projects very strongly in the markets where we are acting now. HITACHI

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Parikshit Kandpal : Ok, sure sir. Thank you.

Moderator : Thank you. The next question is from the line of Apoorva Bahadur from Goldman Sachs. Please go ahead.

Apoorva Bahadur : Hi sir, thank you for the opportunity. Sir, you mentioned STATCOM opportunity of almost Rs. 1.1 trillion. I wanted to check if this is an incremental to the Rs. 2.4 trillion NEP opportunity or is it a part of this?

N. Venu: This is very much part of it.

Apoorva Bahadur : Ok understood. Secondly, sir, I think globally the parent has announced a CAPEX of almost a \$1.5 billion for transformer manufacturing capacity addition. Would be great if you can give some color of how much of this will be deployed in India?

N. Venu: So, thank you for your question, Apoorva. So, as you know that we have been continuing to expand in India since last, I would say, three years, much ahead of the curve. I would say we have expanded our HVDC factory, our global technology services and also we have added new RIT bushing factory, STATCOM, power quality factory in Bangalore. So, all these things were part of our strategy and fully supported by the global organization. And the transformers also, as we speak, we have already done a couple of expansions in the last two -three years and then we are also looking at very actively now. So, I am not able to tell you the exact details because we are firming up at this point in time, and maybe in a couple of months or a couple of quarters from now, I think we will

be in a position to do that. Exactly what kind of scale, everything.

Apoorva Bahadur : Sure sir, understood. Last question, sir, again on the manufacturing capacity, not just transformers, otherwise as well. I believe we are at 70% utilization with the type of pipeline that you see in hand. Do you think our manufacturing capacity is adequate or will we have to ramp it up significantly?

N. Venu: As I said, we have been continuously ramping up ahead of the curve, right, adding a new product line, bringing the new technology, localizing the technology. So, that's the reason. For example, our power quality factory, in Bangalore was a greenfield factory where we ramped up

the capacity from 10,000 MVAR to 20,000 MVAR. From 20,000 MVAR we are now looking at taking up to 30,000 MVAR. So, it's a continuous process and some of our product lines are much higher than the 70% utilization what you've talked about. Some of the product lines, we do have some room where we can still take HITACHI Inspire the Next
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the things back. So, on an overall basis, I would say we have quite a good utilization across the factories. We have 19 manufacturing factories just for you to know that we have a fairly good amount of utilization at this point in time.

Apoorva Bahadur : Understood sir. So, we'll probably have to incur more CAPEX in expanding those if the demand persists.

N. Venu: Yes.

Apoorva Bahadur : Sure, thank you so much. I will come back to you.

Moderator : Thank you. The next question is from the line of Mahesh Bendre from LIC Mutual Funds. Please go ahead.

Mahesh Bendre : Thank you so much for the opportunities. Sir, in the presentation, you mentioned that the total investment required for the transmission of renewable is around Rs. 2,44,000 crores. And in the morning, one of the media interviews mentioned that the addressable market opportunity for us is around 40%. So, Rs. 1 lakh crore is the opportunity for us over the next three years. Is it the right way to look at it?

N. Venu: So, what I had said in the media, let me repeat. So, this Rs. 2.44 lakh crore is the government plan to reach 500 gigawatts of transmission. This is the one example I've given. This is the ISTS or part of the ISTS, if you want to reach the target of 2030, so this is the investment, right? And to reach the 2030 target, I've also said that the government or whoever it is needs to complete the ordering in the next two to three years, right? And that's what I was coming from. So, in the next two to three years, we see at least 40% of this market is our addressable market. The question is whether all ordering will happen in the next two-three years, even some of them will spill over to fourth year, is what we need to wait and see in that. But our view is that if we really want to reach the target of 500 gigawatts of transmission network ready by 2030, then the ordering has to happen.

Mahesh Bendre : So, if this Rs. 1 lakh crore ordering has to happen over the next three- four years, I think there are only two-three players probably will be addressing this opportunity. I mean, we, along with Siemens and maybe GE T&D. So, is it fair to assume that 40% of the market share could belong to us?

N. Venu: No. I think here we are crossing each other. What I was telling you, Mahesh, is that the two- three players or whatever we are talking only for some of the critical things like HITACHI Inspire the Next

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HVDC or so on and so on. But this Rs. 1 lakh crore is also for transformer, it's also for the GIS, it's also for the substation, right? So, it is a wider network, our addressable market, our portfolio, like a substation automation, those entire portfolios. So, there are many players, more than three players.

Mahesh Bendre: Sir, last question from my end. Sir, data center has shown very significant growth. So, how much contribution in this quarter from the data center?

N. Venu: No, we don't give the numbers segment-wise. I think in our view, as I said, it's a high

single digit and we are remaining in the high single digit, we are growing in that. As I said, the data center is one of our key high growth segments. We have been working on this with the data center developers and we have the technology, and we also know how to support exactly how this kind of data centers require energy-efficient systems. And that's where we are very fortunate to be successful in that.

Mahesh Bendre : Sure, Thank you so much sir.

Moderator : Thank you

. The next question is from the line of Mohit Kumar from ICICI Securities Limited. Please go ahead.

Mohit Kumar : Thanks for the opportunity and congratulations for a very good quarter. My first question is on these clarifications. The Slide #6 mentions that more than 30 STATCOM devices with a total budget of Rs. 1.1 lakh crore for reactive circuits by 2027. The number looks slightly off. I think 30 STATCOM, 1 STATCOM should be around Rs. 3 billion to Rs. 4 billion rupees. Isn't that, right? Am I missing something?

N. Venu: I think that's what is coming to us, right? When you say STATCOMs, we are talking about the whole STATCOM project there. So, the project includes not only the STATCOM devices, but also includes the end-to-end connections, etc., et cetera.

Mohit Kumar : That's a pretty large number, it's Rs. 1.1 lakh crore. Is that right?

N. Venu: We will cross-check that. We will cross-check and then maybe come back to you on that.

Mohit Kumar : Sir, my second question is on the Scott transformer opportunity. I think recently we supplied one of the Scott transformers with one of the EPC companies for the Western Railway Line. Is it fair to say that this can be a significantly large opportunity in the medium term?

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N. Venu: Yes. In the medium term, I agree with you that because on the Railway's standpoint, they are having a huge target to completely electrify the remaining things, and this is quite a big opportunity in our view.

Mohit Kumar : And, sir, how is the competitive intensity of Scott transformer opportunity as of now?

N. Venu: We don't want to name them.

Mohit Kumar : No, name, sir, broadly.

N. Venu: There are at least two or three players. So, the key is to do the type test. So, we are the first one to complete the entire type test successfully. So, there are, I think, one or two either in the process or they're completed in that. So, my view is that there will be at least three or four competitors going forward.

Mohit Kumar : And, sir, last one, the HVDC. I think, of course, the bids are happening right now, so to speak. Is it fair to say that we have tied up with EPC, EPC companies and we are bidding it as one package? Is that right? The data question, do you have the appetite to take three or four projects at the same time?

N. Venu: Yes. So, our view is that we will be giving our offers very transparently, openly to all the customers, whoever is bidding for it, and then from there we will take it forward. At this point in time, we have not tied up with anybody and that's also not our strategy because we always have a multi-channel strategy and we will continue to give our offers very transparently, openly to all the customers, whoever is bidding for it.

Mohit Kumar : And do you have the appetite to take two or three?

N. Venu: Yes.

Moderator : Thank you sir. The next question is from the line of Manish Dhariwal from Fiducia Capital Advisors Pvt. Ltd. Please go ahead.

Manish Dhariwal : Thank you so much for this opportunity and my compliments to the team for grappling with the tight and the tough situation for more than a couple of quarters, I would say, and finally like, seeing the destination of higher margins and better numbers. So, I basically want to understand that one problem that we were facing continuously was about the supply chain problems and semiconductors. Now, is this semiconductor issue clearly behind us? HITACHI

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N. Venu: I would say so. Of course, on global or geopolitical conflicts, we can't say that everything is done deal or something like that, right? At this point in time, as we say, as we look, the semiconductor supply chain has eased out. So, we are able to get the chips and those kinds of parts. But we are able to project well at the e

nd of the curve and then able to get it in there.

Moderator: We'll move to the next question, and the question is from the line of Khadija Mantri from Capri Global. Please go ahead.

Khadija Mantri : Thank you, sir, for the opportunity. So, my question is regarding the Slide #11, wherein we have given the growth industry-wise. So, it is with respect to the company, or it is the whole industry has grown in this quarter?

N. Venu: No, this is for our company. The transmission, for example, that is for our company, what are the orders in that particular segment.

Khadija Mantri : So, this is with respect to the order intake?

N. Venu: Yes, it is with respect to the order intake.

Khadija Mantri : And, sir, in data centers, can you please elaborate what will be our offerings in terms of products and services? And how do you see this market growing? I understand that you said a high single digit, but in terms of for the overall industry, what could be the growth for the next three to four years?

N. Venu: So, the data center, as we told, our offerings are, because we do a lot of studies on the data center, on the power standpoint, and then the high voltage, and also the dry type transformers, and the grid connection, stability of the whole network grids, networks mean on the power side. So, that's what is our thing in that. Roughly, if you really look at the data center CAPEX, in a range anywhere between 10% to 15%, depending upon the size of the thing, whether the hyperscale is higher, and medium scale is lower. So, hyperscale is anywhere between upwards of 15% of the CAPEX is our addressable market.

Moderator : Thank you. The next question is from the line of Shivani from PL. Please go ahead.

Shivani: Sir, firstly, congratulations on a good set of numbers. So, what is the current capacity for transformer manufacturing in terms of MVA in Vadodara, as well as Saudi plant?

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N. Venu: Thank you very much, Shivani, for your question. So, normally, we are not giving that information yet. And so, I would say that we have built up over a period of time, more than two decades or so, expanding our factories. So, we're not only having a Baroda, but our factories are also in Sangli, Halol, and Mysore. They're all related with the transformer. Some, they will do the insulation kits, and some, they'll do the bushings, and some, they'll do the dry type of transformer. So, it's like that, we have built up the factories, and there are several factories within the transformer family, like a large power transformer, medium power transformer, like SPTs, and then dry traction, like that. So, there are various things are there. Putting a number does not look good. So, normally, we have not been giving, but all I can say that we are by far one of the biggest manufacturers in terms of the capacity, in terms of the MBI, in terms of the supplies, et cetera., in the country. All put together.

Moderator : Thank you. The next question is from the line of Tina from Motilal Oswal Financial Services. Please go ahead.

Tina: Congrats for a very good set of numbers for the current quarter. Sir, my question is related to the reduction in other expenses, which we have seen in the current quarter. And so, I wanted to check, is there any further scope of reduction in other expenses from the current level, maybe in terms of any kind of reduction that can go to the parent side, or maybe any kind of cost-saving initiatives that you would have taken? So, how do we see this going forward?

N. Venu: Maybe Ajay, you wanted to take this question.

Ajay Singh : Thank you for this question. As I just spoke earlier on this. So, overall, if you see the reduction in other expenses, over the cost structure, more or less will remain in the same basket that I spoke about earlier. Again, I repe

at, my personnel expenses will be in the range of 9% to 10%. And removing the personnel expenses, all the total expenses should be around 22% to 23%. That is what we see. So, some line items can come down, some items can go up, but overall, we'll be within this basket.

Tina: So, if I exclude the depreciation and incurred portion, if I keep that aside, if I look at purely the other expenses, which is part of your total expenses, can it come down on better absorption of your cost once the scale-up happens in, let's say, your Adani project, or maybe the other projects that you would have received during the current financial year?

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Ajay Singh : So, in this only comment will be seen wherever the expenses which are related to volume, that is where we can see some changes. Else, I think more or less we are consistent.

Tina: And is the execution of Adani project going to ramp up in the coming quarters? What is the timeline for completion of your portion in that?

N. Venu: This will go to next year as well.

Tina: So, between FY25 and FY26, we can expect the portion to get completed?

N. Venu: Yes, as per the original schedule, it goes right up to FY25-26.

Tina: The last question from my side is regarding the HVDC project tendering, which is already going on for one or two projects. What percentage of this, let's say for an individual project, what percentage of this can be the addressable market for Hitachi?

N. Venu: I think these are pretty large projects, so depending upon what kind of projects, weighting, etc. So, the value can be high anywhere in excess of Rs. 10,000 plus crores, depending upon what kind of business model, what kind of things, et cetera. So, those are the things. So, we will not be able to tell exactly the thing, what business model. There are customers who have different, different ways and means of doing it. So, we need to also look at the exact weightings, etc., in that. So, it's different for different things. We are not able to exactly tell what the market for each project will be. The market will be varying hugely.

Tina: Sure sir. Thank you sir, that's it from my side.

Moderator : Thank you. The next question is from the line of Bhalchandra Vasant Shinde from Kotak Life. Please go ahead.

Bhalchandra Shinde : I would like to know in the HVDC projects, till what level we have achieved the indigenization? And on these Adani HVDC orders and future orders also, what kind of import content will be required?

N. Venu: No, we will not be able to tell exactly what is Adani's order. HVDC technology is a very niche technology. There are a lot of things we depend on vendors outside of India. But having said that, we said that we have done a lot of value addition here. We set up our own manufacturing factory for our valves. We have a complete manufacturing for the converter transformer. We have a complete manufacturing for the capacitors. So, that way our domestic component is quite high, in excess of more than 50%, 60% of that. So, HITACHI

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if you add our engineering capabilities, which is very, very rare in that, our indigenously developed thing is far, far higher. That's what I was telling you.

Bhalchandra Shinde : And sir, in the exports market, it is said that there also HVDC opportunities are gaining traction and there again, the supply constraint is there, like in India, like only three players are there. There are also relatively fewer players. So, in our context, do we wait for the parent to get orders, or we can go for direct export orders?

N. Venu: No, you see, all this thing is not that we can do. The energy transition challenge is huge. It needs a lot of collaboration, co-creation, working not only within

company, within group, but also outside of the group, right? The challenge is so big. So, it's not possible for any single company to go and do that because we have to have a collaboration, working together in a coordinated manner. It needs to be done because in some places,

understanding the customer's requirement will be better known by some other people who have been tracking that particular customer. So, it cannot be done just like that we go and do that because this is a highly technology intensive project. It needs a lot of prior working, understanding the system studies, understanding the behavior network before we do that. But having said that, we do see some opportunities for us to at least to supply some of the components in those areas where we built up the factories in India in that. So, as and when those opportunities mature, we will let you know that. But at this point in time, for us, the export strategy is throughout the portfolio. So, we are actively looking at it in our three-prong strategy. That is the first one, we have a global feeder factory that some of the products we manufacture only in India and for everywhere.

The second one is that we have some allocated markets where we develop those markets together with the local sales and marketing teams over in that particular country and sell our products. And the third one is we have a feeder factory where we manufacture some of the components of the full products and those components will be sent to our factories around the world and so that they are able to use these components for complete production. So, this is how our strategy of the exports and with that, we said we have got to 25% and now it's going to be anywhere between 25% to 30%.

Moderator : Thank you, sir. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. N. Venu for closing comments. Over to you, sir.

N. Venu: Thank you very much. And once again, a big thank you all of you for taking time from your busy schedule and attending to us and listening to us. And we're happy and due to the paucity of time, maybe we could not answer some of your questions, but please reach HITACHI Inspire the Next
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out to us if you need any more information you want to know from us. Thank you, and please take care and stay safe.

Moderator : Thank you, members of the Management. Ladies and gentlemen, on behalf of Hitachi Energy India Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

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Call: Jul 2024

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July 30, 2024

The Secretary,
Listing Department,
BSE Limited,
1st Floor, Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Scrip Code: 543187 The Manager,
Listing Department,
National Stock Exchange of India Limited,
'Exchange Plaza', 5th Floor, Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra (East),
Mumbai - 400 051
Scrip Symbol: POWERINDIA

Subject: Transcript of the conference call with Analysts/ Investors held on July 25, 2024

Dear Sir / Madam,

Pursuant to Regulation 30 and 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of the conference call that was organized with the Analysts/Investors on Thursday, July 25, 2024 and the same can be accessed at <https://www.hitachienergy.com/in/en/investor-relations/analyst-section>. Kindly take the same on your records.

Thank you,

Yours faithfully,

For Hitachi Energy India Limited

Poovanna Ammatanda
General Counsel and Company Secretary

Encl.: as above

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Hitachi Energy India Limited Q1 FY25 Analyst
Conference Call – July 25, 2024

MANAGEMENT:

Mr. N Venu – Managing Director & CEO, Hitachi Energy India Limited
Mr. Ajay Singh – Chief Financial Officer, Hitachi Energy India Limited
Mr. Poovanna Ammatanda - General Counsel & Company Secretary,
Hitachi Energy India Limited
Ms. Manashwi Banerjee – Head of Communications, Hitachi Energy
India Limited

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Moderator : Ladies and gentlemen, good day, and welcome to Hitachi Energy India Limited Q1 FY '25 Analyst Conference Call.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. N. Venu – MD and CEO, Hitachi Energy India Limited. Thank you, and over to you, sir.

N Venu: Thank you, Yashashri. Good afternoon, everybody. Thank you for joining us for the Analyst Conference Call.

And I hope all of you are fine and doing well. So, yesterday, we announced our Results for the 1st Quarter of FY '24-'25. And over the next 20 - 25 minutes, we will take you through these results in detail. We have uploaded the slide deck in the BSE and NSE portal, and I will refer those page numbers for ease of your understanding in case you are joining through phone.

With me in the room today, I have our CFO – Ajay Singh; General Counsel and Company Secretary – Mr. Poovanna Ammatanda; and our Head of Communications, Investor Relations – Manashwi Banerjee.

Throughout the last fiscal, our focus was on balancing operational complexity and efficiency, which has helped us in achieving a strong order intake, resulting in a record order backlog in the 1st Quarter of FY '24-'25. As energy transition gathers pace, investments in the power sector, especially in the renewable and grid connections continue to grow. And with the backdrop of Union Budget '24-'25 announced on Tuesday, in which energy security is a key priority, we expect more traction in terms of opportunities, in the coming quarters. So, let me start my presentation and moving to

Slide #3.

So, as you know that safety, integrity and quality are our license to operate and are a fundamental part of our day-to-day operations. As we review the quarter, I want to start with the good news that Hitachi Energy has been accorded with the Prestigious International Safety Award from Royal Society for the Prevention of Accidents, Gold 2024 for our Mumbai HVDC project, which is under execution. HITACHI
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Human capital is at the heart of all decisions and employee wellbeing is paramount to us. So, this quarter, we have organized multiple awareness sessions, health camps, training sessions across our offices, facilities, project sites, for the welfare of our employees and workman. To mention a few, we had a session on tobacco cessation, pain management, mental health. In light of the extreme summer temperatures in this quarter, we also had multiple sessions to prepare employees for the heatwave, across our offices, factories and project sites. At Hitachi Energy, safety, integrity and quality is entrenched in our DNA, and we are committed towards implementing the same in all spheres of our work.

Moving to the Slide #4, Sustainability:

At Hitachi Energy, our purpose is to advance a sustainable energy future for all. Towards doing so, we have been building on our internal sustainability initiatives. So, similarly, you have also seen that previously, we announced our Sustainability 2030 targets. As part of that, we want to be carbon neutral in our own operations by 2030.

Across facilities, we have implemented projects to reduce emissions and managing water and waste. And these help us keep track of our greenhouse gas emissions, energy consumption, usage of freshwater and waste management, ultimately, what gets measured gets done.

Some of our key actions from this quarter include replacing furnace oil, and upgrading to biofuel boiler at our Mysore unit, to reduce fossil emissions. Furthermore, to conserve rainwater, several rainwater recharge wells are put to use and reduce freshwater usage, STP treated water is used for watering gardens in our locations.

Also, at our Peenya facility, 15 water meters were installed to monitor water consumption and reduce wastage. In terms of waste management, we have stopped the regular use of single-use plastic bottles across all locations. We have also devised plans to reuse metal waste and packaging material at our Doddaballapur and Peenya, respectively.

These are a couple of examples, what's happening throughout our organization. As you can see the right side of the slide where in addition to drive our financial KPIs, our leaders are also being monitored on these KPIs, in-house gas emissions, energy consumption, freshwater use and waste generated, as well as well waste disposal. These KPIs are tracked, like how we track our financial KPIs.

Moving to the Slide #5, I think on the left-hand side, probably you know a lot about it, but let me just go through that: HITACHI

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The Indian growth story continues, as the country is on the right track for a \$5 trillion economy in the coming years. According to government reports, India's GDP is estimated to grow by 8.2% and Indian industry IIP supported this trend growing 5.4% for this quarter, '24-'25. With an objective to further boost the renewable sector, the government in Union Budget 2024 allocated Rs. 19,100 crores to the Ministry of New and Renewable Energy against the revised estimate of Rs. 7,080 crores for the budget, '23-'24.

In the transmission segment, now you can see that the Gujarat Energy Transmission Corporation plans to invest almost a Rs. 1 lakh crore for the develop

ment of transmission

infrastructure in Gujarat, in the next 7 years. This is like we have seen previously the inter-state transmission network. And now we are seeing more and more state transmission utilities are coming up to invest in the grids of the state.

The Ministry of New and Renewable Energy has sanctioned the implementation of the Strategic Interventions of Green Hydrogen Transition program. Comprehensive the scheme has been allocated a substantial budget of Rs. 13,050 crores. And a budget of 2.5 lakh crore is earmarked for Indian rail modernization and network expansion, where

our company is well positioned in this sector. And Rs. 50,000 crores capital expenditure is expected over the next three years. Also, discom upgradation, modernization, RDSS Schemes will be attracting more investments as and when that happens in that.

Moving to the Slide #6. We are customer-centric and are committed to building trust, the long-term partnership. This quarter also we engaged with our customers, starting with our team meeting the high-profile delegation at Sri Lankan Ministry of Power, to reaffirm ties and discuss future areas for collaboration.

Another highlight was a full day seminar at Dhaka for Power Grid Corporation of Bangladesh on innovation solutions and control protection, substation automation, telecommunication systems, etc. On the occasion of the visit of our global CEOs, there was a power-packed thought leadership evening on the energy transition in Bengaluru with government delegates and industry leaders.

Our flagship initiative Energy and Digital World (EDW) was kickstarted in Hyderabad followed by the second event at Bellary. Both events saw enthusiastic participation from customers and partners.

If I move to the Slide #7, as part of year-long celebrations of our 75 years in India, we initiated a new platform called TechTalks, which will allow our employees to direct HITACHI Inspire the Next
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access to top minds in Hitachi Energy, to understand industry and technology trends.

The first TechTalks webinar witnessed participation by almost 1,000 plus people.

The ExcelHer development program is specifically designed for our high potential women leaders, and we closed this year cohort on an encouraging note.

Other upskilling programs this quarter included a Value Persona Sales Workshop, that drives home the focus on customers and improving the overall experience as we embark on the energy transition. And in preparation for the next generation of energy transition talent, we participate in career fairs organized by renowned institutes, to spot potential and to showcase our organization ethos to prospective hire. This quarter, we were at Loyola College, Chennai, where we received an overwhelming response.

On World Environment Day, you see the last picture on the slide. We initiated a mammoth tree planting campaign, aiming to plant 75,000 saplings in 12 months, commemorating our 75 years of powering India. And it pleases me to say that our efforts continue to receive industry accolades with senior leaders being conferred with the prestigious award for their contribution to shaping the energy transition.

If I move to Slide #8. As a pioneering technology leader, we are committed to the energy security of the country through various projects undertaken by us. During the quarter, we have commissioned several projects, and I will highlight a few of them. We commissioned a 400/33 kV AIS substation, 350 kV and 432MW DC solar project in Bikaner. The team was responsible for design, engineering, procurement, supply installation, testing and commissioning. Another solar project that we commissioned was 100MW SECI solar project Banipura, whose scope encompasses, design, engineering, supply, testing, erection. The team also commissioned energizing the 22

0/33 kV bay extension
packages.

For the MP Power Transmission Package-II projects along with design, engineering, procurement, supply, installation. Our project team is also taking care of our construction, along with testing, commissioning 220kV, 132kV, and 33kV substations. These are just a couple of examples of the projects commissioned in this quarter.

Moving to the next slide, Slide #9:

In the quarter ending June 30, 2024, we received orders totaling Rs. 2,236.7 crores, where Renewable led the pack from studies across utilities and industries to grid HITACHI Inspire the Next
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integration projects, along with the several power quality projects. The quarter witnessed order

growth of 112% year-on-year and 73.2% quarter-on-quarter. Revenue was at Rs. 1,327 crores, up 27% year-on-year, but quarter-on-quarter, there is a decline of 21.9%. Both profit before tax (PBT) and profit after tax (PAT) saw year-on-year growth of almost threefold. But on a quarter-on-quarter basis, PBT and PAT declined. The quarter closed with a record order backlog of Rs. 8,539.4 crores, which is the highest since inception of our company. Some key orders received in the quarter includes a large HVDC project order from Marinus Link in Australia. As you recall, we have set up our new greenfield factory in Chennai. And we have seen such demand coming up, not only in India, but also in other parts of our region, and we were early on to set up this factory in that. In addition to the Marinus Link, two transmission projects, one through tariff-based competitive bidding 6x500 MVA ICT, 400kV SR in Gujarat for Adani, and other one is 400/220kV digital substations, CRP SAS retrofitting of existing substation, Kanpur. One renewable project for Renew power in Fatehgarh, and another noteworthy export order from Canada for 800 kV CT for Hydro-Quebec customer in there. We remain focused towards increasing operational efficiencies, while expanding our portfolio in the high-growth markets and continue to grow higher than the market.

Moving to the Slide #10, to provide some more color on the orders received this quarter:

This quarter, transmission segment emerged as a high-growth segment, with year-on-year growth of 567% followed by renewable, which is up by 553%. Industries also saw year-on-year growth 35%, whereas in Q1, we saw a year-on-year decline of 77% in data center segment, but it remains high growth segment in the medium term. The rapid growth of data center, electrification of railways and growing metro network throughout the country will continue to push these segments in the near future.

On the right-hand side of the slide, you can see order mix.

Projects took the lead in segment, whereas utilities and direct end user are clearer winners for sector and channels respectively.

Moving to the Slide #11 is the value creator, service and export, as you have been seeing consistently. We are talking about increase in the exports and the services, offering both service and digital. The climate challenge is, we always say it's a huge challenge. It's the HITACHI Inspire the Next

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bigger than one company, one team and one individual and our continuous effort is to enable many pathways to energy transitions across geographies and segments.

Exports contributed 27% to the total order book, not including the large HVDC export order we received from Marinus, because that's a large order. If we include that, the whole thing will be skewed, so we always keep out such large projects, while considering the export contribution to the total order.

We continue to trend in the upper band of our stated targets for the exports. Orders for transformers, power quality te

chnologies and other key products were booked from the markets like Europe, Middle East, Australia and neighboring countries in South Asia.

Apart from the Marinus Link order from Hitachi Energy Australia, we received orders from Hitachi Energy Canada, Portugal, Greece and Iraq for the multiple projects for our portfolio. Some of the key service orders for this quarter comprised of renewable studies from the private utilities, renewable generation companies, industrial houses, EPCs, emergency remote support to key data centers, et cetera.

And now I would like to move to the Slide #12, and then I will hand over to our CFO, Ajay to take us through the financials.

Ajay Singh : Thank you, Venu, and good afternoon, everyone, and I hope all of you are doing well at your end. If you see in this particular slide, our focus and proactive approach has helped us to maintain the order growth momentum, carried from the last fiscal year. During the quarter, the company booked orders worth Rs. 2,436.7 crores, up by 73.2% quarter-on-quarter, and 112% roughly year-on-year.

Revenue was Rs. 1,327.3 crores, which is also 27% year-on-year, up. And then also, if you compare with the previous quarter, there was a decline of 21.9% quarter-on-quarter, because of the cyclical pattern which has impacted and further impacted by the revenue

mix with the traditional product buyers.

Profit before tax for the quarter was Rs. 15.1 crores and profit after tax was Rs. 10.4 crores, both up around as MD explained, it's roughly three times year-on-year, whereas operational EBITDA and operational EBITDA for the quarter stood at Rs. 39.6 crores and Rs. 61.5 crores, respectively.

And on the percentage terms, operational EBITDA was 3% and EBITDA, 4.6%. Our order backlog stood at more than Rs. 8,500 crores. If I go to the next slide, where I would like to share a little bit more details on how the movement happened in the particular quarter. HITACHI

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If you see our revenues Rs. 1,327 crores, obviously, previous quarter was exceptional quarter.

But if I compare year on year, Rs.1,043 crores revenue was there. So, there is a growth of roughly 27%. Material cost for the quarter was around 62.8%, and our personnel expenses was around 9.2%. So, historically, if you see Q1, there is a slow start for us, where we see a lower revenue and higher costs. And our other expenses, if you see, is hovering around 23.6% and then normally, in the 1st Quarter, it is around 23% to 24%. And towards the end of the year, we see that we are able to achieve 20% to 21% for the year.

Further, in the current quarter, if you see, there is an exchange ... FOREX hedging impact at Rs. 9.4 crores, and depreciation and interests are more or less aligned with the previous quarter. So, this is how we are able to close this particular quarter, 10.4% PAT which is better compared to year on year on the lower base.

With this, I hand over to Venu.

N Venu: Thank you, Ajay. Moving to the last slide, Slide #15, yes. So, our priorities for the coming quarters and the financial year, '25, we remain committed to our 2030 strategy of maintaining leadership in core segments, shifting our core center of gravity towards service, export and digital and harness high-growth segments. On the business front, consolidated efforts will be made to leverage the large order backlog for revenue accretion and also profitability accretion. We'll have to drive productivity with an emphasis on operational excellence in all spheres of work, to achieve sustained double-digit margins going forward.

With the safety being entrenched in our DNA, we will continue to approach every day as a day one, in terms of implementing safety work culture, at all of our locations, whether it is the factory, offices or project sites. Furthermore, we continue

to invest towards

increasing our existing capabilities for sustainable future growth, be it for people through our cross-skilling or in terms of strengthening our footprint or expanding, all towards a seamless energy transition.

So, with this, I would like to close my presentation and open the channel for questions.

Moderator : Thank you very much. We will now begin the question-and-answer session. We have a first question from the line of Apoorva Bahadur from Goldman Sachs. Please go ahead. HITACHI

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Apoorva Bahadur : Sir, two questions. Firstly, on the margin bit. Just wanted to know what caused the other expenses to increase almost by Rs. 50 crores year-on-year? And also, then what's our full year EBITDA margin expectation for this year? And second question is on the capital expenditure, essentially the part of 6 billion CAPEX that the parent has sort of allocated to energy transition. So, any clarity on how much of that is expected to be spent in India and some road map?

N Venu: Yes. Thank you, Apoorva. Maybe on the first one, I will ask our CFO to talk on that, but we don't give any guidance, forward-looking statement. What we have been talking about

consistently is that we will enter double-digit EBITDA by end of FY '25. So, that's what we have been telling and we continue to do that. Maybe, Ajay, why don't you take him through the other expenses.

Ajay Singh : Okay. So, thank you, Apoorva. So, as I mentioned that traditionally, our quarter 1, we see the revenues are low and the cost base are high. But specifically talking about the other expenses, I would like to comment, including FOREX. So, let me comment in this particular quarter we had a FOREX hedging impact compared with the previous quarter, the impact was around Rs. 20 crores, and largely for the new project that we have booked. Then the second item is basically we have higher IT charges. As we have discussed earlier, we have migrated to a new ERP, during the 1st Quarter of '24-'25. And right now, we are on a parallel IT infrastructure. So, basically, this is where we got this higher cost, but we really expect the same to be normalized by the year-end.

N Venu: On overall full financial year basis, so we will be able to ramp up.

Ajay Singh : And the other element is basically on the higher overhead is on account of the royalty, which is, if you see royalty expenses in the current quarter is calculated based on the revenue numbers of the previous quarter as per the contractual terms. And that is how our previous quarter, as I told, was exceptional on the revenues. So, these are the three or four major items that has impacted other overheads.

N Venu: And all these things will be within the range on an overall year if you take it for.

Ajay Singh : Correct.

N Venu: So, on the second question, Apoorva is on the capital expenditure standpoint. Well, definitely, there will be, as I said, we would not like to tell at this point in time. We want to reserve it this for a later part of the year, for announcement. HITACHI

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Apoorva Bahadur : Okay, sir. So, as of now, the capital expenditure is, what the regular run rate that we have Rs. 200 crores?

N Venu: Rs. 100 crores per year.

Moderator : Next question is from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal : Congratulations on great order inflows during this quarter, sir. So, my first question is on when you say that you will achieve double-digit margins by year-end, but you've already achieved it in 4th Quarter FY '24. So, what do you mean by achieving it by year-end?

N Venu: When I said from entering double-digit means, we expect that in

a sustainable manner.

We will look at that. That's what we meant.

Parikshit Kandpal : Is it right to assume that maybe at some point of time where the revenue cross is Rs. 2,000 crores on a quarterly basis, then we'll be able to deliver that kind of number, because at Rs. 1,300, Rs. 1,400, you'll barely be at EBITDA positive. This is what I sense given the cost structures, you have at 37% gross margins and other expenses of 20% to 23% and 9% of employee expenses. So, you'd barely make any EBITDA at run rate of Rs. 1,400 crores, Rs. 1,500 crores of revenue per quarter.

N Venu: Yes, we don't want to make that kind of statements. It's up to you to calculate. But as I said, we don't give any forward-looking statement. Sometimes, in addition to what you're talking about, also mix will play a large part of the thing. So, the mix could also change quarter-to-quarter.

Parikshit Kandpal : So, my second question is on the orders. So, last quarter, you said that you have bid for some HVDC project and some STATCOM projects. So, if you can update us anything has been opened, where we are right now in the HVDC orders of Power Grids. So, if you can give some color on that.

N Venu: Yes. So, we have submitted our bid. At this point in time, since it's a closed bid, so we do not have any official information to share. All we can say is that we are engaging with the customers and providing all the necessary information sought by the customers on those particular tenders, both on STATCOM as well as an HVDC tender in that.

Parikshit Kandpal : We are not L1 as of now in any of these projects, right?

N Venu: There is not publicly opening of this, right, yes. HITACHI

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Moderator : We have a next question from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar : My first question is, a number of transmission orders in India got bid FY '24.

N Venu: Can you come close to the mic, Mohit?

Mohit Kumar : Is it better now?

N Venu: Yes.

Mohit Kumar : My question is number of transmission orders or let's say TBCB orders would have added to players, but we haven't seen any significant order inflow from India in Q1. What is causing this delay?

Moderator : Mr. Kumar, give me a moment please. We've lost the management connection. I will reconnect them.

Mr. Kumar, we have the management team back on the call. You may go please ahead.

Sorry about this.

N Venu: Sorry about that.

Mohit Kumar : Should I repeat my questions, sir?

N Venu: Please do that.

Mohit Kumar : Yes. Sir, my question was a number of transmission bids were awarded in FY '24, right?

So, our expectation was that Q1 will see a much, much larger order inflow for the industry.

Why is there is a delay in finalization of these orders? And do you think that going forward, these numbers will pick up, especially from India business significantly?

N Venu: I think so. If you just look at in the last three to five months we had elections, maybe that's also one of the reasons maybe it slowed down. But there is bidding going on. As we speak, lots of bidding activities there. Yes, there has been a bit slow decision-making. I'm sure now with the new government, new ministries are in place, that should accelerate that.

Mohit Kumar : My second question is on the railway side. Last year, I think railway has updated guidance for adding locomotives and adding train set, and we also see a lot of Scott HITACHI

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transformers opportunity coming up. In your opinion, and given what you see, are you seeing this activity much, much higher compared to last year in terms of pending activity?

N Venu: Yes. I think we'll look at the whole

of last year. There's a lot of activity in the first six months that there was a bit of slowdown, not exactly slowdown. But the second part of the year was a bit lull. But if you really look at now, I think we see a lot of traction on the fast-tracking of some of the bids.

Mohit Kumar : Railway, are you seeing that?

N Venu: Railways, I'm talking about the railways.

Moderator : We have a next question from the line of Mahesh Bendre from LIC Mutual Fund. Please go ahead.

Mahesh Bendre : Sir, globally, there has been a shortage of transmission distribution equipment. So, although we have indicated that, maybe over a medium period, maybe 25% to 30% of our sales come from the international market. But given the current situation, do you think we will play more role on the global side, on TD equipment?

N Venu: Thank you for your question. It's a very important question. All we are saying is that we have seen a lot of demand in the domestic market, okay. Our first and primary aim is to serve the domestic market. So, we are expanding the factories. We are setting up the new factories. So, those things continue to grow on that. So, while doing so, we are also keeping enough provision in our factories, both existing as well as the new ones, to cater to the demand outside of India. And that's the reason we said our exports in the beginning was a 15% when we started our company. And we said it will, over a period of time, it will happen 25%. Now it's already in the range of 30%. And we will see in that 25%, 30% range, it will remain consistently, without taking any large orders like Marinus Link, even

without that, we will be in the range of 25%, 30% in that. So, that's where we want to do because we have a huge domestic order, domestic demand, and that's where we will be concentrating on that, in addition to the export.

Mahesh Bendre : Sure. And sir, apart from transformers and switch gears, I mean some of the equipment like grid automation, reactors, STATCOMs, where we have edge over the competitors.

So, do you think this part will become major going forward or substantial part of the business, maybe three four years down the line?

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N Venu: Yes. I think if you really look at the whole renewable, renewable needs a lot of new technologies powered through the semiconductor, etc. So, that semiconductor things like whether it is HVDC, STATCOMs or power quality. And those are the things, we'll definitely have a bigger edge in new power systems or in the new grid stability related things like that. And we have seen this coming in, not only here but globally, and we are one of the first movers to invest in those technologies and put up our factories.

And the Chennai factory is one example. We are the first one, probably in the country, to set this up at that scale. From that factory, we have produced the very crucial parts, like what we call as HVDC valves for our Mumbai project, and then we have received now other major orders for another project. So, these are the things we believe that going forward, will have quite a big traction, whether it is renewable integration or cross interconnections between the nations. Those are the things that have a huge opportunity.

Mahesh Bendre : And sir, last question from mine. We have guided that we will achieve 10% margin in the medium term. But going by the demand scenario, both in domestic and globally, do you think there is substantial scope to improve our margins, I mean significantly higher than what we have been guided, not now, but maybe over three to five years down the line?

N Venu: Again, I don't want to say anything, Mahesh. What I can say is that what we have committed. So, we want to come over there and probably then we will talk. You can make your own calculations. If the revenue is go

ing up with the same cost structure, things like

that, you can start making your own estimate. But all what we can say from the management standpoint, is that we said we will enter 10% EBITDA by end of FY '25.

Moderator : Next question is from the line of Prathmesh Salunkhe from PL Capital. Please go ahead.

Prathmesh Salunkhe : So, looking at the demand for the transformers in the country, just wanted to know what would be the market share of Hitachi Energy in terms of power transformers, especially about 220kVs, since that is the big boom right now?

N Venu: Prathmesh, thank you for your question. So, we normally don't give our market shares by product lines, et cetera, in that. But having said that, we are one of the largest producers of this large medium power transformers in this country, and also globally. And all I can say is that we have a very decent market share in our area of operation.

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Prathmesh Salunkhe : Sir installed manufacturing capacity for transformers are reaching somewhere around 500 GVA by the end of '26. What do you think Hitachi Energy will stand in that sense, I mean in that sector?

N Venu: We have recently announced globally, this is for global, it's not for India, I just wanted to clarify. So, on the CAPEX, globally, we announced that \$1.5 billion will be invested globally. Again, I'm stressing on that, so that you understand very clearly, further increasing the CAPEX of the transformers alone, okay?

So, that clearly shows that being one of the leading largest capacities globally available.

So, we are investing in that. So, in India, also, we have been investing in the last three,

four years, right? We have invested in the capacity expansion of our power transformers. We have expanded our dry bushing factories, new greenfield factory we announced. All those

things, we continue to expand it. And we have done that in the last 3, 4 years. We never stopped investing even during COVID time also.

Moderator : We have our next question from the line of Jonas Bhutta from Birla Mutual Fund. Please go ahead.

Jonas Bhutta : Just two quick questions. Firstly, if you can update us, what percent of the Mumbai HVDC project is complete as of now, as of this quarter?

N Venu: Yes. We are in the range of around 30% - 40% completed.

Jonas Bhutta : And as this quarter has seen an increase in the share of projects versus products in our order mix. If you can just remind us of what is the typical differential in gross margins between a product order and a project order. And as India or BCL sort of starts awarding the HVDC projects over the next one, two years, given that these will be project heavy, just wanted to understand from that angle, how gross margins would be there?

N Venu: Jonas, thank you for your question. We normally don't give margin by product line or projects taking that.

Jonas Bhutta : So, even a rough differential sir, would help.

N Venu: Yes. Again, always margin is a function of risk and reward, right? The more the risk, the more reward, and if you are able to manage the risk, then you have better rewards. And the products are sometimes very simple products. Without any risk, we do not have that HITACHI Inspire the Next

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much of a thing in that. So, it's a varying thing. It's not a straightforward answer I can give it to you in that. Again, when you talk about the project, you've to understand a couple of things, very important things. Like, for example, previously, the project when we used to do a couple of years back, that we used to do the project in a complete EPC manner, that is engineering, procurement, commissioning, civil everything.

Today, we don't do that

. Our project team is only confined around our products, okay?

We do engineering of our products. We ensure that the products have been supplied to that, and then we install and the commission. That's what we call as a project defined.

So, unlike EPC, where the risk profile is huge, and there's a lot of unknown elements out there, how long it will take. Those things and all we don't know. The one which we have received, the Marinus Link, we call as a project, but it is more of a design engineering supply and commissioning of valves and some other associated products for that.

Moderator : Next question is from the line of Amit Mahawar from UBS. Please go ahead.

Amit Mahawar : I have two quick questions, sir. First is on the next two large HVDC projects, can you briefly share the status? And what is the competence of Hitachi there?

Ajay Singh : Sorry, the competition of?

Amit Mahawar : I'm saying on the next two HVDC large projects that are expected in the next 12 to 18 months. What is the broad status on both, because both are very different projects, very large ones. And broadly, what's our capacity or framework there, in terms of the financial and operating capabilities that we have?

Ajay Singh : Which 2 projects are you talking about, Amit?

Amit Mahawar : I'm talking about HVDC project.

N Venu: First of all, thank you, Amit. As you know, there are two projects of HVDC, which are, I would say, three projects. So, the one is 6,000-megawatt project, which is in the final stage of bidding. That's the one. And we hope that, that should get concluded in the next quarter or two quarters. And then thereafter, there's another of similar size for 6,000 megawatt Khavda project, okay? That's also another project, which has come for a bidding, and then we expect that bidding to be completed in the next two quarters or so. And then there's a third project, which is also Khavda, which is a VSC project, which is a 2,000-megawatt project. Recently we got notified about the project, but it will take time, maybe by end of this financial year, it will come up for bidding. HITACHI

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Amit Mahawar : Just to clarify, Hitachi is technically qualified for all the three? Or is there any different technology in any of the 3, where we cannot participate, sir?

N Venu: We have a complete technology, both the technologies, we have invented this and globally. And locally, 50% of the installations around the world, they run through Hitachi Energy technology. So, that the technical competency-wise, we are fully competent and fully qualified to bid these projects, when they are available for bidding.

Amit Mahawar : Very helpful. And second question is more on the sector, Venu, and a slightly longish one. If you look at last 20 years of transmission equipment market history in India, how do you think Indian companies, right, and I'm talking about the top four, five Indian companies, including the MNCs, who are operating out of India to serve the global market because China used to be a large exporter of transformers it gives for the world, right, at \$5 billion, \$6 billion peak number a decade ago, which is no more a number for them, because the Western countries are no more buying from China. So, whether it's Hitachi or the four, five other players. What are those four, five factors do you think which are in our favor, which makes India one of the large potential supplier of transformers it gives to the world? This is more a qualitative assessment from your side.

N Venu: No, I understand that. But the ones which we announced project of Marinus Link, can give you one kind of sense for you, right? Now this factory, we set it up, okay? And this is the first time we did it. And we have seen this demand coming not only from India, but also from the rest of the region. And

you see here and after resetting up of the facility, we are now even looking at what else we need to do, because the factory is already full now.

So, those are the things can give you a little bit of sense, for you. And yes, India can play a major role in going forward, in making this as a manufacturing hub, and because we have the talent availability in the country, we have the required resources, and those things should help us in a medium term to long term.

Moderator : We have a next question from the line of Apoorva Bahadur from Goldman Sachs. Please go ahead.

Apoorva Bahadur : Sir, I just wanted the share of services and exports and revenue, if you can provide that?

N Venu: Yes. So, on the exports, Apoorva, I think we have been consistent, saying that we got to 25% and now it is slightly trending upwards of 25%. So, this quarter, for example, if we HITACHI Inspire the Next @Hitachi Energy

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removed Marinus Link, we are 27%. If you add Marinus Link, then we are 60%.

Sometimes, those things will get skewed with a large project. So, we will always take a measure of a baseline orders from the exports, so we will be in the range of 25% to 30%.

Apoorva Bahadur : In the quarterly revenue as well, if you can provide a breakup?

N Venu: Quarterly revenues will be slightly lower, I would say, but it will pick up in the same range in the next 2 to 3 quarters.

Apoorva Bahadur : Okay, sir. In services?

N Venu: Services, a high single digit at this point in time. So, this quarter was a bit low, actually. Again, we had a large project due to that. If you take the numbers as a percentage, it looks a bit low. But our strategy on the services is, if you take on a one full year basis, we are in the single digit, and we want to take it to the double digit.

Apoorva Bahadur : Okay. Sir, my next question is on the pricing power in the domestic market.

N Venu: What power?

Apoorva Bahadur : The pricing power in the domestic market, as the global markets are so strong in this shortage of transmission equipment. Are you seeing any improvement in your pricing power?

N Venu: No, I wouldn't say there's a dramatic improvement on the pricing power. But all I can say is that the T&Cs are becoming better, and then more and more projects are coming with the price variation clauses, those things are better, I would say in that.

Moderator : We have our next question from the line of Vijay Bhatia from Max ROI. Please go ahead.

Vijay Bhatia : Congratulations on a great set of number as always. I just wanted to ask, sir, CNBC carried in a story today at around 3 o'clock that there will be a block deal or a stake sale from the parent, since they already hold 75% in the near future. Just wanted your comments or thoughts on it, sir.

N Venu: Not that we are aware about of any of those block deals. All I can say is that the parent organization is very committed in the Indian market, and that's the reason we have been investing, and we continue to invest and expand our factories in that. So, we do not have HITACHI Inspire the Next
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any information, if we come to know, so we will always notify and inform all the authorities, stock exchange, etc. We do not have any information.

Moderator : We have a next question from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal : Just this question for Ajay. So, Ajay, you've spoken about that 1st Quarter ERP system went live, and parallelly you had an IT system running. So, for, when your full captive system is online, what kind of savings do you think can happen on other expenses? Because if I see last year annual report, you had incurred about Rs. 128 crores of information technology expenses for the year as a whole. So, how do you think this number will settle down?

Ajay Singh : Thank you for the question. As I told you, right now, presently, we are running on it. Just now we have converted to the new system, S4/HANA. And for 1 or 2 quarters, we expect that there will be a parallel IT infrastructure that we need to do. So, compared to what we see right now on the percentage terms, we are definitely going to come lower at the end of the year.

Parikshit Kandpal : But this will move to depreciation, right? If you have IT assets and I can understand you will be amortizing. It's removed from other expenses to below EBITDA line, right?

Ajay Singh : The nature of the expense is not to be amortized, because it is expensed out as far as the project is concerned.

Parikshit Kandpal : My second question is last time you spoke about the high-speed rail and we're engaging with a large EPC contractor who has won this Rs. 10,000 crores of orders. So, any update on that? So, what's the score, what could be potentially the size we could get from the opportunity within the Rs. 10,000 crore pieces for us? And also, on the Vande Bharat, because last time, I think, you talked about Rs. 4,000 crores opportunity lies on the Vande Bharat side. So, if you can update us on that.

N Venu: You're talking about on the high-speed rail?

Parikshit Kandpal : One was on high-speed rail that Rs. 10,000 crores, I think, which went to L&T. And then I think in the previous call, you mentioned about that opportunity for Hitachi to play on Vande Bharat was about Rs. 4,000 crores. So, if you can update anything?

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N Venu: Yes, those projects pursuits are still under discussion. So, we submitted our bids. So, when the bids are under submission, so we'd not like to discuss. Once it concludes, then we would like to tell you on that.

Parikshit Kandpal : Vande Bharat opportunity, I mean you still hold on to the Rs. 4,000 crore number, I think you had spoken about.

N Venu: I think so, yes. Based on the projections of the ministry, because we believe that's the available market for us.

On the previous question, if I may clarify to Mr. Vijay about CNBC news piece, which you talked about us, we saw that, that basically has nothing to do with the Hitachi Energy. It's a different Hitachi group, where basically commercial HVAC pertaining to residential and

lighting commercial. We do not have any details, but this is what we have seen on CNBC.

Moderator : We have a next question from the line of Viraj Mithani from Jupiter Financial. Please go ahead.

Viraj Mithani : My question is on; can you give some color on data center opportunity for us?

N Venu: So, data center, as I said, the data center has quite a good growth potential for the sector as a whole. And we have been talking about for our portfolio, almost 15% to 20% of CAPEX dependent on the hyperscale data centers, etc. And so, the data center decision is not happening uniformly on a quarter-on-quarter, but we believe that it has a huge potential, and it can go and a more consistently ordering should take place on a quarter-on-quarter basis is that. But it has a huge potential. As you know that, there's a 900-megawatt worth of data center there. And in the short term, the expectation is that it is going to be doubled almost 1,500, 1,600 megawatts.

Viraj Mithani : What would be our size of the opportunity in this, in terms of numbers, if you can quantify?

N Venu: That's what I said. For every data center, our CAPEX is around 15% to 20%.

Viraj Mithani : And sir, my next question is on other expenses, which has seen a jump on quarter-to-quarter. So, can you give some light on what are the components that have led to this rise?

N Venu: Maybe Ajay, will you talk about? I think you already explained it, bu

t once again you can

explain it. HITACHI

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Ajay Singh : Thank you for the question. I think this question already I have talked about. But since you asked again, let me again. So, other expenses, including FOREX, I have talked. So, FOREX, we have done a hedging of our large projects. So, that is where compared to the last quarter, there is an impact. And then there we have higher IT charges. And again, as you must be aware, we have discussed earlier. We have migrated to a new ERP during the 1st Quarter of '24-'25. And right now, we are on a parallel IT infrastructure. And that is why, we see the caution there in this quarter, and we expect the same to be normalized by the year-end. And another important aspect that I talked about is on the overheads, is on the royalty, which is basically, if you see royalty expense in the current quarter is calculated based on the revenues, pertaining to the previous quarter, and that is just for the contractual terms. As you know that our last quarter was exceptional on the revenue side. So, that particular impact has come in this quarter. So, these are the major ones, as far as the other expenses are concerned.

Viraj Mithani : I understand again the expenses would come back that will be again reimbursed right to our account. Is this a nominal entry? Is that correct to say?

Ajay Singh : Yes. I think it's a notional cost and that's not actual cost. You're right.

Moderator : Ladies and gentlemen, that was the last question for today. On behalf of Hitachi Energy India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Call: Nov 2024

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Subject: Transcript of the conference call with Analysts/ Investors held on October 29, 2024

Dear Sir / Madam,

Pursuant to Regulation 30 and 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of the conference call that was organized with the Analysts/Investors on Tuesday, October 29, 2024 and the same can be accessed at <https://www.hitachienergy.com/in/en/investor-relations/analyst-section>.

Kindly take the same on your records.

Thank you,

Yours faithfully,

For Hitachi Energy India Limited

Poovanna Ammatanda

General Counsel and Company Secretary

Encl.: as above
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Hitachi Energy India Limited Q2 FY25 Analyst

Conference Call

II – October 29, 2024

MANAGEMENT:

Mr. N Venu – Managing Director & CEO, Hitachi Energy India Limited

Mr. Ajay Singh – Chief Financial Officer, Hitachi Energy India Limited

Mr. Poovanna Ammatanda - General Counsel & Company Secretary,
Hitachi Energy India Limited

Ms. Manashwi Banerjee – Head of Communications, Hitachi Energy
India Limited
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Moderator : Ladies and gentlemen, good evening, and welcome to Hitachi Energy India Limited Q2 FY '25 Analyst Conference Call.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. N. Venu – MD and CEO, Hitachi Energy India Limited. Thank you, and over to you, sir.

N. Venu : Thank you very much. Good evening, ladies and gentlemen. Thank you very much for joining us for the Analyst Conference Call. I hope you're all doing well.

Today, we announced our results for the 2nd Quarter of Financial Year 2024-25. And over the next 20 to 25 minutes, I will take you through our performance during the period ending September 30th, 2024. And for your convenience, I will read out slide numbers.

We have just uploaded Slide deck on the website, so I will refer the Slide numbers for the ease of reference, for those of you who are attending on phone.

And today with me in the room, I have our CFO – Ajay Singh; and Poovanna Ammatanda – General Counsel and Company Secretary; and Manashwi Banerjee – Head of Communications.

So, during the quarter, we have focused on improving our overall operational efficiency, which has helped us in achieving a sustainable flow of order intake, pushing the order backlog to a record high for the 2nd Quarter of FY 2024-25. A growing urgency to accelerate energy transition in India and globally has significantly boosted investments in the energy sector. We expect this momentum to continue in the coming quarters, creating more opportunities in the energy segment, especially in the renewable space, for our portfolio.

So, I am moving to slide number #3. At Hitachi Energy India Limited, people have been always in the center of our strategy. They have been its core strength, and they have been powering the Company for the last 75 years. We are committed to delivering meaningful employee

experiences, and their safety and well-being are paramount to us.

During this quarter, we implemented key initiatives to strengthen safety practices across our offices and factories. It helped us to achieve 100% on-time closure of high-risk hazard situations. There has been continuous effort towards reiterating the importance of HITACHI Inspire the Next

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reporting safety incidents at working sites. Furthermore, we refreshed our health, safety and environment policy to ensure positive health, well-being and safe working conditions. We organized multiple awareness, training sessions and health camps across our offices, facilities, and project sites for the well-being of our employees. To mention a few, we have sessions on health precautions during monsoon, lifestyle diseases, mental health, yoga and manual handling ergonomics. Also, we had multiple health camps for diabetes, on pulmonary health and held a blood donation camp as well.

Moving to slide number #4. We at Hitachi Energy place sustainability at the heart of the Company's purpose of advancing a sustainable energy future for all. In line with this purpose, Hitachi Energy is committed to drive business in a sustainable way. Our sustainability plan focused on four key areas, planet, people, peace and partnerships, with a specific target for respective heads to be achieved by 2030. As the numbers come in, I am happy to inform you that we closed FY 2023-24 with achieved targets of reducing CO2 emissions and waste by 88% and 97%, respectively. We also reduced freshwater usage by 18% vis-a-vis the target of 25% (for 2030). Diversity is an integral part of our work culture. And we have set ourselves female diversity target of 8% to 10% by 2025. It is noteworthy to mention that we are almost touching 8% mark of our given target. Our constant endeavors towards sustainability have been recognized, as we are conferred with the prestigious Business World's - India's Most Sustainable Companies award.

Moving to the slide number #5. In keeping with the rapidly evolving environment and technologies, we are globally realigning our sustainability 2030 program to be more measurable and impactful. Changes are aimed to maximizing its positive impact across the value chain, and through co-creation of environment, social and economic value. To maximize the positive outcomes, now the focus is on three key strands of planet, people and principles, which covers all earlier sustainability pillars.

Under the people strand, we are supporting a safe, inclusive, equitable and just energy transition by focusing on three areas - health and safety; diversity, equity and inclusion; and human rights and social contributions. Under the planet strand, the focus is to accelerate the clean energy transition, with a particular focus on three areas i.e., climate, circular economy, biodiversity, ecosystem. The principle strand emphasizes on taking responsibility of the Company's governance and employee behavior and focuses on the following areas: ethics, integrity, sustainability of supply chain and behaviors & values. HITACHI Inspire the Next

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The core idea is to move beyond the realm of our products and services offering and deliver for a greater good of the society. Moving to the next slide, the slide number Slide #6, our business performance. As you can see here, the quarter ending September 30, orders totaled around Rs. 1,952 crores, up 11.7% year-on-year, where renewable led the change from studies across utilities, power quality and substation projects. Expansion, upgrade and improved efficiency also resulted in orders from existing power plants. Key large orders of transformers and power quality solu

tions from industry, transportation, utilities and data centers include 400kV central transmission utility for a petroleum

product company in Dahej; and transformer orders for a national transmission utility; and an EBOS solar projects in Fatehgarh and Bhopalgarh, respectively; and LOT transformer for our locomotive engine factories. And there are several other data center and software-related orders.

Revenue for the quarter is Rs.1,553.8 crores, showcasing a strong revenue growth of 26.5% year-on-year on the back of favorable mix and good order execution during the quarter. Profit before tax for the quarter was Rs. 70 crores, up by 118% year-on-year. And profit after tax, Rs.52.3 crores, up by 111.4% year-on-year, whereas quarter-on-quarter growth was up by 369% and 402%, respectively. Operational EBITDA for the quarter stood at Rs.126.3 crores, resulting in a margin of 8.1%, reiterating our continuous efforts towards improving margins and enhancing overall operational efficiency.

At the end of the quarter, the order backlog stood at a record high of Rs.8,910 crores, providing revenue visibility for the coming several quarters. Our continuous efforts towards enhancing overall operational efficiency have helped us in improving our overall performance, including margins.

Move to the next slide, slide number #7, where you see , as a pioneering technology leader, we are committed to the energy security of the country. So, various projects undertaken by us. During the quarter, we have commissioned several projects, and here I will highlight a few of them. We commissioned 400 kV 600-megawatt substation at Jaisalmer, Rajasthan, which include design engineering, manufacture and testing. We also completed supply, installation, testing and commissioning of a 110 kV transformer base for an industrial plant in Trichy; and also commissioned 220 kV, 130 kV, 33 kV substation for intrastate transmission projects in Madhya Pradesh. The scope of work includes design, engineering, supply, installation and testing of the substations. Moving to slide number #8. We also continue to invest in our capacities and capabilities. This included starting expansion work of our transformers and interrupter facilities in Maneja to strengthen our manufacturing infrastructure. This year we marked our 75-year HITACHI Inspire the Next

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celebrations for both internal as well as external stakeholders. For our internal stakeholders, we had our first family fiesta, engaging the families of our employees to visit and celebrate our workplaces, our factories, our project sites. Also, we organized the energy run marathon in Bangalore for our employees, customers and partners, which saw a huge participation of almost 2,000 plus running enthusiasts. Both events are part of our efforts to commemorate our 75-year celebrations, 75 years of powering India. In parallel, engagements with our customers continued. For example, from organizing an extensive 5-day training program for our Mumbai HVDC project customer team, which was attended by 40 participants from the customers side to hosting a senior delegation from Delhi Metro Rail Corporation, who were providing an extensive tour of our factory, showcasing our comprehensive product manufacturing and quality assurance process for dry and traction transformer factory at Savli. These are all just a couple of examples for various capabilities-building exercise with our stakeholders, both internal and external.

Moving to slide number #9. The Company has adhered to a principle of collaboration and co-creation with those most familiar with the challenges. Hitachi Energy works closely with our customers and partners to foster a sustainable energy future for present and future generations. As part of this ongoing effort, we conducted our multicity flagship customer

event series called Energy and Digital World with the sessions in Jamshedpur and Pune, respectively. On the similar lines, we launched a new initiative called Technology Colloquium-Technologies for energy transition and sustainable grid, for engineering students across India.

So, this new platform. We reached out to engineering students to talk about one of the most important and urgent issues of our time, the energy transition and net zero targets.

The platform facilitates meaningful conversation and exchange of ideas on energy transition among young minds, subject-matter experts and Hitachi Energy leaders.

The first segment of the tech colloquium was kicked off from BVM College in Gujarat then moved to IIT Delhi and culminated in NIT at Warangal. Engagement with key industry bodies and platforms were also leveraged through sharing leadership views and opinions on topics like innovation to net zero, to making India a global manufacturing hub at CII India Innovation Summit, Innoverge CII Annual Karnataka Energy Transition Conference or Economic Times' Energy Leadership Summit, just to give a few examples.HITACHI

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Moving to the next slide, slide number #10, Energy and Digital World 75. And thank you for some of you attending this event on the second day of Energy and Digital World. We at Hitachi Energy are proud to be part of various nation-building projects over the last 75 years. In culmination of this milestone year, the Company organized a two-day experiential technology symposium called Energy and Digital World 75. Mr. Amitabh Kant, G20 Sherpa, joined us as the chief guest for EDW 75. During the inauguration of the mega event, he emphasized on the need for collective action towards the bigger energy goal and spoke about how India is an exemplar with its strides in the road to net zero.

He also lauded Hitachi Energy's for its contribution towards achieving the goal. The event encapsulates technologies and discussions toward advancing energy transition for India's net zero journey, which was attended by over 2,000 customers, policy-makers, academia, think tank, regulators, supply chain professionals, and diplomats, of 30 nationalities. The event encompassed over 25 technology sessions by global industry experts, product launches, etc.

The experiential exhibition was the main attraction of the event, spread over 1,000 square meters, showcasing our state-of-the-art technologies and products and giving a chance to our customers and partners to have a feel and look of our product portfolio which are crucial for solving customers' challenges. During the 2-day event, we also had several closed-door meetings with CXOs of various companies. And many of you also joined us and were provided a deep dive into technologies enabling the future energy systems.

Moving to slide number #11. I think, this slide, you know better than me. The Indian growth saga continues, as the country is in the right track for a \$5 trillion economy in the coming years. According to the government reports, India's GDP growth was 8.2% for FY '24 vis-a-vis 7% for FY '23. India's IIP growth for July-August were at 5% year-on-year basis. And IIP index for the industry stood at 149.6 during August 2024. The ongoing effort from government to boost the renewable sector has augured good result, as we witnessed a 50% year-on-year growth in FDI for FY '24 with Rs. 31,600 crores vis-a-vis Rs. 20,700 crores in FY '23. Furthermore, green hydrogen market is expected to attract investments of Rs.10.6 lakh crore as country gears up to produce 5 million ton of hydrogen by 2030. Also, the Indian data center market is estimated to reach Rs. 85,000 crores by 2027. With India's ambitious plan to increase power transmission capacity by 35% by 2032, expect an investment of Rs.9.15 lakh crore i

n state and central network. HITACHI

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Indian railway, as part of its Capex plan, have allocated Rs. 2.62 lakh crore budget for expansion of rail network. Also, concerted efforts were made to reduce distribution losses through upgradation and modernization of discoms.

Moving to slide number #12. As you can see here, the strong growth in the transmission industry, data centers and renewables. To provide more color, this quarter, data center segment emerged as a high-growth segment with a year-on-year growth of 346%, followed by renewable which is up by 135% year-on-year. And industries and transmission segment saw year-on-year growth of 78% and 34%, respectively.

We saw a year-on-year decline of 11% in rail and metro segment, but electrification of railways and growing metro networks across the country will push these segments in the near future. On the right-hand side of the slide, you see that order mix. Product took the lead in the segment, whereas utilities and direct end users are clearer winners for sectors and channels, respectively.

Moving to slide# 13, which are our growth levers, service and exports. The growing urgency to accelerate energy transition across the globe. There has been constant endeavor at Hitachi Energy to enable many pathways to energy transition across geographies and segments. For quarter 2, the service portfolio witnessed substantial growth, with contribution of 12% to the total order received, stemming primarily from industries, renewable and transportation, including restoration and service of service-level agreements.

To mention a few key orders: We received a transformer service Core-sense order from a steel major; GCB and GIS unique spare requirement and transformer repair in renewable and railway sectors, surveys and commissioning of various systems in Rajasthan solar and the restoration of 220 kV GIS at Gorai substation of a private T&D Company.

On the right-hand side of Slide, you see that exports accounted for 22% of total orders booked in Q2 FY '25, the significant share from a high-voltage products and grid integration orders from European and African market. Some of the key orders include C&P system in Yanbu, 145 kV GIS for REE Red Electrica, 330 kV AIS package for

Azerbaijan and 145 kV GIS for Electron data center. So, just to name a few.
I will now hand over to our CFO, Ajay Singh, to take you through our "Financial Performance" in the next 2 slides. I am moving to slide number #14.HITACHI

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Ajay Singh: Thank you, Venu. And good evening, everyone. I hope you are all doing well at your end. Well, our focused and proactive approach has helped us to maintain the order growth momentum carried from the last quarter.

During the quarter, the Company booked orders worth Rs.1,952 crores, which is a 11.7% growth year-on-year. Revenue, if you see, Rs.1,553 crores, which is up by 26.5% year-on-year and 17.1% quarter-on-quarter, which is on the back of a favorable mix and the good order execution during the quarter. Profit before tax for the quarter was Rs.70.6 crores and profit after tax was Rs.52.3 crore, both up by 118% and 111% year-on-year, respectively, whereas both PBT and PAT quarter-on-quarter grew by 3 and 4 times, respectively.

If you see, the operational EBITDA for the 2nd Quarter, yes, it is Rs.126.3 crore, resulting in an operational EBITDA margin of 8.1%, basically see this is our continuous efforts towards improving margins and enhancing the overall operational efficiency. Even when you see H1, the 6 months columns also clearly demonstrate the growth trend across parameters from orders till the operational EBITDA. We closed this particular qua

ter with, one of the highest-ever order backlog, Rs.8,910 crores, which is providing a visibility of approximately 26 months for the execution.

If I move to the next slide, where I would like to share an update on how the numbers fared during the last 3 months. So, let me take a moment and walk through a little bit specific details in this particular slide. If you see the table, it is a clear picture how the relentless pursuit for improving the bottom line and the progressive margin basically recovery that we are able to see.

You can see Year-on-year revenue improvement of 26.5%. That is Rs.1,553 crores in this quarter, as we discussed, because of the relentless operational efforts. The material cost, if you see, is 61.7%, compared to the last quarter, 62.8%. Personnel expenses, from the percentage terms, if you see, are lower than the last quarter, 8.8%. Operational expenses are also in-line, 20.9%, compared to the previous quarter, 23.6%. And then there is the exchange rate and variance that is 1.5%. Depreciation is consistent. Interest cost is slightly higher in this particular quarter compared to the previous quarter. So, overall if you see, we are well progressing in the direction and our efforts is to ensure that, going forward in the coming quarters, we continue this particular trend.

With this, I hand over to Venu.HITACHI

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N. Venu: Thank you, Ajay. With this I go to the last slide before we open up the line for Q&A. Our priorities for the remaining fiscal year, we remain steadfast to our bigger goal of 2030 strategy. Our singular focus of cementing our leadership in core segments continues. Our core segments are our renewable, our transmission, our utilities, our industry, our data centers, rails, etc., continue with strengthening our capabilities for growth Trinity of –Service, Export and Digital, along with harnessing maximum potential from the high growth segment. We continue our focused approach toward improving overall operational efficiency to further boost productivity and keep raising quality level.

On the business front, consolidated effort will be made to leverage the large order backlog for revenue accretion and also margin improvement. To capture the maximum business potential arising out of the energy transition, we will continue to invest towards increasing our existing capabilities through up and cross-skilling of our existing human resources, to address the energy needs of today and of coming time.

Safety will always be paramount for us as it is being entrenched in our DNA of our organization. We will continue to approach every day as day 1 in terms of implementing a safety work culture across our functions. And last but not the least is continuing to invest in capacities for future growth- capacities for our manufacturing, and workforce.

With this I close my Presentation and open the channel for questions.

Moderator: Thank you very much. We will take our first question from the line of Subhadip Mitra from Nuvama. Please go ahead.

Subhadip Mitra: Firstly, congratulations on a good set of operational numbers.

N. Venu: Thank you.

Subhadip Mitra: Given that we are seeing good operational performance both in terms of topline and margin recovery and you have maintained that you will be looking at double digit margins

by end of the year, would you have any change to that guidance or any further clarity in terms of range of margins that we can look at, let's say next one year or so.

N. Venu: No, at this point in time, no change in the in our plan of action. So, what we said previously stays.HITACHI

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Subhadip Mitra: Secondly, in terms of the large HVDC order potential I think o

ne which is where the L1

has already been announced and probably two more which are coming up. Are you already part of some of these orders, would you already be L1 in some of these bids.

N. Venu: Yes, I think as you know, there are three HVDC tenders which have come for bidding.

And as you rightly said, one of the HVDC tender has been Lol received by PGCIL. That's what we have also read from the from public information and as we speak, we are bidding to our customers.

Subhadip Mitra: So, the equipment related tendering is currently on, that's what you are saying?

N. Venu: No, only related to HVDC. PGCIL has won the entire transmission system which includes HVDC terminals that's our scope then the transmission lines, etc., including land and development all those things. The whole transmission system what I understand is that they won. They received the Lol or something like that. So, our portion, we are bidding it to our customers, which includes PGCIL.

Subhadip Mitra: Right. So, just trying to understand that for this particular Khavda Transmission line which PGCIL has won, would you be supplying the equipment for this piece or is that something that's yet undecided?

N. Venu: No, that's what I am saying still that is under bidding. We are bidding it to our customers that's what I said.

Subhadip Mitra: And for the rest of the two lines, any timelines in your opinion, by when we can see the equipment ordering on the other two HVDC.

N. Venu: I think our view is that at least one, if not two at least one for sure, it will get finalized in this financial year.

Moderator: We will take a next question from the line of Mohit Kumar from ICICI security. Please go ahead.

Mohit Kumar: Sir. Good to see improvement in gross margin and EBITDA margin. Sir, my question is on the HVDC Leh Ladakh. What is the status, I think the bids were supposed to be submitted in October, has there been any update?

N. Venu: Leh Ladakh the bid is not submitted yet. There again discussions are going on what will be suitability, etc., all those things so not submitted answer to that.HITACHI

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Mohit Kumar: My second question, the other expenses I think last quarter was high, again this quarter it persisted. I think you mentioned last quarter there are some one-offs. Is it fair to assume there is some one-off again in this quarter and which will go away in the next fiscal year.

Ajay Singh: If you see in the current quarter, the other expenses, as I told you from the percentage terms, it has come down rather, which is the 20.9%, right. So, I don't see that there are any other one-offs in this particular other expenses. So fairly, it will be more or less consistent in this particular range.

Mohit Kumar: So, there's no one-off which can go away in the next fiscal year. This is the trajectory, right, we should assume.

Ajay Singh: It will hover around this particular range depending upon how we progress. Wherever some area of expenses which are variable in nature will vary depending upon the growth.

Mohit Kumar: And well, my last question is are the conversations on orders of high-speed rail is still going?

N. Venu: It's still ongoing. It's not concluded.

Moderator: Thank you. We will take our next question from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal: Initially in the call you said that you are bidding for the client, have you entered exclusivity with the client or it's an again an open bid and where other peers are also giving their bids or it's just that you've already being finalized and just some commercial negotiations are going on before the Lol gets issued.

N. Venu: It is an open bidding.

Parikshit Kandpal: It's an open bidding, so all the participants are bidding

N. Venu: Yes.

Parikshit Kandpal: Second question is on other expenses aga

in. So, if I compare it with some of your peers, they report about 11%. So, I understand royalty will come on top of it 5% to 6%, and goes to 16% to 17%, but still there is almost 400 to 500 basis point difference. So, why is such a big difference and is it because we are running again the parallel IT cost because we HITACHI Inspire the Next
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have our own ERP now operational. So, last time I think Ajay said that we are still bearing operating on dual IT system. So, what would be the contribution of shared IT with ABB and when do you expect it to go away from our book and what could be the savings from that?

Ajay Singh: So, as I explained earlier also, if you see the other expenses in percentage terms, we are consistent, that is how I will say so. And if you talk specifically about this particular quarter on the value terms, whatever major incremental value is there, that is because if you see in this particular quarter, we have increased our revenues, so the production-related expenses have increased. But overall, if you see on the percentage terms, we are consistent. Coming back to the IT cost with ABB, again if you see we have told earlier also that when we embark into new Company, we have taken support in the form of TSA Agreement with ABB because at that particular point of time we did not have our infrastructure so to say. But as we speak today, we are basically at the end of that Transitional Service Agreement. We have already set up our own infrastructure. And we believe that the IT cost that is factored in this particular it will be in the same range. So, that is the overall setup. So, the TSA agreement finally the last leg of the agreement will be coming out of that by December next quarter.

Parikshit Kandpal: But how much would that cost be in absolute terms, is it significant or so how do you quantify that?

Ajay Singh: As I discussed it will be hovering around the 2.7% to 3% range overall IT cost that today we are hovering around and going forward also will be around the same range.

Parikshit Kandpal: So, no savings as such from this disassociation.

N. Venu: Savings will happen out of because we implemented the new REIWA system right, so we will also get into a lot of other savings, including the productivities and those are the things also part of that.

Ajay Singh: So, because I think we have discussed earlier in the last quarter that we have implemented a new ERP system S4/HANA, and just now we have implemented in the previous quarter. So, we expect we can leverage efficiency out of that and that will come with time. It will take two to three quarters to derive efficiency out of those implementations. HITACHI

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Parikshit Kandpal: Last questions are on this battery storage. So, now the battery costs have reduced significantly on the storage side. So, do you think there is any opportunity for us to play out in the near term? So, how do you think the pathway towards introducing the battery storage for the India?

N. Venu: I think absolutely as you said we will see our 2030 strategy. Also, this is exactly on the edge of the grid where we have a play there that is energy storage. So, we have a complete portfolio of battery energy storage, and we do containerize, modularized which is scalable battery storage supply. Any of you have heard, in addition to that Hitachi Energy globally, they acquired a Company called EKS. So, EKS is a Company which Hitachi Energy globally they acquired, and that Company is specialized in the battery energy storage applications. They have done grid scale battery several, several countries in there. We will also leverage that to offer those solutions and products to our customers,

so we are discussing it with the customers as the market matures.

Moderator: Thank you. The next question is from the line of Dhavan Shah from AlfAccurate Advisors. Please go ahead.

Dhavan Shah: So, my question is on the renewal side of the portfolio. If I look at the order inflow growth for the 1st Quarter, that was also more than 100% and around 500% in the 1st Quarter against around 135% in the 2nd Quarter. So, can you help us to understand what the scope of work is in the renewal segment of the portfolio? And out of the current order backlog of roughly 9000-odd crore how much of renewal constitutes to the overall backlog side?

N. Venu: Pertaining to renewable, our scope lies everything from the end terminal, from the inverter. We don't do the civil, structural, and panels. So, if we take the rest of the things all we do. Whether you are talking about the grid connection of renewable power, whether you are talking about the transformers required, everything. Then you are talking about automation and also the System Studies which is a big thing. So, all those things right from the planning stage, through the building phase until maintenance phase is what we

do that. Except the civil structural and the modules.

Dhavan Shah: And how much does the Renewable Portfolio constitute to the overall backlog?

N. Venu: We don't separate the backlog into renewable and non-renewable, and we have never provided the breakup, so we cannot share it. HITACHI

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Dhavan Shah: And just the last thing is we are hearing some issues in the supply chain from corrugated steel for the transformer. So, are you facing any issues in terms of supply chain for our portfolio?

N. Venu: No, I don't think corrugated steel. No, you must be talking about this electrical steel.

Dhavan Shah: Yes.

N. Venu: So, electrical steel, Hitachi Energy globally is one of the largest consumers of CRGO because by far we are the largest capacity. So, we have a definite frame agreement with many global suppliers, and that way we are able to secure the supply so far. We have not faced any problems so far.

Dhavan Shah: And we are not expecting any delays in terms of the requirements of those raw materials also in the future quarter, right?

N. Venu: We can't tell forever sure, but in the near term because of our robust Frame Agreements globally, we do see that we have a robust supply chain in place. Of course, the prices are fluctuating, prices are varying but barring that, we are able to secure the supply.

Dhavan Shah: And pricing wise, are we protected in terms of the end pricing or because the pricing has also been moved up. So, how are we safe in terms of the overall contract pricing?

N. Venu: More than 60% of our contracts, we have price escalation clauses.

Moderator: Thank you. We will take our next question from the line of Vinod C from PhillipCapital. Please go ahead.

Vinod C: Yes. So, I had a question on your cash flow. So, if I look at your operating profit, they have doubled from September last year to this year, but I think the entire cash flow is getting eaten up by working capital. The big jump of 365 crores. And that has also resulted in 120 crores of short-term borrowing. So, can you throw more light on what's happening operationally here.

Ajay Singh: You are right operational cash flow for this quarter, we are on the negative side and our borrowings also compared to the previous quarter was increased by roughly 45 crores.

So, what I would say this is the timing issue. In this particular quarter I would say the collections were good, but the payouts were also on the higher side. And why so, because you are aware that we are running a large HVDC project for which in this particular quarter the payouts were a little bit on the higher side. So, it's just a timing issue HITACHI Inspire the N

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between the receipts and payments otherwise I don't see there's any major challenge in this particular aspect.

Moderator: Thank you. We have a question from the line of Het Mehta from Value Quest. Please go ahead.

Het Mehta: Sir. My question is more on the CRGO prices and its movement and how it is affecting our realizations in terms of who we are supplying to whether it is industries or the utilities?

N. Venu: First of all, as I said CRGO has two dimensions. First of all, there is huge demand in the overall transformer industry worldwide so naturally the demand is very high. As I said previously, Hitachi Energy is one of the largest buyers of power CRGO globally. We have a very robust Supply Chains, Frame Agreements with the most of the CRGO mill vendors directly and first of all we are able to secure the supplies in line with our customers' requirement that is the big thing. Our team globally they are working to ensure that the commitments are met, and we are able to get as of date in line with our commitments that is the number #1. Priority for us is ensuring the supplies to our factories. The number #2 is, the prices are fluctuating globally, and supply demand is there as I said, we have long-term trade agreements, which also allow escalations and as I said most of our contracts do have price escalations. So, we are able to transparently pass on those prices equation that where we are able to mitigate the risks in that.

Het Mehta: So, yes, but my question was more or less is that we assume that your peers or other transformer manufacturers are actually seeing the realization go down with consistent margin. So, we would assume that it was the commodity input prices that were going down instead of going up. So, my question was on how our realizations are moving like on the higher end or on the lower end?

N. Venu: The realization of the on the products you mean?

Het Mehta: Yes.

N. Venu: We will not talk about the realization for each on the product line basis. What I can tell you is that since the demand is high naturally there would be a tendency for going up on the margins, which is what we are looking at, but also costs are also going up right. We need to also balance those costs versus there are unknown costs around that. So, I would say it's stable in other words.HITACHI

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Het Mehta: And you are not seeing any huge fluctuations in the prices of CRGO as such, right now the prices are stabilized more or less?

N. Venu: As I said, there are fluctuations, but those fluctuations are being covered with our price escalation. And as I said, we are giving priority to ensuring the supply over the pricing. That's how we have been working and that's how our contracts are structured with the CRGO people.

Moderator: Thank you. We will take a follow up from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal: We have taken a related-party approvals for order from the parent entities. So, just wanted to understand how much of that has come in already in 1H and in this quarter?

Ajay Singh: Right now, if you see we would not like to quantify at the moment, but we will get more visibility in the coming quarters to know how we are faring on those particular approvals. So, last time when we took the approval we had anticipated and we have done a bottom-up exercise where we see that by the year end, we will be crossing the threshold that is for which you have taken the approvals in advance, but maybe we will get more clarity in the coming quarters.

Parikshit Kandpal: But as of now, nothing has been materialized from those approvals, right? Nothing has come in the first half.

Ajay Singh: Obviou

sly it has come because quarterly it will come.

Parikshit Kandpal: That is what I am asking for in 1H how much has come or if anything has come in this quarter out of the total order inflow of Rs.1900-odd crores, what is the contribution from related party?

Ajay Singh: So, ballpark number, you can say Rs.300 crore. The Switzerland you talk about, the approval that we are taking is around Rs.1200 crores and the ballpark till 30th September is around 300+ crore roughly.

Parikshit Kandpal: Ordering is still to happen in the second half, so we will see larger contribution to come in from the related entities in the second half.

N. Venu: Sure. But at the same time, just to be sure that whatever we take the approval, there's no guarantee that we will get everything. We take in approval in anticipation of some of HITACHI

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the projects we are bidding together with those companies and that's how the approval will be taken ahead of the curve in line with the good governance practice. So, whatever we take, everything will not come into that.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Mr. N. Venu for closing comments. Over to you, Sir.

N. Venu: Thank you. Thank you very much once again. Ladies and gentlemen, I want to take this opportunity to wish you and your family, your loved ones Happy Dhanteras and Happy Diwali. Take care and stay safe and talk to you. Soon. Thank you very much.

Moderator: Thank you, Sir. On behalf of Hitachi Energy India Limited, that concludes this conference. Thank you for joining us and you may now disconnect your line.HITACHI

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Call: Feb 2025

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Mumbai - 400 051
Scrip Symbol: POWERINDIA

Subject: Transcript of the conference call with Analysts/ Investors held on January 30, 2025

Dear Sir / Madam,

Pursuant to Regulation 30 and 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of the conference call that was organized with the Analysts/Investors on Thursday, January 30, 2025 and the same can be accessed at <https://www.hitachienergy.com/in/en/investor-relations/analyst-section>

Kindly take the same on your records.

Thank you,

Yours faithfully,

For Hitachi Energy India Limited

Poovanna Ammatanda

General Counsel and Company Secretary

Encl.: as above HITACHI

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Public 1/19

Hitachi Energy India Limited Q3 FY25

Analyst Conference Call - January 30, 2025

MANAGEMENT:

Mr. N Venu – Managing Director & CEO, Hitachi Energy India Limited

Mr. Ajay Singh – Chief Financial Officer, Hitachi Energy India Limited

Mr. Poovanna Ammatanda - General Counsel & Company Secretary,
Hitachi Energy India Limited

Ms. Manashwi Banerjee – Head of Communications, Hitachi Energy
India Limited HITACHI

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Moderator: Ladies and gentlemen, good evening, and welcome to Hitachi Energy India Limited's Q3 FY '25 Analyst Conference Call.

As a reminder, all participants' lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*", then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. N. Venu – MD and CEO, Hitachi Energy India Limited. Thank you and over to you, sir.

N Venu: Thank you, Michelle. Good evening, ladies and gentlemen. Thank you for joining us for the Analyst Call. I hope you are all doing well.

Yesterday, we announced our results for the 3rd Quarter for the Financial Year '24-'25. Over the next 20 to 25 minutes, I will take you through our performance during this period ending December 31st, 2024. We have uploaded the presentation on the stock exchange. And for your convenience, I will read out the slide numbers in case you are following via phone.

With me in the room today I have our CFO – Ajay Singh; General Counsel & Company

Secretary – Poovanna Ammatanda; and Head of Communications– Manashwi Banerjee.

The quarter ending December 31st, 2024, reiterated our constant efforts towards efficiently delivering on the energy transition. This resulted in the highest ever quarter order intake and a record order backlog, along with improved margins and collections for the 3rd Quarter of FY '24-'25. Despite the nascent signs of subduing economic momentum, we believe that the zest to accelerate the energy transition will continue, adding more vigor to the energy segment and having a positive trickle-down effect in the coming quarters.

I am going to Slide #3. As you all know, at Hitachi Energy, we actively manage the health, safety, and environmental aspects of all our activities. Our performance in these areas is

integral to our overall sustainability plan, and aids in our purpose of advancing a sustainable energy future for all. We continued our efforts towards strengthening our safety practices and employee well-being through multiple initiatives during the quarter. On the safety front, to ensure proper implementation of life-saving rules across our offices and factories, we conducted more than 500 on-site inspections. Our annual HSE Week in November highlighted our need to constantly do the right thing, including reporting safety incidents at work sites. Such continuous reiteration has helped achieve close to 99.49% on-time closure of high risk, hazardous situations. HITACHI

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In addition to safety, we organized multiple awareness training sessions and health camps across our offices, factories, and project sites. We had sessions on mental health & stress management, and training on how to give first aid, and ergonomics, including while material handling. Furthermore, multiple health camps and annual health checks were concluded.

Moving to Slide #4. Our effort in reinforcing safety was recognized by patrons across industries and geographies. On the left, you can see some examples from our key customers. Sustainability and safety are two cornerstones of our day-to-day activities across all of our functions. In our constant endeavor to adopt and implement best energy practices, we have undertaken various measures during this quarter to reduce our carbon footprint and ensure better water and waste management.

As part of this, at our factory in Maneja in Gujarat, we installed a 930-kilowatt solar plant and have started using piped natural gas in the canteen. Also, we have installed a retrofit emission control device on the existing diesel generator at Mysore facility.

Towards water management, we installed water meters and rainwater recharge wells at our Peenya and Maneja facilities. Furthermore, we are now using 15% of STP treated water for gardening purposes at Maneja and keeping track of water recharge wells at Halol.

We also took a slew of measures for waste management, such as plastic segregation, recycling, reusing oily quartz as refuse-derived fuel at our Maneja facility. So, becoming sustainable in our own operations is critical in helping our customers become sustainable in their operations. And it is heartening to mention that we have also been conferred a Green Leader certification in L&T's Responsible Supply Chain Assessment for ESG practices.

Moving to the next slide, Slide #5. As you can see, the Company reported its highest ever quarterly order intake of Rs. 11,594.3 crores for the Quarter 3, with a year-on-year growth of 838% on the back of large HVDC order to transmit renewable energy from Khavda in Gujarat to Nagpur in Maharashtra over a distance of 1,200 kilometers.

The revenue was up 31% year-on-year at Rs. 1,672 crores for the quarter, on a favorable execution mix and improving operational efficiencies. In addition to this, the notional FOREX exchange gains on export order delivery pushed profit before tax up 4 times year-on-year to Rs. 184 crores. Profit after tax is up nearly 5 times, year-on-year from a low base at Rs. 138.2 crores.

During the quarter, the Company also recorded its highest ever order backlog of Rs. 18,994.4 crores, providing revenue visibility for several quarters. Furthermore, concerted focus on collections have borne fruit, which in addition to the advance from HITACHI

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HVDC project has led to a solid cash position and the Company becoming debt-free as of December 31, 2024.

Some of the key orders in the quarter, as you can see right side of the slide, renewa

ble

400kV AIS substation, thermal generation 18x400 kV GIS order, industries 220kV substation, metro rail, multiple transformer order for deploying in Bangalore metro, and rail we have ICFs, 120 units of traction transformer, data center and several transformer orders. So, it's a combination of orders, not only from utilities, but the renewable industries, rail, infrastructure, and data centers.

Moving to the next slide, Slide 6. I think this slide you know better than me. While several industry estimates indicate a slower GDP growth in FY '25 revised downwards to 6.4%, India is on a track to become the third largest economy by 2030-'31. Its energy targets remain intact as the country marches towards its Net Zero goal, and energy investment gains momentum across verticals. The renewable generation sector in India is set to attract close to Rs. 18.8 lakh crores, and the National Electricity Plan outlines an increase in the country's power transmission capacity by 35% by 2032, with an estimated investment of Rs. 9.16 lakh crores.

India's data center market value is expected to touch close to \$6 billion to \$7 billion by 2027, at a growth rate of 12% to 14% CAGR between 2024 and 2027. The country's railway modernization is on track, as the Indian rails have utilized 76% of its allocated budget so far in the year 2024-'25. These expected and committed investments reflect the country's energy segment's growth trajectory for the immediate and upcoming future.

Moving to Slide #7. With this backdrop, Hitachi Energy continues to work with our partners, customers, to advance energy security through various projects. During the quarter ending December 31, 2024, we commissioned projects including two- to integrate renewable into the grid, a 400kV, 375MW substation in Jaisalmer, Rajasthan, a 600MW s/s for Solar integration in Fatehgarh, Bhimsar and 600MW s/s for NHPC in Baiya, Rajasthan, just to give a few examples.

Moving to Slide #8. Transitioning to cleaner energy to advance the sustainable energy future for all, is one of the most pertinent challenges of our time. We at Hitachi Energy are committed to accelerating the pace of this transition often through important forums, collaborations, and internal engagement. This quarter, we contributed to thought leadership and technology sessions in the CII Karnataka ESG Summit, where we emphasized the importance of concerted efforts to accelerate the country's energy transition by adopting ESG practices.

The Hitachi Energy team had a great opportunity to participate in Tamil Nadu's growth plans, where as part of focus group discussions of IT and IT-enabled services, segment HITACHI Inspire the Next

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development through strategic research, technology transfer and skill development in the state. Our discerning customers are our growth partners, so there has been a regular effort to exchange industry knowledge. Towards this effort, we convened the Power System Communication User Forum 2024 and organized a comprehensive technical training program on HVDC and STATCOM at our Peenya and Maneja facilities. Also, a technical seminar on a transformer OLTC and bushings was arranged for Bhutan Power Corporation Limited officials.

Such 360-degree efforts have made us the preferred partner for multiple nation building projects. I am proud to inform you that during this quarter, our transformer business unit rolled out 1,000th locomotive transformers as part of an order placed in 2017 to supply 1,600 units. These transformers are manufactured at our Savli facility. Furthermore, we continue to hold multiple employee engagements on various topics from HSE Week to Learning Carnivals.

Moving to Slide #9. It was a busy quarter to say the least. In October, we culminated our mega event Energy and Digital World 75 which witnessed over 2,500 attend

ees

from customers, government, academia, analysts and media. Here, we announced our plan for investing Rs. 2,000 crores in India over the next four to five years for expansions, capacity building, and talent attraction. In November, we bagged a large HVDC order to transfer renewable energy from Khavda in Gujarat to the industrial center of Nagpur in Maharashtra, which has boosted our order books to an all-time high, and our order backlog end of 31 December stands close to Rs. 19,000 crores.

And to a long-tail opportunity created by the energy transition, we have to become the number one provider of services. In our ambition to enhance customer experience with a strengthened and future-focused service system globally, we will work towards a new service business unit from the coming financial year of 2025-2026. So, this is going to be our fifth business unit in existing four business units, and this is a new business unit which will start from 1st of April 2025.

Moving to next Slide #10, which is about Khavda-Nagpur. As you are aware, PGCIL

awarded a large HVDC order to the consortium of Hitachi Energy India Limited and BHEL. The order includes design and execution of 800kV, plus/minus 800kV, 6,000 megawatt bi-pole and bi-directional HVDC link to transfer renewable energy from Khavda in Gujarat to Nagpur in Maharashtra. The potential of renewable energy drawn in Khavda, this 1,200-kilometer link, will feed into the country's 500-gigawatt renewable evacuation and inter-state transmission system under development. The project scope includes converter transformers, AC/DC control and protection, gas-insulated high-voltage switchgear, thyristor valve, 765kV/400kV substation, and auxiliary systems to be delivered by us and our consortium partner, BHEL.HITACHI

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Moving to the Slide 11, with an aging installed base, the urgency to drive energy transition and ever evolving workforce, and systematic organizational shift to the digitalization solutions, we have enormous opportunities for the service segment ahead of us. Establishing a service business unit is the first step to develop service and digital proficiency and unify the customer service experience. With the new business unit coming into existence from the 1st of April 2025, the imminent India business focus is to tap through the existing installed base of approximately Rs. (+80,000) crores. In order to maximize our reach, all the business units will closely work with the service business unit, shaping an end-to-end service opportunity.

Moving to Slide #12, to provide some more color on the orders received this quarter. Orders in the transmission segment grew with and without large HVDC orders. Orders from industries were up about 60% year-on-year, while data center grew six-fold on a low base. Renewables had a significant year-on-year decline of 68%, but we believe this is a seasonal decline. With aggressive push for renewable generation in the country, we expect significant demand from the segment in the coming quarter. On the right-hand side you will see the order mix, segment-wise projects took the lead with HVDC orders. Without HVDC, it is the product. Sector-wise, utilities are clear winners for both with and without HVDC orders, whereas on the channel-side, direct end-users take the lead with HVDC orders, and without, it is the EPC that takes the lead. Whereas on the channel-side, direct end-users lead with the HVDC order, and without, it is the EPC which takes the lead.

So, moving to the next slide, our value creator, our growth driver-service and export. This quarter, services contributed 11% of our total orders, excluding HVDC. We have secured repeat service order from major steel producers to digitalize transformers, life-cycle services for the thermal power plant substation, and SCA

DA system upgrades

across utilities, industries, and real estate. Additionally, we received renewable study orders from large domestic and global player. We also fulfilled spares and control relay channel extension orders from utilities, and program focused on digitalization through EnCompass capacity reserve agreement.

Excluding the one-time large HVDC orders, the share of exports grew to over 40% of total orders in the Quarter 3. Key orders include 330kV, 430kV circuit breaker orders from Central West Orana project in Croatia. And AIS equipment orders from PLN Indonesia for 70 kV, 170 kV, and 500 kV, 245 kV, and 145 kV AIS equipment from Sangachal, Azerbaijan. We also received an order for an 800 kV current transformer from Canada for Hydro Quebec. So, there's quite a lot of momentum on our export strategy, which is playing very well across the geographies which we are targeting and planning.

I now move to the next slide, Slide #14. I hand over to our CFO, Ajay Singh.HITACHI
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Ajay Singh: Thank you, Venu. And good evening, all. Hope all of you are doing well at your end. So, you see, our constant effort towards improving overall operational efficiencies has helped us to maintain growth momentum in third quarter.

So, if you see, during the quarter, the Company reported its highest ever quarterly order of Rs. 11,594 crores, which is up by 838% Y-on-Y. Revenue also went up by 31% Y-on-Y at Rs. 1,672 crores, on the back of favorable mix and a good order execution during the quarter. In addition to the favorable execution mix, there was a notional FOREX exchange gain on the export order deliveries that helped basically our profit before tax to Rs. 184 crores in this quarter.

Profit after tax was also went up more than 5 times compared to Y-on-Y, and it stood at Rs. 137.4 crores. Operational EBITDA if you see, for this quarter stood at Rs. 168.9 crores resulting in a double-digit margin of 10.1%. So, at the close of December 31, the

Company recorded its highest ever order backlog of Rs. 18,994 crores, providing a revenue visibility of the coming quarters.

If I go to the next slide, slide #15, I would like to share an update on how the numbers fared during this particular quarter, and let me walk you through this specific slide in detail. Here if you see, the other income, exchange and commodity gain which we were forecasting earlier is Rs. 51.9 crores and that is how our total income is Rs. 1,672 crores for this quarter.

Material cost was 59.2%, personnel expenses 8.4%, other expenses remain consistent at 19.3%, and the depreciation was also consistent, 1.4%. Finance costs compared to the previous quarter and the earlier quarters have gone down because of the average volume has gone down, so that has resulted in the lowering of the finance cost, and this has basically helped us to secure profit before tax of 11%, and profit after tax of 8.2%. With this, I hand over to Venu for the closing slides.

N Venu: Thank you, Ajay. And now I will move to the next slide, the last slide, Slide #16. With the closing of the penultimate quarter of FY '24-'25, all our efforts are channeled towards carrying the growth momentum not only for the last quarter but also into the new financial year.

In order to maintain the growth trajectory, the Company will focus on maintaining its leadership in core segments including utilities, HVDC, along with strengthening our presence in the segments like data center and industries. Furthermore, a concerted effort will be made towards accentuating exports and digital contribution to the Company's overall growth.

From a business standpoint, we are starting to lay the foundation of our new service business in India and leverage the largest ever backlog for revenue and profitability HITACHI

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accretion. The focus on improving overall operational efficiency to boost productivity and quality continues.

On the function side, there will be no let-off in our endeavor towards creating a robust safety culture as it is entrenched in our DNA. We remain agile with an eye on upskilling, re-skilling, and honing capabilities that can stand the test of time and meet today's and future energy requirement.

So, we that, ladies and gentlemen, I close my Presentation and open the channel for questions. So, operator, can you please open the channel for Q&A?

Moderator: Thank you very much, sir. We will now begin with the question-and-answer session.

The first question is from the line of Subhadip Mitra from Nuvama. Please go ahead.

Subhadip Mitra: Good afternoon and thank you for the opportunity. Firstly, I would like to congratulate the management for a great set of results and entering double-digit margins earlier than guided, so congrats on that.

N Venu: Thank you.

Subhadip Mitra: Sir, my first question is with regard to the HVDC order, would it be possible to outline what would be the size of this order in your order book?

N Venu: No. Subhadip, we said this the last time also, we do not like to give exact numbers. As you know, similar projects are also ongoing, so we do not like to give exact numbers on that.

Subhadip Mitra: Understood. Also, the amount that has got included in your order book, would that be after excluding the quantum that goes to BHEL?

N Venu: Yes, of course. BHEL thing we do not book, right. We book only our orders.

Subhadip Mitra: I am sorry, sir. I could not hear you clearly.

N Venu: I said the BHEL portion is not booked in our books. Our books, what is there in this, is pertaining to our order.

Subhadip Mitra: Perfect. Understood. And am I correct in understanding that most of this would be indigenously manufactured with a lower import component?

N Venu: Yes, you are absolutely right. HITACHI

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Subhadip Mitra: Okay. Secondly, with regards to the upcoming three HVDC projects, the Bhadla project, Khavda-Olpad, and Pang-Kaithal, would you be assuming that most of these would get ordered out over the next 12 months? And are you participating in all three of them?

N Venu: As I said, just to give a background on the HVDC technology, this technology has been invented by us when we were part of ABB 70 years back. Last year, as we celebrated 75 years in India, at HVDC technology we celebrated 70 years globally. Today, globally, around 150-gigawatt worth of links run through our technology. In India, including the one which we have received this quarter, that is Khavda-Nagpur, total is 16 HVDC links,

out of that eight links run with our technology. So, that is the kind of invention and continue to invest in technology to ensure that we remain close to our customers. And as you recall, we have seen this thing coming in, and we have opened our manufacturing facility, especially in Chennai, and we have end-to-end capabilities doing that. So, we will try and participate in as many tenders as possible. So, our view of the two tenders which you are talking about, one tender might get finalized in the next six months or so, and one more tender may be the last quarter new fiscal year. This is our assessment, but as you know, it depends upon the customer's finalization plans, and there are many other plans.

Subhadip Mitra: Understood. Last question from my side, sir, with regards to the QIP that you have announced, if you could also outline what would be the usage of the funds?

N Venu: Yes. We will come back on that, Subhadip. As you recall during October last year, during our EDW, we had announced Rs. 2,000 crores worth of investments, and it'

s basically

for the future growth and capital expansion. We announced in October 2024 a significant capacity expansion for our transformer factory, upgraded testing facilities, and also the capacity of the traction transformers and expat companies' network control. That's what we announced. But in addition to that, usage of the funds also from short and long-term working capital requirements, and strategic initiatives' expansions. As you know this is an enabling resolution, so basically it enables the management to be ready and whenever it is needed. Thank you.

Subhadip Mitra: Understood, sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal: Hi, Venu. Congratulations on a great quarter, sir. Sir my question is again on HVDC, so is this entirely done by the Indian entity or in partnership with the parent entity?

N Venu i: This is done entirely by the Indian entity.

Parikshit Kandpal: And what will be the import content in this? HITACHI

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N Venu: We will be importing some parts like semiconductors which we required for that. Again, when you are talking about import content, for example, the transformer, you also import the CRGO. So, we need to look at those kinds of things in that. But at least 80% to 90% of the products we manufacture here locally in our factories.

Parikshit Kandpal: The other question is on the fund raise, so while you have detailed it out, so Rs. 4,200 crores looks to be a very big number when you compare it with the Rs. 2,000 crores CapEx. And generally, we have seen your gross order book of Rs. 1,200 crores, and 5 times we were running on asset turn, so this potentially could be almost a Rs. 20,000 crores kind of revenue potential, which looks to be very large. So, does it include some part of capacity allocation from the global parent for the export markets, or this will largely be for the Indian HVDC market?

N Venu: As you said, and we also mentioned in our stock exchange disclosure on 18th of January, the Board of Directors have approved the proposal for raising funds up to Rs. 4,200 crores, right. So, and this is an enabling resolution that will give us flexibility to manage the capital structure of the Company and react to any potential initiatives that might require capital. And we believe that it is prudent for us to take such an enabling resolution.

Having said that, I also told in the previous question that this is part of that we already announced in October 2024, what we want to do, where we want to expand it. And we are also looking at, these expansions are not only in HVDC, but also in transformer, HVDC, our high-voltage businesses, it's for the domestic business as well as some part for exports in that. And this fund can be used also for our short-term and long-term working capital requirements, strategic initiatives, capital expenditure for M&A and other related activities. And some of the things can be also used to repayment or prepayment of debt, servicing any present or future debt.

Parikshit Kandpal: So, this will be an entirely fresh issue, right? I mean, there would not be any OFS, so this does not include any OFS, it will be entirely coming into the system.

N Venu: We would not like to comment on this. As I said, this is an enabling resolution, so whenever we decide, that time we will let you know on the timing, etc. But right now, it is an enabling resolution.

Parikshit Kandpal: Okay. Sure, sir. Thank you.

Moderator: Thank you. The next question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: Yes. Good afternoon, sir, and thanks for the opportunity. My first question is on, it looks like from the order inflow is that order was driven primarily by export and HV

DC. Can

you please comment on the domestic order, excluding HVDC?HITACHI

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N Venu: Yes. So, I think, our orders growth is primarily driven by HVDC, you are right. But if you exclude the HVDC order also, our base order growth is also a double-digit in the quarter. And that growth has maybe fueled from partly export, but also domestic. As we said, domestic we have data centers and industries, all those things have contributed for our growth also.

Mohit Kumar: I was asking the question because there is a lot of activity in the domestic transmission, right. And so, to that extent, the last quarter seems to be on the weaker side. Just asking, how do you see this panning out as we go forward?

N Venu: Sorry, I didn't get you, you were breaking in between.

Mohit Kumar: Given that there is large activity in the transmission side, in FY '24 and YTD FY'25, it seems like there is a delay in awarding from the projects. Is it fair to assume that this will pick up as you go forward?

N Venu: I think, first of all, we are not seeing that, there may be a slight delay which is expected, but it is not a major delay in awarding some of the projects. And we believe that, at least from our perspective, the pipeline is very robust, and we see customers are finalizing the orders.

Mohit Kumar: Understood, sir. My second question is, what is the timeline for execution of HVDC Khavda-Nagpur? And how does the revenue booking happen over the contract duration? Is it fair to say that booking will be back ended?

N Venu: Sorry, what did you say?

Mohit Kumar: Sir, my question is, what is the timeline for execution of HVDC?

N Venu: Yes. It is 48 and 54 months contractually. 48 months is a Bipole-I, and 54 months is a Bipole-II. That's our contractual thing.

Mohit Kumar: And how does the revenue booking happen over the contract duration? Is it lower initially then picks up? Is it fair to say the booking will be back ended?

N Venu: Yes, it is low for sure, the first 12 months is a low, but then next 12 month of second year and third year will have the bulk of the revenue coming in.

Mohit Kumar: Understood, sir. Thank you and all the best, sir. Thank you.

N Venu: Thank you.

Moderator: Thank you. The next question is from the line of Mohan Krishnaswami, an individual investor. Please go ahead.HITACHI

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Mohan Krishnaswami: Yes. Thanks for the opportunity. My question again is on HVDC side. I just wanted to understand the differences in the technology offered in the market, both the VSC and LCC. Because one of your leading competitors publicly mentioned that the VSC technology which they are exclusively operating in is superior to LCC technology. But most of the bids in India is on the LCC side. But I also noticed that the Adani order which was awarded to us one and a half years back was on VSC technology, which means we are fairly strong there as well. So, any color on what is the preferred basis in India and why it is preferred would be useful, sir.

N Venu: So, thank you Mr. Mohan for the question. As I said in the beginning, let me reiterate once again. The HVDC technology has been invented by us 70 years back.

Mohan Krishnaswami: Correct.

N Venu: Today both VSC and LCC put together, we are running 150-gigawatt worth of lines around the world. We have been investing in both LCC and VSC. Furthermore, these technologies need continued investment, to localize for developing skills for execution of such project. As it is a very complex project (HVDC), once you have end-to-end capabilities, then it is easy to execute. That's exactly what we did.

As far as any technology concern, whatever a customer chooses, we have a very comprehensive competitiv

e offerings for our customer whether LCC or VSC. Having

said that, country like India where you are talking about transferring 6,000 megawatts in one link, the LCC makes more cost-effective compared to the VSC technology. VSC technology has a limitation from a technology standpoint to transfer 3,000 megawatt or more.

But as I said, end of the day, we leave this to customers. We will offer both technologies; we have the complete end-to-end capabilities in India through whether it is LCC or VSC.

Just for information, as you rightly said it's the Mumbai project, which is completely executed through VSC technology.

Mohan Krishnaswami: And sir my second question, thanks for that answer, is on the larger potential. Now,

today India has about 33,000 megawatts of HVDC transferring capacity. When you compare that to, say, China, China is close to 300,000 megawatts. And our own power demand is running into capacities for 4 lakh megawatts. So, where do you see this number growing? I mean, you think it's a multi-decadal opportunity where we are just about 33,000 megawatts, maybe adding another 30,000 megawatts to 33,000 megawatts in the next five, six years. Can it keep growing because we will increase the share of HVDC of the total capacity line?

N Venu: I believe so, in my view. I was articulating this at least for the last two years or three years, that India used to have one HVDC project for every four or five years. But today the need of the hour is one project per year. And now the need of the hour is not one, HITACHI Inspire the Next

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but two projects per year. So, it is completely evolving. We need more and more HVDC links to ensure that anywhere you produce the green energy, you can transmit to the load center very seamlessly, at the same time ensuring that the grid is robust, flexible, and secure. And this technology plays a major and vital role.

And you talked about China. I do not have the figures off the hand to give you that, but absolutely, compared to any place, we have to have many more links going forward. And that's why we are investing. We are investing in our factories. We are investing in the capacities. We are investing in people as well.

Mohan Krishnaswami: Thanks a lot sir.

Moderator: Thank you. We will take the next question from the line of Vinod from Phillip Capital. Please go ahead.

Vinod Chari: Yes. Thanks for the opportunity, and congratulations on a great quarter, sir. Just to again harp on HVDC, you have a 50% market share in India, and I believe globally also you have a similar market share. So, what is it that makes ABB or rather Hitachi stand out in HVDC? Like how is your offering stacking up against what competition is offering? I think globally, it's basically GE Vernova and Siemens, which are offering similar products on the DC side. So, what differentiates Hitachi? Is it your localization drive? Can you just elaborate on what makes you the market leader?

N Venu: Yes, thank you, Vinod. We do not talk about our competition; we talk about ourselves.

So, as I said, we invented this technology and since then we have been investing in it, right. One of the things very clearly stands out is that we continue to invest, continue to bring the value-add, continue to reduce the footprint, losses, everything. In addition to the localization, creating the local competency, those are the things we clearly stand out. And on top of that, our execution capabilities, okay, that also is a very clear differentiation we bring it to our customers.

Vinod Chari: The other thing is if you look at the National Electricity Plan, intra-state is also an equally big component. So, do you see DC technology making any inroad in the intra-state grid as well? What are we witnessing in the intra-state grid?

N Venu: I think intra-state, depending upon there are some s

tates that quiet, again, it makes,

every technology makes sense whether it is AIS or AC or DC. What we need to look at is our return on investment standpoint. If it is longer distances or you have weaker grids, it makes even more commercially viable for us those kinds of things. But the technology standpoint will work anywhere. There are many examples outside of the world, where for a shorter distance, for a lower 1,000 megawatts itself, these people have been using this (HVDC) technology because of the inherent capabilities and benefits it has. HITACHI Inspire the Next

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Vinod Chari: Sure. Thanks for the explanation, sir. Thankyou.

Moderator: Thank you. The next question is from the line of Ruchita Parik from I-Wealth LLP. Please go ahead.

Ruchita Parik: Hello, sir. A very good evening and congratulations on a good set of numbers. So, sir, my question was mainly on the industry side. So, there is this investment that we have pointed out that Rs. 9 lakh crores of investment on the transmission industry. So, on that I just wanted to understand how much of that would be on the substation side? And under that how much would be, let's say, a 765 kV transformation capacity, how much would be for the 400 kV, 200 kV, if you could give a broad breakup of that.

N Venu: No, I think, we do not have off-hand figures now. But if you go to the NEP-24 plan, you have the complete breakdown over there in that. So, in our view, this Rs. 9.16 lakh crores is basically for the transmission, which includes HVDC transmission, which includes 765 kV, 400 kV transmission, because that's where ISDS comes into picture.

Ruchita Parik: Right. But we do not have, like, something like how much would be for the substation

part?

N Venu: Yes, I do not have the off-hand numbers.

Ruchita Parik: Got it. And, sir, just because I missed this point, this HVDC project of ours, so by when do we see the execution of it?

N Venu: Yes, I already said that but let me reiterate once again. So, the schedule for us, from the customer is 48 months for bipole-I and 54 months for bipole-II. So, that's where we are on track to complete that. And if your question was on the revenue that also I talked about is that our revenue will start slowly coming up in the first year and then start picking up in the second and third year, and that's where the bulk of the revenue flow comes into there.

Ruchita Parik: Okay. Understood. Thank you so much.

Moderator: Thank you. The next question is from the line of Vimox Shah from GoyamLabdhi Fintech. Please go ahead.

Vimox Shah: Yes, thank you for the opportunity. And congratulations, sir, on the great set of numbers. I have a question that in the presentation you showed that strong growth in the data center segment, so what is the expected future contribution on this segment in company revenue?

N Venu: So, as I said, we do not give any forward-looking statements on that, but data center is, as we have been also saying for several quarters, this is one of our key growth HITACHI Inspire the Next

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segments. The data centers are really growing in the country, basically by usage of data and privacy laws, etc. And more and more, the AI-ready data centers will further add more things. Just for your information, a query on the ChatGPT requires at least 8 times to 10 times more energy than the Google search, and that clearly shows that the data center market is really in upswing going forward.

Vimox Shah: Okay. Got it. And another question is like, in the last meeting I think you had mentioned that you are also exploring the opportunities in the battery storage side, can you provide an update on any progress in that area?

N Venu: We said energy storage is also one

of our key initiatives. We are looking at it. And we do not have anything to tell you at this point in time. We are looking at the market, assessing the market, what are the technologies that make sense, and how do we localize those other things at this point in time, it's in our mind.

Vimox Shah: Okay. And one more last question is like, what is the current status of Leh-Ladakh HVDC project? Any expected timeline for the leads?

N Venu: Yes, Leh-Ladakh, I do not know, our customers are working on that. So, as and when they will do that, we will start discussing that. At least from our standpoint, end of next financial year, coming financial year.

Vimox Shah: Okay, yes. Thank you.

Moderator: Thank you. We will take the next question from the line of Yash Mehta from Aart Ventures. Please go ahead.

Yash Mehta: Hello, am I audible?

Moderator: Yes, Mr. Mehta, please go ahead.

Yash Mehta: How much of the portion of the HVDC order will be services?

N Venu: No, I think right now, services, you mean commissioning, or what exactly you mean?

Yash Mehta: Yes, the commissioning part.

N Venu: Yes, we do not tell the exact number on that, but it will be roughly a ballpark of around 10%.

Yash Mehta: Okay, all right. Thank you.

Moderator: Thank you. The next question is from the line of Sagar Gandhi from Invesco Mutual Fund. Please go ahead. HITACHI

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Sagar Gandhi: Sir, my question is on yesterday's press release, which mentioned that there is a first of its kind thing which has happened, wherein the consulting team has entered into a capacity reserve agreement for nearly a year for renewable studies with a customer in decarbonization space. Can you explain this in bit of more detail?

Manashwi Banerjee: So, this is a part of a year-long contract where they have asked us to allocate resources to help them conduct various renewable studies, just indicating how the anticipated growth is in the renewable market. I do not think we have shared a customer name in the press release, and we will not be sharing the same.

N Venu: So, but you need to understand, this is a thing where we are articulating that we need to move from a project-based to program-based. Because the energy transition

tailwinds are very huge. If we have to meet the deadlines of the customers, it's important that we need to reserve the capacity for the customers so that we are able to take care in a very efficiently, and also bring the synergies between that.

For example, every time you do one-time engineering, and you are replicating it instead of that, every time you are doing engineering and then doing execution, and then once again one more time engineering, execution. So, the trend around the world what we have seen is that you do one-time, and replicate, two, three-time projects. You design for one project and execute for two, three projects. With that what's happening is the whole cycle and efficiencies and the cost benefits can be derived for both the customers and all stakeholders. And this is one example of a capacity reservation where our customer has signed with us for certain given period.

Sagar Gandhi: So, sir, this is a global customer or Indian customer?

N Venu: Indian customer.

Sagar Gandhi: Okay. So, they, I mean, capacity reserve in terms of manufacturing capacity reserve or only your, I mean, employee?

N Venu: No. It is basically when we are doing a study, so whatever the studies, instead of doing one study for every project, so we agree for it that we will do the studies for one year or something like that.

Sagar Gandhi: Okay. Yes. Thank you. Thank you so much.

Moderator: Thank you. The next question is from the line of Prathamesh from Antique Stock Broking. Please go ahead.

Prathamesh Rane: Hello, sir. Congratulations on a very good set of numbers. So, I had only one question related

to your margin guidance. So, you are maintaining that double-digit margin guidance for FY '25? HITACHI

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Ajay Singh: Thanks, Prathamesh. We have been always speaking on the same lines. As you see, we have already touched the guidance level that we are talking. So, still we guided the same intention.

Prathamesh Rane: Sure, sir. Thank you, sir. Thank you. That's all what I wanted to ask you.

Moderator: The next question is from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal: Yes. Thanks for the follow-up. Sir when you spoke about excluding HVDC, the order inflow growth is in double-digits, you were talking about Y-o-Y growth, right?

N Venu: Yes, Y-o-Y.

Parikshit Kandpal: Okay. And sir, in this HVDC, it is primarily like you said that 10% will be installation, that means 90% will be the product suppliers?

N Venu: We do not say it like that, installation, product supplies, system engineering, everything is in one only. I said I have just given a figure just you wanted to ask, see that what could be the thing in the services part.

Parikshit Kandpal: But this is classified under project, this will be classified under project this year, right?

N Venu: Yes, this is under project, you are right.

Parikshit Kandpal: So, but why do you do that and why not under the products, I mean, why you classify it in the projects?

N Venu: I think we have a very clear definition of the product; product means we supply our product and then the obligation gets over. Whereas here we supply the product, but then we have to integrate the product to ensure that the system is working there, so that's the difference.

Parikshit Kandpal: But does it have EPC portion also?

N Venu: No, it does not have civil and other things part of this.

Parikshit Kandpal: Okay sir. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will take the last question for today, which is from the line of Varun Basrur from Julius Baer. Please go ahead.

Varun Basrur: Good afternoon. I hope I am audible. HITACHI

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Moderator: Yes, sir. Please proceed.

Varun Basrur: All right. Thanks for this opportunity. Sir, just on the order book side, with the exception of HVDC order, what sort of delivery or execution timeline is there?

Varun Basrur: With the exception of the HVDC order on the order book side, what is the delivery or the execution timeline for the order book?

N Venu: No, as I said, our order books are, it's depending upon the project. For example, this HVDC project will be completed in 48-54 months. But when you say complete, means

we will have to start executing slowly for the first year, and then it will pick up in the second and third year. So, that's why it is a various thing, right? It has a visibility; our order book has a visibility for several quarters.

Varun Basrur: Right. But would you say that if you exclude the HVDC order, would the execution for the remaining order book be between the range of maybe two or three years or is it longer than that?

N Venu: It is at least close to two years.

Varun Basrur: Right. Sir, and just a second question is that you seem to be sitting on a fair amount of operating leverage as the revenue ramps up. Directionally, I mean, I know you are not giving absolute margin guidance, but directionally, where would you see the margins trend? Would it be high double-digits, high teens or mid-teens or, any guidance from your side would be helpful?

Ajay Singh: Yes, Varun, as we have very clearly mentioned that we are really not been commenting on any forward-looking indications. We remain committed to what we have been talking and we go step by step. But that is how we will proceed.

N Venu:

But having said that, our effort of all these things to ensure that we improve on everything, all KPIs, right. So, that's exactly our endeavor. Of course, subject to market conditions.

Varun Basrur: All right, sir. Yes, thank you. Thank you for that.

Moderator: Thank you. As that was the last question for today, I would now like to hand the conference over to Mr. N. Venu for closing comments. Over to you, sir.

N Venu: So, thank you very much for taking time from your busy schedule and attending our conference call. And thank you for your trust and faith. And we are really looking forward to receiving your feedback. If you need any information, please do not hesitate to reach out to us, and we are happy to engage. And thank you, and take care, stay safe. HITACHI

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Moderator: Thank you, members of the management. On behalf of Hitachi Energy India Limited, that concludes this conference. We thank you for joining us. And you may now disconnect your lines. Thank you. HITACHI

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Call: May 2025

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Scrip Code: 543187
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National Stock Exchange of India Limited,
'Exchange Plaza', 5th Floor, Plot No. C/1, G Block,
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Scrip Symbol: POWERINDIA

Subject: Transcript of the conference call with Analysts/ Investors held on May 15, 2025

Dear Sir / Madam,

Pursuant to Regulation 30 and 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of the conference call that was organized with the Analysts/Investors on Thursday, May 15, 2025 and the same can be accessed at <https://www.hitachienergy.com/in/en/investor-relations/analyst-section>. Kindly take the same on your records.

Thank you,

Yours faithfully,

For Hitachi Energy India Limited
Poovanna Ammatanda
General Counsel and Company Secretary
Encl.: as above
HITACHI

Public

1/23 Hitachi Energy India Limited Q4 FY25
Analyst Conference Call – May 15, 2025

MANAGEMENT:

Mr. N Venu – Managing Director & CEO, Hitachi Energy India Limited

Mr. Ajay Singh – Chief Financial Officer, Hitachi Energy India Limited

Mr. Poovanna Ammatanda - General Counsel & Company Secretary,
Hitachi Energy India Limited

Ms. Manashwi Banerjee – Head of Communications, Hitachi Energy
India Limited
HITACHI

2/23 Moderator: Ladies and gentlemen, good day and welcome to Hitachi Energy India Limited
Q4 FY '25 Analyst Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. N. Venu, MD and CEO, Hitachi Energy India Limited. Thank you and over to you, Mr. Venu.

N Venu: Thank you very much. Good afternoon, everyone. Thank you for joining us for the analyst conference call. I hope you're all doing well. And yesterday, as you know, we announced our results for Q4 and the full year '24-'25. And in the next 20-30 minutes or so, I will take you through our performance during the period ending March 31st, 2025. And we have uploaded the slide deck. For your convenience, I will read out the slide numbers.

And I have with me today our CFO, Ajay Singh; our General Counsel and Company Secretary, Mr. Poovanna Ammatanda; and our Head of Communications, Mr. Manashwi Banerjee. As always, you can follow the presentation on the webcast or by downloading it from the stock exchange. I will mention the slide numbers as we proceed.

At the onset of the fiscal year, our focus remained on balancing the operational complexity and efficiency to preserve Hitachi Energy India's growth momentum. And I'm happy to inform you that we have sustained growth momentum and

recorded highest ever order backlog of Rs.19,245 crores at the year-end, 31st March 2025.

Our strategic approach and adaptability to the rapidly changing global economic landscape has helped us to sustain growth momentum through the financial year. And FY '24-'25 was a special year for us as the company also celebrated its HITACHI 3/23 presence of 75 years in India. At the flag end of '24-'25, we initiated and closed our first qualified institutional placement QIP, which I will discuss later.

As we step into the new financial year, a more robust, comprehensive and collaborative approach is required to realize the sustainable growth for the company in the future. This aligns with our parent company, Hitachi's vision of transforming the group into 'True One Hitachi.'

With this, y

ou will see more synergy and collaboration among the group companies. It will enable us to provide the highest value to our discerning customers and partners by offering an expansive portfolio under One Hitachi. So, if I move to the Slide Number 3, safety, integrity and quality constitute our license to operate, and we never look the other way when we had to deal with the same. These are the key fundamentals of our business practices and operations.

Our focus on safety has helped to minimize the risk of harm and equipped us to address any untoward incidents effectively. And our continued efforts towards strengthening our safety practices have helped us reduce the frequency of injuries over the years.

FY '24-'25, we saw a decline of 18% of such incidents compared to last year. With safety woven into our operational fabric in March 2025, we celebrated the 54th National Safety Week across our offices and factories. The celebration includes a mix of exciting employee activities, including emergency response, training, safety drills, engaging employees across our project sites, factories and offices. It is noteworthy to mention that our discerning customers have acknowledged our constant endeavor towards safety. During the quarter, we received several appreciations, letters and awards for safety from our customers from different sectors, industry, renewable, utility, data centers etc.

Moving to the Slide Number 4.

This is also a very important slide for us at Hitachi Energy. Our commitment to environmental conservation is well defined and a clear KPI for our business leaders. HITACHI

4/23 The company's business strategy encompasses conserving the environment and minimizing the impact of its business on the planet. We strictly adhere to a responsible approach in delivering our solutions to propagate our purpose of advancing a sustainable energy future for all.

For FY '24-'25, we have taken definitive measures that align with our 2030 sustainability goals. Retrofits to optimize energy usage, transitioning to energy-efficient technologies, along with operational discipline have helped us to reduce energy consumption by 6% reduction in total energy consumption per every crore revenue.

We have also installed 10 rainwater recharge wells at the company's manufacturing facilities in Maneja, Halol, which have helped to reduce freshwater usage by four percentage. And by following sustainable solutions for hazardous waste disposal through recycling of waste and considerably reducing total waste disposed through incineration and landfill, we have ensured a 17% reduction in our overall waste disposal. On the climate front, we have added 1,240-kilowatt rooftop solar energy to our existing 291-kilowatt capability and we maintained 100% fossil-free electricity across all units.

Moving to the Slide Number 5.

Our focused strategic approach, coupled with our strict adaptability to the ever-evolving global economic landscape has empowered us to maintain our growth momentum.

In the quarter under review, we achieved a 56% year-on-year order growth amounting to Rs.2,190.9 crores, led by energy transition also due to the industry cyclical nature. Revenue is also up by 13% year-on-year to Rs.1,921 crores for the quarter based on solid order execution and focus on continuous improvement in overall operational efficiency.

On a strong execution and a better product mix, profit before tax and profit after tax were up by 62.1% year-on-year at Rs.246 crores and 61.8% year-on-year at Rs.183.9 crores, respectively.

The orders we received this quarter followed in from multiple segments, wherein

transmission and renewable led the charge, reiterating the focus on modernizing HITACHI 5/23 the grid to ensure a reliable supply of clean electricity across the length and breadth of the country, followed by orders from industry and the rail and metro segment.

Some of the notable orders include the first Made in India variable shunt reactor for the National Transmission Utility

lity, a large STATCOM order, 220/33 kV AIS

substation for 700-megawatt wind farm, automation of five substation and 128 traction transformers for railway to mention a few. At the end of March 31, 2025, our order backlog stood at Rs. 19,245.9 crores, providing revenue visibility across several quarters going back.

Moving to the Slide Number 6, our focus on continuous effort towards improving the overall operational efficiency has helped us maintain sustainable growth across parameters throughout the year. The same is quite visible in our performance of FY '24-'25, which surpasses last year that is FY '23-'24 in all parameters.

For the full year, orders reached a record of Rs.18,173.8 crores, as you can see from the slide, up by 228%, while revenue stood at Rs.6,475.4 crores, up by 23%. Both PBT and PAT also significantly up by 133% and our EBITDA margin has improved by 250 basis points compared to last year.

As I spoke in the beginning, FY '24-'25 was a special year for us from celebrating our 75 years in India to multiple key milestones. This year, we bagged a large HVDC order very clearly showing our technology prominence in HVDC in India and worldwide.

We have multiple expansions at our various facilities, especially in transformers, interrupters and valves, also our insulating materials, etc. Also, we successfully concluded our first fund-raising initiative through qualified institutional placement, which raised Rs.2,520.82 crores.

Moving to the Slide Number 7,

I know that you know more than me on this particular slide but let me give you my view on this. As per the Organization of Economic and Cooperation and Development report (OECD), the Indian economy will remain one of the fastest-growing major economies worldwide. The country is expected to grow at HITACHI 6/236.1% for the fiscal year '25-'26 with retail inflation dropping to a six -year low in March 2025 and you got the latest data even lower, gives a strong growth signal, while India is comparatively less exposed to the reciprocal tariff, of course, we really have to wait and see how this will pan out to be. But it will impact various industries whenever it happens, but so we have to keep a constant vigil and devise a mechanism to minimize the same and retain the exports growth momentum clocked in the previous quarters.

While geopolitical uncertainty has posed some challenges, we expect the growth momentum in the energy sector to continue. The government reiterated its commitment to the same by increasing the FY '25-'26 budget for the energy sector to Rs.26,550 crores compared to the Rs.19,000 crores of the previous year.

With India moving fast to meet its commitment of renewable energy installed capacity, the interstate transmission system expects close to Rs.1 lakh crores investment over the next two financial years. Furthermore, the flow of more foreign direct investments, growing investment in the Indian data center for the next couple of years and modernization of Indian railways will add more steam to the energy sector's growth engine.

Also, the government's effort to enhance the financial viability of power distribution companies is a positive step that will go a long way in strengthening the country's energy ecosystem.

Moving to the Slide Number 8.

At Hitachi Energy, we constantly endeavor to advance a sustainable energy future through all of our projects. During the quarter ending March 31, 2025, we commissioned several key projects such as renewable, transmission, industry segments and I would like to highlight a few of them. We commissioned 400 kV AIS substation for 500-megawatt solar Badi Sid project in Rajasthan; 2 transmission projects, one for establishing 220 kV, 33 kV and 132 kV substations for development of ISTS work in Madhya Pradesh. The second one is in Bhutan for which we provided 66 kV GIS, 33 kV GIS, etc. and the last one, we also commissioned a 220 kV GIS project in Bangalore for a leading battery manufacturing company. HITACHI

7/23 If I go

to the next slide, in the quarter of January - March '25, we have several impressive achievements. We tested our first variable shunt reactor that was designed and manufactured at the power transport factory with our focus on enhancing the overall efficiency.

We have some significant extensions and expansions, the bay extension of pressboard and insulation kit manufacturing at our Mysore facility. And we also had a warehouse expansion at the power quality factory in Doddaballapur, Bangalore to help streamline inventories and exports, etc.

We value our partners and customers to further strengthen our relationship and exchange ideas on the latest industry trends and development. The company has conducted several technical training sessions and factory visits for them. I'm also delighted to inform you that our service team has signed a first service level agreement with the world's largest data center provider for dry type transformers of various ratings.

Moving to the Slide Number 10.

As a pioneering technology leader, we always ensure that we present our views at various forums to create a conducive policy environment for the entire energy sector. This quarter, we also made our presence felt at key industry events and exhibitions such as India Energy Week, the Karnataka Global Investors Meet, Elecrama, etc. and we continue to do so in that.

I'm moving to the Slide Number 11.

Now to provide some more color on our orders received this quarter, transmission and renewable led the charge with an increasing focus on modernizing the grid to ensure a reliable supply of green electricity across the country. This was followed by orders from industry as well as the rail & metro segments.

The transmission segment saw a 91% growth surge, where the renewables saw year-on-year growth of 386% and railways & metro are up by 24% year-on-year. However, the data center and industry saw a year-on-year decline of 56% and 33% respectively. But we believe this is a seasonal decline and a timing factor. With the aggressive push for building data center network and electrification of HITACHI 8/23 industries in the country, we expect a significant demand from these segments in the coming quarters.

On the right-hand side, you see the order mix. Segment-wise, the product took the lead; sector-wise, utilities are clear winner and on the channel side, direct end users emerged at the top of it.

Moving to the Slide Number 12, if you see segment-wise growth through the financial year -- the transmission emerges again as a frontliner with 750%. On the other hand, industries, has year-on-year-growth, whereas in Q4 FY25, you see a decline.

Data center, again, has a year-on-year growth. Whereas for railways & metros, though the Q4 FY25 was up, but on an overall year-on-year basis it is down. And the renewable is up both year-on-year and quarter wise.

If we move to the next Slide Number 13, exports and services continue to sustain their growth momentum, contributing significantly to the overall order book.

Services saw almost 60% year-on-year growth and exports recorded a significant year-on-year growth of 77%. In terms of contribution to total orders, exports contributed almost 37%, excluding HVDC and services contributed around 7.4%. It also shows our constant endeavor towards strengthening our service and export portfolio. Service is a key component of our growth, as we have been explaining it is pivotal to our long-term partnership collaboration with all our customers.

Some of the orders in this segment include grid compliance, power systems, renewable studies for utilities, digital service level agreements, SCADA upgrades, replacements of equipment, annual maintenance contracts. Export orders received from across the continent, South Asia, Europe and Africa are primarily from utilities.

Furthermore, foreseeing immense potential in service and maintenance, the company has introduced its service business unit that is the 5th business unit, from April

1st, 2025. The unit will provide services to various sectors throughout the asset life cycle from installation to sustainable end of life cycle solutions. HITACHI 9/23 So, let me hand over to our CFO, Ajay, to take you through the next 2 slides.

Thank you.

Ajay Singh: Thank you, Venu and good afternoon to all of you and hope all of you are doing well. So, you see our constant effort towards improving overall operational efficiencies has helped us in maintaining growth momentum in Q4 2025.

During the quarter, the company reported a Y-on-Y order growth of roughly 55.57% with Rs.2,190.9 crores. And the revenue went by 13.1% Y-on-Y, it is Rs.1921.9 crores. And this is all because of a result of solid order execution and focus on the continuous improvement in the overall operational efficiencies. So, rising on the strong execution and the better product mix, our profit before tax increased by 62.1% Y-on-Y at Rs.246.7 crores. Profit after tax also increased by 61.8%, which stood at Rs.183.9 crores. Operational EBITDA, if you see for the stand-alone quarter 4, it stood at Rs.235.6 crores, basically resulting in a double-digit operational EBITDA of 12.3%. The same emphasizes the company's constant endeavor towards improving margin and strengthening overall operational efficiencies.

As we closed March 31st, 2025, the order backlog stood at Rs.19,245 crores and this provides a visibility of the upcoming quarters.

If you go into the next Slide and here, I would like to basically share more details about the quarterly performance and if you see the total income is Rs.1,921.9 crores. This includes exchange gain of Rs.19.9 crores, our material cost is 61.6%, personnel expenses are 7.5%. Other expenses basically is 16.6%. Depreciation is 1.2%. Finance cost, if you see 0.3%. It has come down. As of now, we are not having any short-term borrowings at the company level and that all these efforts really helped our profit before tax to be 12.8% and PAT at 9.6%.

If you go extreme right and see this year-end numbers compared to the last year to this year, if you see our revenues stood at Rs.6,442 crores and roughly 22.3% growth compared to the last year. And our margin, if you see, profit before tax is 8% compared to last year 4.2% and PAT at 6% compared to 3.1%. So, I will say overall the performance, was pretty good in this particular quarter and in the year. Over to you, Venu.HITACHI

10/23N Venu: Thank you very much, Ajay. And if I go to the last slide before I hand over back to the operator for Q&A. As we close the final quarter of fiscal year '24-'25 and step into the new financial year, our focus remains on carrying the growth momentum into FY '25-'26. The company remains steadfast towards maintaining its leadership in core segments, along with establishing and strengthening our presence in industry, fast emerging segments like data center, energy storage, etc.

We continue to accentuate our export capabilities and digital progress to accelerate our growth further. With our new service BU in India being fully functional from April 1st, 2025, the focus will be on strengthening the segment and exploring the tapping into potential opportunities and offering cross BU offerings to our customers.

We remain committed to improve our overall operational efficiency and boost productivity and quality, especially under the umbrella of One Hitachi. The quest to leverage the largest ever backlog for revenues and margin accretion remains one of our key priorities, along with a systematic focused approach for the optimal utilization of the raised capital. Furthermore, our efforts to build our capabilities will continue to meet ever-growing energy requirements, both domestic and global.

Most importantly, there will be no compromise regarding our license to operate safety, integrity, quality in any of our spheres of work. To stand the test of time and meet energy requirements of today and in the future, we'll continue to re-skill, upskill our entire workforce.

And we continue to build capacities, not only our factories, our project sites, also for our engineering capabilities, but also our future talent required for our growth.

So, with this, I close my presentation and request the operator to open the channel for the questions. Thank you very much.

Moderator: Thank you. We will now begin with the question-and-answer session. The first question comes from the line of Mohit Kumar with ICICI Securities.

Mohit Kumar: Good afternoon sir, Congratulations on a very strong order book and a great set of results. My first question is, sir, is it possible to share the HVDC order book at the end of FY '25?HITACHI

11/23N Venu: Sorry, what was the question?

Mohit Kumar: Is it possible to share the HVDC order book at the end of FY '25?

N Venu: So normally, we don't give you that. We had only booked one HVDC project last year in our order backlog. So, we have booked one HVDC project. The second HVDC project, which we announced will come in first quarter of FY25-26, because we have concluded the contracts in the first week of April 2025.

Mohit Kumar: Understood. My second question is, sir, have we expensed QIP-related expenses

in the quarter? Or will it impact Q1 FY '26?

Poovanna Ammatanda: Thanks for the question. So QIP-related expenses are carved out separately, from gross QIP proceeds which will be paid separately. So that will not impact operational profit.

Mohit Kumar: It will not come through, not pass through P&L. Is that right understanding?

Poovanna Ammatanda: Yes.

Mohit Kumar: My last question, sir, in the cash flow, there is a decrease in other financial assets.

And there is a decrease in loans and advances, right? And there is an increase in other liabilities. This increase in other liability, is it related to mobilization advances? And what is the reason for decrease in loans and advances?

N Venu: Maybe Ajay, you take this question, Ajay?

Ajay Singh: So, increase in other liabilities, basically, it is from the advanced collections that we have got. So that is what is mostly because of the advanced collections that we are getting.

Mohit Kumar: And sir decrease in loans and advances?

Ajay Singh: Decrease in loans - earlier, we are adding a short-term borrowings, as I told you in the beginning, so we are not having any short-term borrowings right now.

N Venu: We are debt-free since last quarter.

Mohit Kumar: Thank you

Moderator: Next question comes from the line of Umesh Raut with Nomura India.HITACHI

12/23Umesh Raut: Sir, my first question is pertaining to incremental opportunities on HVDC side. As

we are hearing, there are 3 packages which are lined up and especially one is on the VSC-based technology, which is Khavda bi-pole part. So, any update over here, any indicative timeline by when you expect finalization of these orders?

And subsequently, I also want to know how your execution would look like from the projects that you have won on the HVDC side in the last 2 quarters?

N Venu: So on the timeline, as we are saying that in our view, one, if not second one, we

may get finalized by the second half of this fiscal year. So, when it comes to technology-wise, Hitachi Energy invented the HVDC technology 70 years back, starting with the LCC and thereafter, introducing VSC technology.

Throughout the world, we have close to 150 gigawatts worth of installations, both combined LCC and VSC technology. So, we are agnostic of technology. And just for information, the project, which we are almost in the final stage of completion, in Mumbai, is a VSC technology.

So, whatever the customers want, we have the technology and the capabilities and we have also done a lot of localization. So, we will do that as and when it gets mature. When it comes to the execution of the first two projects, one project is in our portfolio at the end of March.

And as I said, second project, which we have already announced to all of you that has come into our books in the first quarter(of FY 2025-26), so

which will

reflect in our first quarter results. So, these projects are a completion period of 48 and 54 months, 48 is a bipole-I, 54 months is a bipole-II. And normally, the revenue for this will be very slow in the beginning with a low single digit and then it will move up to the second year, third year in a big way.

Umesh Raut: Okay. So, is it fair to assume that initial two years, you will have about 1/3rd of execution and maybe subsequently the later two years will have about 2/3rd of execution coming in?

N Venu: We will not be able to share the same. As I said, initially, the first year is a low single digit.HITACHI

13/23Umesh Raut: Okay. From a capability point of view, I just wanted to understand how many projects on the HVDC side you can execute simultaneously in a similar timeframe?

N Venu: If you ask about our HVDC project portfolio, we have three projects by the end of 31st March. We have a Marinus Link project, for which we will start supplying shortly, then we have Mumbai project and then other projects which we got recently. So, it is not about how much we can do it. We are flexible & agile and are gearing up the expansions in anticipation of the same. And as and when we see more opportunities, we'll also expand our factories and enhance our execution capabilities. But having said that, we look at every project as a new project and evaluate it in a risk-reward basis and then we take a decision based on each project.

Umesh Raut: Got it, sir. Sir, I have one basic doubt when you mentioned that certain technology is getting fully absorbed in particular year. So, what do you mean by this?

N Venu: Sorry.

Umesh Raut: So when I refer to your annual report, there are mentions about various components or technologies getting fully absorbed in terms of technology transfer?

N Venu: I don't know which you are referring, which report you are referring it to?

Umesh Raut: When I refer to annual reports of your company, you mentioned that certain components or technologies got absorbed during that particular period. So, for example, in FY '24 annual report, you mentioned that VSC-based volt technology got fully absorbed in India. So, does this mean that you can manufacture these volts locally?

N Venu: Yes. Any new technology comes, so we always bring those technology and localize the technology here so that's what we meant in that.

Umesh Raut: Okay. So based on current capability, how much of indigenized or localized value addition we can do in case of HVDC project execution?HITACHI

14/23N Venu: Today, not restricted to HVDC, but for all the portfolio put together, whatever we're producing globally, more than 80% we produce locally here. The value add is a different then what we produce. For example, transformer, we don't have a CRGO here and so we import it. If you take the value add locally, it doesn't come into picture in this context. But we have end-to-end manufacturing of the transformers.

Moderator: Thank you. Next question comes from the line of Bhalchandra Shinde with Motilal Oswal AMC. Please go ahead.

Bhalchandra Shinde: Hi, sir. There is one concern in most of the investors, like if we are getting so many HVDC orders. But after that, relatively order inflow growth may taper out. If you can provide insight that what kind of order inflow growth one should see over the next / in a longer period of time, especially when the kind of HVDC capex is happening globally and within India?

N Venu: So, our whole strategy for our portfolio, be it the product system, services or software is a bridge between with the generation and the consumption. So HVDC is one part of our portfolio. We have four business units, HVDC is one of them. It's not the only one. So, we are not building the strategy only based on the HVDC, but for sure, the same is coming in a big way.

So, we have the full-fledged transformer portfolio. We have a high-voltage portfolio. We have grid automation and then the grid integration, which includes the

STATCOMs and HVDC, etc. in that. We have been saying very clearly for the energy transition's requirements, especially on the targets set by the government. It needs a lot of technology has to come in, technological product systems need to come in.

For example, you need to have more HVDC projects, more energy storage and more 765 kV transmission and also some 1,200 kV transmission line also will come in. All of them are an enabler for us and our portfolio will go into that. That's one aspect. And then we come to the edge of the grid expansion, for example, data center, energy storage. Here again, we have the complete portfolio. So I'm not saying that it's just because HVDCs will clutter after some time and then our order flows. We are not seeing that scenario at this point in time. And we are looking at short-term to medium-term basis, and we see that market is very robust. The tailwinds are supporting. That's the reason we areHITACHI 15/23expanding it, we are expanding our manufacturing capabilities, capacities in all the four business units.

Bhalchandra Shinde: Got it. And in the margin trajectory-wise, sir, like we showed relatively thinner margins in first half and we improved on margins in the second half. Similar kind of a trend one should see in FY '26 or overall execution front will be uniform?

N Venu: On an overall basis, quarter-on-quarter, the mix can differ, things can differ. So, we generally, we see a slow start in the first quarter of the financial year and which will pick up because many of our customers are also working towards their budgets, etc., in that. But what we said last time that we will reach a double-digit margin in this quarter, but our thing is that overall year-wise, we will maintain the double-digit EBITDA.

Bhalchandra Shinde: Got it. Thanks for answering that.

Moderator: Thank you. Next question comes from the line of Nikhil Bhandari with Goldman Sachs. Please go ahead.

Nikhil Bhandari: Congratulations on the great set of results. Can I ask the margins profile typically for the HVDC projects versus your base business? If you can provide any kind of color or range, that will be pretty helpful?

N Venu: Thank you, Nikhil. But unfortunately, we don't give a margin profile of a project level. As I said, HVDC is also one-off projects only. It's like any other project. So,

we don't share the same. All I can tell you that the risk profile of these projects are better than what we used to see previously. Like, for example, we used to have a complete turnkey, the civil construction, etc. in such project. So here, our things are mainly engineering and supply of the products and commissioning of the products and ensuring that the system works.

Nikhil Bhandari: Understood. And just a follow-up question to your capacity or bandwidth constraints for taking more HVDC projects. You mentioned that's quite dynamic and you can probably operate multiple projects. But what could be bottlenecks or constraints if you were to think as a risk in terms of taking multiple more projects from here on the HVDC line? Any thoughts on what could be the potential constraints for you to take, let's say, another two or three projects in the next one to two years?HITACHI

16/23N Venu: Again, depends upon how these projects will be stacked up together in a particular timeline, etc., those things will be there. But as I said, we are a global company and our supply chain is global. So, depending upon the need, we can always see that if our factory in one particular component manufacturing is full, we can always look at where else we can source it. So those are the flexible options available for us. And with that, we will really look at taking or exploring take more projects, whether it is HVDC, whether it is supplying our transformer or many other aspects of that.

Nikhil Bhandari: Got it. Thank you very much.

Moderator: Thank you. Next question comes from the line of Mahesh Bendre with LIC Mutual Funds. Please go ahead.

Mahesh Bendr

e: Hi, sir. Thank you so much for the opportunity. Sir we have an order book of Rs.19,000 crores. So when the execution will pick up, I mean, when execution will peak, is it in FY '26 or FY '27 out of the current order book?

N Venu: No. Our order book is ongoing, right? Like, for example, last year, based on our order backlog, we have improved the revenue of almost 22% to 23%. So the 23% higher has come from the existing order backlog in that. So we see that most of the thing, I would say, orders most of the revenue will come from our existing order backlog this year and some of the things will spill over into the next years on that.

Mahesh Bendre: So, my question was out of Rs.19,000 crores, whether the majority of this will get booked in the current year, that is FY '26 or is it in FY '27?

N Venu: Let's address your question differently. Other than the HVDC, the rest of the order to the revenue cycle, depending upon the their size hover anywhere between 3 to 6 months and goes up to 18 months, if it is a large transformer or large GIS etc. If you have an order and then you can say that from 3 months to 18 months is what it takes to convert the same into revenue.

But for HVDC, it takes a long time, and it has a 48 months completion period and one part of the project and 54 months is the remaining part of the project. So it will take a longer time and will not happen in the same way as I described for the rest of the portfolio.HITACHI

17/23Mahesh Bendre: Sure. And last question from my end. Sir, globally also there is a shortage of transmission and distribution equipment. So, given the strong demand in domestic market, is there any limitations on us in terms of taking export orders in the near term?

N Venu: We do not have any limitations on that. As I told you, our exports last year, whole of fiscal year, if I remove the HVDC is in the 37% and exports have grown year-on-year from last year in absolute value, it has grown and the percentage-wise also. But having said, our pipeline in the domestic market is very strong.

Our pipeline from the renewable, pipeline from the transmission, pipeline from data centers, pipeline from many other sectors where we are working on that is quite strong. And our focus always, I've been saying this and I continue to say, our focus is to address our domestic market first and then we go to the exports.

Mahesh Bendre: Sure. Thank you so much, sir.

Moderator: Thank you. Next question comes from the line of Harshit Patel with Equirus Securities. Please go ahead.

Harshit Patel: Thank you very much for the opportunity. Sir my first question is on our capex. You have talked about investing close to Rs.2,000 crores over next four to five years. When I see our FY '25 capex, that number is close to Rs.130 crores. So from here on, will we step up our capex to maybe Rs.400 crores, Rs.500 crores per year kind of a level?

N Venu: Yes. I think -- go ahead, Ajay.

Ajay Singh: Yes. So, thank you for the question. Right so in this year, we have done our QIP

and we have already declared that we'll be spending approx. Rs.2,000 crores in a span of 4 to 5 years. That was our say. So what we have done in this year, obviously, in the next few years, it will be, let's say, 4x to 5x kind of thing. So that is what we see at the moment and our drive will be in that direction only.

Harshit Patel: So, could you share what kind of product groups or solution groups that we will see? I think one clear area would be investing towards this incremental HVDC-related factories. Apart from that, what kind of investments we would see towards maybe STATCOM, the higher range of AIS, GIS transformers? Anything that you can share on that front will be very helpful?HITACHI

18/23N Venu: We have already spoken about the same earlier as well. It is a widespread investment. It will be in all our business lines, expansion of the business line transformers, high voltage, grid automation, so on and so forth.

Harshit Patel: Understood, sir. Sir

, my second question is on exports. As you have explained our exports and even the share of exports has grown very sharply in FY '25. Are there any more geographies or product groups that have been allocated to us by the parent? Are there any more products where we have become or we will become a global feeder factory for the group? So, any outlook, if you can share on that front, that will be very helpful?

N Venu: Our export strategy, as I was explaining to you also, you know very well that it is a three-pronged strategy. First one, we have some of the products with the global feeder factories, and that is the same. We have not added any new products into that. And the second one is we have been allocated certain markets, and those things are dynamic as and when we getting new markets, so we will be doing it.

And the third one is we do have feeder factories and then based on the feeder factories, we are supplying our components into that. So, this is how the three-pronged strategy. And there is a scope. As I said, our exports are not at the cost of the domestic market. So, if we have more slots, we will definitely have opportunity for us to grow in exports.

Harshit Patel: Sure. Thank you.

Moderator: Thank you. Next question comes from the line of Renu with IIFL Capital. Please go ahead.

Renu: Yes. Hi, good afternoon and thank you for the opportunity. I have a few questions. First, just trying to understand that in the last two quarters, while we have seen margins coming to double-digit levels, even if you add back the effect of commodity gains, it's still in 13% levels, which is significantly lagging other peers who are in terms of their performance, mid-teens to 20% range.

Just trying to understand what is pulling down the margin mix for Hitachi versus the other peers in the current business environment despite the execution of high-margin HVDC VSC that we've done, that's the first question?HITACHI

19/23N Venu: Yes. So, thank you for your question, Renu. We have also done our own analysis of the same, so I don't want to make a comparison with the competition. But our margins are coming in line with our strategy and it's coming out. And we have been saying last two years, it's not that we take a dip in one year and then start doing that. That's not our strategy.

Our strategy is growing continuously sustainably. That's exactly what we said. We have said 2 years back that we'll reach the double digit and we have reached the double digit. And we said on a year-on-year basis, we sustain this. And it will also probably will improve going forward.

Renu: Okay. So even if the market is giving opportunity, we may not be very excited to grab better profitability or profiteer?

N Venu: We will also at the same time invest in our future. So, whenever we are looking at it, we are not looking for a short-term gains. We are looking for a long term.

So as I said, our focus is the domestic market. We continue to serve our domestic markets and that's where is our thinking.

Renu: Got it. The second is, do we have any updates, probably I might have missed it out, but do we have any updates on the electrical packages related to the bullet train. Are we still expecting something from it or probably we are out of the race for those orders?

N Venu: No, I think it's getting delayed. That's what I understand. It's getting delayed right at this point in time.

Renu: Sir, any particular timeline for fiscal '26 or probably it's difficult to put anything on paper right now?

N Venu: I think it should happen in this fiscal year. So, we are not sure when and how it will happen.

Renu: Got it. A last bookkeeping question. On Slide 11 of the presentation, the segment mix numbers for the quarter seems to be backdated for fiscal '24 and '23 and not updated for '25. So can we have the updated revenue mix between utilities, mobility and industry?

N Venu: Sure. So we'll send that. The numbers are correct. The year is wrong. HITACHI 20/23 Renu: That's not updated. Got

it. Thank you and best wishes to you.

Moderator: Thank you. Next question comes from the line of Ashwani Sharma with Emkay Global Financial Services Limited. Please go ahead.

Ashwani Sharma: Hi, sir. Good afternoon. Thanks for the opportunity. So, the first question, if you can give us some idea on current tender pipeline ex of HVDC, how is that shaping up?

N Venu: No, we don't normally give the value of the pipeline, but our pipeline is quite robust compared to what it was one year ago and one year now. And excluding HVDC, the pipeline is very robust.

Ashwani Sharma: Okay. And sir, the second question is that as we move towards execution of these HVDC orders, just wanted some idea on the working capital requirement. Is it different from the base orders or any inputs on that?

N Venu: Maybe our CFO, Ajay will also join. But as you know, these are quite a large HVDC large projects. We need to be ready to manage the working capital whenever is required in any particular part of the project cycle. That's where we are looking at it. Ajay?

Ajay Singh: Yes, it is right, sir. Being a big project, initially, when we start, it will start with the low working capital requirement. But once we pick up maybe in the year 2, the working capital requirement will be more for sure. But for that, already we are equipped, and we are having a plan in place.

Ashwani Sharma: Sure, sir. Thank you. Those were my questions.

Moderator: Thank you. Next question comes from the line of Bharat Shah with ASK Investment Managers Limited. Please go ahead.

Bharat Shah: Yes. Congratulations on good outcomes. But don't regard my question as a bit of a spoil sport. I see, of course, the performance is robust in financial terms. But I would say the size of the order book, the strength of the opportunity, all are more in the external segment. It is external opportunity, which is propelling us. But when I look at internals of the firm, the innards of the firm, some of those questions came from the earlier participants about the margins. In a business HITACHI 21/23 where demand is robust, we believe that we are technologically in terms of quality of engineering, we have superior solutions.

We also have a large business size. Therefore, in a business where gross margins are still at a very healthy 40% level, our operating profit margins at just over 6.5% in the year of '23-'24 and just a little over 9% in the fiscal year '25. I'm unable to understand why these are so poor. That means our internal costs are too high or maybe our methods, processes, reengineering something, but prima facie, it doesn't add up?

N Venu: Thank you for your question. Maybe I'll ask our CFO, Ajay, to talk.

Ajay Singh: Thank you for the question. So, as you see, if you see our cost structure, cost structure, if you see, you rightly mentioned, our gross margins are hovering around 38% to 40%. But the expenses also, if you see compared to the last year, just compared to the last year, our personnel expenses, for example, compared to the last year came 9.6% to 8.5%.

The other expenses also are hovering in the same line. The depreciation, finance cost to us, it is all consistent. It is only with the kind of product mix and the future revenue growth that we are having, coupled with export and service whatever we are committing and whatever we are delivering, we'll be moving in that direction.

Bharat Shah: No. But I would say, Mr. Venu, this is not a finance question. I would say this is a business question. He answered about depreciation and finance costs, but they sit after the operating margins, not before?

N Venu: When I told you, Ajay will add and then I'm also going to top it up on that. So, Mr. Shah, what we are looking at it, I've been also telling you consistently, we are not looking like -- I don't want to make any comparison here. There are other companies who compare, they are also making losses in the two-three years. We are a consistent company. We wanted to build a company in a very lon

g-term

sustainable growth, both growth in terms of top line goes into the bottom line. Some of the projects we look forward in big projects, we need to start working

on those things much at other things, which may also probably incur the cost. AllHITACHI 22/23 those things will be also required in addition to the technology, which is very important.

` One of the reasons why we are here, we are able to compete and beat others and get the orders is because we are doing a lot of localization and bringing the technology and localization. All those things will pay at one point in time. But right now, as I said, we are in line with our strategy.

We are not moving. We are told two years back, we enter double-digit margin. We grow higher than the market and we expand our things into geographical thing as well as high-growth segment. We are here, say the ratio, you see here, what we are saying, we are doing it.

Moderator: Thank you. Next question comes from the line of Amit Agicha with HG Hawa. Please go ahead.

Amit Agicha: Thank you for the opportunity. Sir, what is the growth outlook in data center and how are you positioned versus peers?

N Venu: Data center is one of our key growth segments and we call it the high-growth segment and we are very well positioned. We have a strategic approach on that. We do a lot of long-term deals with some of the hyperscale's, both global hyperscale, local hyperscale. We have a multiyear project in that.

So one out of the three data centers today is powered through our grid integration solutions in that. So, we are well established. We are establishing. We are driving even more to offer our products and portfolio in the segment.

Amit Agicha: Question was like what is the addressable market size for services in India and how is the new business unit expected to scale in '26-'27?

N Venu: So, this is also we have been telling previously, our addressable market, we have an Rs.60,000 crores worth of installed base in India since last 75 years, we have been doing it. And we saw that our addressable market, our potential orders, not addressable market. This whole Rs. 60,000 crores is the addressable market, but everything will come in the market. We said we have a potential of future addressable market is in the range of Rs.2,000 crores per year. HITACHI 23/23 Our orders are in the ballpark in the plus/minus in that range. And that's what we are looking at it in that. Right now, we are around Rs.500 crores- Rs.600 crores of our orders. So, our plan is to take it over a period of time, Rs.2,000 crores orders. It will not happen overnight, but it will take 3 to 4 years. So we are productization. We are offering digital offerings to our customers. Both IT/OT combinations also we are looking at.

As we speak, we are doing a lot of pilots with many of our industrial customers, data center customers. Some of the data center customers are looking forward for providing the life cycle things. All those things will come into that. It won't happen again overnight. It is a 3 to 5 year journey.

Amit Agicha: Sir, my last question is like how will be using the QIP proceeds of Rs.2,500 crores plus, like are there any inorganic opportunities in sight?

N Venu: About QIP proceeds, we talked about very clearly and two-thirds of that we used in our expansion capex. And then the rest 25% is our capex corporate usage and 10% is working capital. But having said that, we are actively looking at some of the things and not in areas of a transformer, etc., but mainly in our value-add or complementary things like our new segments, those are the things.

Amit Agicha: Thank you for the answer and all the best for the future.

N Venu: So, operator, since we already reached our time and I know that there is a queue for other questions. So please reach out to us. We have back-to-back calls for some other things. I really want to thank you for your interest and listening to us. So, if you need any further information, please reach out to us any

time, happy

to engage and provide answers to you. Thank you very much and looking forward to talking to you soon. Thank you.

Ajay Singh: Thank you.

Moderator: Thank you. On behalf of Hitachi Energy India Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. HITACHI

Call: Aug 2025

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Scrip Symbol: POWERINDIA

Subject: Transcript of the conference call with Analysts/ Investors held on July 30, 2025

Dear Sir/

Madam,

Pursuant to Regulation 30 and 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations,

2015, we are enclosing herewith the transcript of the conference call that was organized with the

Analysts/Investors on Wednesday, July 30, 2025 and the same can be accessed at

<https://www.hitachienergy.com/in/en/investor-relations/analyst-section> .

Kindly take the same on your records.

Thank you,

Yours faithfully,

For Hitachi Energy India Limited

Poovanna Ammatanda

General Counsel and Company Secretary

Encl.: as aboveHITACHI

Public

1/26

Hitachi Energy India Limited Q1 FY26

Analyst Conference Call – July 30, 2025

MANAGEMENT:

Mr. N Venu – Managing Director & CEO, Hitachi Energy India Limited

Mr. Ajay Singh – Chief Financial Officer, Hitachi Energy India Limited

Mr. Poovanna Ammatanda - General Counsel & Company Secretary,

Hitachi Energy India Limited

Ms. Seema Siddiqui – Head of Communications, Hitachi Energy India

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Moderator: Ladies and gentlemen, good evening and welcome to Hitachi Energy
India Limited Q1 FY '26 Analyst Conference Call.

As a reminder, all participants' lines will be in a listen-only mode. And

there will be an opportunity for you to ask questions after the

presentation concludes. Should you need assistance during this

conference call, please signal an operator by pressing " * " then "0" on

your touch-tone phone. Please note that this conference is being

recorded.

I now hand the conference over to Mr. N. Venu – MD and CEO, Hitachi

Energy India Limited. Thank you, and over to you, Mr. Venu.

N. Venu: Thank you, Nirav. Good evening, everybody. Thank you for joining us

for the analyst conference call today. I hope you are all doing well. Today, we announced our results for the 1st Quarter of the Financial Year 25-26. And over the next 20-25 minutes, together with my colleague, I will take you through our performance from April 1 to June 30, 2025. And for your convenience, I will read out the slide numbers, and we have already uploaded the slide deck to the stock exchange.

Today, I am joined in the room by our CFO, Ajay Singh, the General Counsel and Company Secretary, Poovanna Ammatanda, and our Head of Communications and Government Relations, Seema Siddiqui. Throughout the last fiscal, our focus was on balancing operational complexity and efficiency, which helped us continue to achieve a strong order intake, resulting in a record order backlog in the 1st Quarter of FY '25-'26. Despite a volatile geopolitical scenario, the Indian economy remains one of the fastest-growing economies. The same will positively impact several ongoing energy initiatives, further strengthening the country's energy ecosystem.

I move to Slide #3. At Hitachi Energy, you all know by this time, we continue to emphasize the importance of safety, integrity, and quality in our day-to-day operations. These are what we call our license to HITACHI

3/26
operate and we never look the other way when we have to deal with them. And they are very key pillars of our work ethic.

In the 1st Quarter of the financial year, the focus on safety continued towards keeping the incident frequency rate within the defined corridor by learning from global incidents and also taking timely prevention actions across our sites. It's always heartening to see one's work getting

recognized on our safety efforts. During the quarter, our teams from different businesses received several appreciation letters and awards from our discerning customers. Employees are our strength and their physical and mental well-being is one of the utmost importance for us. This quarter, we organized several initiatives, including multiple awareness sessions on key health topics such as health screening, first-aid training, mental health discussions, programs, etc., Also, International Yoga Day was observed across our offices and facilities with a large number of employees participating in specially-designed modules for their areas of operations.

Moving to the next slide, Slide #4. At Hitachi Energy, our purpose is to inspire the next era of sustainable energy by making the world's energy system more sustainable, secure, resilient and affordable.

While we march forward to our purpose, the Company also ensures that it practices sustainable measures in the three key aspects, that is planet, people, and principles. Under planet, we have reduced CO2 emissions by 84% and waste by 69%, respectively, in our own operations compared to the base year of 2019. The Company continues its efforts to reduce freshwater consumption to 25% from 18% in the last financial year. We have already achieved the 100% mark of using electricity from renewable sources in all our operations throughout our sites. When it comes to our people, our focus persists on safety and diversity. We are committed to zero harm and fatality-free and maintain a healthy mix of diversity in our work ecosystem. For principles, the aim is always for zero incidents pertaining to integrity. HITACHI

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I will move to Slide #5. And I am sure on the left-hand side, you know more than me, but still, I would like to touch upon a couple of points on this. Indian economy remains one of the fastest-growing economies, reflecting the country's resilience and policy-driven growth, today, making it the fourth largest economy in the world. The country is experiencing positive economic indicators. Inflation has cooled down to a six-year low of 2.1% in June 2025, along with a surge in total exports and FDI. Though uncertainty looms over U.S. tariffs, we expect more clarity in the coming weeks to ascertain the impact in India and also for our business. Steady economic growth continues to have a positive rub-off on the manufacturing segment as the PMI stood at a 14-month high in June 2025 at 58.4.

The scheduled investments in growth segments like renewable, data centers and metro rail remain on track. For the NEP (National Energy Plan), the market report suggests that in the next two years, spending of over Rs. 1 lakh crores on the interstate transmission system network to meet 2027 NEP target. Furthermore, the focus on DISCOM upgradation and modernization continues. Uttar Pradesh, one of the largest states in India, is looking to privatize two of its four power distribution companies, which is a positive step in the right direction. I will move to the next slide, Slide #6. This quarter, ending June 30, 2025, our orders totaled all-time high of Rs. 11,339.2 crores and revenue stood at Rs. 1,529.8 crores, growing 365% on orders and 15.3% on the revenue on a year-on-year basis. Effective execution of high-margin orders, sustained operational excellence and a good product mix helped to achieve a high year-on-year growth in profit before tax and profit after tax.

Some of the key orders for this quarter include an order from POWERGRID to supply 30 units of 765 kV, 500 MVA single-phase transformers and also the renewable solar 400 kV GIS and industries 220 kV/33 kV GIS and semiconductor manufacturing factories in Chennai. Rail, several transformers, Scott transformers, several automation CRP SCADA projects and also service upgrade projects. HITACHI

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And all this in addition to our HVDC project, which we already announced previously.

Moving to Slide #7. I think this is the one which you know we have

announced this Bhadla-Fatehpur HVDC project in this quarter from Adani Energy Solutions, which is awarded to the consortium of Hitachi Energy India and BHEL, which is a 6,000 megawatt of 800 kV bi-pole, bidirectional HVDC project over a distance of 950 kilometers from Bhadla in Rajasthan to Fatehpur and scope includes to provide converter transformer, AC/DC control protection, thyristor valve, 765 kV/400 kV grid connections and auxiliary systems, etc.

If we move to Slide #8. At Hitachi Energy, we have encouraged knowledge exchange across industry stakeholders. To this end, we have organized technical seminars for esteemed customers across geographical boundaries. The sessions focused on the advanced features and benefits of our Hairpin Type Dead Tank CT and maintenance-free springless isolators and EconiQ solutions. The sessions were attended by domestic utilities and national utilities of neighboring countries, rail segment customers and also the new age customers, to name a few. In our keenness to level up our services, we have received two industry recognitions for consistent quality improvements. Our teams won the Gold Award at QCFI Convention 2025 for Transformers and CII's 52nd Kaizen Competition 2025 for Grid Automation.

I am also happy to inform you that we expanded our women in engineering program by welcoming a new batch of students from Gujarat. Also, as part of our commitment to education, we have undertaken the task of upgrading two government schools in Vadodara with smart classes. We continue to encourage our employees to participate and represent the Company on various platforms. During this quarter, two of our women colleagues represented Hitachi Energy as a key speakers at the IEEE Power & Energy Societies and IEEE Asia 2025 events. And the Company, Hitachi Energy India, is a key contributor to the National Energy Policy through India Energy Stack. HITACHI

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Moving to Slide #9. As a pioneering technology leader, we remain steadfast in our commitment to strengthening the nation's energy security through a range of impactful projects. This quarter, we successfully commissioned some key projects, and I would like to take a moment to highlight a few of them.

We commissioned 66 kV GIS transformer bay extension at Karala, Delhi, for Tata Power Delhi Distribution Limited; a 400/220 kV AIS substation at Lapanga, Odisha, for Aditya Birla Aluminium Smelter; a 400 kV bay extension in Odisha and installation in Chhattisgarh, respectively, for

OPTCL and BALCO. For all these commissioned projects, our teams were responsible for designing, engineering, manufacturing, supplying, erecting, testing and commissioning according to the defined scope of work.

Moving to Slide #10 to provide some more color on the orders received this quarter. In terms of the segment, the transmission continued to lead the order book, followed by orders from the rail and metro and data center. In the Q1 FY '25-'26, both transmission and rail metro experienced a sharp growth of 625% and 845%, respectively. The data center segment witnessed almost a cent percent growth and industry growth is at 23%. However, there's a decline of 25% in renewable, wind and solar, which we feel is a temporary phenomenon and it's a timing issue.

The order mix is shown on the right in the graph. You can see the projects have taken the lead. Of course, if you look at the order mix on the right-hand side, this is without HVDC. If you do with HVDC, the projects takes leap. But without HVDC scenario, the products continue to be higher, followed by the projects and services in that.

Moving to the next slide, which is our further levers of our growth, service and exports. Both services and exports remain consistent in this year as part of the order book. And diverse geographies and industries help sustain export momentum. Exports maintained consistently by contributing nearly 25%, 24.7% etc., of order book that is without considering the HVDC. This quarter, ex

port orders were received from HITACHI
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Europe, South America, and Asia, ranging from common apparatus and devices, capacitors, filters, circuit breakers, grid automation, etc. Service orders grew 90% year-on-year. This is also our first quarter after we carved out our new service business, effective from 1st of April, 2025, and contributed a high single digit to the overall order book. Some of the key service orders include SCADA upgrades, equipment replacement and annual maintenance contracts. As you are aware, we introduced our service business, which I have already told you. And basically, the purpose of the service business unit is to intensify life cycle engagement with our customers, not only utilities, but also industries and the new age customers. All our business units (Bus3) are working closely with the service business unit to maximize our reach.

I now go to Slide #12 and hand over to our CFO, Ajay, to take us through this slide and the next slide. Over to you, Ajay.

Ajay Singh: Thank you, Venu and good evening to all. Hope you are all doing well at your end. So, let me take you through the Financial Performance for Q1 '25-'26.

In this quarter ending 30th June, orders were Rs. 11,339 crores, up 365% year-on-year. And this was primarily because of the large order of Bhadla-Fatehpur HVDC order that we booked in this particular quarter. And that is the result you see we closed the highest ever order backlog of Rs. 29,135 crores, which provides a visibility of revenues for several quarters. The Company delivered a strong revenue performance of Rs. 15,029 crores, with 15.3% growth Y-on-Y. And this actually happened from very good order execution during the quarter and constant improvement on the overall operational efficiency.

Furthermore, our continuous focus on the effective execution of the high-margin orders, sustained operational excellence and a good product mix and also increased export momentum saw a phenomenal Y-on-Y growth in the profit before tax (PBT) and profit after tax (PAT). And if you see the PBT and PAT, PBT standing at Rs. 176.9 crores and PAT we closed at Rs. 131.6 crores, respectively. If you see the HITACHI
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operational EBITDA, operational EBITDA for the quarter stood at Rs. 170.2 crores and this has resulted in a double-digit margin of 11.1% for this particular quarter.

If you go to the next slide, let me see, a little bit dissect more on the cost structure, how we fared. So, if you see for the three months ended 30 June, 2025 of the total income of Rs. 1,529.8 crores, the material cost was 53.8%. So, in this particular quarter, as we discussed earlier,

there is a very good development on the gross margin, which has really helped in the bottom-line development.

Personnel expenses were 9.5% and if I compare it with Y-on-Y of last year, 9.2% fairly, I will say we are consistent. Other expenses, 22.7%. Again, if I compare Y-o-Y, 23.6%, I will say it is consistent. In this particular quarter, we had an exchange and commodity loss of Rs. 9.4 crores. Depreciation Rs. 25 crores, basically, if you see there is a slight increase, and this is mainly because of the capitalization for the CAPEX projects that we are doing, continue doing that.

Finance cost is Rs. 4 crores, which has come down if I compare Y-o-Y and majorly because we do not have any short-term borrowings in this particular quarter. And that is how the development we see in this particular quarter and we are able to close the PAT Rs. 131.6 crores of 8.6%.

So, with this, I hand over to Venu for the closing slide.

N. Venu: Thank you, Ajay. And if I move to the slide, that is Slide #14, which are our priorities for the coming quarters and the whole of financial year.

As we closed the 1st Quarter of this financial year, our focus remains on the dual objectives of maintaining growth momentum and enhancing overall efficiency in all spheres of our work. And maintaining our leadership in core segments, renewable utilities, HVDC, industries, infras

tructure remains our key priority. We consistently endeavor to harness potential opportunities in new segments like data center and focused strategies to leverage opportunities in service, export and digital segment. HITACHI

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Furthermore, the focus will remain on strengthening the service business in India. And the Company will continue to drive productivity with an emphasis on operational excellence to improve productivity, quality and opportunities under one Hitachi umbrella to leverage the synergies, etc. On the business front, consolidated efforts will be made to leverage the large order backlog for revenue accretion and margin accretion and also focused strategy for the utilization of the capital raised during the QIP to complete the expansion projects in line with our time line, strategies, etc.

And with safety deeply embedded in our culture, our commitment to fostering a strong safety-first work environment remains steadfast. At the same time, we continue to invest in expanding our capabilities for sustainable growth, whether through upskilling and cross-skilling our workforce, or by strengthening our operational footprint to inspire the next era of sustainable energy future. So, we are looking for long-term strategy and long-term growth and sustainable strategy.

So, with this, I close my presentation and open the channel for questions. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: Good evening, sir. Thanks for the opportunity. My first question is, what was the value of ex-HVDC order in the quarter, if you can quantify? Or can you give us the growth in the order ex-HVDC?

N. Venu: Sorry, what is the second one?

Mohit Kumar: Either you can give the value of ex-HVDC order or give us the growth in the order ex-HVDC.

N. Venu: No, we have also seen growth without HVDC. The growth without HVDC is in the double-digit range, in the range of 20-plus percent in that. As you know, similar projects are going on. So, we will not quantify the exact value of HVDC, but you can guess what kind of number. HITACHI

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Mohit Kumar: Understood, sir. The second question is, sir, how has been the progress on execution in the HVDC Bhadla-Fatehpur, which we won I think in September / October '24.

N. Venu: So, we also mentioned in the last thing that HVDC projects are pretty long, multiyear projects. Our completion period is 48 months and 54 months. 48 months is we have to complete the bi-pole one and 54 months is a bi-pole two. So, execution will take place. And normally, in

the first year, I also told you the revenues are not much. So, we expect some amount of revenue starting from the next financial year. And thereafter, it will pick up. So, that's how the thing is.

Mohit Kumar: Okay, understood sir. Thank you and all the best sir.

Moderator: Thank you. Next question is from the line of Ankit Pandey from Motilal Oswal. Please go ahead.

Bhalchandra Shinde: Hi, sir. Bhalchandra Shinde from Motilal Oswal. Sir, regarding the margin profile, I would like to know, when we compare it with our peers, our peers have increased margins significantly. So, our margins though have improved, but not to that extent. Sir, there is any possibility of reaching to those margins or it will take us a time to revamp on those kinds of margins?

N. Venu: Yes. So, thank you, Ankit, for your question. As I said, we are building a Company in a very long-term focus, not on a short-term basis. And we also told you several times that our main focus is to address the domestic market. We believe that the domestic market, the pipeline, and the market visibility are very strong and they will continue to be strong. That's the reason we are investing Rs. 2,000 crores of CAPEX, which I am sure you have not seen this kind of CAPEX from others. So, when I would like to compare, I would like to compare. So, we are improving marg

ins, and you have seen almost 650 basis points were improved Y-on-Y on EBITDA basis and we continue to improve going forward.HITACHI

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Bhalchandra Shinde: And on the core order inflows-wise also, one should expect this kind of a trajectory to continue? Where are we seeing good traction on the core order perspective?

N. Venu: See, if you really look at the overall orders, there are two aspects to that. There's the HVDC portion and then the rest of the things, right?

The rest of the things we are talking about are renewable industries, data centers, rail, etc. But this pipeline is extremely good. And HVDC, you all know that. I have been saying in that to manage the network of India, we need to have at least two to three HVDCs per year, at least in a couple of years, at least a couple of years more.

Bhalchandra Shinde: Got it. Great. Sir, I will come back if I have any further questions.

Moderator: Thank you. Next question is from the line of Umesh Raut from Nomura. Please go ahead.

Umesh Raut: Yes. Hi sir. Good evening. Sir, my first question is pertaining to the translation of gross margins into EBITDA margins for this quarter. If I look at it, despite achieving closer to 44% plus kind of gross margins, our EBITDA margins are remaining in the range of about 10% to 11%. And a larger part of that is also because of higher other expenses at about 24% of sales. I believe our related party transactions, like royalty, management fees and trademark fees, are also eating up closer to 8% to 9% of sales within that other expenses. So, how do we kind of expect these kinds of expenses to go down so that our margins can improve in line with our peers?

N. Venu: Yes. So, again, we have been saying this consistently on this, so we are a technology Company so we need to really create technological advantage and by paying a royalty and other things is absolutely important because we are able to get technology as and when it is available anywhere within Hitachi Energy globally. So, that will be there in that. But we are looking at overall expenses. Once our revenue goes up, probably some of the expenses are not percentage, some are percentage, some are a fixed amount, which will be converted into theHITACHI

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percentage in that. So, those things will be tapered out over a period of time. Maybe, Ajay, you would like to add on this?

Ajay Singh: Yes. Thank you for the question. If you normally see our Quarter 1 our other expenses, that is the reason why I told you about the other expenses on a Y-on-Y basis, more or less, it is consistent. But going forward, once we develop on the revenues, some of the expenses automatically get translated. And that is why if you see the same other expenses we closed at the year-end, it was around 20%, so to say. So, yes, we are working on the other expenses piece for sure. But overall,

at the end of the year, we will get a visibility on when we have the full loaded revenue, we will be able to see that our other expenses are also in line.

Umesh Raut: Got it, sir. My second question is pertaining to HVDC project pipeline. I believe there are three projects which are in the pipeline to be finalized for FY '26. So, what is your view in terms of timeline for, one, Khavda South Ulapada HVDC project? Second, Barmer-South Kalamb HVDC project? And third, Leh-Ladakh HVDC project?

N. Venu: Yes. I think what you talked about, the pipeline, is absolutely correct. But if you are talking about our view on the finalization, right?

Umesh Raut: Yes, sir, in terms of a rough cut approximate timeline for awarding?

N. Venu: Talking about finalization, our view is that one project will be finalized in this financial year, but there could also be a potential for the second project to be finalized. So, it's basically one to two projects finalized in this financial year on or before 31 March, 2026.

Umesh Raut: Got it, sir. Thank you so much and all the very best.

Moderator: Thank you. Next question is from the line of Parikshit Ka

ndpal from

HDFC Securities. Please go ahead.

Parikshit Kandpal: Hi, sir. Congratulations on a decent quarter. So, my first question is, what is the total order book of the base orders ex of HVDC out of the

Rs. 29,000 crores?HITACHI

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N. Venu: Roughly in the range of you can take anywhere between 55% to 60% is the HVDC, the rest is non-HVDC.

Parikshit Kandpal: And out of that, how much is export and services?

N. Venu: No, we do not split there how much is exports and service. Service is just picking up, right? We do not split further on that. Again, do not look at it every quarter whether the product or servicing. You have to look at the whole portfolio, right? The whole portfolio for us includes the projects, systems, services and software and also HVDC. Again, when you say HVDC means the HVDC portion also has transformer, HVDC portion also has GIS and high voltage, HVDC portion also has grid automation. So, it is very difficult to segregate HVDC or not. The point what probably you are looking at it, that's the reason I said 55% to 60% is, how much will be executed in the next 18 months and how much will be executed beyond 18 months.

Parikshit Kandpal: Got it. And just on the total GPM, so now we have reported 44% on gross profit margin. And there's no major contribution because HVDC will start contributing maybe a year after from now. So, in the HVDC, what kind of GPMs do we look at? I mean, will it be substantially lower or will be in the similar range? So, what kind of dilution can happen on the GPM from HVDC projects?

N. Venu: We will not talk about our project level margin. All we have been saying is that we have been building not today, over a period of time we have been saying that we are looking at a very sustainable margins, double-digit margins, and that's what we are in a road map. So, last year we said when we entered, and we have entered much ahead of our own target and then we are also starting the same strong way. It will be a very solid performance going forward, in our own view.

Moderator: We will move on to the next participant. Next question is from the line of Renu Baid from IIFL Capital.

Renu Baid: Hi. Good evening, team. I have a couple of questions. First, can you share with us the update on the first HVDC which we had won with Adani? How far are we from the formal completion of the project?HITACHI

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Second, would you have any insights on the prospects for Leh HVDC?

As we hear that Hitachi apparently has not submitted the bids and there's only one sole bidder for the project so far, so are we seeing the Leh project moving ahead? Or any updates from your side if you would have any on it?

N. Venu: Yes. What was your first question? We have already given update in the presentation, right?

Renu Baid: No, not the current project, the Mumbai HVDC, we were executing for Adani, which you bagged of Rs. 2,000 crores order.

N. Venu: Yes, we may be around six months is the one where we are looking at

to commission that, six to nine months.

Renu Baid: Okay. Sure. Second, any insights on what's the status for Leh HVDC project which was under tender?

N. Venu: Yes. Leh, as far as we are concerned, there have been a lot of discussions taking place, what kind of technology, all those things. Still it is in the discussion stage. So, I do not know about what is the latest, but this is how it is going on that.

Renu Baid: But in your view, do you think there is a probability that instead of the project coming on the HVDC format, it may actually eventually turn out to be an AC project?

N. Venu: Anything is possible, Renu. I cannot say that. But the probability of that AC transmission coming in that thing is very less, I would think so.

Renu Baid: Yes, yes. And sir, lastly, while I know you do not comment individually project-wise, but just trying to understand, the current quarter I think gross profits have come back at pretty healthy levels compared to the previous cycle. So, do you think this kind of gross profit

performance of

almost 45% is sustainable given the current mix of backlog that we have? Or it would be more of a combination impact for this particular quarter alone? And one should not bake it into the expectations going forward? HITACHI

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N. Venu: No, I think it is not only gross profit has come back, but also net profit also came back. EBITDA level, we have improved 650 basis points compared to the loss Y-on-Y. So, again, we will not comment on a quarter. But what we are looking at on an overall basis, we said we are looking at a very long-term strategy, mid- to long-term strategy and we are continuously improving on our performance. So, we are also investing on the future things. So, that also needs to be done if you really want to look at it in a long-term fix. It is always between what you take as short-term measures and long-term measures. So, we choose short term measures.

Renu Baid: Right, because some of these investments in technology capacity will all be a part of other overheads, which was the reason why the question was on material related things structurally?

N. Venu: No, structurally, we are absolutely fine. Structurally, I do not see there is an issue in that. As our volumes goes up, that's where the thing. Rest of the things, as I told, some of our charges, which are fixed in nature will convert into percentage. And as the volumes go up, it will come at a low percentage in that. And that's what you are seeing that. And we will improve; last year improved. And this year also, on an overall basis, we will improve higher than last year.

Renu Baid: Got it. And sir, lastly, anything specific that you would want to share in terms of export pipeline? Any regions or markets where you are seeing increasing traction with respect to order conversion for us?

N. Venu: No, export pipeline is quite strong, quite robust. And as I said, we have a three-fold export strategy. Again, exports also sustainable exports, not that we want to go a spike and then come down, so that's not our strategy. So, we have products for five / four products, which are global products, we are improving on that. And then on top of that, we have also allocated markets. So, we are getting more markets allocated, as and when those markets are fructifying and we will put a lot of our efforts to develop those markets in sustainable, just like how we develop Indian market. HITACHI

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The third one is that we have a very base export strategy, which is that we create components for our feeder factory, and those things are also very robust. Again, we do not want to increase exports at the cost of the domestic market, which I have also said previously and we are clarifying that. Our domestic pipeline is quite strong.

Renu Baid: Okay. Thanks much and best wishes team. Thank you.

Moderator: Thank you. Next question is from the line of Rajesh Kothari from Alpha Invesco. Please go ahead.

Rajesh Kothari: Good evening, sir. Thank you for this opportunity. Rajesh Kothari from AlfAccurate Advisors. Sir, I have one question with reference to the export opportunity. And if I look at globally the statements what I am

reading in the top CEOs of the world, they all are hinting towards the very large pipeline of the potential demand growth. So, how the Indian Company is positioned to cater to such requirements? And since you are looking to invest about Rs. 2,000 crores, in terms of your exports target over the next, say, three to four to five years, how should we look at the total revenue mix?

N. Venu: Yes. So, again, we clarified this. Again and again, we want to clarify it once again. The investment, whatever we are doing, Rs. 2,000 crores, basically we believe that we have a huge domestic demand and that's the reason we are doing it. Exports is, yes, on top of it, but we do not create capacities only for the sake of exports, right? Exports, as always, it has been there, it will continue to be there. And I explained just now also, it's a three-pronged strategy. R

oughly, we are looking at around 25% of exports. Maybe it might go a few percentage this way that way over a period of time. But it again depends upon the thing. Put in a lot of efforts to serve our domestic demand, and that's what we are going to do that. And then on top of that, if we get an opportunity, we will do more than 25%. But 25% is what I see in the next couple of years, plus/minus a few percentage points this way or that. HITACHI 17/26

Rajesh Kothari: So, when you look at your competitive positioning to get the export orders compared to, say, Hitachi Energy India within the group, who will be the other competing companies within group?

N. Venu: Within group means?

Rajesh Kothari: Means, for example, I mean, Hitachi Energy globally.

N. Venu: Yes. Again, it is a market. We are working in more than 68 countries.

Our footprint is also very, very robust in many countries, right? It's not that anybody can send anything. We have factories in the regions, we have factories in the countries and there are clear market allocation guidelines so that you are able to develop those markets sustainably over a period of time. And also, there's a lot of approval process to approve our factories. So, all those things are guiding principles.

Rajesh Kothari: Okay. So, basically, even if your domestic revenue is going to go up significantly because of this order book and also the pending HVDC order pipeline, you think that exports will also be able to maintain that growth, therefore, your revenue mix will not change significantly, at least 25% to 27%?

N. Venu: That's the reason we are investing. We are investing in the capacity. So, our capacities will start coming in the next 18 months or so and that will be compensating for that so that we are able to keep 25% as a revenue mix, even at a higher revenue.

Rajesh Kothari: And just last question. Till the time, of course, the new order comes to the execution stage. In the next, from the 12 to 24 months kind of a period, kind of a shorter tenure orders, particularly, say for example, for data centers or for other such applications or for the metros, can you give us a little bit more insight into that, how is that demand growing? If you can quantify that in terms of the overall demand and how we are winning it? And a little bit outlook on your different segments, data center, metro trains and other segments that will be useful.

N. Venu: And if you really look at my Slide #10, as you can see, industries, we have a 23% growth. They are very short-cycle projects. Data centers, HITACHI 18/26

98%, almost doubled compared to the data center last quarter here.

So, data center, there was a bit of lull previous quarter, but now everybody has relooked at what is the AI-ready data center. Now they are all coming back very strongly on that. And the rail and metro also, we see a very, very robust swing in that.

But with the renewable, now the issues of PPA and other things getting resolved, we see that the renewables projects also come. All these things are short cycle projects. So, they will be executed once we get the order. Anywhere between six months to eighteen months, we complete the execution in that, except the HVDC, which takes a longer time in that. So, the pipeline, that's what I said, the pipeline is very robust. It is much, much stronger, much higher. And we see the visibility of those things coming in that.

Rajesh Kothari: Great. Thank you, sir. Wish you all the best.

Moderator: Thank you. Next question is from the line of Shirom Kapur from Jefferies India. Please go ahead.

Shirom Kapur: Thanks for the opportunity. Just I had a question, you classify your business into your five business units, transformers, high-voltage products, grid integration, grid automation and now services as a new business unit. Would you be able to give us some color individually within these units, if it's possible, on how the outlook is? And maybe a rough sort of share in business of each of these units?

N. Ven

u: No. Thank you, Shirom. Actually, we are not giving a split of this thing, but we can give you a little bit of direction on that. So, transformer is by far the highest, followed by our grid integration business and the next is the high-voltage business, followed by the grid automation and the service. So, we are talking about the outlook. Most of the segments buy more than two BU products in their portfolio, okay? I will give you one or two examples.

Transmission, for example, needs a transformer, our high-voltage BU products, our grid automation products, power quality, HVDC, HITACHI

STATCOMs, etc., and so all four business units will go into that.

Transmission also needs the service as and when it is required.

When it comes to the industries, industries may need your transformer or high voltage or sometimes the industries need your grid connections, etc., So, again, two, three BU product portfolio will go into that.

Data center, I will give you a last example. Data center, for example, needs your transformer, your dry type transformer, also grid connection transformer, your grid integration, you need a substation to hook up to the hyper-scale data center. And then you also need automation and the consulting efforts in that.

So, basically, most of these things, two, three BUs or more than three BU products portfolio as well. So, the outlook is if the segment outlook is strong, then all the four BU outlook is also equally strong.

Shirom Kapur: Okay. Understood. Thanks. That's very helpful. Second question is on your capacity expansion over the next four to five years, where you are incurring about Rs. 2,000 crores CAPEX, could you maybe quantify how much your capacity is going to expand by, specifically within transformers as well as the other business segments where you are expanding capacity? And how that could scale up your revenue potential? And if you could give a sense on what the current capacity utilization is which is warranting this major CAPEX expansion?

N. Venu: No, I think we talked about the capacity expansion. So, we basically said that the capacities are required when we announced it, it's also for our transformer, not only transformer but transformer high-voltage, grid automation and also HVDC. And the scale of expansions are different from different BUs, etc., in that. And all these things also we are doing in a phased manner, for example, first transformer capacity, which is a small capacity expansion, which is already coming in. And the next phase we are going in. Like that, we are going in a phased manner so that we are able to complete our scheduled CAPEX in line with our own targets, etc. HITACHI

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So, again, Rs. 2,000 crores CAPEX, if I am going to put it there, once it is complete, the asset turnover is in the range of anywhere between three to four or something like that, four to five, depending upon that.

So, you can just look at it, what could be the revenue potential once it completes on that. Initially, it starts with a low asset turnover and then thereafter it goes up higher than that. And current capacities are, I would say, we do not quantify exactly the capacities, but it's very strong in some of the product lines like insulation, like large power transformers, like GIS, etc., in that. Of course, there are also some capacities available in automation and other things.

Shirom Kapur: Understood. Thank you so much, sir.

Moderator: Thank you. Next question is from the line of Subramaniam from SBI Life Insurance. Please go ahead.

Subramaniam Yadav: Thank you, sir. Sir, if you can share what is our export orders ex of HVDC

in our order book? And how are the margins in that vis-a-vis our domestic orders? I will come back to the second.

N. Venu: On the segment-wise, on the category-wise, Mr. Subramaniam, what we can say is that our exports are roughly as part of our order backlog. You are talking about the order backlog, or what are you talking about?

Subramaniam Yadav: Sir, I am talking a

bout the export orders ex of HVDC in our order book, what would be the percentage of it?

N. Venu: Order backlog.

Subramaniam Yadav: Yes, right.

N. Venu: Yes. If we talk about exports ex of HVDC in our order backlog is roughly in the same range.

Subramaniam Yadav: 20%, right?

N. Venu: Yes. HITACHI

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Subramaniam Yadav: Okay. And sir, if you can share some bid pipeline ex of HVDC in the domestic as well as export, what we are looking at it for the year?

N. Venu: Pipeline numbers, we do not share. What we are saying is that without an HVDC, pipeline is very strong in the industry, in transmission, in renewable energy, in data centers and in railways. And also, the pipeline is very strong in our exports as well.

Subramaniam Yadav: Sir, if you can share at least growth number vis-a-vis last year, how is the pipeline looking?

N. Venu: We have not shared so far, Mr. Subramaniam. But when we share we will share it with you.

Subramaniam Yadav: Okay, got it. Thank you, sir.

Moderator: Thank you. Next question is from the line of Harshit Patel from Equirus Securities. Please go ahead.

Harshit Patel: Thank you very much for the opportunity. Could you give us an update on the Mumbai, Ahmedabad, HSR electrical package? When will it get tendered? And how large is this opportunity size for us?

N. Venu: No. See, again, the whole project, I am not sure how it is taking in different terms or things like that, but we also do not have visibility. We have received a couple of orders for some transformers, but then on an overall basis we do not have a visibility, we are still discussing with our customers. We do not have any timeline for that.

Harshit Patel: Understood. Sir, my second question is on the STATCOM, have we started any kind of manufacturing or assembly integration for these systems in India? What are our plans to increase local value addition in this?

N. Venu: STATCOMs, we do everything in India. So, we have been doing all the STATCOM projects that we have got in India. We do the valves, we do the transformers, we do the complete engineering, everything. HITACHI

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Harshit Patel: Understood. Just a small follow-up to that. What is the overall opportunity size for STATCOM in India in the next four to five years in your assessment?

N. Venu: In our assessment, you can also go to the NEP, the Nationality Electricity Plan from the CEA and you can check yourself also, anywhere between 25 to 30 projects in the next four years.

Harshit Patel: Understood. Perfect. Thank you very much for taking my questions. And all the very best.

Moderator: Thank you. Next question is from the line of Pratik Singh from Helios Capital Management. Please go ahead.

Pratik Singh: Yes. Thank you for the opportunity, sir. Sir, just a quick question. Was there any execution miss in 1Q or any potential delays in execution which we faced? Because ex of other income, I mean, the top line growth considering the order book which we have looks slightly softer at 10%, 11%.

N. Venu: Sorry? Revenue growth 15%?

Pratik Singh: Excluding the other income, I think the core top line growth looks tad softer at 11%, 12%. So, just wanted to check if there are any execution delays which we had in 1Q?

N. Venu: No. I do not see any major execution delays in any of those projects. There will always be, with such a large portfolio, you will always have one or two delays, but not any major delays.

Pratik Singh: All right. Thank you, sir.

Moderator: Thank you. Next question is from the line of Abhijeet Singh from Systematix Group. Please go ahead.

Abhijeet Singh: Thank you for the opportunity. Sir, my first question is, if we compare HVDC and non-HVDC transmission project, what is the difference? So, one is, you already mentioned that in terms of execution, I think the time taken for an HVDC project is almost 2x, about 54 months versus about HITACHI 23/26

24 months for a non-HVDC one. So, in terms of product service and project bifurcation and not going into technical part of it, if we

can

differentiate between an HVDC and a non-HVDC project?

N. Venu: No, from a complexity standpoint, HVDC and non-HVDC projects are the same for a developer. So, a developer, for example, if he has to do an HVDC project, it takes 48 months. If he has to do a non-HVDC project, it may not be that much time, but it will take, say, if you talk about including all the ROW, etc.

From an equipment supply standpoint, it's a developer because for equipment supply standpoint, HVDC, we need to also do a lot of system studies, etc., So, engineering, those things will take pretty long time compared to a pure vanilla transmission project like a 400 kV project, 220 kV project. There, what we do, we supply 400 kV transformer, 220 kV transformer. If you do a system basis, we do design engineering, which in 18 months you can complete anywhere between 765 kV substation to 400 kV substation, right? So, that's how the thing is that.

Abhijeet Singh: Sir, can we quantify the service component in the HVDC project?

N. Venu: No, service component will be there everywhere. We are not able to quantify service.

Abhijeet Singh: In HVDC, service component will definitely be significantly higher compared to vanilla. And therefore, designing and engineering and everything will be much more intense. So, from that perspective, yes.

N. Venu: No, you are right, but we will not be able to quantify what the service is in that. For us, a particular system or thing which includes product supply, design engineering and also erection testing, commissioning, which we have in our scope. So, that's how we quantify it as a whole portfolio. I'd say look at the portfolio as a whole, Abhijeet, which includes designing, product supply and also commissioning, things like that. Yes, you are right for HVDC, it is slightly higher, but it is not that major compared to other projects. HITACHI

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Abhijeet Singh: Right, sir. Also, you mentioned in your comments that in the next few years or after a few years, you are expecting about two to three HVDC projects per year in India. I hope I heard that correctly.

N. Venu: Yes. What I have said was that to manage the complexity of the Indian network, we need to have two to three HVDCs per year, so that is my expectation. But if you really look at NEP, which is almost talking about two projects per year in the market. The project comes to the market. Whether we win or not, that's a different issue, but those projects will be coming up for bidding at least two projects per year in the next three to four years.

Abhijeet Singh: Understood, sir. Sir, lastly, on the 10th slide of the PPT, the growth you have mentioned of different segments, this is the order inflow growth for Q1 for us. Is that correct?

N. Venu: Yes, order inflow growth for Q1.

Abhijeet Singh: All right, sir. Sir, thanks a lot. That would be it from my side. Thank you.

Moderator: Thank you. The next question will come from the line of Dhavan Shah from AlfAccurate Advisors. Please go ahead.

Dhavan Shah: Thank you for the opportunity. So, my question is on the royalty payout.

If I compare your royalty versus the GE T&D India, so I think GE is paying roughly 1-odd percent. We are paying roughly 4-odd percent. I can understand we are getting the superior technology and everything, which helps us to bid for the complex projects. But just a suggestion, I think can we do it or not, I am not sure. But can we reduce the royalty payment and increase the dividend payout given that even though you will increase the dividend payout, Hitachi parent itself holds 75% stake so the lost money whatsoever from the royalty through dividend. So,

can we do that kind of arrangement?

N. Venu: So, thank you, Mr. Dhavan Shah, thank you very much for your thing. As you know, we are a Company, a global Company, and we do not do any financial engineering on a short-term or midterm basis. Let me again tell you what is important for the royalty payment. As I said, I do HITACHI

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not want to compare w

ith others. You may be comparing only short-term basis, but we have a lens not only short term, midterm and long-term in that, okay? So, if you look at from that, then you understand after some time, why I said.

The technology what we are developing, we are by far the world leader and that technology is available at a 4% cost. If you want to develop that, that's not possible in that. Today, whatever we were able to win is mainly we are able to localize a lot of the technologies here and there.

So, it's important that we continue to pay and develop the new technologies. The new technology is not only on the HVDC, the new technology is energy storage, the new technology is on the synchronous condensers, the new technology is our automation. Many things are happening, right? So we need to invest continuously in those technologies. Whenever the technology is complete and available for commercial use in any part of the world, it is available to us. And that's a big thing from a shareholder standpoint that it is available and we are able to offer it. And you will see more such things in the coming quarters.

So, it is very important. We will continue to invest in the technology and pay the royalty so that we can access the technology and put our Company far ahead of that. Yes, we are working on the margins, and you have seen the improvement, and it will continue to improve going forward. Thank you.

Dhavan Shah: Understood. And one question is on the admin cost, even if I compare the admin cost, it is still higher for us compared to the peers, which is roughly 4%, 5% for us compared to 1%, 2% for the other competitors. So, any room for improvement over there? Because that is more or less a fixed cost, despite our revenue size, it's more or less the same at the moment, there is still a difference in terms of the admin cost; they are having lower admin cost versus us. So, any room for improvement over there? HITACHI

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N. Venu: Yes. So, those things also, some of these costs are as a percentage, it will continue as a percentage. But some are fixed costs and that has been converted into a percentage. And as our revenue goes up in the coming years, so as a percentage, it will come down with that. So, you will see later on that. Thank you very much.

Moderator: Thank you very much. I will now hand the conference over to Mr. N. Venu for closing comments.

N. Venu: So, once again, a big thank you to all of you and thank you for taking time from your busy schedule and attending to that. And if you need anything, please reach out to us. Happy to engage with you. And what we are in, what we call, an energy super cycle. Super excited about the growth opportunities both locally and globally, and looking forward to working very closely. Thank you very much.

Moderator: Thank you very much. On behalf of Hitachi Energy India Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you. HITACHI

Call: Nov 2025

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Scrip Code: 543187The Manager,
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'Exchange Plaza', 5th Floor, Plot No. C/1, G Block,
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Scrip Symbol: POWERINDIA

Subject: Transcript of the conference call with Analysts/ Investors held on November 07, 2025

Dear Sir/Madam,
Pursuant to Regulation 30 and 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of the conference call that was organized with the Analysts/Investors on Friday, November 07, 2025 and the same can be accessed at <https://www.hitachienergy.com/in/en/investor-relations/analyst-section> .

Kindly take the same on your records.

Thank you,

Yours faithfully,

For Hitachi Energy India Limited

Poovanna Ammatanda

General Counsel and Company Secretary

Encl.: as above

Public

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Hitachi Energy India Limited Q2 FY-26

Analyst Conference Call – November 07, 2025

MANAGEMENT:

Mr. N Venu – Managing Director & CEO, Hitachi Energy India Limited

Mr. Ajay Singh – Chief Financial Officer, Hitachi Energy India Limited

Mr. Poovanna Ammatanda - General Counsel & Company

Secretary, Hitachi Energy India Limited

Ms. Seema Siddiqui – Head of Communications and Government
Relations, Hitachi Energy India Limited

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Moderator: Ladies and gentlemen, good afternoon, and welcome to Hitachi Energy India Limited's Q2 FY '26 Analyst Conference Call.

As a reminder, all participants' lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. N. Venu – MD and CEO, Hitachi Energy India Limited. Thank you, and over to you, Mr. Venu.

N. Venu: Thank you, Nirav. Good afternoon, ladies and gentlemen. Thank you very much for joining us. I hope you are all doing well. And over the next 20-25 minutes, I will take you through our performance for this quarter, which ended on September 30th, 2025. And we have uploaded presentation on the stock exchange. For your convenience, I will call out the slide numbers.

And in this room together with me are our CFO – Ajay Singh; our General Counsel and Company Secretary – Poovanna; and our Head of Communications and Government Relations, Seema Siddiqui, here with

me.

You all know on September 30th, India reached a historic milestone as the country's total installed electricity capacity surpassed 500 gigawatt, reaching 500.89 gigawatt. It reiterates the growing energy network in India and an increased focus on advanced grid technology, digitalization, storage, and integrated solutions.

At Hitachi Energy, we understand the significance of these evolving dynamics and it is also reflected in our operational and financial performance.

I am starting with the presentation and moving to Slide #3, which is our license to operate, that is safety. Safety is fundamental to our license to operate. In Q2 '25-'26, the focus on safety continued to keep the injury frequency rate under control through timely prevention actions and several initiatives across our factories, project sites, and offices. This is reflected in the appreciation letters and awards we received from our customers and stakeholders for adhering to the highest safety standards at our project sites.

At Hitachi Energy, we prioritize and remain committed to our employees' well-being with a special focus on mental health.

Towards that end, we introduced the Kyan App this fiscal year, which offers online personalized support for mental well-being. Furthermore, during the quarter, we organized several health initiatives, including multiple awareness sessions on first aid and basic life support, emergency preparedness, so on and so forth.

Moving to the Slide #4, which is also another key driver for our growth, is our sustainable target- ESG target. Sustainability, you all know, is a key part of Hitachi Energy's business strategy and fits into our company's purpose, which inspires the next era of sustainable energy. The company's sustainability strategy is built around 3 interconnected pillars, which are planet, people, and principle, each working together to fulfil its purpose. We have set ESG target for 2030. We have also released 2030 strategy of our ESG targets.

Under the planet pillar, we are confident of achieving more than 76% reduction in CO2 emissions in the financial year '25-'26 in our operations from our targeted 50% reduction, compared to our baseline year of 2019 emissions. Similarly, we have achieved 69% reduction in waste disposed of in landfills or incinerated in FY '24-'25 and aim to further reduce in the Financial Year '25-'26.

When it comes to the people, we remain committed to safety and ensure diversity across our workforce. Currently, our gender diversity stands at 11% and we are confident of meeting our 16%-18% mark in the coming years. Our Principle strand is committed to ethical behavior and responsible governance. In all aspects of our work at Hitachi Energy, we remain devoted to zero incidents when it comes to integrity.

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Moving to the Slide #5, and I am sure this slide you know better than me, but I still like to say a few things on this particular slide. As you all know, according to The World Bank, India's growth outlook looks positive with a revised forecast from 6.3% to 6.5% in FY '25-'26. World Bank has further rated India's GDP growth of 7.8% exceeding expectations for the first quarter of FY '25-'26. The GST 2.0 reforms, along with the strong domestic and resilient external sector, have played a crucial role in sustaining this growth momentum.

During this quarter, the trade deficit receded slightly. Despite several positive indicators, uncertainty looms over U.S. tariffs, but we are hopeful, like all of you, that it will be resolved soon through the dialogue which are ongoing.

In terms of investment, India continues to make significant strides in the Clean Energy sector. In the first half of 2025 alone, the Renewable Energy sector attracted investments of nearly INR 1 lakh crore. Additionally, the sanctioned INR 2.4 lakh crore of 500 gigawatt transmission plant to link renewable-rich states with demand centres shows the country's growing confidence and commitment to sustainability.

If I move to the Slide #6, the company continues to maintain its strong growth momentum. In the quarter ending September 30, we secured total orders of INR 2,217 crore, up 13.6% year-on-year, and our revenues stood at INR 1,915.2 crore with a year-on-year growth of 23.3%.

The effective execution of good margin orders, sustained operational excellence, a good product mix, increased export momentum, and a lower base in the corresponding previous quarter, the company reported a significant year-on-year growth in profit before tax and profit after tax. So, profit before tax and profit after tax recorded 4 times year-on-year growth, 399.8% and 405.6%, respectively.

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During the quarter, the company achieved the highest ever order backlog of INR 29,412.6 crore, creating a revenue visibility for several coming quarters.

Key orders this quarter included automation solutions for state transmission companies and HVDC connections, a 220 kV air insulated switchgear, air stations for 250 MW solar battery energy project in Bidar, along with 420 kV GIS and 220 kV power for other solar projects. Wind projects with 400 kV AIS stations in Nanded

, and many other industrial projects such as GIS stations for a green steel plant in Paradip, alumina plant expansion at Mahan, and greenfield steel plant at Jaipur, and for rail locomotive EMU transformer for Indian railways and Vande Bharat, et cetera.

Moving to the Slide #7, as a technology leader, we continue to drive innovation and reinforce the nation's energy security through impactful initiatives. This quarter, we commissioned several significant projects covering renewables, data centres, and industries.

I would like to share few highlights. In the Industry segment, we commissioned 220/33 kV AIS package in Rajasthan for a leading cement brand, and 220 kV GIS substation in Maharashtra for a leading data centre provider.

In Renewables, we established a 150 MW EBOS in Rajasthan and 220 kV AIS substation installation for 200 MW wind power evacuation in Tamil Nadu for a leading renewable energy company.

For all these commissioned projects, our teams were responsible for designing, engineering, manufacturing, supplying, erecting, testing, and commissioning according to the defined scope of work.

If I move to the Slide #8. At Hitachi Energy, we remain committed to leading with purpose and creating a positive impact across the industry and society. Through our flagship platform, Energy and Digital World 2025, we connected with our esteemed partners across Chittorgarh, Bengaluru, and Jharsuguda to accelerate collaborations, close to our customer places. Additionally, successful completion of NABL re

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accreditation by our power transformer factory reaffirmed our commitment to quality and eco-conscious practices.

Our Doddaballapur facility has earned special recognition for its sustainable practices at the CII Karnataka ESG Summit, an achievement that we are proud of.

Also, I am pleased to share with you that our first batch of Women Engineering graduates has secured 100% employment. And through our latest community initiative in education 1,350 students in Thandavapura and Nanjangud near Mysore will benefit from solar-powered smart classrooms and libraries there. We continue to lead industry conversations through key forums in this quarter, whether it is CIGRE, IEEE, and also the CII, et cetera.

Moving to the Slide #9, here I would like to provide some more colour on the orders received this quarter. In terms of segments, renewable (wind & solar), and rail & metro contributed significantly to the order book, followed by industries in Q2.

Both renewable and rail and metro experienced a growth of 40% and 61% respectively, whereas the transmission and data centre segment witnessed a decline, 43% and 50%, respectively. But we believe it is, a timing more of a temporary phenomenon. And we are very positive

about both data centre and transmission..

The order mix is shown on the right. In the graph, you can see that the products have taken the lead in the segment, whereas utilities, the direct end users, are clear winners for the sector and channels, respectively.

Moving to the Slide #10, our growth levers, that is service and export. During the quarter, exports attained 59% year-on-year growth. Diverse geographies and industries we served helped sustain export momentum toward order book. The company received export orders from utilities in Europe, data centres in South East Asia, and renewables in Middle East and North America.

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On the service front, it maintains its high single-digit contribution to the total order book. Some of the key service orders came from utilities and industries, including an Air core Reactor for an HVDC project, GIS and AIS extensions and repair & retrofitting, and the first EconiQorder in India, which is a game-changing SF6-free technology that we are deploying in India for the first time.

So, moving to the next slide, I request my colleague and our CFO, Ajay Singh, to take you through the next couple of slides. Over to you, Ajay.

Ajay Singh: Thank you, Venu, and good afternoon, every

one. I hope you all are doing well at your end.

So, let me just take you through the Quarter 2 financials, and our performance that has happened:

So, if you see orders in this particular quarter, we did INR 2,217 crores, which is 13.6% growth year-on-year. And even if I remove the large orders of the previous quarter, I see that there is a growth of 28% (quarter on quarter).

Revenues if you see, revenues we closed at INR 1,915 crores for this particular quarter, which shows a very good growth compared to Y-on-Y 23% growth, and compared to basically Q-on-Q, 25% growth.

So, with the support of very good revenue, and along with the execution of good margin orders, better product mix, operational efficiency, and better exports, our PBT in this particular quarter is INR 352 crores, which is 18.4%, and PAT is INR 264 crores, which is 13.8% (quarter on quarter). Operational EBITDA, we closed at INR 291.6 crores, which is 15.2%. So, overall, I will say that this particular quarter is fairly better compared to the previous quarter. And order backlog, we are having roughly 29,400 plus crores of order backlog, which provides a very good visibility for several quarters.

If I come to the next slide, Slide #12, here basically I would like to give you an overview a little bit more in detail, where you see we are able to

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also review the cost structures. The revenue, if you see, out of the total INR 1,915 crores of revenue, we have other income of INR 69 crores, and this other income is basically coming from the interest deposit that we have done. The interest which we have gained is roughly INR 69 crores, and also in this particular quarter, we have an exchange gain of INR 12.8 crores.

Personal expenses is 8.1%. Other expenses, if you see, based on the overall efficiency that we gained with the better revenues, and also the overall cost structure, we closed 16.9%, which was in the previous quarter 22.7%, and that has also supported the bottom line growth.

Depreciation, as you are all aware, we are investing, so depreciation is slightly increased compared to the previous quarter. And finance cost, it is a bare minimum, because we don't have any debt at the moment.

So, overall, with all these improvements and all these cost structures overall we see that we closed, the profit for the quarter is 13.8%.

With this I hand over to Venu.

N. Venu: Thank you, Ajay. And moving to my last slide before we open it up to Q&A. And that's our priorities for the remaining part of the financial year and also the coming years.

As we closed our second quarter, explained by our CFO, which is a very good quarter for us from our standpoint, and remained focus on the two objectives of maintaining high growth momentum and enhancing our

overall efficiency in all spheres of our work; maintaining our leadership in core segments, such as Utilities, HVDC, Transmission, Industries, Infrastructure, et cetera, .

And we continually strive to capitalize on emerging opportunities in new segments, such as data centers, industries, and refine our strategies to leverage opportunities in Service, Export, and Digital segments, and which you have been seeing this, how we have been driving this growth for the last several quarters.

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Our focus will remain on strengthening the Service business in India, and the company will continue to drive productivity with an emphasis on operational excellence to improve productivity, quality, and opportunities under the one Hitachi umbrella.

On the business front, consolidated efforts will be made to leverage the large order backlog for revenue accretion and focus strategy for the utilization of the capital raised during the QIP.

As we speak, a lot of CAPEX projects are under execution at various stages of completion, and we see the traction of some of them coming in from the second half of next year onwards.

With the safety embedded in our culture, our commitment to fostering a strong safety-first work environment remains steadfast. At

the same

time, we continue to invest in expanding our capabilities for sustainable growth, whether through upskilling and cross-skilling our workforce, which is extremely important for the energy transition-related thing, or by strengthening our operational footprint to inspire the next era of sustainable energy future.

So, ladies and gentlemen, with this, I close my presentation and request the operator to open the channel for the questions. Thank you.

Moderator: Thank you very much. We will now begin with the question-and-answer session. The first question is from the line of Umesh Raut from Nomura India. Please go ahead.

Umesh Raut: Thank you so much for this opportunity. Good evening, sir. My first question is pertaining to our CAPEX timeline. If I look at our prospect document for fundraising, that is QIP, it is mentioned that for FY '26, we were planning to deploy closer to INR 750 crores in the CAPEX, and about closer to INR 720 crores in FY '27. If I look at half year, I think we have done close to INR 67 crores of CAPEX. So, just wanted to understand how this CAPEX ramp-up will happen, say, in second half FY '26 and then in FY '27-'28? That is my first question.

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N. Venu: Okay. Thank you, Umesh. Thank you for asking this question. I think it's a very, very important question for us. So, for us also, the CAPEX projects going on stream in line with our timeline, in line with our budget, cost exercise is extremely important. We have dedicated teams working on that.

And as we said at the beginning of our documents, INR 750 crores is what we are going to spend this year. We may not be completing INR 750 crores worth of the projects, but we will be close to that range. I think we still see that traction of coming very close to that, and also similarly in the subsequent years.

Umesh Raut: Understood. Okay. So, three large projects that we have in terms of backlog, which is one on the domestic HDVC program side and one in Australia, again, more of an outsourcing package as a part of larger HVDC project. So, just wanted to understand, would there be any delay in terms of execution because of a slight delay in terms of CAPEX timelines? Or how should we look at it in terms of completion timelines for these 3 projects, respectively?

N. Venu: First of all, the CAPEX is up now. There is no delay as per our schedule. They are going in line with the schedule, almost all of those. Okay. And whatever projects we have booked, we have seen everything in our CAPEX. Some incremental CAPEX has to come in for some of those products, which are required for that. And we see that it is very much on track. So, I don't see any delays on account of those things.

Umesh Raut: And scheduled completion timelines for 3 projects, which I mentioned?

N. Venu : It varies from customer to customer, ranging from anywhere between 48

months to 54 months. So, we are very much within our schedule. As we speak, all these projects we have learnt about, we are completing the engineering phases. We are doing some of the component testing. All those things are going on.

Umesh Raut: Understood. Sir, my last question is pertaining to other expenses, where we have seen a 7% decline on a year-on-year basis, while our revenues

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went up by about 18% for the quarter. So, any particular reason for drop in other expenses or any one-off here?

N. Venu: Yes. I will ask our CFO – Ajay to talk on this.

Ajay Singh: Yes. So, just in my initial commentary also I mentioned, the other expenses have come down. Mainly if you see, I will say that we have achieved operational economies in this quarter, and that is mainly driven by the containment of the cost and also supported by the higher revenues. But to give one specific example, like in the last quarter, we had higher royalty expenses, and you are aware that we have been telling that our royalty expenses are generally dependent upon the previous quarter's revenues.

So, the prior quarter's revenues were higher. So, in the I

ast quarter, the

royalty expenses were higher. But based on the last quarter's revenue, this quarter, the royalty expenses were lower. So, that is also one of the major reasons why it has also come down. But overall, we have been telling that we will be hovering around, let's say 20% level.

Umesh Raut: Understood, sir. Understood. Sir, last 1 clarification. If I look at Slide #9, the figures that are mentioned here, it looks like Q2 FY '25 figures are basically for Q2 FY '26. Is that the correct assumption? Because I think if I look at the following slide, I think on the services side, Q2 FY '26 was on the declining side, while on the first slide, that is on the 9th slide, I think it is increasing for Q2 FY '26.

N. Venu: No. I think what you are saying, the slide on the 9 is...

Umesh Raut: So, I think the figures for Q2 FY '25 are basically for Q2 FY '26. So, it's mentioned in the reverse way.

N. Venu: Yes, yes, it is. If you see here, what you are talking about in the slide 10, Q2 FY '25 on the left-hand side, Q2 FY '26 on the right-hand side. That's only the representation standpoint, but otherwise, everything is okay.

Umesh Raut: No, but sir, services contribution in orders is basically.

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N. Venu: Yes. And the services is down.

Umesh Raut: So, it has increased for Q2 FY '26 in the Slide #9.

N. Venu: Slide #9, where did we say that?

Umesh Raut: From 7% in Q2 FY '25, that has gone up to 12% in Q2 FY '26.

N. Venu: Let me check on that. Okay. Thank you.*

Umesh Raut: Yes. Sure. Thank you.

N. Venu: Thanks for pointing that out.

Moderator: Thank you, Umesh. The next question is from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal: Congratulations on a great quarter. Sir, just wanted to understand out of the total order backlog right now, so what is the base order?

Excluding the HVDC, what will be the order backlog?

N. Venu: I think we have at least close to INR 10,000 crores, we will have a base order backlog.

Parikshit Kandpal: Okay, understood, sir. And then in this quarter, sir. if you can help us quantify out of the total order inflows, how much was the export order?

And in the total order book of 10,000 crore base order book, what will be the export order backlog?

N. Venu: No, we don't segregate it like that. Our exports, we are telling you in the overall basis, is 25%. Okay. And it's varying from 25% to 20%-30%.

We don't have a large backlog of exports. Most of the exports are at a quite short cycle, except for the Marinus order, which we have booked in. But most of the exports are quite short cycle. Fairly, you can take around 25%.

Parikshit Kandpal: Okay. And sir, the last order on the related parties. Sir, any large orders expected from the parent company, the related party, like we have seen some of our peers' getting orders from the parent entities or related

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parties. So, anything planned for this year? Any thoughts there on the parent side where we can get orders?

N. Venu: So, Parikshit, we have been saying consistently that is our main focus, unlike some of other companies is the domestic markets. We are expanding our factories. We are increasing our localization is primarily to serve the market. It's not that we cannot do it. So, we see a huge amount of tailwinds in the domestic market.

Today, our challenge is our ability to supply that. So, that's where we are doing it. We are expanding it. And as you can see, the new opportunities, like a gigawatt scale of data center, requires a large amount of transformer, GIS, automation, et cetera in that. So, it's quite a big opportunity pipeline for the domestic market, and our focus is on that.

Having said that, we have been saying consistently that we have been concentrating exports and we brought exports from 15% to 25% on an overall basis. And we would like to remain in that range band, a few percentage this way, that way. But that's what the thing is. It is not that we have taken an export order from a parent and compromi

sed on the

domestic market. That's not what we meant.

Parikshit Kandpal: Okay. Just one thing for Ajay, sir. Sir, this Adani order is over? Or is it like still some more execution left? I mean, in this quarter, was it a significant part of the execution?

N. Venu: Yes.

Ajay Singh: Generally, we do not basically talk on those particular lines.

Parikshit Kandpal: But is the order completion over now? Or is it still pending?

N. Venu: Not yet. Not yet.

Ajay Singh: That is yet to be completed.

N. Venu: Not yet.

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Parikshit Kandpal: So, in this year, we will have that order completed by this year end.

N. Venu: Yes, hopefully.

Parikshit Kandpal: Okay, sir. Sure. Thank you.

Moderator: Thank you. Next question is from Harshit Patel from Equirus Securities. Please go ahead.

Harshit Patel: Thank you very much for the opportunity, sir. Sir, just a question on our Marinus Link product order that we had received from Australia. So, what percentage of execution is completed for this order? And by when, we will complete this entire order? If you could give those details.

N. Venu: I think it's a very small percentage right now. But we will be completing it in the next 36 months or so.

Harshit Patel: Understood, sir. Could you also give us a sense on what kind of margins we have realized on this Mumbai HVDC project, and similarly on Marinus Link also? We don't want the exact numbers, but if you could give us a flavor on how much higher these margins are, to service our standard base order-related margins? That will be very helpful.

N. Venu: So, Harshit, again, this question was there in the previous quarter also. We have been saying consistently that we don't disclose project level or segment level margins. All I can say to you, if you give a little bit of flavor and color on a qualitative basis, many of those projects, we always look at in a risk and reward basis, and it should fit into our margin corridors and whatever the projects we won or whatever the projects we are aiming to be, and they are all within our margin corridor.

Harshit Patel: Understood, sir. Just lastly, if you can update us on the HVDC project pipeline, what kind of projects will be tendered or awarded in the next 3 or 4 quarters?

N. Venu: So, the pipeline, as all of you may be knowing it, 1 project is the tariff-based bidding is over and we hope that that should get finalized in this financial year. On top of that, there's another 6 gigawatt of LCC project

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which is likely to come out of NIT, and there's a good chance that that can also get finalized in this financial year. Both are in this financial year, okay.

So, again, I have been saying, let me give a big picture, you can also go to the CEA website, the details are there, and they are also upgrading it on a continuous basis, as and when the new update things.

And this I have been saying consistently, not today, but at least 3 years back. A country like India to manage this kind of complexity arising of such a huge amount of renewable and with lot of electrification, with gigawatt scale of data centers coming in, it needs this kind of technologies coming in there. So, previously, I have been saying 1 project per year, and I also said that 2 projects per year should come, but it is a matter of 2 to 3 projects per year is required going forward . They will come up for the bidding.

So, those are the things that there could be, it's a large project, there will always be timing delays, et cetera. Sometimes there might be some challenges in finalizing in one go, but that's what I see: 2 to 3 projects per year for at least the next couple of years.

Harshit Patel: That's good. Thank you very much for answering my questions. And all the best.

Moderator: Thank you. Next question is from Shirom Kapur from Jefferies India. Please go ahead.

Shirom Kapur: Hi, sir. Thank you for the opportunity. I just wanted to ask you about your gross margins. So, we have seen significant expansion in 1H(first half), almost over 550 basis

points. So, I was just wondering what has driven this gross margin expansion? You have been clear on overall EBITDA, but specifically on gross margin, what has driven this expansion? And, are the current levels of 40% plus gross margin sustainable going forward?

N. Venu: So, maybe let me answer a thing and then Ajay will also join . So, yes, we have been saying this, not today, we have been saying consistently 16/27

last 2 years that we are working on a strategy, which is a very long-term strategy, very sustainable strategy, both on the growth as well as on the bottom-line strategy.

And we said we will take it to double digit EBIT margin corridor, and then we sustain those things in that.

So, we also said what are the levers available for us? The levers is that one we are growing, and then we could have the growth, while the growth will not give you the same kind of fixed cost. And then we also have exports, will get better gross margin. And then we are also working on the pricing excellence, et cetera, in that.

And the last one is very important is our service strategy. We have created a dedicated service business unit, because we have a huge amount of install base, and we would like to leverage and then improve on both top line and bottom line. And that's what you can see in the play over a period of time in that. Ajay?

Ajay Singh: I think you have already covered. So, basically, if you talk about this particular specific quarter, as I also already spoke, this execution of the better margin orders, and then the better product mix. So, these 2 things combined, and coupled with the exports. So, these are the 3 levers where we see the margin has come from. And as Venu mentioned, going forward, we are quite clear about how we want to drive this. And definitely, our aim is to drive this in the right direction.

Shirom Kapur: Noted, sir. And thank you, that's very helpful. So, just to summarize, these are part of a long-term strategy and can be sustainable going forward if the strategy continues to be executed. So, noted, sir. Thank you.

Secondly, of course, post your QIP, you have a large cash balance and you have earned about INR 120 crores of interest income in the first half of the year. But as you deploy your CAPEX, how should we look at this over the next couple of quarters and FY '27? Can this level of interest income sustain, or do you expect it to come down as it's just a one-off in the first couple of quarters this year?

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Ajay Singh: Yes. Just now, Venu explained that we had a very slow start as far as the deployment is concerned. But then in the next 2 quarters, our expectation is that we will pull up. And whatever we have declared around 700 plus (crore) is what we are aiming. So, with that kind of deployment happening, definitely I see the reduction of the interest, because that will get deployed. That is a near-term thing that we see at

the moment.

Shirom Kapur: Okay. Got it, sir. Thank you so much, and all the best.

Ajay Singh: Thank you.

Moderator: Thank you. Next question is from Subhadip from Nuvama Wealth Management. Please go ahead.

Subhadip Mitra: Good afternoon, and thank you for the opportunity. So, my question is something related to margins. I am sorry if this is a repeat. I missed the early part of the call. So, I understand that you have been highlighting that starting from 4th Quarter of FY '26, we will be entering double-digit EBIT margins. Does that guidance still stand? And is there a possibility that between now and 4th quarter, there could still be some retraction in terms of margins, because of some older legacy projects?

N. Venu: Sorry, what projects?

Ajay Singh: Old, legacy.

Subhadip Mitra: Older projects, which might still be left in your order book, could that still impact margins, let's say in 3Q?

N. Venu: I think our guidance remains. We said that we will enter double-digit EBITDA margins, and we have entered much ahead of our own target. And then we also said that we will sustain, and t

hen we will also improve

from that. And that's what you are saying in that. We will not say from where we go, but what we are saying is that we will double-digit. It could be a few percentage this way, that way, but on an overall basis, if you take as a year-on-year basis, so it will have a double-digit EBITDA margin.

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Subhadip Mitra: Understood. But are there any of the older legacy projects still left which can impact margins, let's say, for the rest of the year?

N. Venu: Our overall portfolio is very, very robust, and a good gross margin and we do not see any of those things. Having said that, there could be always some external EBIT, right? So, we are in such uncertainty of geopolitical things like that, something can come. But to the best of our knowledge, we have a very solid order backlog and very good portfolio of our order backlog, which is executable and sitting with good gross margins.

Subhadip Mitra: Understood, sir. Thank you so much.

N. Venu: Thank you.

Moderator: Thank you. Next question is from line of Sitaram Agarwal from Tree Line Advisors. Please go ahead.

Sitaram Agarwal: Hi. Thank you for the opportunity. I have 2 questions. First question is there any sense of pricing trends that you can share, let's say, from 2023 to 2025? As in, what was the pricing for projects that you were winning in 2023 and how they have trended last year and what's the current trend?

N. Venu: Thank you, Mr. Sitaram, but unfortunately, we will not give you those kinds of trends, because it's basically for our own thing. But I must tell you that, we said we are predominantly working to support our domestic market, and one-fourth of what we produce, we also send exports. So, in the domestic market, despite the supply and demand, there's always an affordability challenge, right? So, it's not that whatever price you want, you can get it. It's not feasible, and the project is not going to be viable. You may get, once in a while, better margins. But we are also looking at a lot of localization. That's very important in that. Today, we produce almost 75%-80% of what we produce globally; we produce locally here. And that is what is also very important for us to get into these kinds of things.

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Sitaram Agarwal: Right. Okay. Thank you. And my next question is, I know you have qualified some of the data center opportunities in the past, but if you were to take this example of the 1 gigawatt data center that Google has announced, what really would be the opportunity for transformers out of the entire CAPEX of whatever \$14 billion, \$15 billion dollars that they have announced? And more importantly, are these all high-voltage transformers, or is it going to be a mix of high voltage, medium voltage, and low voltage? You have the broad indication of the quantum and the kind of transformers that would be needed for these data centers?

N. Venu: Absolutely. I think the data centers are completely redefining. We used to have a data center of 10 megawatt, and then they went into 40 megawatts, that time they were calling hyperscales. And then they said AI-ready data center, which is 100 megawatts, now we are talking about a gigawatt-scale data center, right, which is super, super hyperscale data centers.

And we have been saying also during hyperscales and AI-ready data centers for our portfolio of Hitachi Energy, which is grid connection, substations, automation, and all ranges of the transformer, which is high voltage, low voltage, medium voltage, dry type transformers.

And our appreciable market of every data center CAPEX is the range of 15% to 20% of data center CAPEX. So, depending upon the size and scale of, and depending on the business model, what they deploy, it might vary, but that's where the thing is 15% to 20%. And we believe that that's going to be there in the gigawatt scale data center as well.

Sitaram Agarwal: And is there any indication of how much of this would be high voltage out of the 15%, 20%?

N. Venu: No, 15%, 20% is our

addressable market, Hitachi Energy's addressable market.

Sitaram Agarwal: Okay. Thank you.

N. Venu: Thank you.

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Moderator: Thank you. Next question is from the line of Bhalchandra Shinde from Motilal Oswal. Please go ahead.

Bhalchandra Shinde: Sir, 2 questions. One on the HVDC pipeline, if you can provide insight that in the next 1 to 2 years how many HVDC projects are expected to be tendered? And also, there is one thought process going on that, because of the best technology, will come into play, relatively, HVDC CAPEX requirements will be lower. So, your insights into that would be great.

N. Venu: So, thank you. I think I have already answered this question, Mr. Bhalchandra. But just for your sake, I can do that. HVDC pipeline in the near term, you know, that one project is already completed, the tariff-based bidding. So, it is in the market. And then in addition to that, there's another LCC project of 6 kV is likely to be tendered out. So, 2 projects in this financial year.

And then we will see in the next year anywhere between 2 to 3 projects coming out for bidding. So, that's what is the thing. And I also said in the call that previously I used to say one project per year to come up for a bidding. Now I revised it to 2 projects per bidding. But anywhere between 2 to 3 projects are required to manage the complexity arising of such a huge magnitude of renewable and electrification is what you see in our country.

So, regarding your second question on the BESS versus HVDC, I think this is not one against the other. Both the technologies are required to co-exist. So, Battery Energy Storage cannot compete with HVDC or vice versa in that. So, both technologies are required for our energy transition.

And as you have seen, the SECI's mandate right now is that 10% of the renewable they need to have energy storage built in, in the project going forward. And that is in the right direction. So, for your information, energy storage, Hitachi Energy is one of the key players in energy storage itself. And we do have our converter, BESS, PES, et cetera, which are very, very critical for energy storage. Thank you.

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Bhalchandra Shinde: Got it. And sir, on the data center side, again, one of our peers is not expecting that much growth, at least for the next 2, 3 years. But what is your take? How should one see India? Because India has a really good edge against any other country. That surplus power in solar and all those things are really good things for data centers. What is your take? How should one expect growth prospects in data center market?

N. Venu: I can tell what I have been saying. But then the only way is to wait for a couple of more quarters and then you will see that how the trend is happening in that. Right? So, the data center is quite a big market going to be. And we have seen this in other parts of the world already. It's

quite a big market, which many stakeholders are not seeing.

For example, how much of a load this data center will require still is not being factored in the Central Electricity Authority. They are right now looking into it. For example, right now, 7% of Singapore's total energy consumption goes to the data center. And they are saying that 30% is 2030, 2032. So, that's the kind of requirement it will drive in.

Data center has two elements. One is the data center itself will create an opportunity for a company like Hitachi Energy. And the second one is data center drives the load growth. So, huge load growth. It's not a normal load growth, it's a huge load growth. And that will be a further secondary investment, again, in the generation, transmission, et cetera.

Bhalchandra Shinde: Got it. Thanks, sir. Thanks. I will come back for further questions.

Moderator: Thank you. Next question is from Mohit Kumar from ICICI Securities.

Please go ahead.

Mohit Kumar: Yes, sir. Good afternoon. And thank you for the opportunity. Sir, my first question is given that we are executing approximately 3 large HV

DC

orders as of currently, do we have the capacity to take 1 or 2 projects further in the near term?

N. Venu: As I said, we have always been ahead of the curve. We have been seeing this much ahead of many of the industry players. So, when we started our factory in 2021, there was no pipeline there. But we had a 22/27

strong belief and conviction that we wanted to start this to address that, and that's what we are seeing.

And considering all that, we have already started expansions of many of our projects. So, we are putting almost INR 2000 crores CAPEX basically to address those future requirements as and when it happens, whether it is in Chennai, whether it is Bangalore, whether it is in Mysore, whether it is in Baroda, all those things are considering those things. So, we are not constrained with any limitations at this point in time.

Mohit Kumar: Understood, sir. My second question is, sir, is it possible to update us qualitatively on the progress of the Khavda HVDC and Badla HVDC project? Are they tracking your expectation in terms of progress?

N. Venu: As of now, yes. Yes. Just to answer. Yes.

Mohit Kumar: Understood. Last question, Slide #9 of your presentation. The order inflow from the transmission has declined by 43%. Of course, I understand that there's base quarter has Marinus order. But still, was there something odd about the quarter that the order finalization has got postponed?

N. Venu: Order finalization has been there. Some of the transmission like a transformer, et cetera, which will go into the transmission. So, you are able to fix into the delivery schedules. Those things are also playing a role.

It's not about the sector down of that. It is our orders go down in that particular quarter. But again, I also clarified, it's also timing for us and we don't see anything. Our pipeline is very strong and robust and we are able to fit into what fits into our schedule.

Mohit Kumar: Understood. So, is it fair to say that the order inflow opportunity is very strong for the next 4 quarters. Is it right to say?

N. Venu: The pipeline is very strong.

Mohit Kumar: Understood, sir. That's very helpful, sir. Thank you, and best of luck. 23/27

Moderator: Thank you. Next question is from the line of Sagar Gandhi from Invesco Mutual Fund. Please go ahead.

Sagar Gandhi: Yes, sir. My question pertains to execution. So, while we have done excellently in terms of order inflow and now in margins also, H1 execution has been 15% growth. So, can you qualitatively give us the direction on execution ramp-up from here on?

N. Venu: Yes, but as I said, we have INR 29,000 crores worth of order backlog, right? So, those things we need to execute. And on top of that we are adding more CAPEX. And you know that, what is our asset turn ratio of those previous things. Even if we take a low asset turn ratio, we will add it to the revenues.

Sagar Gandhi: So, qualitatively, it looks substantially better from here. Is that understanding correct?

N. Venu: You know very well that we don't give you any forward-looking statements. You can make your own assessment. All we can say is that we are sitting on a strong order backlog. That's number one. We are expanding our factories. And then we are also looking at our exports in the service.

Sagar Gandhi: Sure, sure. Thank you so much, sir.

Moderator: Thank you. Next question is from line of Mohan, an individual Investor. Please go ahead.

Mohan: Thanks for taking my question, sir. We recently had a global investor meet in London. And there was a table put out which stated that Hitachi Energy from a \$16 billion revenue in 2024 hopes to be a \$33 billion revenue company by 2030.

But more importantly, the margins, which were 11% in 2024, were expected to be in the range of closer to 20% is what has been put there.

Now, presumably, this is something which we can go with, because our current margins are higher than the global average margins for this quarter as well. So, would it be a fair range to go with?

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N.

Venu: Thank you, Mr. Mohan. Again, I am coming back to the same thing. We do not give guidance on the longer-term basis in that. Again, let me give a qualitative basis. We have been saying consistently, and then we are executing what we are saying, what we do. Okay, so that's what it matters.

So, what we are saying is that we are taking a lot of action and are much ahead of the curve, in expanding our factories, localizing our equipment, bringing the technology, and localizing it, so that we are able to offer to our customers at the price point that is required. That's the number one thing in that, right?

And that will add both scale as well as various other things with that.

So, we are growing consistently much, much higher than the market, and we have demonstrated for several quarters now, and we continue to do so in the future. Okay? And we are sitting right now with a huge order backlog, and that order backlog will give a huge visibility. And then in addition to that order backlog, we are growing higher than the market, and then our exports will play a major role, and then we will also have our service play a major role. So, if you add all these things, then you can make your own assessment.

Mohan: Yes. Sure sir. And the next question was as regards to the Leh HVDC order. There has obviously been a delay or cancellation. If you can share what really happened and why we didn't bid in the initial instance, if it can be shared, it will be interesting for us to know.

N. Venu: No, it is not about why we didn't bid or not. In fact, our customer has given us feed order, paid order to us. So, we have done our thing and then submitted our report. Based on that report, only then certain particular type of technology will go in there, and that's what we have submitted to our customer, and then it's up to customer to take a decision.

So, even if they are going, again, it's a quite many phases will happen.

Even if, for example, if they have to go for some immediate reasons to evacuate, if you have to go to AC, but again, it is not a one technology

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play there. It is a combination of various technologies have to play to manage the evacuation of such a large scale renewable there.

Mohan: Okay. Fair enough. Thanks a lot, sir.

N. Venu: Operator, maybe 1 last question.

Moderator: Sure, sir. Next question is from the line of Anupam Goswami from SUD Life Insurance. Please go ahead.

Anupam Goswami: Hi, sir. Sir, my first question is what's your plan on the export side? What is the current order book or your vision that you want to scale up?

N. Venu: So, I think we are very consistent in what we have been saying, Anup, that our export right now is around 25% if you take out the large project, HVDC sector side, right? Okay. And we have one large export project also there. So, basically, if you see both sides, if you remove it, 25%, to 30% is the place. Some quarter 25%, some quarter 30%. This quarter was 30%. So, we would like to remain in the 25%-30% corridor,

because we have, as I said, we have huge tailwinds arising out of the energy transition in India, both from the renewable, transmission, industries, and also rail, et cetera, in that.

So, that's where we would like to focus. Not that we don't want to increase from 25%30% number, but that increase is not at the cost of the domestic market. So, that's the reason we would like to give priority to the domestic market, because we have created the factories and other things to address the domestic market.

But at the same time, we would like to leverage our factories also to the rest of the world. That's what we have doing it, one-fourth of what we produce, we export it. Maybe over a period of time, it might increase slightly. .

Anupam Goswami: So, sir, with the new capacity coming, what sort of incremental capacity are we having, let's say, 50%, 40%?

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N. Venu: As and when we complete the capacity, we will inform you. At this point in time, it is varying, depending upon the products,

what we have taken.

Some are going from 40% increase, some are going 50% increase, some are even close to what we have it. So, it is varying, but we will inform you as and when the capacity comes up.

Anupam Goswami: Just sir, last one. With the current margin that is going on, and higher than the parent's margin, do we see this margin to sustain and royalty percentage also?

N. Venu: Sir, we don't want to compare higher than the parent or lower than the parent. What we compare is our portfolio, what we have and our cost structure, what we have in there. So, that's what we are saying.

So, again, I am saying, I am going back to couple of years, we said, we are building a company in a fairly medium-term, long-term basis. We are not taking short things going up and down in that. So, we said that we will reach 10% of our operational EBITDA by FY 2025, and then we have reached much ahead of that curve. And then we said, we will sustain those margins.

Again, we are working towards that. While sustaining it, of course, depending upon the market condition, depending upon the various other geopolitical, et cetera, we will always try and see how to improve on that. But otherwise, our thing is to double-digit EBITDA. Thank you.

Anupam Goswami: Thank you, sir.

Moderator: Thank you very much.

N. Venu: Last comments. Once again, thank you very much, ladies and gentlemen. Thank you for your time, listening to us, and engaging with us. And we are in such an energy super cycle, very exciting for us, and the future is going to be electrified, everything and anything. And that's what we are seeing, gigawatt scale of data centers, and many industries are looking forward. So, we are really very, very happy and want to further increase our engagement.

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If you need any further information, please do not hesitate. Reach out to us, reach out to any of us, and we will be happy to help.. And any unanswered questions, if we are not answered to you, also reach out to us. We will be happy to engage with you. Thank you very much.

Moderator: Thank you very much. On behalf of Hitachi Energy India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

*Please note in slide number 9 Q2FY25 should be read as Q2FY26 and vice versa

Call: Feb 2026

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Scrip Symbol: POWERINDIA
Subject: Transcript of the conference call with Analysts/ Investors held on February 05, 2026
De
ar Sir/Madam,
Pursuant to Regulation 30 and 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations,
2015, we are enclosing herewith the transcript of the conference call that was organized with the
Analysts/Investors on Thursday, February 05, 2026 and the same can be accessed at
<https://www.hitachienergy.com/in/en/investor-relations/analyst-section>.
Kindly ta
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Thank you,
Yours faithfully,
For Hitachi Energy India Limited
Poovanna Ammatanda
General Counsel and Company Secretary
Encl.: as aboveHITACHI
Page 1 of 18
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Hitachi Energy India Limited Q3 FY-26
Analyst Conference Call – February 2026

MANAGEMENT:

Mr. N Venu – Managing Director & CEO, Hitachi Energy India
Limited

Mr. Ajay Singh – Chief Financial Officer, Hitachi Energy India
Limited

Mr. Poovanna Ammatanda - General Counsel & Company
Secretary, Hitachi Energy India Limited

Ms. Seema Siddiqui – Head of Communications and Government
Relations, Hitachi Energy India Limited

HITACHI

HITACHI

Page 2 of 18Ladies and gentlemen, good evening and welcome to Hitachi Energy India
Limited Q3 FY '26 Analyst Conference Call.

As a reminder, all participant lines will be in listen-only mode, and you will have

an opportunity to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*', then '0' on your touchtone phone.

I now hand the conference over to Mr. N. Venu - MD and CEO, Hitachi Energy India Limited. Thank you, and over to you, sir.

N. Venu: Thank you very much. Good evening, everyone. I hope you are all doing very well, and thank you for joining us for this third quarter 25-26 Analyst Call. I appreciate it very much.

Over the next 15-20 minutes, I will take you through our performance from October 1st to December 31st quarter. And for your convenience, I will refer to the slides we have uploaded, this slide deck, which was uploaded a while ago on BSE. Today, I am joined in the room by our CFO - Ajay Singh, the General Counsel and Company Secretary - Poovanna Ammatanda, and Head of Communication & Government Relations - Seema Siddiqui.

You have seen this week, on Sunday, the Union Budget, which, in our view, lays out a strong roadmap for technology-led growth with higher public capital expenditure and a clear push for AI data centers and advanced manufacturing. And as you know, in all of those things, Hitachi Energy is having a major play. And at Hitachi Energy, we understand the significance of these evolving dynamics and are well-positioned to leverage this growth momentum. In addition to that, the recently concluded EU-India Free Trade Agreement, according to some analysts' estimates, there is elimination of tariffs on nearly 97% of EU exports to India and vice versa. So, slashing up to 4 billion Euro in annual duties and boosting supply chain integration in renewables like offshore wind. We see this as a key area of opportunity.

Simultaneously, the additional thing that came out just two days back, the US-India trade deal reduces US tariffs on Indian exports to 18%. This is also promising in enhancing our export opportunities. So, I move to Slide #3, which starts from safety, which is our license to operate. And safety remains fundamental

al to our license to operate, and we have further strengthened interventions at our factories, our project sites, and our offices, etc. As a result, Page 3 of 18 one of the metrics we measure is the total recordable injury frequency rate is improved to 0.09, surpassing our own target of 0.19 down from the previous year. This demonstrates the positive impact of our proactive safety initiatives. We also reinforce our commitment to health and wellbeing, achieving 90% participation in our annual health check for our employees, conducting multiple awareness sessions, and also mental health apps.

Our shop floor and site teams received several recognitions from the industry, notably, the Business World Awards ranked us third in the electronics and hardware sector.

If I move to Slide #4, ESG target, which is very close to us. As you know that our technology, be it a product, system, services, software, decarbonize the customer, industries and customer places. So, that is the reason we have set ourselves the targets on the ESG front. And sustainability remains central to our strategy, anchored in the planet, people, and principles. For the planet, we continue to operate at 100% renewable electricity and are on track to achieve 70% reduction in operational CO₂ emissions compared to the 2019 base level, significantly ahead of the 2025-2026 targets.

Water audits are scheduled in several locations, including some of our locations like Halol and Mysore, to help us reach our goal of reducing freshwater consumption. Regarding waste, we have reduced landfill disposal by approximately 30% compared to 2024-2025, and now recycle more than 95% of general waste. For people, we remain committed to zero harm, and Safety is at the center of all we do here at Hitachi Energy. We are also steadily advancing gender diversity, reflecting progress across our talent pipelines, etc. On the principles, we uphold an uncompromising commitment to integrity with zero incidents as our standards, and also uphold the highest standards of governance in our company. Offshoot of various actions and activities at our company, I am pleased to report that our progress continues to be recognized externally. Our CRISIL Sustainability ESG rating improved to 61 (Strong) in 2025, while NSE ESG rating closed to 62.

If I move to the Slide #5, I think this particular thing I am sure you all know more than me, but I still wanted to touch base a couple of things on that. The macroeconomic environment remains favorable. All growth indicators are trending upward. Overall growth is strong and inflation has been maintained

steadily. But if you really look at the right-hand side of the slide, which talks more about area, segments where it is important for Hitachi Energy, as you see Page 4 of 18 that renewable, we continue to have a strong growth momentum in this close to 50 gigawatt in 2025, but then it is quite a lot of things. Same is the case with the transmission. Same is the case with industry and the data center is the one big area where we are really hoping this will really come out in a big way. As you may know, 90% of AI-ready data centers today are located in the two countries, which are the US & China, and India is definitely going to have a big growth in the data center. The data center represents a significant growth opportunity for Hitachi Energy.

And then if we move to Slide #6, as you can see, our solid performance is driving growth and building profit margins. Our operating momentum remains robust with strong order inflows in this quarter, with most of them being base orders of Rs. 2,477.6 crores, which shows that if I remove the HVDC order in the previous quarter, we have achieved a 73% growth YoY. And if you take a quarter-on-quarter, 11% growth. Revenues are up by 29.6%, Rs. 2,168 crores. And then profit before exceptional item is also quite quadruple, almost Rs. 400 crores, 118.4%. And PBT after exclusive items, which is basically, the labor code-related, it st

ands at Rs. 347.8 crores, and we have a consistent and strong OCF.

And as you can see here, our order backlog is all time high, Rs. 29,872 crores. And look at nine-month comparison, April to December this year versus last year is also quite strong. Even in the high base of orders we have maintained are slightly growing in that high base orders. Revenue is up 24% on a 9-month period, and profit and other things is a huge amount of improvement. This quarter, our work spanned various segments including utilities, renewables, rail and industry. Notable project execution include 765 kV reactors, ICTs for solar and some of the wind substations in Gujarat and Karnataka, 130 kV GIS installation, 400 kV CRP and substation automation, etc.,. So, orders came from multiple segments and industries. And the notable worth of order to be mentioning is that our modular concept is also gaining traction. As you can see here, we could get a compact mobile 400 kV substation enabling rapid deployment for a reliable power quality management in Kutch, Gujarat for one of India's leading conglomerates.

So, if I move to the next slide, Slide #7, and we continue to commission the projects almost in line with our customers and wherever possible. As a technology leader, we are committed to enhancing grid reliability through timely commissioning and high-quality execution. This quarter has featured some exciting projects again across the cross segments. I would like to highlight some of them is that 130 kV, 33 kV substation in Bhutan for a leading oil and gas company. And then the commissioning of a 220 kV GIS substation for a Page 5 of 18 data center in Pune, Maharashtra and another 130 kV GIS pay extension for a major chemical company in Odisha. And then 220 kV, 33 kV substation for a 300 megawatt solar project in Koppal in Karnataka. In all these things, our comprehensive scope includes design engineering, manufacturing, supply, erection, testing, and commissioning.

Moving to the Slide #8. At Hitachi Energy, you have been seeing this. We are committed to leading with purpose and creating a positive impact on industry, society and the various stakeholders with whom we have interacted. At Energy and Digital World(EDW), which is our flagship customer engagement initiative and which we have been doing in the Tier-1 cities. Now, we have taken to the Tier-2 cities. So, we organized in Guwahati where we connected nearly 150 industry leaders to discuss power automation, digital service solutions, consulting, sustainable grid technologies and transformer technology, etc. These discussions help us and our customers collaboratively address emerging system needs and accelerate the transition to a more digital and sustainable energy ecosystem. And we have completed 25 years in India of power innovation in the transformers as a commemorating 25 years of power transformers in India in October this year. So, this includes our celebrations of 25 years of power transformers.

And if you go to the next one that we are very passionate about our engagement and collaboration with academia. We are accelerating this across overall on India basis, deepening academia-industry collaboration through partnership with NIT Warangal, which we had extended for another five years. Through platforms such as the TransTech, Shell Changemaker and CII ESG Summit, we continue to shape conversations around infrastructure readiness,

especially on the energy security, sustainability and affordability, reinforcing our role as the role of Hitachi Energy as a trusted partner in powering India's energy transition.

If I move to the Slide #9, let me give you a little bit more color on the order intake from which segments came in this quarter. As you can see here, renewable- wind and solar, data center and industries have a strong growth Y-on-Y while transmission and rail & metro have seen a bit of decline on this quarter. But it is important to recognize that this is influenced by project timing

and by strong prior performance driven by a large order during the same period of the last financial year. Additionally, there is a YoY decline in the rail and metro segment. However, we believe this is simply a part of the market cycle and timing and we expect it to improve in the coming quarters. The order mix is also illustrated on the right-hand side. As you can see here, our products, that is Page 6 of 18 where we have been driving it for several years, and our contribution to the products is much higher compared to the projects. And Utilities has been one of our major segments, but as you can see here, in this particular quarter, both utilities and industries came almost equal in that 47% in utilities, 43% in industries..

So, at the next two slides, I would like to hand over to my colleague, Ajay Singh, to take us through the performance on the financial front. Over to you, Ajay.

Ajay Singh: Thank you, Venu. Good evening, everyone. I hope all of you are doing well at your end. So, let me take you to the Quarter 3 results for our company.

So, if you see, orders in Quarter 3 was Rs. 2,477 crores and if I compare the Y-on-Y, it is negative 78%, but if I remove the HVDC order, then we are growing by 73%. And even if I compare with the last quarter, we see there is a growth of 11.7%. So, overall, a very good development on the order. Revenues is at Rs. 2,168 crores, 29.6% growth Y-on-Y and 13.2% growth quarter-on-quarter.

If you talk about the PBT before the exceptional items, Rs. 402 crores is what we achieved and this is basically based on the higher revenues, focus on execution, product mix, operational efficiency and export momentum has really contributed a good growth on the bottom line and we are 118% more compared to the last Y-on-Y basis. And even if I compare with the last quarter, the growth is 13.9%. And when I talk about the percentage from PBT percentage before exceptional item, 18.5% compared to Y-on-Y 11% and then the last quarter it was 18.4%. PBT is Rs. 347 crores and basically here if you see the delta of roughly Rs. 54 crores on account of the implementation of the new labor code that as per the guidance we have taken into this particular quarter and that is why PBT is 16% for the quarter, compared to the previous Y-on-Y 11% and last quarter 18.4%. PAT 12.1% and quarter Y-on-Y basis we are 8.2%. Operational EBITDA, we have reached Rs. 338 crores and basically we have doubled received on Y-on-Y basis and we are currently in this quarter 15.6% compared to on Y-on-Y basis 10.1%. Even if I compare with the previous quarter where we showed 15.2% we are more or less at the same level.

If I go to the next slide, little bit more details if I give more reflection on the numbers. If you see the revenues, in the revenues, the other income is Rs. 61 crores that is basically coming from the QIP that is deposits, the interest that we are getting so that is what it has contributed. We have a commodity exchange gain of Rs. 24 crores and personal expenses material cost if you see is around 58% compared to the last quarter 59% and Y-on-Y if I see it is around 55%. And Page 7 of 18 then if you see personal expenses in this quarter 7.7%, other expenses 14%, depreciation and finance 1.2% and 0.1% respectively and that is how we are able to close operational EBITDA before exceptional items Rs. 4 and Rs. 2 crores, 18.5% and the impact of labor code which I was discussing earlier Rs. 54.2 crores is contributing roughly 2.5% for this particular quarter and the profit after tax is Rs. 261 crores that is 12.1%.

So, overall, I will summarize that fairly good quarter in my view as far as this Quarter 3 was concerned. Thank you, Venu. Over to you.

N. Venu: Thank you, Ajay. And if I move to my last slide before we open up for Q&A. I think as we wrap up this quarter, we are happy about the progress we are making towards our two key objectives, which are sustaining our growth momentum, enhancing our efficiency across all our operations,

and also

improving our margins and cash, etc. So, we take great pride in maintaining our leadership in core sectors like utilities, HVDC, industries and infrastructure and we are eager to explore and seize the new opportunities in exciting fields such

as the Data Center and BESS and Energy Storage, etc. It is very important we are working towards shifting center of gravity to include more export, service and digital, but that you are seeing how we are already trending in the right direction and also working on our strategy of expanding at the edge of the grid that is the e-mobility, energy storage, data centers .

Our commitment to strengthening our service business in India is unwavering, so we created the separate global BU Service including in India and we hope that the efforts of this particular team would start fetching the results over a period of time . Services also help us keep continuity which is critical to robust energy ecosystems. Many of our new age customers such as data centers are looking not only supplying of our technology, be it our product system services but also life cycle partner. So, we are dedicated to driving productivity and operational excellence under this, thereby improving our quality and expanding opportunities. We are also focused on capitalizing on our substantial order backlog to drive revenue growth and maximize the potential of capital raised for further expansion plans.

On the safety, you all know it is deeply rooted in our culture and we are wholeheartedly committed to maintaining a robust safety-first environment not only in our factories, but also in our project sites. As we look ahead, we will continue investing in our capabilities for sustainable growth, whether through upskilling our talented workforce or expanding our operational footprint.

Page 8 of 18Together, we are paving the way for a brighter more sustainable energy future . So, all in all, we are super excited about this market growth, market environment and we are super impressed with the way in which we are driving for sustainable energy future.

So, thank you and over to you.

Moderator: Thank you very much. We will now begin the question-and-answer session. We will take the first question from the line of Umesh Raut from Nomura India. Please go ahead.

Umesh Raut: Hi, team and congrats for a very good set of results. My first question is pertaining to execution. So, I just want to understand how much of execution pertaining to Mumbai HVDC project is remaining now and roughly how much of total turnover was contributed by Mumbai HVDC project for the third quarter?

N. Venu: So, thank you, Umesh. As you know , we don't share revenue details on a project specific basis, and when it comes to the Mumbai HVDC, so we have just completed our pre-commissioning test. We and we have just completed the pre-commissioning test. So, in just another two to three weeks, we will commission the project.

Umesh Raut: Understood, sir. So, my question was largely because of our gross margin performance which was slightly lower on a quarter-on-quarter basis. From last quarter, it was down to now about closer to 39.5%. So, apart from say, probably increased contribution from Adani HVDC project, was there any particular other reason for this drop in gross margin on quarter-on-quarter basis?

Ajay Singh: So, actually, this gross margin fluctuation is basically on the product mix that we are operating. We have also earlier talked about that in some quarters depending upon the execution of the products, there could be slight changes left and right. So, that is only the outcome of the product mix that you are operating.

Umesh Raut: Understood. And second question is pertaining to recent inflationary pressure from commodity prices. So, how you are managing these pressures? What percentage of our current existing backlog is on the account of price pass on to the customer?

N. Venu: We talked about also this, Umesh previously. Most of our backlog has price esca

lation formulas built in. So, we have been also telling you from the

Page 9 of 18beginning that it will not impact great to the large extent because more than I think 70% of our portfolio is having a price escalation. There will be small amount of portfolio where they need immediately within one or two months turnaround for their revenue. So, those things may not be there, but otherwise our portfolio is largely protected from price escalation.

Umesh Raut: Understood, sir. My last question is on the outlook for domestic market. How do you see in terms of FY '27 demand especially coming in for transformers especially in the domestic market? In terms of capacity which is kind of also coming into the market whether we will have same kind of pricing power in upcoming tenders? So, any insight about these things?

N. Venu: Yes, I think we can give a market trend. The market in my view is very strong. It

is still stronger and both in terms of transmission and also in terms of electrification is going in a big way. Electrification of data center will come in huge amount in the same. So, the need for more power equipment, whether it is transformer, switchgear, etc., is definitely going to be there in that. So, we have been looking at the capacities coming in. Various companies have announced the capacity expansion. Considering the existing capacities plus capacities to come, we believe that still there is a gap to close on. So, this is the way the energy transition story in our view, purely in my view is a multi-year growth story. Thank you.

Umesh Raut: Thank you so much. All the very best.

N. Venu: Thank you.

Moderator: Thank you. We will take our next question from the line of Harshit Patel from Equirus Securities. Please go ahead.

Harshit Patel: Thank you very much for the opportunity, sir. My first question is on our HVDC localization. I know you have highlighted in the past about we are making HVDC transformers, converter valves and doing the entire engineering of those projects in India. I want to understand whether we are increasing our HVDC localization further or we have already reached a stage wherein further value addition is not possible at the moment in India?

N. Venu: We won't say that further value addition has not come. We are continuously taking a lot of actions to further increase our value addition. So, we have been doing that. We are also executing the HVDC project in a Marinus link, for Page 10 of 18example, in Australia. So, all these things will help us to further localize the supply chains here.

Moderator: Yes, please go ahead.

Harshit Patel: Thank you. Sir, could you please provide an update on the budgeted CAPEX for FY '26 and how much of that we have already incurred as well as if you can highlight your CAPEX plan for FY '27 and FY '28 that will be very helpful?

N. Venu: We have very clearly given in our QIP document how we wanted to utilize CAPEX. In this first year, we said we will do Rs. 700 plus crores and the next year will be an additional Rs. 700 plus crores. So, that what is the thing in that. So, there could be a movement of few hundred crores this way, that way, but otherwise we are on track very much.

Harshit Patel: Understood, sir. Thank you very much for answering my question. I will come back in the queue.

Moderator: Thank you. We will take our next question from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal: Hi, Venu. Congratulations on a great quarter. So, my first question is on the CAPEX. If I see the utilization of the proceeds, we have only used Rs. 155 crores till now versus Rs. 700 crores which was envisage for FY '26. So, why is there a big disconnect between what the CAPEX incurred and what we have outlined in the document?

Ajay Singh: So, just now, I think we answered the same question. So, we have a slow start for sure, but we have a pipeline in place where in the coming quarters, it will pick up. So, because of the product cycle, our product

demands, we cannot do

a bulk CAPEX at one go, so we have to go in a sequential approach. So, we have a plan around that and we are hopeful that we will pick up. So, it might happen that right now, your utilization is the lower side, maybe the next quarter, the coming quarter there is a huge spike also. So, that is how the cycle will operate. But we are very much on to that and we are very closely monitoring the usage of that CAPEX.

Parikshit Kandpal: Sir, another question is on the order backlog. We have almost 30,000 shares of the order backlog and if I estimate or remove the HVDC parts, our base order will be somewhere around Rs. 10,000-Rs. 11,000 crores and now the Adani HVDC order is over. So, in the coming quarters before the HVDC starts getting Page 11 of 18executed from FY '27, so there could be a slowdown in execution in the coming quarters at least for two-three quarters now?

N. Venu: No. I think we told also it is not that HVDC will slow down because HVDC, for example, we are already working on the existing two projects, manufacturing is going on and also various other simulations are going on. So, those are the projects we recognize the revenue based on the POC. So, revenues all will keep coming in that. We don't see any slowdown in our revenue growth.

Parikshit Kandpal: One question on the other expenses. So, we have been seeing reduction in other expenses despite increase in the turnover. So, just wanted to understand is there any impact as we reduce any royalties. So, how is that other expenses

have been going down for the next two-three quarters?

Ajay Singh: So, we have been discussing earlier also that our other expenses normally hovers in the range of let us say 15%-19%, . So, depending upon the revenue growth and also the operational efficiency that we have been focusing, so there we are able to get the leverage out of that and this operational efficiency we are talking about some of the expenses, also on the group expenses, there we are working and that is how the outcome is there. So, it will be in that corridor. If you ask me ballpark number, it will be in that corridor only.

Parkshit Kandpal: But has this ABB sharing of IT expenses is now totally, are we migrated to our own IT system because earlier we were paying them some royalty for that so is it because of that we are seeing some reduction?

Ajay Singh: That we have closed this chapter a year before. So, right now, we are totally operating on a standalone basis. We are not relying on the ABB so very much it is our Hitachi Energy Operating System and we are working on SAP4 HANA.

So, we are on our own.

Parikshit Kandpal: Thank you.

Moderator: Thank you. The next question is from the line of Sumit Kishore from Axis Capital. Please go ahead.

Sumit Kishore: Good evening, and my compliments on a very strong set of numbers. My first question is a couple of large HVDC LCC projects are there in the pipeline, which could mature over the next 12-18 months. Could you speak about them and capacity wise how are you geared to address the opportunity and if you could Page 12 of 18 spell out what opportunity these two projects present roughly in terms of size as well? That is my first question?

N. Venu: Thank you, Sumit for your question. I think as you know there are quite a lot of HVDC pipeline, but one of them has definitely come for bidding for our customers that is TBCB customers in the Barmer project which is a 6000 megawatt LCC project. As you said, in fact, in the last concall also, I have been saying consistently that we have been creating the capacities in anticipation of all that. So, we do not have any limitation on taking any particular order, but every order we look into based on the risk reward profile and also our exposure etc., any particular customer. Those like any other organization look into that. So, we do those kind of things, but on the capacity standpoint, we do have a capacity. We will be bidding these projects.

Sumit Kishore: Just to follow

up on this. Is it fair to say that the size of the HVDC opportunity addressable by you would be roughly 50% of the project cost?

N. Venu: We don't know, Sumit to tell you differently depending upon how the line size and other things it will be different in that, but it is definitely sizeable.

Sumit Kishore: If you could speak about the share of exports and services in your nine-month inflows and backlog and the outlook for the next one -two years for exports and services?

N. Venu: We said exports will be in the range of around 25% is what we set our target, but now we have reached almost close to in any way bidding 29%-30% range. And we also said our main thing would be to address the domestic market and that is the reason we are expanding, we are creating the new facilities because we have a clear visibility of the domestic market where it is going to go. So, at the same time, our exports are also growing, but exports are not at the cost of the domestic market.

N. Venu: Thank you.

Moderator: Thank you. We will take our next question from the line of Bhalchandra Vasant Shinde from Motilal Oswal. Please go ahead.

Bhalchandra V. Shinde: Hi, sir. If you can provide some insights on recent budget also, there has been potentially given for seven high speed rail and on the export opportunity also, again one point to address is currency has depreciated, so we will be more Page 13 of 18 competitive advantage wise, also on the better manufacturing cost. So, don't you think that relatively export opportunity should increase for us further?

N. Venu: Thank you, Bala, for this question. I think on the budget, I think in addition to what you talked about, there are many other positive things out there, but if I only stick to the seven corridors of high speed rail, it is definitely a big opportunity for Hitachi Energy, and I'm not sure what kind of funding, etc. If it happens to be a Japanese funding then we are going to be in a much more sweet spot on that, but leave alone the funding. I think this is the opportunity, in fact, again considering this opportunity. We already started expanding our traction transformer facility. So, we are expanding our traction transformer(facility) and lot of other equipment which go into that are also

being expanded. Yesterday, we did our ground breaking ceremony for high voltage product facility in Savli in Gujarat. So, this also lot of this equipment will go, not only into the transmission but also into this high speed rails, etc., . So, you are absolutely right, export right now because of the currency we can definitely take advantage of it, but we are building a solid and sustainable strategy. So, we don't want to create a strategy around a temporary phenomenon. If it remains like that, probably we will definitely do that but on a short-term basis, yes, we are reaching out to some of our global companies wherever they need, so they can procure from us it will be competitiveness for us. Those things we do it, but as I said we are looking at our company at a longer term, longer strategy and basis which we are working on things. And as you have seen our margins evolution over the last five years in only one direction improvement.

Bhalchandra V. Shinde: One last point on the exports. Can I continue?

N. Venu: Yes, go ahead.

Bhalchandra V. Shinde: Yes, one last point on exports. Sir, as per our global analyst meet and takeaways, there also our capacities are tied up till FY '30, FY '32 and we are adding capacities in India and other regions also. How is the scenario according to you on the global scale for us in that perspective that on the demand supply gap?

N. Venu: On the global scale, globally also it is a same situation. But globally, if they are adding the capacities, in fact based on the frame agreements etc., in that. So, it is quite tight and quite challenging in those things. And whatever the capacities we have added, in fact the need is to further addition is what we feel. So, those things are

getting evolved as you see the demand. See, there are lot of things

Page 14 of 18are evolving. We very much understand that is not a traditional power systems.

Traditional power system, we know the load growth, etc., . That AI data centers, the demand is so huge and the need at yesterday's basis. That is the urgency of building up those kind of infrastructure. And that needs not only the equipment, but AI-ready data centers and variation in the load from 100 MW to 250 MW in seconds, not even minutes, seconds. So, you have to have the power systems flexible enough to manage that kind of load center, right. So, it is not only the equipment, your whole system needs to be geared up, and that is what is happening in North America, that is what we see in Europe, etc. And we are very confident personally, that we see that mirroring in India as well.

Bhalchandra V. Shinde: Got it. Thank you very much.

N. Venu: Thank you.

Moderator: Thank you. The next question is from the line of Amit Anwani from PL Capital.

Please go ahead.

Amit Anwani: Hi. So, thank you for the opportunity. Again on data center, you did highlight it about the strong prospects. So, I just wanted to understand in terms of addressable market you have in that space. And since, as you highlighted, North America, is our export having data center orders already? What is the proportion? Has that increased? So, is export also will be driven by data center orders globally? Just a color on that?

N. Venu: Yes. I think, as I said, our exports, we are creating, again, capacities, etc., for domestic market, but we are flexible enough to address those exports in the data centers and also in industries, etc., in the nearby, our region, Southeast Asia, and other aspects of that. So, to answer your question, yes, data centers is also one of the things we are looking at. We have already received part of the orders from the data centers as exports. And we are also bidding for some other exports for data centers.

Amit Anwani: So, what is the addressable market there?

N. Venu: No, I think we will not be bidding everything together from here. So, we will be complementing with our global organization, wherever they are bidding it. So, of course, if there is a requirement for a couple of hundred transformers. They will also source a couple of transformers from our side . So, we are not able to estimate exactly what is the addressable market in those areas.

Page 15 of 18Amit Anwani: And sir, what is the contribution from data center currently?

N. Venu: No. Contribution from the data center and overall our order is still a single digit, high single digit.

Amit Anwani: And this we are expecting to grow much faster, probably?

N. Venu: Yes.

Amit Anwani: Thank you, sir. Thank you so much.

N. Venu: Thank you.

Moderator: Thank you. We will take our next question from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal: Sir, just one question on this news, if you can help us understand regarding the Chinese thing which has been going on in the transformer side, say your views on that?

N. Venu: Thank you, Parikshit. I think we have also read the news and we have not seen any government clarification or official message on that. But what we heard during our interactions that they don't allow any imports from neighboring countries, border countries. So, if they may, in case if they have any manufacturing facility here, they may allow. But for us, it is not about which competition is that. As long as the level playing field is there, we do not have any issue with that. So, we don't see that as a major threat. So due to that we are not holding any of our expansion projects or things like that. We are very confident that as long as the level playing field is there, so we can beat the competition.

Parikshit Kandpal: And second question is around the HVDC order. So, I understand that you have a level of localization in India and then there will be imports from the parent

entity. So, when you calculate royalty, so how does it work? So, does the imports are excluded from that or the entire revenue is, the royalties will be applicable on the entire revenue? So, how does it work on the accounting side?

Ajay Singh: So, basically, royalty generally is calculated based on the overall revenue. But if there is any inter-company thing, that generally gets excluded.

Parikshit Kandpal: So, in these two HVDCs?

Page 16 of 18N. Venu: Royalty is paid as a technology, not as a localization of import. Royalty is because we are getting the technology and the technology we are allowed to localize. For that you need to pay the royalty. And once you localize it, it is not that it will be there for every time they get an update, there will be some addition to that technology. So, those things continue to do that. So, royalty is absolutely required, for example, because we are paying the royalty, that is why our SF6-free technology which is available in the world, so we are able to bring it here and sell it to our customers in India, to PGCL and everything in that. So, that is a big advantage.

Parikshit Kandpal: Sir, just wanted to clarify whether this entire HVDC order, Royalty will be paid on that or import content will be excluded. Just a clarification I need?

N. Venu: We will not give you exactly like that, Parikshit. But there will be some calculation, methodology, etc., what is excluded, what is not excluded in that. But it will be at least some percentage on a ballpark, on overall thing ..

Parikshit Kandpal: Sure, sir. Thank you.

Moderator: Thank you. We will take our next question from the line of Mohan Krishnaswami, an Individual Investor. Please go ahead.

Mohan Krishnaswami: Yes. Thank you for taking my question. Sir, on the data center, we have been reading reports stating that there will be an element of HVDC content in those orders because the power requirement and the speed of transmission is very different and very high. So, do you think that is correct? And do we have the capability to do that in Hitachi Energy India?

N. Venu: Well, I think, as I said, the data centers are evolving. What kind of data center being built in the US is completely different from the data center being built here. So, that is what I said, that 90% of the AI-ready data centers are located in those two countries. And I am sure those data centers once start coming up here, so we will also look at it. Yes, absolutely, today the data centers are having a big challenge in managing, getting not only the reliable, affordable and clean power, but also ensuring that managing the flexibility of that. So, there are the data centers we are looking at connecting directly to HVDC through any other renewable source. So, from a competency standpoint, we do have those things in Hitachi Energy in India to do those kinds of things as and when it is required and wherever it is required.

Page 17 of 18Mohan Krishnaswami: Sure. And secondly, sir, the recent EU deal, whenever it gets finally signed, being a European company as well, do you think that can have some impact on our export strategy in the years ahead?

N. Venu: Yes. So, that is what I said. Definitely, we will look at using our factories in India to the benefit of our own companies in Europe because of this tariff expense. So, that there will be some tweaking we will do, or at least we really look into it, how this will pan out and what are the products we supply from here to Europe. Those are the things.

Mohan Krishnaswami: Thanks a lot, sir. Thank you.

Moderator: Thank you. We will take our next question from the line of Shirom Kapur from Jefferies. Please go ahead.

Shirom Kapur: Hi, thanks for the opportunity. I just want to understand a bit more on the export strategy. Is there any thoughts on the parent allocating greater markets to the Indian entity, given you the global shortages? Is there scope for the Indian entity to serve more export requirements of the parent?

N. Venu:

Thank you, Shirom. I think our export strategy is very robust, and we have been building over a period of time. And we have a three-pronged strategy. The first one is that we do have certain global feeder factories, and those products we only manufacture here and we sell all over the world. And then we have some allocated markets and these allocated markets being reviewed to add a little bit more wherever it makes sense for us. And then we develop these allocated markets just like any other market together with the local sales organization of that particular country. And then we start amalgamating our factories and start selling those things. So, this is accelerating as we speak and we are getting more and more markets to do that. And the third one is we do have a feeder factories where we manufacture the components for the bigger product. And this component we sell it to our own factories around the world. And the combination of these three, what we are saying, it will be 25%-30% of our revenues going forward. Excluding, of course, you need to take out the big HVDC project, then it will be 25%-30%.

Shirom Kapur: Understood, sir. Thank you so much. All the best.

Moderator: Thank you. We will take our next question from the line of Subhadip Mitra from Nuvama. Please go ahead.

Page 18 of 18Subhadip Mitra: Good evening, and thank you for the opportunity. Just wanted to get a clarification on one point. I am trying to connect two things. First, you have mentioned in the past that starting 4Q of FY '26, you are firmly going to be entering double-digit margins. I think we have already done that two quarters early. Margins are already quite strong. At the same time, we are seeing the Adani HVDC project, which has gotten delayed for some time, now entering into the commissioning stage. Is there a chance that we could see some delay related penalty or LD related hits that could come in 4Q? Or are you confident of maintaining these levels of margins and only improving from there on?

N. Venu: We don't have any delay in the HVDC on account of us or LD or anything like that. So, that is very clear, and we don't see that as a challenge. As I said, we have been building on a long-term basis and you have seen in the last, not three quarters, but several quarters, what we are saying and what we are doing it. And very consistently, we are making the margins up.

Subhadip Mitra: Perfect, sir. Thank you so much. That clarifies my question.

Moderator: Thank you.

N. Venu: Operator, if you don't have any questions, we almost came to the last minute.

Moderator: Over to you, sir, for the closing comments.

N. Venu: Once again, thank you very much for your participation and your engagement. If you need any further information, please do reach out to us. We are happy to engage with you and provide any additional information, etc... We are in such an era of sustainable energy future. We are super excited about the opportunities arising, not only out of our traditional segment, but also the new segments. And I am sure, like us, you are also super excited about what we are doing. Thank you for joining and looking forward to seeing you or meeting you or talking to you. Thank you very much. Have a great day.

Moderator: Thank you, sir. Thank you. On behalf of Hitachi Energy India Limited, I would like to conclude this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jun 2026

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June 01, 2026

The Secretary,
Listing Department,
BSE Limited,
1st Floor, Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Scrip Code: 543187 The Manager,
Listing Department,
National Stock Exchange of India Limited,
'Exchange Plaza', 5th Floor, Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra (East),
Mumbai - 400 051
Scrip Symbol: POWERINDIA

Subject: Transcript of the conference call with Analysts/ Investors held on May 26, 2026
Dear Sir / Madam,

Pursuant to Regulation 30 and 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of the conference call that was organized with the Analysts/Investors on Tuesday, May 26, 2026 and the same can be accessed at:
<https://www.hitachienergy.com/in/en/investor-relations/analyst-section>

Kindly take the same on your records.

Thank you,

Yours faithfully,

For Hitachi Energy India Limited

Poovanna Ammatanda
General Counsel and Company Secretary

Encl.: as above

HITACHI

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Hitachi Energy India Limited Q4 FY26
Analyst Conference Call - May 26, 2026

MANAGEMENT:

Mr. N Venu – Managing Director & CEO, Hitachi Energy India Limited
Mr. Ajay Singh – Chief Financial Officer, Hitachi Energy India Limited
Mr. Poovanna Ammatanda - General Counsel & Company Secretary, Hitachi Energy India Limited
Ms. Priyanka Bhagat – Investor Relations, Hitachi Energy India Limited

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Hitachi Energy India Limited
May 26, 2026

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Moderator: Ladies and gentlemen, good day, and welcome to Hitachi Energy India Limited Q4 FY26 Analyst Conference Call.

As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*', then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Priyanka Bhagat, IR team, Hitachi Energy India Limited. Thank you, and over to you.

Priyanka Bhagat: Good afternoon, everyone. A warm welcome to all participants attending today's call. We are delighted to have you with us for the Q4FY26 Earnings Conference Call of Hitachi Energy India Limited. Before we proceed, I would like to remind everyone that certain statements made during this discussion may be forward-looking in nature. Actual results could differ materially due to various external factors.

With that, I now invite Managing Director and CEO of Hitachi Energy India Limited, Mr. Venu, to take us through his insights on the results. Over to you, sir.

N Venu: Thank you, Priyanka. Good morning, ladies and gentlemen. First, it's a pleasure to be here. And let me also once again introduce my colleague who recently joined Priyanka in Investor Relations. So, please get in touch with her at any time if you need any more information or anything else on our Company. We are happy to do that, to support you.

So once again, good afternoon, and thank you for joining us for the analyst conference call. I hope you're all doing well, taking care of yourselves. And as you have seen from our press release, we have announced our quarter four and full year FY26 results yesterday. And over the next 20 - 25 minutes I will walk you through our performance for the period ended March 31, 2026. As always, you may follow the presentation through the webcast or download it. We have just uploaded the same with the stock exchanges and our website. I'll continue to refer to the slide number

s for ease of reference, if you are on the move, you can understand that.

Today, in addition to Priyanka, I also joined in the room by our CFO, Ajay Singh, and our General Counsel and Company Secretary, Poovanna Ammatanda. At the start of FY26, our priority was clear, sustaining the strong growth momentum from FY25 while driving higher operational efficiency despite volatile geopolitical environment.

We remain disciplined in execution and focused on managing supply chain and cost pressures effectively. I am pleased to report that we have delivered another quarter and another year of strong performance, closing FY26, well ahead of our previous year in all the KPIs.

Our growth has been supported by consistent execution, a resilient business model and a strong go-to-market and sustained demand across segments. A key highlight is our record order backlog of Rs 29,555 crores as of March 31, 2026, which provides a strong revenue visibility for several
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quarters going forward. This reflects continued customer confidence and our ability to win and execute large and complex projects.

The successful commissioning of India's first city infeed project in Mumbai further demonstrates our execution capabilities and reinforces our position as a trusted partner in critical grid infrastructure. Together with all our Board members, we just visited the Mumbai City infeed project site this morning. I'm just coming straight from that. This is one of the advanced engineering models to deliver results. And I see that the project is pumping the power. While India remains exposed to global energy price volatility, this also strengthens the structural investment case for transmission and grid infrastructure. Our performance in the last quarter reflects this dynamic. We have navigated a temporary industry slowdown while continuing to invest in long-term growth opportunities and margin resilience.

Looking ahead, the demand outlook remains robust supported by energy transition, grid expansion and increasing electrification. At the same time, geopolitical development continues to highlight the urgency around energy security, energy transition and domestic capability building.

Hitachi Energy in our view is well-positioned to capture these opportunities, given our strong order backlog, technology leadership and proven execution track record and our customer intimacy.

So, starting with our presentation, I move to the Slide number 3. As you all know, safety remains an integral part to our operations, and we call it a license to operate. And we are committed to embedding best-in-class safety practices across our factories, and project sites and offices. We are proud to report zero fatalities during the financial year just concluded, reflecting the effectiveness of our proactive safety culture and risk management measures.

Further, reinforcing this commitment, we conducted several life-saving rules more than 1,700 life-saving rule inspections, ensuring continued vigilance and adherence to safety protocols. At Hitachi Energy, our employees, our subcontractors, well-being is deeply ingrained in our culture, annual health checkups, ongoing safety awareness sessions form core part of our approach, underscoring our belief that safety and health are non-negotiable priorities.

Our consistent efforts have been recognized and appreciated by leading third-party agencies and customers reaffirming our position as a trusted and responsible organization. As you can see from the slide, during the quarter, we have won several awards from our customers and partners for enhancing the safety culture at their project sites.

If I move to the Slide number 4. Sustainability remains central to our strategy with a strong focus on de-carbonizing our operations. We are proud to have achieved 100% renewable energy in our operations through rooftop solar and various other means li

ke engaging in the long-term power purchase agreement with the solar developers.

During the year, we surpassed our water reduction targets, achieving an 11% reduction from the baseline of 2019 through recycling initiatives and the deployment of efficient fixtures. Notably, Hitachi Energy India Limited

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our Halol facility in Gujarat earned a Water Positive Index certificate, underscoring our commitment to responsible water stewardship.

In addition, both our Halol and Mysore facilities have been certified platinum for zero waste to landfill, reflecting our continued progress in circular resource management and waste minimization. Beyond environmental stewardship, we have made a meaningful stride in governance and social impact.

We increased gender diversity substantially reinforcing our commitment to building an inclusive workplace. At the same time, we continue to uphold an uncompromising commitment to integrity with zero incidents recorded during the year.

Our efforts continue to be recognized externally. We are pleased to report in FY26, our ESG rating from Crisil improved to 61, which is called a strong while NSE rating increased to 62, which is adequate, reflecting sustained progress across key ESG dimensions.

I am moving to Slide number 5. And some of this information, you already know that. But let me put our performance in the context of broader dynamics. The current geopolitical situation in the Middle East has triggered pressure on the supply chains. However, we have put several mitigation measures to address the temporary challenges which not only we are facing it, but the whole industry is facing.

Along with that, we are witnessing a clear structural transformation in the energy landscape in India, driven by energy security, policy support, localization and accelerating electrification across multiple sectors.

India's electricity demand is poised for a strong sustained growth over the coming decade, supported by industrial expansion, renewable integration, EV adoption and the rapid scale of the new age load centers such as data centers.

At the same time, the grid is becoming more complex with a higher load density, increasing reliability requirements and new demand for drivers such as AI-led workloads and this is leading

to significant investments across the transmission, distribution and grid infrastructure. Across segments, the opportunity is compelling.

Strong momentum in renewable, transmission investments to integrate non-fossil capacity, a visible industrial capex cycle, rising data center investments and early stage, but accelerating EV penetration. In parallel, improving DISCOM health is enabling higher spending in distribution.

Overall, these trends reinforce our confidence in a multi-year growth opportunity, and we believe we are well positioned to capture this throughout our strong market presence, execution capabilities and continued focus on technology and capacity expansion

I now move to Slide number 6. Our operating momentum remained strong and firmly on track throughout the quarter ended March 31, 2026. During the quarter, we recorded orders of

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Rs. 2,422.5 Crores and revenue of Rs. 2,754.1 Crores and which has growth on a year-on-year basis, orders of 10.6% and revenue of 46.2% growth on a year-on-year basis.

Similarly, when it comes to the profit before tax, it is around Rs. 443.4 Crores and profit after tax is Rs. 330.5 Crores, reflecting a solid operational performance.

For the full year period, we reported a strong order as a second year in row at the high base. We have a growth of 1.6% in FY26 to Rs. 18,456.5 Crores. And the revenue on a complete year Rs. 8,147.7 Crores, a growth of 27.6% and PBT Rs. 1,375.2 Crores, a growth of 166.3% and PAT is Rs. 987.8 Crores, a growth of 157.3% and EBITDA margin on an annu

alized basis is

15.4%. And look at our strong operating cash this year of Rs. 1,746.3 Crores and strong order backlog of Rs. 29,555.3 Crores, an increase of 53.6% YoY.

Going to the next slide, no. 7, during this year, we have commissioned a very important project. I just talked about Mumbai City infeed project of 1,000 megawatt on a VSC-based technology. This project includes entire design, engineering supply, erection and commissioning of HVDC converter station at Aarey and Kudus and supporting 1,000 megawatts of power into the Mumbai grids.

Similarly, we have also commissioned several other projects this year, for example, the renewable substation at Barmer, Transformer supply to leading utilities, AIA substation in Rajasthan and several other things. These projects underscore our strong execution capabilities across diverse segments and geographies.

Our comprehensive scope of work spans the entire value chain including design, engineering, manufacturing, supply, erection, testing and end-to-end commissioning, enabling us to deliver integrated high-quality solutions to our customers.

I move to the next slide, that is Slide number 8 and at Hitachi Energy, we are committed to leading purpose and creating a positive impact on industry and society.

We firmly believe in translating our strategies into meaningful action. In line with this commitment, we actively participated in India Energy Week in 2026, engaging with key stakeholders and fostering global partnerships that are shaping the next era of energy transition and progress.

Artificial intelligence has become the new normal across industries and energy sector is at the forefront of this transformation. It is imperative for us to adapt to this evolving landscape.

Engagements at such industry forums and summits bring not only fresh perspective to our businesses, but also it helps leading actively in the dialogues.

As part of the India's AI Impact Summit, we hosted a pre-event to explore the changing role of energy in the age of AI and industry leaders across Ministry of Power and Ministry and IT has joined us at that platform.

We showcased our portfolio of products and solutions at the Bharat Electricity Summit, one of the largest transmission energy events in the country. Our booth at the event was honored by the Hitachi Energy India Limited

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honorable Ministers of Power, Minister of the Renewable and critical members of the power industries to listen to us and to see our state-of-the-art technology products, which were on display.

Moving to Slide number 9 to give you a little more additional context on our order intake for the full year FY26.

Order intake for FY26 has demonstrated growth across the sectors, industry, data centers, railways and renewables. So, you're seeing the small dip in the transmission is basically due to the mismatch in the value of the large orders booked in FY26 compared to FY25.

On the right-hand side, the order mix is illustrated, the chart highlights that the product segment

has taken the lead, while utilities and direct end customers emerge as a clear winner across their respective sectors and channels.

I move to the next slide, which is very important and strategic slide for us.

And let me also take the moment to highlight the importance of this development. During our Q4FY26 Board Meeting, the Board approved an additional investment of Rs. 2,000 Crores. This includes among other initiatives, the establishment of greenfield large power transformer facility in Karjan, Vadodara in Gujarat.

This is an accelerated execution program, and we would like to complete this state-of-the-art Greenfield transformer factory to produce our large power transformers and HVDC converter transformer by last quarter of 2028 calendar year. This investment is over and above the capital expenditure program we had previously announced in October 2024.

With this, our total cumulative

capex stands close to Rs. 4,000 Crores. We believe that this investment will significantly strengthen our manufacturing capabilities in India and position us well to capture the strong demand outlook in the sector, not only from the renewable sector, but also new sectors such as data centers.

With that background, I'll now hand over to our CFO, Ajay Singh, who will walk you through our financial performance in the next two slides. Over to you, Ajay.

Ajay Singh: Thank you, Venu and very good afternoon, everyone. Hope you are doing well. So let me run through the financial performance for this quarter as well as the year-end. So, Venu has already touched upon a few parameters, but I will go a little deep into that. So, orders, if you see, we have clicked Rs. 2,422.5 Crores, which is 10.6% growth Y-on-Y.

Revenues from operations were very good in this quarter. We had Rs. 2,754.1 Crores, which was 46.2% YoY growth and profit before exceptional item is Rs. 443.4 Crores, leading to the PBT margin of 16.1% compared to 13.1% in last year's same quarter. PAT grew by roughly 80%, Rs. 330.5 Crores. And then the margin, we closed at 12%.

Operational EBITDA for this quarter was Rs. 452.3 Crores, which is 16.4%. So overall, I will say, in my view, this quarter was good for us. And again, if you compare from the sequential

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quarter also, if you see the revenues grew by 32.3% and PBT also grew by 10.3% PBT after exceptional items grew by 27.5%.

PAT grew by 26.4% and operational EBITDA grew by 33.7%. So, the margin in this quarter was majorly contributed to the very good revenues and through the operating discipline. As I see year-on-year, we had order bookings of Rs. 18,456 Crores, which is 1.6% higher compared to last year. Revenues, we crossed Rs. 8,000 Crores, roughly 27.6% growth compared to the previous year.

PBT (before exceptional items) margin of 16.9% has doubled as compared to 8.1% in the last year. And PAT grew, basically more than 150% PAT to Rs. 987.8 Crores leading the margin of 12.1% vis-a-vis 6% in the last year. Operational EBITDA is at Rs. 1,252.5 Crores, a margin of 15.4% compared to 9.3% in the last year.

If I dwell a little bit more in detail, if you come to the next slide, where I'll talk more in detail.

If you see on the cost structure, the personnel expenses as a % of revenue for this quarter was 6.3%. Other expenses (as a % of revenue), we were able to pull down to 14.3%.

In Q4FY26, we had an exchange loss of Rs. 31.5 Crores. This is an unrealized loss, a notional loss for us. Depreciation, 1%, finance cost negligible. And with this, we close this quarter with 16.1% PBT margin and profit after tax margin was 12.1%.

Similarly, if I see for the overall year-end also, we clicked a revenue of Rs. 8,147.7 Crores and we were able to improve on the gross margins compared to last year by a minimum 2%.

Personnel expenses as a % of revenue, we closed by 7.9%.

Other expenses, again, last year, were 20%. This year, we closed at 16.9%. And all other expenses are under control. And that is how we were able to close this particular year with profit before tax of 16.2% compared to the last year, 8.1%, while profit after tax margin reached 12.1% compared to 6%. So overall, there was a very good development in terms of profitability vis-a-vis when I compare it with last year.

With this, I hand over to Venu.

N Venu: Thank you, Ajay and I come to the last slide. As you all know, this is a famous slide for us. And as we close the financial year, we are pleased with the progress we have made, especially against the backdrop of an evolving geopolitical environment. And our focus continues to be on 2 clear priorities, sustaining our growth momentum and improving efficiency across all areas of our operations.

We remain proud of our leadership in core segments such as utilities, HVDC, industries, data centers, etc.,

while actively expanding into high-growth areas, energy storage where we see strong and sustainable demand trends.

At the same time, we are sharpening our strategy to capture opportunities across services, exports and digital innovation, strengthening the service business in India remains a key pillar for us. As
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it plays a critical role in ensuring continuity and resilience of energy systems. We are also driving productivity and operational excellence with a strong emphasis on quality and scalability.

In parallel, we are focused on executing our strong order backlog efficiently to support revenue growth and optimize capital deployment. And we kick started AI acceleration with AI Nexus program, harnessing data analytics and AI to drive smarter decisions, faster and better outcome. From the function standpoint, safety continues to be our non-negotiable and our license to operate, this is deeply embedded in our culture, and we remain committed to maintaining a robust safety-first environment across all our locations.

Looking ahead, we will continue to invest in our capabilities through people, technology and capacity expansion to support sustainable growth. We are confident of creating long-term value while contributing to a more resilient and sustainable energy future.

Ladies and gentlemen, with that, now we open the floor for questions. Thank you very much.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question-and-answer session. We'll take first question from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal: Hi, Venu. Congratulations on a great quarter, sir. So, my first question is about exports. So, we have seen a very robust order inflow from exports, if I do the numbers for some adjustments for HVDC, about Rs. 3,000 Crores plus for this year. So just wanted to understand, I mean, without any related party major orders this year?

So how are we able to get these orders? How do you generate inquiries there? Do we compete with the parent entities in these geographies. So how does the allocation come? How do you get the inquiries because it's widespread across U.S., Europe and APAC? So just wanted some more color on this.

N Venu: Yes. Thank you, Parikshit. First, thank you for your question, and it's very interesting, and we have been consistently saying that our export strategy is a 3-prong strategy. So, the number one is we have certain allocated markets. And in the allocated markets, on a long-term basis, together with the local sales and marketing organizations, we start selling the products.

N o 2 Hitachi Energy companies will compete in any market. We develop the market on a long-term basis. That's the first strategy. And the second one is, we do manufacture certain products only in India in the whole Hitachi Energy ecosystem. That's what we call a global feeder factory. Let's give an example of the 66 kV high circuit breakers, and then our COMBIFLEX relays.

Those relays -- those components, products we manufacture here, we sell them across the world, some directly to customers, some through our Hitachi Energy offices. So that will become a related party.

Thirdly, we manufacture a component which is part of the full product, what we call the feeder factories. This feeder factory manufactures components which are sold to other Hitachi Energy
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factories around the world. It could be U.S., it could be Germany, it could be Sweden and Switzerland, etc. So, a combination of these 3 things will add to our exports.

Parikshit Kandpal: Okay. Sir, my second question is about the HVDC mix. I mean we have seen some softness in the margins, for the year. I mean we are somewhere around 14%, 15% EBITDA, but our peers are now in the range of 25% plus. So, our GTM is also low, and other expenses are high

h because
of royalty.

Just wanted to understand what HVDC a significant portion of this year's revenue was, so if you can quantify across all the 3 HVDCs and then you have Maribus, you have Adani, you have the Power Grid and the Mumbai entry. So, was a significant part of your order book? And given that now two-third of our order book is HVDC. So, is there any scope for further margins to improve from here on?

N Venu: As I said, HVDC is margin-accretive, and it was not very substantial in this quarter or in this year. If you take the whole of this year, our HVDC revenues out of Rs. 8,000 Crores is around Rs. 1,100 Crores or something like that, Ajay?

Ajay Singh: Yes, roughly. You can say 15%.

N Venu: Our focus has been our base business, service business, export business and in addition to other things. HVDC is one of our levers, and that's what we are doing it.

Parikshit Kandpal: Okay. Just the last question, sir, on the order breakup for this quarter, I mean exports have been very high. So just wanted to check the services, which has also been very high in this quarter, is

the service order from India, HVDC upgrade or it was a global order? And is it part of the export order book?

N Venu: No. The service upgrade is from India. It is for our customers in MSETCL, upgrade of control and protection.

Parikshit Kandpal: The base orders look very weak for this year. I mean, if I remove services and the export, the base ordering looks to be very weak for FY26. In fact, there could be maybe a decline Y-o-Y.

So, what is your commentary on the base ordering?

N Venu: Yes, we have seen our base orders also had strong growth for the whole of financial year.

Parikshit Kandpal: Okay. Sure. Thank you.

Moderator: Thank you. Next question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: Good afternoon and thanks for the opportunity and congratulations on an excellent quarter and a very, very good year. My first question is on the domestic order inflow ex HVDC. Let's say, domestic order inflow plus exports, ex HVDC, it seems that we were at 90 billion last year. How do you see this developing for FY27? How is the inquiry pipeline ex HVDC in domestic market, especially?

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N Venu: Yes, thank you very much. As you know we don't give any forward-looking numbers going forward. But let me give a little bit of color to that, so that you understand that. HVDC is only one of our growth levers, not the only one, but you leave HVDC out. What we see our pipeline is very strong in the renewable. Our pipeline is very strong in the data center. It's good. And that pipeline is also equally strong on our transmission and other projects. And of course, industries are, it's kind of intermittency is there, but it's coming up.

Overall, if you talk about the entire pipeline, leave HVDC, I think, our pipeline for the transformers from our various segments is also very, very strong. So, if you add all those things, I think pipeline compared to the year ago compared to the quarter ago, is very good.

Mohit Kumar: Understood. My second question is the new transformer capacity, which you announced. Does it mean that it will produce HVDC transformers internally?

N Venu: No. What do you mean by internally?

Mohit Kumar: In a sense, in the other package or the 2 HVDC packages, we tied up with BHEL for supplying the transformers. Does it mean that as this capacity is up, we will take the entire project?

N Venu: Whatever the projects we have won that will stay there. There's no change in those existing orders. So, considering the new capacities coming up, considering good demand, we are setting up this facility. And we have seen complete 360 view before putting up this capacity, and we believe that we have a very strong business case for this. And in this new facility, we not only manufacture large power transformers, but

we will also manufacture the various converted transformers, whether it is for VSC technology, whether it's LCC technology and some of the large power transformers required for the data centers.

Moderator: Mohit, I request you to join back the queue, please, as we have participants waiting for their turn. Thank you. Next question is from the line of Sumit Kishore from Axis Capital. Please go ahead.

Sumit Kishore: Good afternoon. Thanks for the opportunity. My sincere compliments on creating an Investor Relations cell and welcome to Priyanka in the Hitachi Energy India family.

My two questions, the first one is the gross margins contracted on a sequential quarter-on-quarter basis by a significant amount. What was the mix change or factors that drove this outcome? The second question is that overall, your order inflows for the fiscal grew by 1.6%, but excluding HVDC orders from the base for both the years, the non HVDC order inflow, at least the domestic non-HVDC order inflow was falling in FY26 over FY25. What led to this outcome and what is the outlook going forward? Thank you.

N Venu: On the gross margins, I will ask Ajay, our CFO to talk on that.

Ajay Singh: Yes. Thank you for the question. So, if you see the gross margin, you are talking about sequential quarters, it is only because of the product mix that is where you see a contraction. But if you see overall basis at the end of the year, we have improved on the gross margin by 200 basis points.

So, if you see around last year, our gross margins were around 38%. But this year, we close the

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year with 40%. So, as we are discussing, we are working on the margin accretion piece and only because of the product mix is where sometimes in the sequential quarters, we see some change.

N Venu: Yes, so Sumit, what was your second question on the orders?

Sumit Kishore: Yes. The non-HVDC order inflow in FY26 versus the comparable number for FY25. If I exclude

exports, there seems to be sort of some weakness in the domestic non-HVDC order inflow. Given the outlook is so strong around multiple growth drivers, what are the underlying dynamics here?

N Venu: I think when we investigated that, it is not the case with us. But we need to also understand that some of the capacities which are required for that probably will fill in with the HVDC portfolio. And that's also the reason why some orders which are required at the same time may not be possible for us to do that. But otherwise, even if you remove the non-HVDC order, there has been a growth in the domestic as well for us.

Sumit Kishore: Okay. Just one follow-up on this, your Rs. 20 billion capex. What kind of physical capacity for power transformers in GVA terms is this?

N Venu: We are going to create anywhere between 30 GVA to 40 GVA, exactly close to our existing factory.

Sumit Kishore: Thank you very much. Wish you all the best.

Moderator: Thank you. Next question is from the line of Amit Anwani from PL Capital. Please go ahead.

Amit Anwani: Thanks for the opportunity. Just a clarification on 30, 40 GVA, you said after adding the capacity, this will become 30, 40 GVA or?

N Venu: This is additional capacity. 30 GVA, depending upon the products mix can go to 40, but baseline would be in the range of 30 GVA. Additionally doubling the capacity.

Amit Anwani: So, sir, a question on the minimum local content. So, the 2 projects which we already have, just wanted to understand, there were recent notifications from the government with respect to minimum local content. So, the status of the 2 projects, how much is the MLC there? And is your capex driven by also the localization drive for the, probably for the upcoming 2 or 3 years, there is a minimum 30% and then this will go up over the next 5 to 7 years in terms of localization requirement for each project?

And second, will this also lead to reduction in royalty? Beca

use you'll be localizing more. So, I just wanted to understand these aspects.

N Venu: Thank you very much. As far as our local content is concerned, we are far ahead of the requirements set out. Even the recent government circular, we are exceeding that. And we have been consistently saying that we have increased our local content.

And our new capacity has nothing to do with the local requirements. The new capacity is based on the demand coming in from renewable, transmission, data centers in a big way. When it

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comes to royalty, your question is that, as I said, we manufacture locally, but we continue to get technology from our principals, right?

And I've been saying that we need to pay the royalty because we will come out of new technologies, new products. Some of you are maybe attending today's evening investors meet we would like to explain to you that what are the new products, technology we are launching for some of the new segments, growth drivers, for example, data centers, energy storage and those technologies, we are able to source from our parent company and we need to give royalty to ensure that the technologies are available at the same time it is available around the world.

Ajay Singh: And I'll like to top up what Venu was telling, if you see, we are not spending anything on the R&D. Our R&D spend is all managed centrally. So that is how we will need the technology for our products.

Amit Anwani: Thank you.

Moderator: Thank you. Next question is from the line of Puneet Gulati from HSBC. Please go ahead.

Puneet Gulati: Thank you so much. So will look forward to your evening presentation. But primarily, can you talk about any big gaps that you currently have in your portfolio that you would want to address with Rs. 2,000 Crores of capex?

N Venu: No, Rs. 2,000 Crores is not about the gaps. For example, the majority of Rs. 2,000 Crores are going into our existing product. One is that we're going to set up a new greenfield large power transformer. We're already manufacturing those things in another facility in Baroda, Maneja.

And this is additional capacity because we need to produce a greater number of transformers at the same time.

And similarly, we are also setting up two additional lines in our Bangalore factory for power quality and we have 6 lines. We are now adding a 7th and 8th line because we see a lot of demand coming in for power quality products. And it's not any of the product gaps.

Puneet Gulati: Understood. That's very helpful. And how should one think about phasing this capacity over the next 2, 3 years?

N Venu: But what we are talking about is that demand required for the electrification. More sectors are getting electrification. So, electrification means you need more transmission, you need a more generation, and for that, you need a more transformer.

So, we investigated for quite a long period. And we believe that it's not 1- or 2-year, 3-year story we are talking about a multiyear growth story. It's structurally what we need to have. It's not any

more spikes that are coming up and down, but we need to know that structurally, for a couple of long years, the growth in demand for these products and solutions is going to be there in our view. And that's why we are investing in it.

Puneet Gulati: Understood. No, I meant your capacity in Rs. 4,000 Crores, when should we expect different phases of capitalization? Will it.

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N Venu: As we speak, out of Rs. 4,000 Crores, out of that Rs. 2,000 Crores, we announced in October 2024. And many of those projects are on the ground. So, they are taking anywhere between 3 to 4 years to complete. But this additional Rs. 2,000 Crores, which we announced, and we are doing the groundbreaking ceremony on 12th of June. And this is an accelerated manufacturing thing as I said, we're go

ing to manufacture the transformer out of this new facility by end of fourth - last quarter of the calendar year of 2028.

Puneet Gulati: 2028. Thank you so much and all the best.

N Venu: Thank you.

Moderator: Next question is from the line of Subhadip Mitra from Nuvama. Please go ahead.

Subhadip Mitra: Good afternoon, sir, and thank you for the opportunity. As you've mentioned on this call as well that the focus areas and the growth triggers seem to be coming more from the renewables and the data center side over and above let's say, HVDC and exports. Just wanted to get an understanding of, let's say, how much of the renewables and the data center piece would be, let's say, part of current revenues and order book? And how do you see the growth trajectory going ahead?

N Venu: Well, I think, all of them are part of our order book. And by far, the transmission is highest in our order book, followed by the renewable and then industry service exports. Data centers are coming up in India. As you know, India is just less than 2 gigawatts of data center. And this is going to be multifold in going forward. In the next 4-5 years, we will talk about that.

So that is even though it's just a small base, but the rate of growth, our growth rate growth percentage is much higher in those things. And the next one is the energy storage, the battery energy storage, especially you're talking about almost 80 gigawatts of battery storage for the next 5, 6 years, that as you can see from the CEA report, and that needs a lot of technologies, and we're going to also look at those segments with that.

Subhadip Mitra: Understood. Just as a follow-up, would most of these products that go into, let's say, the data center and the battery energy piece, are these products that you're already manufacturing in India? These solutions already exist within the Indian subsidiary, or these would be products that need to be imported from the parent and then supplied in?

N Venu: Some of the products are already manufacturing, and we're going to expand our product basket. Some of the products are already available in our parent company. We're going to bring the technology and localize those things. As you know, it's very important to meet up the price point required by our customers in India. So, if we import from there, we will not be able to manage sustainable growth in that. We need to do that, and that's why we are looking into that. It's a combination of all of that.

Subhadip Mitra: Understood, sir. Thank you so much.

Moderator: Next question is from the line of Jason Soans from IDBI Capital. Please go ahead.

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Jason Soans: Sure, sir. Thank you so much for asking my question. That's an excellent set of results. So, my first question just pertains to the...

N Venu: Can you please come close to the mic, please? It's very feeble.

Jason Soans: Yes, hello. Can you hear me now, sir?

Moderator: Can you use your handset mode, please?

Jason Soans: Yes, sure.

N Venu: That's clear, yes.

Jason Soans: Sir, my first question just pertains to the entire year number FY26, the exports order intake and as well as the exports revenue.

N Venu: I think yes, Ajay, you'd like to?

Ajay Singh: Yes. So, export revenue, if you see year-end is around 25%, you can take -- and orders also will be basically in the similar line. Currently, we look a little bit lower because we have booked large domestic orders, but our average exports are around 25% to 30%.

N Venu: Yes. Whenever we're talking about the percentage, please remember, we'll always take out the large lump like HVDC order. When you're talking about that, it is excluding that.

Jason Soans: Sure sir. So, would it be possible to give an exact number, sir, for this?

N Venu: No, we could not share exact numbers, we have been saying as a ballpark percentage.

Jason Soans: Sure. And sir, my next question just pertains to the near-term HVDC pipeline for the next 2

years. Just wanted some color on the pipeline. How was it more of LCC projects or VSC projects

coming on stream? And, one linked question, since you've already won 2 mega 6-gigawatt projects already, do we have the capacity to take on more for the next couple of years?

N Venu: The pipeline, in our view, is very robust. One has already come up for bidding for the TBCB customers, and we are working on that. And similarly, there are many other projects, what I understand is also in the pipeline, at least in the next 2 years, we are talking about anywhere between 3 projects, if not, 4. So our capacity will be consistent, and this is a combination of both LCC and VSC.

And for us, it doesn't matter. LCC, VSC. And absolutely is fine because we are, by far, the leadership position in both LCC and VSC technology globally. We just commissioned Adani in Mumbai 1,000 megawatt is a VSC technology. So, your next question was about whether we have a capacity or not in that. We have also consistently said that we have been building the capacity.

We don't have any limitation as of now to take more HVDC projects now and the next year or year after and we are creating those capacities. As you see, we have been saying this since 2022,

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where there's no pipeline there, we started our HVDC and control production factory in Chennai.

And we are also setting up additional now transformer factory where we are going to manufacture the converter transformer in anticipation of the demand, not only HVDC, but also HVDC.

Jason Soans: Sure. Thanks for that, sir. And just one question...

Moderator: Mr. Jason, I request you to join back the queue, please, as we have participants waiting for their turn. Next question is from the line of Shirom Kapur from Jefferies.

Shirom Kapur: Hi, sir. Thanks for the opportunity. Just have a question about your exports. So, I understand your 3-pronged strategy. Just wondering, maybe if you could give some qualitative commentary on what kind of markets where you're getting this export demand?

And is it largely third party? Or is it more driven by orders from the parents? And specifically, which segments? Is it data center, are you catering to the data center market in US or other parts globally. Could you just give me some color on that?

N Venu: Thank you. So, as I said, some of the allocated markets where we have our growth export strategies. There we develop those markets on a long-term sustainable basis. It could be Indian subcontinent, Bangladesh, Sri Lanka, Nepal, Bhutan. It's also some of the Southeast Asian countries and so on and so forth. And there, we sell our products directly to third-party customers. And for example, our GIS, we sell not only in the Southeast Asian countries, but also some of the European customers. So, in some cases, we say we have global feeder factories. Again, we have a combination of that. We sell sometimes directly to customers, sometimes to our organization. So that comes from our Hitachi Energy offices around the world. And the third one is where we have the feeder factory, where we make the components in India. It's like more of a contract manufacturing for our Hitachi Energy factories around the world. So that will be through our parent organizations. So that's how we can do that.

Shirom Kapur: Understood, sir. And secondly, if you could comment a little bit on -- you mentioned that there was a temporary industry slowdown in the fourth quarter that you navigated. And during your commentary, you also highlighted some maybe delays in some transmission projects, and that's why FY26, we saw a small dip in the growth in transmission orders? So, if you could comment a little bit on what these delays are? How long do you anticipate them to go on for? When would it get resolved? Or is it already behind us now?

N Venu: I think in my view, it's behind us. The

transmission projects are in the pipeline. Maybe the

industrial capex. So, there is good momentum in the capex on some of the steel and other industries. But if you really look at where the investments are coming in, the transmission, renewable for sure, and some of the fossil power plants are also coming up. And the data center and semiconductor industry, batteries to industries, they all really firing. And we also see some expansions in the automobile industry.

Shirom Kapur: Got it Sir, Thank you so much.

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Moderator: Next question is from the line of Rahul Gajare from Macquarie Capital. Please go ahead.

Rahul Gajare: Hi Venu, just continuing the export bit. Is it fair, I mean you did say that you are catering to the SAARC region and Southeast Asia. So, all of this is necessary with you all only. Is that how one can interpret this?

N Venu: Sorry, all of this is necessary?

Rahul Gajare: It's necessarily catered by Hitachi India itself? Or you will be...

N Venu: Yes. Some of the allocated market, it will be catered by Hitachi energy India only.

Rahul Gajare: And is SAARC the totally allocated market or will you compete with other Hitachi entities for Southeast Asia?

N Venu: Our Indian subcontinent is Bangladesh, Sri Lanka, Nepal, Bhutan and Southeast Asian countries. In Southeast Asian countries, the entire portfolio in Southeast Asian countries is part of the portfolio.

Rahul Gajare: Got it. Second thing is you did talk about how India is catering to being a feeder factory for some of the products and certain products are completely only manufactured locally. On average, every year, how many of these products are there?

How much of these things make up your revenue, these feeder factory and certain products which are manufactured only in India because this is going to be a continuous whether export happens or not, this is something which will continue?

N Venu: Yes, it's more like a contract with our companies. And it has everything that is a pass-through to our company. So, it's like a low risk and stable margin kind of thing. And it is growing. If you take whole of exports, it's in the range of 30% or something like that.

Rahul Gajare: That's interesting. The last question that I have is with respect to the timeline of supply of transformers, the export market, what is the kind of timeline that you can supply a transformer and whether it is different for a 765 or 400 kV.

N Venu: We have so much demand for transformers from the domestic market. Our focus continues to maintain our domestic market. Our pipeline is quite robust. And one of the reasons why we are increasing our capacity by adding a new factory is also not only to cater to the domestic demand but also to cater to the new segments arising, like a data center.

Rahul Gajare: So, you can deliver a transformer in what, 15 months, 10 months?

N Venu: It's not a ballpark since it is evolving. It's highly dynamic, and that's why we always tell our customers to order as early as they can, so that we can plan better. In some we deliver in 15 months, some we do in the 12 months. That's not the issue. Issue is what kind of capacities the customers are looking at it. So that we can plug in those capacities.

Rahul Gajare: Okay, fine. Thank you very much.

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Moderator: Thank you. We'll take our next question from the line of Randy Lau from Goldman Sachs. Please go ahead. Randy, please go ahead with your question.

Randy Lau: Sorry, am I audible?

Moderator: Can you use your handset mode; Audio is not clear.

Randy Lau: Am I audible now?

Moderator: Yes, please go ahead.

Randy Lau: Okay. So, for my first question, how should we think about this data center opportunity attributable to Hitachi, particularly with respect to domestic and global competitors over the next 5 years?

N Ven

u: Sorry, it was not very clear. How big is the opportunity in data center?

Ajay Singh: Next 5 years?

N Venu: Yes. It's 5 years...

Randy Lau: Yes, how should we think about the data center opportunity for Hitachi over the next 5 years?

N Venu: Looking at the data center market in India, which we are primarily catering to is less than 2 gigawatts. And the projections are anywhere between 13 to 18 gigawatts depending upon which data. And what we are talking about anywhere between 6 to 9x of the capacities from here. So, for every data center, 15% of data center capex is Hitachi Energy. And if you look at the addressable market is expanding by anywhere 6 to 8x depending upon the data from the various officials, So it's quite substantial.

Randy Lau: Sorry, just a follow-up, you mentioned 13 to 18 gigawatts, and you mentioned a certain capex. For Hitachi, what percentage of this total capex is attributable?

N Venu: No, we don't take that because for us, every data center is 15% of addressable market.

Randy Lau: Okay, I have a second question. So, in the current inflationary commodity price environment, how effective has the price escalation process been in protecting the margins of your HVDC and transformer contracts?

N Venu: Yes, thank you very much. I think this is a very interesting question. I was expecting this question. I think you all know that the geopolitical challenges being faced across India and many other geographies and which is also having elevated inflation, elevated metal prices, etcetera.

And on top of that, elevated transport charges because of the state of Hormuz were getting affected. So, we are navigating it. It's not easy, it's challenging. But most of our portfolio, we have commodity price pass-through. We have a price variation clause built in, in the contracts, and we openly and transparently do that.

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But some other things where we cannot pass are like inflated freight, we are just looking at how to manage it. And then we have several initiatives to ensure that we mitigate many of those risks. But we are very looking actively on that.

Moderator: Thank you. Ladies and gentlemen, we'll take that as the last question for today. I now hand over the call to the MD and CEO, Mr. N. Venu, for closing comments. Over to you, sir.

N Venu: Thank you very much, ladies and gentlemen, for listening to us. And I know that some of you still have a question. So please reach out to Priyanka, and we will be happy to connect with you offline or online, and to provide all the necessary things. Thank you for showing interest in our Company. And we are looking at very exciting times for Hitachi Energy.

Everything is getting electrified whether it is transport sector, industry sector, data centers, energy storage and the industry and the domestic and we are super excited about our role and supporting our customers, our industries and working very closely with all of you. Thank you very much. Have a nice day.

Moderator: Thank you, sir. On behalf of Hitachi Energy India Limited, I would like to conclude this conference. Thank you for joining us. You may now disconnect your lines.